

LTM (LTM)

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May 2, 2023

The BSE Limited,

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National Stock Exchange of India Limited,

Exchange Plaza, Bandra -Kurla Complex,

Bandra (E),

Mumbai - 400 051

NSE Symbol: LTIM BSE Scrip Code: 540005

Dear Sir(s)/Madam,

Subject: Transcript of Earnings Conference call held on April 27, 2023

With reference to the captioned subject, please find enclosed transcript of the Earnings Conference Call held on April 27, 2023.

Kindly take the above on record.

Thanking you,

Yours faithfully,

IMindtree Limited

(Tridib Barat) '

Company Secretary and Compliance Officer

Encl: As above

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"LTIMindtree Limited's Q4 FY'23 Earnings Conference Call "

April 27, 2023

MANAGEMENT : Mr. Debashis Chatterjee – Chief Executive Officer & Managing Director

Mr. Sudhir Chaturvedi – President (Markets)

Mr. Nachiket Deshpande – Chief Operating Officer

Mr. Vinit Teredesai – Chief Financial Officer

Mr. Nitin Mohta – Head , Investor Relations

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Nitin Mohta: Ladies and gentlemen, good day and welcome to the LTIMindtree Quarter 4 and FY '23 Earnings Conference Call. Please note that this conference call is being recorded .

Today, on the call, we have with us Mr. Debashis Chatterjee - Chief Executive Officer and Managing Director; Mr. Sudhir Chaturvedi - President, Markets; Mr. Nachiket Deshpande - Chief Operating Officer and Mr. Vinit Terdesai - Chief Financial Officer.

Let me outline the agenda for today's call. We will begin with a brief overview of the Company's quarter 4 and fiscal '23 performance, after which we will open the floor for Q&A.

During the call, we could make forward-looking statements. These statements consider the environment we see as of today and carry risks and uncertainties that could cause our actual results to differ materially from those expressed in today's call. We do not undertake to update any forward-looking statements made on the call.

I'll now turn the call over to DC for his opening remarks. Over to you, DC.

Debashis Chatterjee: Thank you, Nitin. Good evening, and good morning to everyone on the call.

Thank you for joining us today. Before I start, I would like to take a moment to appreciate our 85,000 highly dedicated professionals, spread across 30-plus countries. Their vision, technical expertise and superior execution capabilities continue to help clients reimagine outcomes, drive innovation and realize cost efficiencies in a complex and convergent digital landscape. Their commitment to excellence ensures we take our clients to the future, faster, together.

I'm happy to share that the merger between erstwhile LTI and erstwhile Mindtree was completed in a record time of less than seven months. We have started operating under a unified system and processes since 1st of April 2023, establishing the base for realizing the envisioned synergies. It is noteworthy to mention that our robust performance is on the back of significant global uncertainties, macroeconomic challenges, and our merger integration.

We reported a strong FY '23 with Y-o-Y revenue growth of 19.9% in constant currency and 17.2% in dollar terms. The growth was broad-based driven by solid performance across all our verticals and geographies. The industry-leading performance was underpinned by the strength in our largest vertical,

BFSI, which grew at 23% Y-o-Y in dollar terms in FY '23, even amidst a challenging macro environment.

We are also pleased to share that High-Tech, Media and Entertainment, our second largest vertical hit US\$1 billion in revenues for FY '23, growing 14.5%. Geographically, North America continues to be our strongest market, registering a Y-o-Y growth of 21.5% in FY '23. Our business in this significant region has attained a substantial scale accruing an annual revenue of US\$3 billion. For the full year, Europe grew at 14.1% Y-o-Y in constant currency, but due to the foreign exchange impact, reported growth in this geography was 3.9% in dollar terms. @ LT/Mindtree
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Thinking about Q4, our revenues came in at a healthy US\$1.06 billion, up 13.5% Y-o-Y in constant currency and 11.9% in reported dollar terms. Our EBIT margins for Q4 came in at 16.4%, up 250 basis points Q-o-Q in line with the trajectory that we had communicated during our Q3 results. We added 31 new clients during Q4 and notably increased our count of US\$50 million plus customers by two to 13. Our order inflow for the quarter came in at US\$1.35 billion, helping us close the full-year order inflow at US\$ 4.87 billion.

Our expanded and diversified capabilities combined with enhanced scale are creating significant cross-sell and upsell opportunities, cementing our partnership status as an industry leader with our existing clients. We are now a formidable contender for strategic partnerships with new clients through multi-year and multi-tower deals. While we do observe a cautious approach towards technology spending in general, owing to macro uncertainties, clients' focus on leveraging technology for enhanced competitiveness remains intact. These clients' goals hold a significant long-term upside for our full stack end-to-end capabilities. We are already seeing a growing trend of these where savings from efficiencies are being used to fund in-flight transformation projects. Let me give you an example.

onsemi, a global leader in intelligent power and image sensing technologies has chosen LTIMindtree as a strategic service provider for developing its next-generation enterprise IT support platform. This multiyear deal will involve LTIMindtree collaborating with onsemi's IT team to drive innovation and increase efficiency. The IT transformation is part of onsemi's broader strategy to streamline operations and invest in growth areas such as electric vehicles, ADAS, alternative energy and industrial automation. With our robust next-generation delivery capabilities and continued focus on innovation and agility, we are confident that we will capitalize on several such exciting opportunities that FY '24 will present. For instance, one next-generation capability where we have made significant investment and progress is Generative AI. We firmly believe that Generative AI will create the next phase of the autonomous enterprise. We have launched our Gen AI platform, which will allow enterprises to accelerate their concept-to-value journey with a focus on ethical use of generative AI, sustainability, and data privacy. Several marquee customers include a top global bank, a multi-national CPG leader and a leading insurance brokerage are already leveraging each for their unique needs.

With that, let me now turn to our Businesses:

Our Banking, Financial Services and Insurance business grew 20.1% Y-o-Y in Q4. The banking industry is currently focused on cost takeout programs, with an emphasis on cash conservation. Some clients have temporary hiring freezes in place. In Insurance, the core modernization and consolidation programs that we are currently part of give us growth visibility. Our BFSI deal pipeline is promising with several large deals in the final stages.

In Q4, our High-Tech, Media and Entertainment business grew 2.8% Y-o-Y. The H

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industry is focusing on customer support, subscription management and product engineering.

While the decision-making timelines remain extended, vendor consolidation has been driving @ LT/Mindtree
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up deal sizes. We are favorably positioned here, evident from our success with our new logo, onsemi.

Our Manufacturing and Resources business grew 12.4% Y-o-Y in Q4. In the Automotive space, we look forward to gaining from vendor consolidation and expanding with our unique industry solutions. In the energy industry, stable commodity prices are incentivizing clients to persist with investments towards digital transformation. We are seeing this trend across the energy value chain of upstream, midstream, and downstream with focus on improving operational efficiency, health and safety and lowering carbon footprint.

For Q4, our Retail CPG, Travel, Transportation and Hospitality business grew 9.5% Y-o-Y.

Higher interest rates and sticky inflation has led to reduced consumer confidence and spending. This has an impact on the IT spend in Retail and CPG. We are helping clients achieve operational resilience through automation and opex reduction. Our focus on omnichannel and commerce capabilities continues to give us unique opportunities in the current business environment.

In the Travel, Transportation and Hospitality business, airlines, hotel, and car rental companies continue to see strong business activity. Our Health, Life Sciences and Public Services business grew 6.8% Y-o-Y in Q4. In Healthcare, we will maintain our emphasis on value-based care and expand our coverage across product engineering and testing. In the Life Sciences industry, the focus is on aggressively cross selling and upselling our ERP CRM and digital engineering services.

In terms of geographies, America contributed 71.9%, Europe contributed 15.4% and Rest of the World contributed 12.7% of our revenues for the quarter. There has been no significant cancellations or deferment of projects from any of our clients, indicating the strength of our client relationships and our value proposition. There is also considerable activity in SAP digital and data services, especially the move to the cloud, which presents exciting opportunities for the company to expand.

As a people-powered organization, we value our employees and their contribution to our success. We remain grateful to our dedicated team of skilled professionals who have ensured client satisfaction and flawless delivery even in the midst of a large merger and integration.

Our attrition continues to trend lower, largely in line with what the industry is also experiencing.

Our quarterly annualized attrition stood at 13.7%, a significant improvement of 440 basis points over the previous quarter, bringing our LTM attrition down to 20.2%. Our return to office program is progressing well. Opening new satellite offices has proven an effective talent strategy and we remain committed to regularly reviewing and refining our approach.

We have been recognized as One of the Best Organizations for Women in 2023 by The

Economic Times. I'm also proud to inform that we have been recognized at the DivHERSity

Awards 2023 for the Top 5 Most Innovative Practices in the Women L&D Programs and Top @ LT/Mindtree
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20 Most Innovative Practices in the Women Returnee Program categories. These recognitions validate our tireless efforts in building a truly inclusive environment, where every individual feels valued, respected, and empowered regardless of gender and other differences.

With this, I will now turn over the call to Vinith for the financial highlights.

Vinith Teredesai: Thank you, DC. Good evening and good morning to everyone on the call. It is great to be with all of you again for our quarterly and annual

earnings.

We ended the fiscal year 2023 on a strong note. Revenue stood at US\$4.1 billion, registering a growth of 17.2% in dollar terms. The corresponding constant currency growth was 19.9%. EBIT margin was 16.2% compared to 17.8% in FY '22. PAT margin was at 13.3% compared to 15.1% in FY '22. The absolute PAT was INR 4,410 crores. EPS for the full year was INR 149.10, an

increase of 11.5% over FY '22. The effective tax rate for the full year was 23.8%.

Let me now take you through the Financial Highlights for Q4 FY'23.

Our revenues stood at US\$1.06 billion, up 11.9% on a Y-o-Y basis. The corresponding constant currency growth was 13.5%. The Q-o-Q growth was 1% in dollar terms and 0.7% in constant currency terms. EBIT margins came in at 16.4% compared to 13.9% in the previous quarter. We had indicated last quarter that our margins would expand by 200 to 250 basis points, and we are pleased to deliver at the higher end of that range. The following three factors equally contributed to the sequential improvement in margins; absence of furloughs and higher working days in Q4, 80 bps; lower integration cost compared to Q3, 80 bps and operational efficiency and productivity improvement, 90 bps.

Net Forex loss for the quarter was US\$6.4 million compared to a gain of US\$5.9 million in the previous quarter. PAT margin for the quarter was 12.8%, compared to 11.6% in the previous quarter. The effective tax rate for the quarter was 22.9%, compared to 23.6% in Q3 FY '23. Basic EPS was INR 37.70 for the quarter compared to INR 33.80 in Q3 FY '23. In Q4, the billed DSO stood at 60 days compared to 61 days in the previous quarter. The DSO including unbilled revenue was at 91 days compared to 90 days in the previous quarter.

For the quarter, the operating cash flow to PAT substantially increased to 88.5% versus 65.8% in the previous quarter. Our robust cash management led to cash and investment balance of US\$ 1.02 billion or INR 8,355 crores compared to INR 8,086 crores in Q3 FY '23. This increase in ending cash balance is post payment of INR 591 crores as interim dividend during Q4.

Return on equity for the quarter was 28.6% versus 30.3% in Q3. Our utilization excluding trainees in the quarter was 81.7% compared to 82.9% in the previous quarter. As of March 31, 2023, our cash flow hedges stood at US\$3,840 million, hedges on the balance sheet were US\$ 441 million. The Board of Directors has recommended a final dividend of INR 40 per share, @ LT/Mindtree

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subject to shareholders' approval, taking our overall dividend for the full financial year to INR 60 per share.

As DC mentioned earlier, effective 1st April, we are operating under one unified systems and policies. In line with this, we are also refreshing and publishing our ESG goals as LTIMindtree. The same is detailed in our Investor deck. Let me share some key goals that we have set for ourselves. The document on sustainability includes replacing 85% of current energy usage with renewable energy by 2030, 100% waste recycling and becoming water positive by 2030. We are pleased to share that in Q4 our Bengaluru and Chennai facilities were awarded the CII National Award on Efficient Energy Usage. These awards validate our commitment to the goals we have pledged on ESG front.

I now hand it back to DC for the business outlook.

Debashis Chatterjee: Thank you, Vinit. Looking ahead, we remain optimistic about our prospects. While Q1 FY '24 performance may see some impact of continued slow client decision-making, our strong value proposition, robust order book and steady pipeline buildup gives us confidence that we shall still be able to deliver industry-leading, double-digit revenue growth for FY '24.

One of the areas that we are particularly excited about is the cross-sell and upsell opportunities in existing accounts and our concentrated min

ing efforts on our Focus 100 accounts. By

leveraging our expertise and scale across a range of industries and technologies, we have been able to create positive momentum and drive growth across our client base.

In addition, our unified transformation solution is helping customers in their transformation journeys across value chains, stacks, and ecosystems. This is particularly important as businesses continue to face increasing pressure to do more with less. With our deep expertise, commitment to innovation and collaboration and focus on delivering value to our clients, we are confident that we will continue to drive growth and success in the future.

Let me now open this call for questions.

Nitin Mohta : Thank you, DC. The first question is from the line of Sandeep Shah.

Sandeep Shah : Just wanted to understand entering into FY 2024, is there any large client-specific issue which you foresee within your top 20 clients? And can you explain the same with the decline in this quarter within top 5 clients and top 11 to 20 clients, what has led to this as a whole? And also outlook for the High-Tech entering into FY '24 with some of your large clients are announcing layoffs at a regular interval, so will it be a spoilsport in terms of the growth rates for FY '24 in terms of High-Tech, for you versus company average as a whole? And second, in terms of the margin outlook, how do we see from Q4 levels how the margin will shape up in the first half, as well as second half of the financial year? @ LT/Mindtree

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Debashis Chatterjee: Sandeep, let me just go one -by-one. Your first question was, any specific issues with any clients in the top 20? I don't think there is any specific issue with any of the clients. In fact, if you look at the overall revenues of the clients from FY '22 to FY '23, you will see that the revenues have grown, which means our efforts of mining is working very well with those clients. What was your next question?

Sandeep Shah : If there are no large client -specific issues, then are you also witnessing the same within the High -Tech vertical as a whole because one of your large clients has been announcing layoff at regular intervals?

Debashis Chatterjee : If you look at our overall High -Tech portfolio, there is nothing, which is specifically bothering us. In fact, for some of our clients there could be opportunities for us. But only one thing I can say is that some of the decision -making in terms of start of the project, there have been a little delay. We have actually won opportunities where we need to just get them started. So overall, again, I don't think there is any specific concern or specific client -specific concern in terms of our High -Tech portfolio. And in terms of margin, let me ask Vinit to answer that.

Vinit Teredesai : So, Sandeep, as we have mentioned this in the past, our aspiration is basically to return to same margin levels as what both the independent companies were operating prior to merger that is in the 17% to 18% range, though we don't want to call it out, but given that this mathematics is probably available. That is the aspiration at which we want to operate. We'll probably have a little bit of a slow start and we'll catch up during the year and get to that 17% to 18% range.

Sandeep Shah : DC, your comment about this year's growth rate being double -digit, so the ask rate if I'm not wrong on a constant currency for the next four quarters is 2.7% with 1Q growth is likely to be tepid . So there would be heavy lifting required from 2Q to 4Q, what gives you confidence regarding the same?

Debashis Chatterjee : Well, I think if I look at the deal activity which is happening currently, that gives us the confidence and I'll let Sudhir also chime in. But overall, our pipeline is very strong, our order book is very strong. And the couple of things that I called o

ut in my opening remarks is, for

example, we have good opportunities in BFSI, but couple of clients have kind of gone through some freeze and we are hoping that by end of Q1, those freezes will open up, so we should be able to ramp up. But overall, our deal activity is very, very strong . Sudhir, do you want to comment?

Sudhir Chaturvedi : Yeah, absolutely. So, DC as you said, the order intake is up between quarters by 21% to US\$ 1.35 billion . In Q2 the large deal pipeline you all will remember that we shared a number of US\$ 3.2 billion during our Investor Day, that's up to US\$3.6 billion now. So, the combination of order intake and continuing activity on the large deals is what gives us confidence.

Nitin Mohta : The next question is from the line of Mohit Jain. @ LT/Mindtree
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Mohit Jain : So, the first one was related to pricing for the quarter, specifically, Q4. Now, headcount is slightly down, utilization lower, revenues up, so how should we read this disconnect? Is there a different base or some other revenue that you've got during the quarter, which is pulling this number up? And then, I'll have a follow -up.

Nachiket Deshpande : If you see, Mohit, the main reason for the headcount difference is the attrition as you would see has significantly dropped in Q4, and at the same time as we were combining both the organizations, we had reduced our lateral intake in Q3 and Q4 as the bench from the organization was coming together and we were getting a better idea about the scale distribution of that bench. That's kind of resulted in reduced headcount.

Mohit Jain : But is there a volume drop during the quarter, or pricing is stable and there's a volume increase of 0.7%?

Vinit Teredesai: Pricing is pretty much stable. Just remember as DC has mentioned that in his opening remarks that the nature of the deals and the revenue profile is changing from the transformation to the cost takeouts , to that extent that's the change that is coming in. But otherwise, the pricing that we are getting is pretty much stable.

Mohit Jain : Okay. And the follow -up is on vertical like I was really scared of BFSI, but you did well, and I thought Hi -Tech will be okay but Hi -Tech was really bad during the year. So, what exactly is happening there, and do you expect this to reverse in 1Q? Like when you say there is a freeze, et cetera, is it primarily in BFSI or do you think that will continue in Hi -Tech as well?

Debashis Chatterjee : I think if I look at BFSI, BFSI has grown for the full year at 23% and Hi -Tech and M&E together has grown around 14.5%. So, I think both the verticals have done well. And we just talked about onsemi, which is a deal that we have signed is in the Hi -Tech, so essentially there are more opportunities in Hi -Tech. The activity is pretty strong. But all that we are saying is we will see a bit of a lull in the Q1 purely because of the fact that some clients are going through some freeze where we know that we need to start this engagement, but we cannot. So, it's a delayed start

rather than anything else. And we are very hopeful that all these issues will get resolved in Q1, so we should be able to get onto the rhythm as far as Q2 is concerned. But otherwise, we are still very confident about the overall situation with respect to the pipeline that we have in B FSI as well as Hi -Tech.

Sudhir, you want to add anything?

Mohit Jain: That you will grow 1Q, right? That's what you're looking at it.

Vinit Teredesai: So, I would say, don't look at us on a Q-o-Q basis, look at on a Y-o-Y basis and that's what I think DC was alluding to. We have consistently grown. One quarter might be up for one vertical, one quarter might be not as good as other. @ LT/Mindtree

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Mohit Jain: Sir,

what I mean to ask is at the company level, we'll still expect you to grow in Q1 whatever is the number.

Vinit Teredesai: Yes, definitely.

Nitin Mohta : The next question we will take from the line of Sudheer Guntupalli.

Sudheer Guntupalli : So, my question is to Sudhir. Standing out from the rest of the industry and despite going through the integration process, your deal booking on a sequential basis has been very good. So, I was just trying to understand, is there any seasonality, which helped you here because we don't really know the prior year Q3 to Q4 deal booking sort of trends. Is there any seasonality that helped you here, or it is just that you have just seen closures to be very good despite the challenging macro and that's what is resulting in the numbers?

Sudhir Chaturvedi : Yes. But there is no seasonality here, Sudheer, but I think what we have is we do have renewals in this, which is actually a good sign, right, which means that client satisfaction is good and we're renewing these contracts, so which also gives us that stability both from an order intake perspective as well as our future revenue growth perspective. So, I think that's really reflected in both. And the deal wins are starting to show, especially as you see this quarter's order intake , it reflects some large deal wins like the onsemi deal that DC just spoke about.

Sudheer Guntupalli : Sure, Sudhir. And then if you were to just look at the net new part within this and any broader color even if you don't want to quantify them , how the trend has been from Q3 to Q4?

Sudhir Chaturvedi: Actually, we look at order intake, right. We are seeing good all round order intake. It's across verticals and it's across regions, which is the broad -based growth comment that we made. The thing with the order intake is the only the additional color I'll provide is that this is more in the efficiency space, the cost takeout space, and therefore these involve transitions, and these will involve a slower ramp across the year, right, as these kind of deals are usually take over from either vendor consolidation or clients consolidating their own operations. So, it does take a little bit of time to ramp up as well as make sure that the transitions complete first and then we start to build these clients . So that's the additional color in terms of order intake.

Sudheer Guntupalli: Sure, Sudhir. And one last question to DC, if I may. So, DC, as individual entities, we have always been guiding for industry -leading growth but now our base has almost doubled, so there is some mathematical optics related to it. Despite that it's impressive that you are still calling out for industry -leading growth. And one more thing, this time peculiar in FY '24 about the industry is that there has been a huge divergence with some companies guiding for 3% to 6% growth all the way up to mid -teens. So, when you talk about industry -leading growth in that kind of a backdrop and with a much higher base, again, any further color on that?

Debashis Chatterjee: Yes. Well, I think when I say industry -leading, what we mean by that is in the industry -leading quadrant. Are we one of those companies which are showing the growth in that quadrant . And @ LT/Mindtree

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we are very confident that we want to stay there. And that's why I said that in spite of little bit of softness in Q1, we are very confident that we should be able to take it to a double -digit growth and we want to convert that double -digit growth into industry leading as far as FY '24 is concerned.

Nitin Mohta : Next, we will take the question from the line of Vibhor Singhal.

Vibhor Singhal : Congrats on a very strong margin expansion. So, DC, my question was to maybe you and Sudhir. As already we've discussed, we've had a very strong deal flow in this quarter as compared to Q -on-Q at least. Now, one of the concerns

that is paramount in the industry at this point of time is that while deals are being awarded, I mean, you yourselves had two large deals announcements very recently, lot of the competitors are also announcing large deals. So, the concern that is there is that many of these deals are being awarded, but their execution timeline is not very certain.

The client is not yet giving a certainty as to when to start execution on this deal, this might get delayed. So, are we also facing that in deal flows at that deals that we have won? And is that what is adding to the uncertainty in FY '24? And a related question is that we've always talked about size helping us win large deals. We've announced a couple of large deals in the past month or so. So, I mean any more color on that as to how the progress on that front is happening in terms of our increased size helping us win more large deals.

Debashis Chatterjee: Yes. See, first of all, let me just give you a color of what is happening in the marketplace. If you look at large deals, many of the deals that we are pursuing right now are more efficiency play, which is, in other words, cost takeout. And many of these cost takeout deals as Sudhir articulated has as a transition, and when you do the transition you kind of ramp it up, ramp up the deals, and then the real billings take a little bit of time to start. And what you're seeing right now in certain situations is, everything is decided, but the start date is a little delayed, and we are very hopeful that will ease off over a period of time. So that's the situation. It's more cost takeout deals, which in a way, is good because these deals tend to be multi-year and which is exactly what we're doing with onsemi, but it's more of a delayed start rather than anything else. So that's what the scenario is which probably is very similar across the market, across the industries. And in terms of size, we are very confident that the size and scale and the capabilities that we have, it's not just the size, it's the capabilities that we have as an integrated organization is something that will help us in terms of getting a seat on the table, and whenever there is a large deal, we should be able to compete with in any kind of situation. I think that's what we mean. We are already seeing some results and we are very confident that as we go along, we will be seeing more of these scenarios.

Sudhir, Nachiket, you want to add anything?

Sudhir Chaturvedi: No. I think you've covered it.

Vibhor Singhal: Sure. Just one small follow-up question to either Nachiket or Vinit if I can. With the increased size of the integrated workforce, do we expect the sub-con expense to come down? I know it's not basically exceptionally high as compared to the industry for both the individual companies @ LT/Mindtree LTIM Q4FY23 Earnings Call

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that we had, but do you think that with the integrated workforce we could see that coming down as a percentage of revenue over the next couple of years?

Nachiket Deshpande: Vibhor, as you indicated, it is already relatively low for us as compared to some of our peers and we continue to remain focused on trying to reduce that. And some bit of bench availability will hopefully also help that, so that is an ongoing program for us. We are not targeting a particular percentage or a reduction, but we continue to look for opportunities where we can reduce.

Nitin Mohta: We will take the next question from the line of Sulabh Govila.

Sulabh Govila: So, my first question is regarding the revenue growth this quarter. I'm just trying to understand given that the furloughs have reversed, which were there last quarter and there were no major cancellations and deferrals that you mentioned earlier, so what's the reason for sequential soft revenue growth this quarter? I mean you mentioned there is some freeze in BFSI, but could you elaborate on

the nature of softness that we've seen in Hi-Tech vertical? I mean this is within which service lines within Hi-Tech, and is that concentrated to few clients or it's more broad-based?

Sudhir Chaturvedi: Yes. So, I think if we look at this quarter, right, you will see that the things that we talked about, the delayed decision making and the slower pace of some of these ramp-ups as well as the freezes, that's the reason why there are some hiring freezes in place as clients are going through their own cycles. Certain clients have some hiring freezes in place, so that's what's reflected in this quarter. And we've been focused on making sure that our order intake remains strong and that our book of business across the board, right, including our existing book of business remains intact as well as we grow it with the new order intake. So that's been the focus. As the macro environment improves and we see clients start to release budgets, which we expect in the coming quarters, that's when we'll start to see some of that, which is what gives us the confidence for the full year growth as well.

Sulabh Govila: Sure. And with respect to Hi-Tech, any comments on the Hi-Tech vertical?

Sudhir Chaturvedi: See, I think if you look at Hi-Tech, right, they're also going through a cycle of efficiency as DC said. So, we are focused on the deals activity that we're seeing in the Hi-Tech space, and frankly, we're seeing some good deal activity. So that's the nature. I think, see, quarterly phenomenon there'll be some ups and downs, but as DC said, on a Y-o-Y basis, Hi-Tech grew 14.5%. We are seeing some good deal activity, so on a full year FY '24 basis, we still think there is good potential for us to grow Hi-Tech. It's a US\$1 billion-plus business for us and we have really strong presence and strong capabilities, so we will continue to leverage that.

Sulabh Govila: And just a quick follow-up on the outlook. One is that this outlook that you provided for the full year, do you think that is going to be more broad-based across verticals or it's specific to one vertical versus the other? Plus, on the 1Q softness that we talked about, is it going to be relative

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Debashis Chatterjee: I think as far as the first quarter performance is concerned, I think some of the behaviors that we have seen, as Sudhir articulated, some of the freeze and all those things, that is that kind of continuing and we are hoping that all those things will ease off by the end of Q1, so that's where we feel that there could be some softness. And I think at this point of time, it is fair to assume that we are just talking with respect to the economic conditions that's existing in Q4 kind of extending into Q1.

Sudhir Chaturvedi: DC, just one build on it that we do have a license component that exists in Q4, which we will not have in Q1. So, what we are focus ed on is the like -for-like services growth in Q1.

Nitin Mohta : Next question we will take from the line of Manik Taneja.

Manik Taneja : I just had a question with regards to the way our headcount metrics have been trending. In FY '23 you were adding freshers across both the heritage Mindtree and heritage LTI organization, and this quarter we've seen headcount decline. So how do you think a bout our delivery going into FY '24 given the best that we have? And if you could also talk about any plans for fresh er additions for the next year.

Nachiket Deshpande : So, Manik, as I said I think we had paused our fresher intake in Q3 and Q4 as well as reduced our lateral hiring in those two quarters as we were consolidating bench from both the organizations and getting better visibility into the skill sets that are available as a consolidated company, which we have done over this quarter. So, as I said previous

ly, we are now going back

to our usual campus onboarding plan. So going into FY '24, we will continue our FY '24 onboarding plan as earlier set out. We typically onboard most of our freshers in the first three quarters of the year and that's what w ould be our plan in FY '24 as well.

Manik Taneja: And one last question for Vinit. I was just looking at your segment profitability. If you could help us understand what drove the sequential increase in terms of our margins on the Manufacturing and Resourc es side, and simultaneously the increase on the Health , Life Sciences and Public Services side?

Vinit Teredesai : There is no specific seasonality or anything or change in the trend . As new people get added, the average cost keeps on moving. Sometimes the onsite -offshore ratio changes. That also sort of changes the overall margins, but no structural changes into any of these profiles.

Nitin Mohta : We will take the last question from the line of Surendra Goyal.

Surendra Goyal : Yes. So just a co uple of questions. Firstly, what is the services growth in 4Q because, if I heard it correct, Sudhir did allude to some license component as well?

Vinit Teredesai : We don't call that number out specifically.

Surendra Goyal: And secondly Sudhir, a question for you. The pipeline has been consistently strong, and you guys have obviously done a terrific job there. But even the recent slowdown was not preceded @ LT/Mindtree LTIM Q4FY23 Earnings Call

April 27, 2023

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by any slowdown in the pipeline. So, what gives you comfort that the growth beyond 1Q will be strong to enable you to get to double -digit growth? Is it more hope that things improve or is it based on any data points that we should be aware of?

Sudhir Chaturvedi : See, there are three reasons why we feel that - large deal pipeline is up, conversions are up, order intake is up, and I think what's holding us back is, as I said, the delayed decision -making and some of the freezes. That's really what we're seeing. It's actually a reflection of how they want to manag e their calendar year '23 budget. We expect that to start to ease off towards the end of this quarter. And the reason is that clients still have a book of business to do. We've been very close to our clients; we've been meeting them and there is work to do except that budgets are being right now held back but we expect that to come back. And then, obviously, our deal ramp - ups that we expect to see ramping up from Q2 onwards as part of this and because we're currently starting these transitions, right. We've announced two publicly as you know. There's onsemi and Curry's that we've announced publicly in addition to these , there are several other deals that we have won and that's why we feel that we will start to see this pickup from Q2 onwards. As you've seen traditionally, Q2, Q3 have been our stronger quarters and that's what we're focused.

Nitin Mohta : We'll just take one question from the Q&A bridge that we have got. Nitin Padmanabhan from Investec has asked, when is the wage hike expected?

Vinit Teredesai : We are planning to do the wage hike in the second quarter of the financial year, and it's expected to be, obviously, as per what the market demands, but if I want to call it out from a Y-o-Y perspective, it will be on percentage terms significantly lower than what it was in the past two years.

Nitin Mohta : Well, thank you all for joining this call. You may now disconnect your lines.

(This document has been edited for readability purposes)

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Call: Jul 2023

LTIM/SE/STAT/2023-24/ 63

National Stock Exchange of India Limited,
Exchange Plaza, Bandra-Kurla Complex,
Bandra (E),
Mumbai -400 051

NSE Symbol: LTIM

Dear Sir(s)/Madam, {f?J LT/Mindtree

July 20 , 2023

The BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai -400 001

BSE Scrip Code: 540005

Subject: Transcript of Earnings Conference call held on July 17, 2023

With reference to the captioned subject, please find enclosed transcript of the Earnings
Conference Call held on July 17, 2023.

Kindly take the above on record.

Thanking you,

Yours faithfully,

Fo indtree Limited

o/Company Secretary and Compliance Officer

Encl: As above

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"LTIMindtree Limited's Q1 FY'24 Earnings Conference Call "

July 17, 2023

MANAGEMENT : Mr. Debashis Chatterjee – Chief Executive Officer & Managing
Director

Mr. Sudhir Chaturvedi – President (Markets)

Mr. Nachiket Deshpande – Chief Operating Officer

Mr. Vinit Teredesai – Chief Financial Officer

Mr. Nitin Mohta – Head , Investor Relations

LTIM Q1FY24 Earnings Call

July 17, 2023

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Nitin Mohta: Ladies and gentlemen, good day and welcome to the LTIMindtree Quarter 1
FY '24 Earnings Conference Call. Please note that this conference call is being
recorded.

Today, on the call, we have with us Mr. Debashis Chatterjee - Chief Executive

Officer and Managing Director; Mr. Sudhir Chaturvedi – President, Markets; Mr. Nachiket Deshpande - Chief Operating Officer and Mr. Vinit Teredesai - Chief Financial Officer.

Let me outline the agenda for today's call. We will begin with a brief overview of the Company's quarter 1 performance, after which we will open the floor for Q&A.

During the call, we could make forward-looking statements. These statements consider the environment we see as of today and carry risks and uncertainties that could cause our actual results to differ materially from those expressed in today's call. We do not undertake to update any forward-looking statements made on the call.

I will now turn the call over to DC for his opening remarks.

Debashis Chatterjee: Thank you, Nitin. Good evening, and good morning to everyone on the call. Thank you for joining us today.

LTIMindtree is all about creating a bigger, better, and bolder future for all our stakeholders. Our recent inclusion in NIFTY 50, India's leading stock market index is a testament to our unwavering commitment to shaping a brighter future for our stakeholders. We are grateful for the trust you have placed in our vision, strategy, and ability to deliver exceptional results. This recognition has filled us with renewed enthusiasm and optimism for our journey ahead.

We are pleased to report that our revenues came in at a healthy USD 1.06 billion in Q1, a growth of 8.2% in constant currency and 8.1% in dollar terms Y-o-Y, despite a challenging ongoing macroeconomic environment. The growth was driven by strong performance across our major industry verticals and geographies. Our sequential revenue growth in dollar terms was 0.1%.

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Adjusted for the seasonal pass-through that we had in Q4, our sequential revenue growth would have been 0.9%.

For the quarter, our Manufacturing and Resources vertical has achieved strong growth, registering a 14.9% Y-o-Y increase in dollar terms. BFSI, our largest vertical continues to grow, up 12.1% Y-o-Y in dollar terms. Furthermore, I'm pleased to share that our High-tech, Media and Entertainment vertical is at USD 1 billion run rate. These 3 verticals account for 75% of our revenues, and their performance gives us confidence to maintain our continued upward trend. Geographically, North America, which accounts for 73% of our revenues, registered a Y-o-Y growth of 10.2%, while Europe grew 7.3% Y-o-Y, both in dollar terms.

Our EBIT margin for the quarter came in at 16.7%, up 30 basis points sequentially, and our net margin was 13.2%, 40 basis points higher than the last quarter. We added 19 new clients in the quarter. We also increased our count of USD 10 million plus customers by 9 Y-o-Y, bringing the total to 88.

Our order inflow for the quarter came in at USD 1.41 billion, registering a growth of 16.9% Y-o-Y and 4.9% sequentially. We continue to observe a growing trend in deals focusing on efficiency to allow companies to fund their ongoing transformation initiatives.

Our persistent efforts to explore cross-selling and upselling opportunities within our existing accounts have yielded positive results. I would like to call out a few important deals that we signed this quarter.

We won a large strategic 5-year deal to drive efficiency savings for a High-tech client. This was a vendor consolidation deal and required presence in multiple locations globally - Canada, Poland, and India. This deal win is a reflection of our current scale and our capabilities to service clients across multiple global locations and a wide set of capabilities.

tions and a wide set of capabilities.

For an insurance major, we won a large multiyear managed services engagement for cloud and infrastructure services, displacing the incumbent. This deal is a good example of our cross-sell capabilities across cloud, infrastructure, and security domains.

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For a large existing client of LTIMindtree, we engaged with the marketing

function to become the strategic transformation partner for their integrated media platform. This platform involves innovative media solutions and automated ad buying. This deal is an example of our upsell capabilities in the digital and interactive services domain.

Our Interactive , Data, Cloud and Enterprise Apps service lines remain significant drivers of growth as clients across the industries continue to invest in these areas for their transformation and efficiency needs.

Data, one of our largest service lines is fundamental to Generative AI which we believe will become the catalyst for the next phase of the autonomous enterprise. This technology will have a significant impact on our ability to serve clients across our offerings. To this end, we are proud to have launched Canvas.ai, a pioneering Generative AI platform designed to accelerate the concept -to-value journey for businesses. As clients across industry segments adopt our platform, Canvas.ai for their use cases, we are seeing encouraging early results. Application modernization use cases have shown 40% to 60% productivity improvement in large legacy code conversions for cloud.

Campaign Management Solutions has seen lead times to launch new campaigns shrink from weeks to days. And document summarization has reached first -pass accuracy , previously impossible to achieve in a manual process. We continue to invest in the evolving Canvas.ai to be a secure and easy-to-consume Generative AI platform, leveraging several LLM solutions and enabling the creation of multiple industry -specific use cases in partnership with our clients.

With that, let me now turn to our industry verticals.

Our Banking , Financial Services and Insurance business grew 12.1% Y-o-Y. The Banking , Financial Services vertical is showing resilience despite the ongoing macro environment due to the nature of our engagements in core systems, risks and compliance. We have also seen new deal wins in this industry vertical from vendor consolidation initiatives. Some clients are continuing with their hiring freezes, and we see longer decision cycles and slower ramp -ups.

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Our High-tech, Media and Entertainment business grew 1% Y-o-Y. With many of our large customers starting their fiscal year in the latter half of the calendar year, we anticipate increased spending. While decision -making timelines may be extended, this gives businesses a chance to explore new and innovative pricing models. Additionally, the need for efficiencies is creating an environment for companies to drive even more value for their customers.

The Media and Entertainment industry is experiencing a positive shift towards AI-based products that cater to consumers' personalized needs. This trend is further fueled by the need for cost reduction and vendor consolidation, enabling us to stay competitive in this space.

Our Manufacturing & Resources business showed a growth of 14.9% Y-o-Y. Manufacturing clients are continuing with their strategic investments in Industry 4.0 initiatives, supply chain modernization and pricing. Our strength in IoT, ERP and Data positions us well for these opportunities.

Energy & Utilities clients remain resilient as there is a significant investment in core systems modernization. Our strategic focus in the energy vertical lies in the SAP engagements and exploring valuable data opportunities.

Our Retail, CPG and Travel Transportation &

Hospitality business grew 4.6%

Y-o-Y. In our Retail and CPG vertical, we are seeing increasing commitment from clients to take on long -term programs and focus on strategic initiatives like modernizing and rolling out ERP systems. We are also pleased to see the industry shifting towards predictive analytics and composite platforms that integrate a variety of data sources and analytical tools. With our diversified offerings across ERP , data and cloud, we are well positioned to help businesses address their twin objectives of experience and transformation.

The Travel Transportation and Hospitality vertical is experiencing robust demand for leisure travel, although the demand for business travel is yet to catch up.

Our Health, Life Sciences and Public Services business grew 4.7% Y-o-Y. In the Life Sciences industry, big pharma companies are prioritizing divestment

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of lower-margin businesses. Cost headwinds from regulatory policies mandate a focus on efficiency. The medical devices industry is seeing growing interest in as-a-service models. From a technology perspective, clients are looking at a combination of automation, data, cloud and digital technologies to deliver their objectives of cost reduction, technology stack modernization and pricing transformation. The Healthcare industry continues to see significant investments in patient-centric programs, for example, value-based care. We are taking a unique approach of domain centered solutions here.

In terms of geographies, America contributed 73.1%; Europe contributed 15.2% and Rest of the World contributed 11.7% of our revenue. In Europe, our customers are carefully assessing their business needs and making strategic decisions about projects, budgets and IT spend. However, there is still strong demand for application management and SAP rollout and support deals. For the quarter, our LTM attrition was 17.8%, down from 20.2% recorded last quarter. In-quarter attrition was at a similar level to that in the last quarter. And hence, we believe our attrition will continue to show a downward trend on an LTM basis. We are pleased to report that our utilization rate has shown a noteworthy improvement, reaching 84.8%. This was a result of our ability to deploy resources better as systems consolidation post-merger help improve visibility of available talent.

I will now turn over the call to Vinit for Q1 financial highlights.

Vinit Teredesai: Thank you, DC. Good evening, and good morning to everyone on the call. We hope you had a chance to go through our first integrated annual report, which provides comprehensive non-financial disclosures for you to assess our business model and performance. Let me now take you through the financial highlights for Q1 FY '24.

Our revenue stood at USD 1.06 billion, up 8.1% on a Y-o-Y basis. The corresponding constant currency growth was 8.2%. The Q-o-Q growth was 0.1% in dollar terms as well as in constant currency terms. EBIT margins continue to expand and came in at 16.7% compared to 16.4% in the previous quarter. We would like to call out that we had a reclassification of around 1,000

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people from delivery to sales and support this quarter and this has contributed to an increase of 120 basis points in gross margin, 160 basis points in utilization and increase in sales and support headcount by around 1,000. This change is a part of the harmonization process, is in line with the industry practice and was effective 1st April 2023. Our sharp focus on managing our costs helped us deliver a 30 basis point Q-o-Q increase in EBIT margins. The bridge is as follows: increase in gross margins by 170 basis points, of which 120 basis points is on account of reclassification, 70 basis points due to operational efficiencies led by increased utilization and offset

by seasonal visa cost of 20

basis points. A corresponding increase of 120 basis points in SG&A costs due to the reclassification and 20 basis point impact on account of increased marketing spend. I would like to reiterate that the impact of reclassification as mentioned above, is EBIT neutral.

Net Forex loss for the quarter was USD 1.5 million compared to a loss of USD 6.4 million in the previous quarter. Riding on our solid cash balances and increase in prices over all asset classes, we had an investment income of INR 135 crores this quarter. PAT margin for the quarter was 13.2% compared to 12.8% in the previous quarter. The effective tax rate for the quarter was 25% compared to 22.9% in Q4 of FY '23.

Basic EPS was INR 38.90 for the quarter compared to INR 37.70 in Q4 of FY '23. In Q1, the billed DSO remained at 60 days. The DSO, including unbilled revenue, was at 93 days compared to 91 days in the previous quarter. The operating cash flow to PAT has continued to improve to 89.8% this quarter as against 88.5% in the previous quarter.

Our cash and investment balances stood at USD 1.13 billion or INR 9,235 crores compared to INR 8,355 crores in Q4 of FY '23.

Return on equity for the quarter was 26.8% versus 28.6% in Q2. Our utilization, excluding trainees, in the quarter was 84.8% compared to 81.7% in the previous quarter. Also, as mentioned above, 160 basis points of this improvement is on account of the reclassification.

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As of June 30, 2023, our cash flow hedges stood at USD 3.59 billion, and hedges on the balance sheet were USD 400 million. We are pleased to announce that both CRISIL and India Ratings and Research have reaffirmed their AAA / Stable long-term rating for LTIMindtree.

We were ranked 30th in the Financial Times "Climate Leaders Asia-Pacific 2023", amongst 275 leaders for our best performance in the "Reduction of GHG emissions intensity over 2016 to 2021 relative to revenue". Recognitions like these are testament to our deep and continued efforts on the ESG front.

I now hand it back to DC for the business outlook.

Debashis Chatterjee: Thank you, Vinit.

We continue to see good sales activity and a healthy win ratio across our key markets and industry verticals, resulting in a robust deal pipeline. At the same time, we continue to see delays in decision-making and hiring freezes. However, we remain confident about our value proposition, along with the prospects of cross-selling and upselling to our existing accounts, especially with dedicated efforts towards our Focus 100 initiative. We are already seeing multiple deal conversations and wins through these efforts. As an organization, we have strategically positioned ourselves to help our clients in their transformation as well as efficiency agendas. Our ability to play effectively in both these areas gives us the confidence to continue our profitable growth trajectory even in the current dynamic market situation.

Let me now open the floor for questions.

Nitin Mohta: Thank you, DC. The first question is from the line of Sandeep Shah.

Sandeep Shah: The first question is, DC, the first quarter has gone as per anticipation, or is there any negative surprises versus what we anticipated in terms of growth at the start of the quarter? And if yes, will it impact our target to achieve a double-digit constant currency growth? Do we still reiterate the same? If yes, don't you believe the ask rate of 4.5% in the next 3 quarters is a very high ask rate? And just wanted to know the margin target for the full year.

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Debashis Chatterjee: You've given me a question and as well an answer. So first of all, Sandeep, if you ask me how did the Quarter 1 play out. I think the Quarter 1 played out the way we expected. We expected Q1 to be soft. But what

Quarter 1 did not play

out well is, we thought that some of the aspects of the delays and some of the aspects of the hiring freezes that our clients had, especially in BFS, where clients had put a freeze on onboarding, so we thought that some of those things will go away by end of Q1. And that is one area where things have not improved, things have not changed, which makes us believe that some of the planning that we had anticipated earlier, that is not going to be working the same way. And I will tell you the reason behind it. You must have heard us say that most of the deals these days are longer-term efficiency deals. And what happens in these efficiency deals, they are longer tenure, but they also have a transition involved. And only after the transition, you get into the revenue cycle. So, it is important to close those deals sooner so that you get the benefit of those revenues for the rest of the year. So, a long story short, I think Q1 played out the way we wanted from an overall revenue perspective, but Q1 did not play out the way we wanted in terms of the slowness in decision-making as well as the freezes, which tend to be continuing, which is where we feel that the growth targets that we have said earlier, that becomes challenging. But at the same time, we will always have it as an aspiration. So that's the first part of it. Sudhir, do you want to add anything?

Sudhir Chaturvedi: Yes. I'll just build on one thing there, Sandeep. I think what was positive in the quarter was the increase in the pipeline. So our pipeline went up 10% Q-o-Q from Q4 to Q1. Our large deal pipeline also went up significantly. So as DC

said in his opening remarks, the sales activity continues to be strong, notwithstanding the fact that we saw some deals move from Q1 closures to Q2, but overall activity increased during the quarter.

Debashis Chatterjee : Vinit, do you want to take the margin?

Vinit Teredesai : And Sandeep on the margin target, while the growth obviously is one of the important factors to support the margin. We are still working on the efficiencies that need to be driven down into the organization. So we are still confident that we should be in the 17% to 18% EBIT margin range as a part of our exit for FY '24.

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Nitin Mohta : The next question is from Manik Taneja.

Manik Taneja : Vinit, just wanted to understand our hiring plans for the year as well as the wage increments that we plan for this year, given what we've heard from some of your peers.

Vinit Teredesai: So let me talk about the hiring plans. For the last 3 quarters, we have been very focused in terms of ensuring that the bench that we have from a combined organization standpoint, we need to leverage the bench, and that was the priority that we put in place and the hiring was based on how we utilize the bench and what you see right now is a healthy utilization, which is a testament to the fact that it's working well the way we anticipated. Now as far as hiring is concerned based on the opportunities in the pipeline, it is not going to be any different. We'll continue to hire as it is required. And as far as FY '24 plans are concerned for hiring freshers, that also will be as per plan. So I don't think there is any change to that. But we are in a comfortable position right now. I don't think we have any constraint on the supply side at this point of time. And as far as wage increase is concerned, we had planned wage increase in July, and we have enough confidence in ourselves in terms of going ahead with the wage increase. So we are going to do the wage increase in July, and we are not going to change any of our initial plans.

Manik Taneja : Okay. And if you could help us with the quantum of the wage hikes for the year?

Sudhir Chaturvedi: That will be in line with the industry standard. So it will be pretty much as per the plan

that we had laid down at the beginning of the year.

Nitin Mohta : The next question is going to be from the line of Kawaljeet Saluja.

Kawaljeet Saluja : A couple of questions, most are related to your order book. First is – just trying to react to your order book because deal wins seems to be trending, but the announcement that you have made seem to be overwhelmingly towards managed services, which have a longer tenure for execution. And the other aspect related to order book is that typically, there has been a seasonal bump or strength in the order book resulting from Mindtree's seasonal strength

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historically. Does that seasonality still remain, or it has become too large for that to play out?

Debashis Chatterjee : Hi, Kawaljeet. Let me answer the second part first, yes, I mean, what you said is right. The account that you're talking about is part of LTIMindtree and it's still a significant account. So that seasonality will always be there. But I can only say that initially, those deals, say 3 years back, used to be renewed every year, but there is a more TCV factor in those renewals as well. And as far as the order book is concerned, you are right. I think we have called it out earlier as well that the order book, the deal flow is more in terms of efficiency oriented. And in some of these deals, it's a combination of efficiency and transformation. And we had announced one deal last quarter, which is onsemi, where the clients are willing to sign up for efficiency. And at the same time, they're willing to use those dollars, which can be coming out of efficiency deals over a longer period and continue the in-flight transformation as well. So, we see a flavor of those kind of deals more and more. The only characteristic about these deals are their longer tenure, which is good. But in terms of the revenue realization, it takes a little bit of time because it always involves a transition from a potential incumbent or from the client directly. So that's one thing which

we need to keep in mind when we talk about these deals. Anyone want to add anything?

Sudhir Chaturvedi: Kawaljeet, if you look at both last quarter with USD 1.3 billion order book and the USD 1.4 billion order inflow this quarter, when you combine the 2 quarters, that's quite a healthy mix across all our verticals and regions. And in fact, the 3 verticals that contribute to 75% of our revenue, which is the BFSI, High-tech, and Manufacturing & Resources also account for a majority of the order book. So yes, it's correct that the order book is vectored more towards longer-term managed services deals, but it is broad-based, and there is a good concentration in our 3 core verticals.

Kawaljeet Saluja: Sudhir, can you share some ACV trends because that will be useful. And the other part of the question related to your deals is that while in the "I" part of BFSI there were plenty of deals. The press release was conspicuously absent of any mention of banking deals.

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Sudhir Chaturvedi: So DC just talked about a banking deal in our prepared remarks right now, which is a good example of our cross-sell opportunities. In fact, our Insurance vertical is going strong. In fact, we're seeing some good core modernization programs underway in the Insurance vertical. You can also see it reflected in some of the product companies in the insurance space, and we are benefiting from that. So insurance actually is doing well for us at an overall level.

Kawaljeet Saluja: And any sense on the ACV trends if you can just throw some light on it that would be very helpful.

Vinit Teredesai: So Kawaljeet, typically, as we have mentioned in the past that depending upon, obviously, the portfolio of clients and the sectors in which it happens, whatever deals we signed in the first half

, around 60% to 70% of that translates into the ACV in the next 4 quarters. So that trend continues.

Nitin Mohta: We'll take the next question from the line of Mohit Jain.

Mohit Jain: My question was related to BFSI. Now we have seen this marginal drop this quarter, say minus 1%, and you guys have also ramped up a little bit on deals. And in your opening remarks, you spoke about some benefit or some clients at least opening up the execution part, while some continue to be in pause. Now as we enter 2Q, 3Q and some of the clients are also looking at almost half the year gone by with, let's say, 4 months in pause. So what are your expectations here? How are talks progressing from July onwards? And what should we expect specifically in this vertical?

Sudhir Chaturvedi: Yes. So I'll take that. So if you look at BFSI grew 12% Y-o-Y for us. And I think Mohit you actually raised an important point. What we are seeing is, for most of our clients, they work on a calendar year basis, right? So for 6 months, this calendar year, their own spend has been muted. So we are seeing some signs where they're looking to see for the rest of the year, what are the programs that they continue to fund. But I think as of now, I mean I hate using the word budget flush, but there is nothing in that direction, just to give you a sense. So people are looking to do programs, where the ROI, where there is clear benefit that the business is getting or where there is a need from a risk and compliance perspective, those are the programs that are getting funded. But what we are

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seeing is that what DC talked about, the continuing hiring freezes still continue. I think it's about the next couple of months where we'll figure out whether they will continue to stay for the rest of the year or they will start to ease off in this quarter, rest of their calendar year.

Mohit Jain: Yes. And second one was this reclassification of 1,000-odd employees. Does their job profile change? Or do they continue to do the same work. It is a change in reporting wherein these 1,000 guys are now calculated as part of SG&A?

Nachiket Deshpande: The job profile doesn't change. As we were bringing both the companies together, each of us had sort of slightly different way of categorizing certain functions. So as part of our merger synergies, we looked at industry standard practices and adopted those. So what they were doing or what the functions they are part of remains the same. It's just that those functions are now reported

consistently to the rest of our peer group in how they are classified.

Nitin Mohta: We'll take the next question from the line of Sudheer.

Sudheer Guntupalli : My first question is to DC. It looks like there is a very sharp growth recovery in the top account. Is this possibly related to any budget flush in that account given their fiscal closes in June? Or is it more sustainable and broad-based High-tech recovery, given this vertical probably witnessed earliest onset of a downturn and a lot of pain related to that might already be in the base. Also any color from the top account on how the budgets were, how their new fiscal year is shaping up, given it sets the tone for a lot of tech activity?

Debashis Chatterjee: Well, Sudheer, first of all, we don't talk about any more top account because that's not fair because we have our top 5 accounts which we want to focus on.

And I can only say that if you look at the top 5, there is a decent growth in terms of the top 5 accounts. And as a part of our top 100 program, we are going to stay very focused in terms of the Focus 100 accounts and which will also reflect in the growth of the top 20 as well as top 40 accounts. So that's what we should be looking at. But to your specific questions, in terms of High-tech, I would say, first of all, some of the fiscal years are July to June.

e. But overall, in terms of High-Tech, we can see very good momentum, including all the accounts that is part of that portfolio.

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Sudheer Guntupalli: Got it, DC. Second question to Sudhir, an extension of what I think somebody asked earlier. The divergence between the strong order booking and weak revenue booking for almost 3 quarters now. Some part of it obviously can be explained by the change in deal mix, tenure, etc. Some part is being attributed to the delays in ramp-ups because of the macro overhang. If I look at the 2, 3 global banks, which reported results so far, suggest tech spends continue to be healthy in June despite the banking panic. The crux of the problem lies in ramp-ups, not keeping pace with the order booking and parallelly, there are no material budget cuts, is it fair to expect 1 or 2 lumpy quarters of ramp-ups going ahead, which may translate into sharp pent-up revenue growth, for LTIM and of course for the industry as well.

Sudhir Chaturvedi: The combination of revenue that we have is a combination of what we have from an annuity or a multiyear spend perspective as well as the discretionary spend that tends to happen usually within the year, right? So as you know, I think discretionary spend generally has been under pressure across the industry. BFSI is similar. So what we are seeing is, I think we are seeing a good long-term trend in terms of us, as I keep going back to not just our order book, but also our pipeline, the size of our pipeline, overall pipeline, the number of large deals that we're chasing and the value of the large deals that we are now participating in, that sets us up for good multiyear growth -- as DC said, yes, these deals tend to have a lag, will have a lag because they involve slightly longer closure time lines as well as transition time lines, etc. So at that point, it's just a question of seeing when the entire set of deals start to materialize in terms of the revenue contribution that they make as well as we'd like to see some return of discretionary spending because then there is no headwind towards the growth that we get from these large deals.

Sudheer Guntupalli: Sure, Sudhir. Just one last question. Any budget cuts that you are seeing in your broader portfolio of key clients, let's say, the top 100 clients?

Sudhir Chaturvedi: Actually, what's interesting is in the recent Gartner article, they have talked about a 5% growth in budgets even in this year. I think the thing is the budget on paper exists, but the decisions are going to the board, and they are taking more cautious decisions in quarter as they wait to see what -- see, it is a paradoxical time, right? Where governments are looking to see what they can

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do about inflation. So central banks, whereas unemployment is lower, you know whereas other indicators suggest that demand is healthy. So I think clients are also trying to figure out this paradox and taking decisions accordingly. I think we see a stability in interest rate regime, which we are likely to see, then I think clients will have a lot more confidence in terms of

releasing the budgets that they've already actually planned for during the financial year at least as per projections that the likes of Gartner have made.

Nitin Mohta: The next question is from the line of Sulabh Govila.

Sulabh Govila : So first one is with respect to the growth that we envisage for this year, which is FY '24. So do you expect the remaining quarters growth to be paced out equally across the quarters? Or would you say that 2H would shape up with a stronger growth momentum versus what you think about 2Q?

Debashis Chatterjee: Well, I think as you can make out, as we have indicated that some of the concerns that we have are more in terms of the freezes in terms of onboarding that we

see in some of the BFS clients as well as the delay in decision -making.

Now that's something which we will hope that by Q1, it should be easing out which did not. And I don't think we can predict in terms of where it will be , but otherwise, there is nothing for us to believe that our second half will be any different from the second half of last year, for example. So I think the only thing we are hoping is some of the freezes go away and some of this decision -making is faster. And I think that actually help us in terms of looking into the rest of the year.

Sulabh Govila: Understood. And just a quick follow-up, as you mentioned on the banking side of it, so you mentioned last quarter that there were several deals which were in the final stages of closure. And given that we've seen continued caution with respect to freezes and the decision -making and based on your recent conversation, would you say that some of these deals could come through in 2Q? Or do you think they can take much longer?

Debashis Chatterjee: Well, we are hoping . I know at least a couple of those deals have already come through. We closed them in the end of Q1. But we are hoping that some of the other deals also will come through, hopefully, if there is no further delay in LTIM Q1FY24 Earnings Call

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terms of our decision making. But it's anybody's guess now . As Sudhir rightly pointed out, this is really a paradoxical time . I don't think any client is talking about cutting their budgets. There is a significant activity in terms of deals. It's quite healthy activity . You have seen our order inflow, but the delays that we are experiencing in some of the decision -making as well as even after closing the deal, the ramp -ups are also not happening the way we expect . It's much slower than we anticipated. So these are the kind of things which are paradoxical. And we are just hoping that it will all clear up and it's something that we have never seen in the industry, to be honest.

Nitin Mohta: The next question is from the line of Vibhor Singhal.

Vibhor Singhal : DC, my question was on the 2 verticals, High-tech and the Retail as well . So just wanted to delve a bit on the High-tech vertical. After 2 consecutive quarters, after a very sharp sequential decline , we've seen a good recovery in this quarter. So just some color on that, do you believe this is something more of a reflective of the trend that we could see going forward as well. And you could maybe call out that maybe the high -tech vertical has bottomed out for us, and we could see continuance of the growth that we saw in this quarter. And on the retail vertical side, just wanted to pick your brain, this was a vertical which probably saw the impact of the macro weakness first . Any green shoots there? Any signs of recovery there or any client conversations that would help you to gauge that, okay, this vertical could probably start recovering in the next maybe whatever time frame that you would like to call out.

Debashis Chatterjee: Vibhor let me just for now answer the second question on the retail and then I'll request Sudhir also to provide some color. See, as far as retail is concerned, it is still a lot of apprehension over there. I guess this is one vertical, which is also connected to the overall inflationary pressures in the system. So retail still continues to be an area to wait and watch and see. I don't think I can see any signs of something radical happening over here in the next quarter as well. But as far as High -Tech is concerned, definitely, there are some closures that we had in the last 2 quarters, which are resulting in terms of revenues in Q1 as well as we'll continue to show the revenue realization or translation will happen in Q2 as well. So overall, I think the amount of deal activity in High -Tech is pretty healthy , including some of the larger clients we have in High

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I'm much more bullish in terms of High-tech at this point of time in terms of the activities that we are seeing. Sudhir, you want to add anything?

Sudhir Chaturvedi : No, I think you said it DC. The activity levels in High -Tech are strong. And I think if you look at the overall market, if you look at High -Tech stocks globally tend to be , at least the majors are at new highs. Most of them, as DC said earlier, start their financial year in July. So we'll look to see how they pan out their spending for their financial year in the coming months.

Vibhor Singhal: Got it. Just one last follow -up on the retail segment in terms of the travel vertical. So as you mentioned in your opening remarks, that continues to see strong demand. So I mean, is the demand again in the travel vertical across the board? Or are we seeing the airlines and hospitality part also pick up now, which, as you had mentioned, are still , not maybe back to the pre -covid levels a couple of quarters ago.

Debashis Chatterjee: Well, I would say travel and hospitality is seeing good traction and the business travel is not back to the same levels, but otherwise, we can see very good traction in terms of travel as well as in the rest of the hospitality, the hotels, etc., hotels as well as the restaurant chains, etc, all these things are definitely showing good traction.

Nitin Mohta: The next question is from the line of Ravi Menon.

Ravi Menon : Sir, 2 questions. One is on the employee costs. So headcount is down about 2% quarter -on-quarter. But despite that, employee costs are flat to slightly up. This is even with an effort to shift slightly offshore by about 10 basis points. So I want to check if there are any one - off costs in employee costs this quarter, such as bonus for people or some sort of wage adjustment as part of the integration.

Debashis Chatterjee: No, Ravi, there is no one -off cost involved into it. This is partly driven by some of the policy harmonization that we do as part of these 2 companies coming together. And also, there is a slight increase in the on -site, while the net headcount has come down, there's an increase in the on -site headcount versus the offshore headcount, this is the new incremental headcount that comes in.

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So that has resulted into the cost being a little bit higher. But no alarming thing , nothing to worry about that.

Ravi Menon: And second question is on this ROW . We usually have a seasonality with the pass through going away, but this seems a bit more than usual. So is there anything that's vertically specific , client specific in ROW ?

Sudhir Chaturvedi: Yes. ROW is client specific . See for us, the 2 biggest markets, which contribute 90% of our revenue are Europe and the U.S. and both are U.S. is up 10% Y-o-Y and Europe is up 7. 3% Y-o-Y. So this is client specific. The business in this region tends to be much more project specific. So as projects get over , those kind of changes. We have also been careful about some of the programs that we're entering, especially in the India market, being cautious to make sure that we choose the right projects to bid.

Ravi Menon: And one last question on the cross -sell. Are you starting to see larger TCV deal wins in your cross -sell upsell kind of opportunity?

Sudhir Chaturvedi: The answer is yes. In fact, what we are seeing with our increased scale and increased set of capabilities, in one of the High -Tech deals, that we talked about in our opening remarks, required us to have firstly presence in multiple countries across the world, right from North America to Europe to Asia to provide services, not just out of India, but multiple nearshore locations for this client globally. And it required a more extensive set of capabilities across essential

ly the entire space, the applications and infrastructure stack. So that combination is what we are certainly seeing. We're seeing it in terms of larger deal sizes we are being invited to by deal advisers increasingly. And also in terms of the ability to do structured deals, we have some of those also on the anvil that again are a reflection of the health of our balance sheet.

Nitin Mohta: The next question is from the line of Mukul Garg.

Mukul Garg : So DC, sorry to again not pick on your aspiration for FY '24 growth. But just

wanted to get some sense on how we should look at it realistically . Even if we aspire or build in a good growth pickup from Q2 onwards , you seem quite far away from the double -digit growth, which you guys were earlier looking for.
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Can you give us some realistic sense in case in the deals which got delayed kind of play out in Q2 or in Q3, what can be the upper or lower bands of growth aspiration for FY '24.

Debashis Chatterjee: Mukul, we are watching the space very closely. The behavior is quite unprecedented where the deals are closed, the start days are delayed or the decision -making process itself, which was supposed to close in a months' time , clients are still sitting on it, and they want to delay the decision -making or closure of the deals. So I think this is something which is difficult for us to control. But I can tell you with reasonable confidence that we still want to look at our overall objective of profitable growth. And that's something which we have been always talking about. And I would like this profitable growth to be in the leader quadrant. And that's all I can say at this point of time. And that's something which the team is pretty confident about.

Mukul Garg: Sure. And if I may ask another question, either DC or Nachiket can answer that. This is slightly longer term. If I look at your headcount for development team, it has been declining for the last 3 quarters, even adjusting for the 1,000 reclassification , the utilization levels have picked up. Now given that the deal flow continues to be really strong. Are you at all concerned about return to high attrition in FY '25 as demand picks back up and are there any steps we are undertaking to avoid that scenario. This is something which is not just happening for you. It is happening across the industry.

Debashis Chatterjee: Nachiket, do you want to take it?

Nachiket Deshpande: So I think you're right that the nature of the deal and the type of the deal is shifting, right? And I think we talked about that. So what it also does on the talent front is , it actually provides us a better lead time to plan as compared to shorter tenure discretionary spend based growth that we had seen in the previous 2 years. And because that allows me to plan for skills better, it allows me to build certain skill sets instead of purely relying on hiring those from the market. Overall, both the lead time as well as costs for ramp -up for us, we can manage a lot better in current deal environment and which is why we have been comfortable taking the utilization up because each of these deal conversions allows us to do that correct planning and hire as needed in time. Of course, the

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availability of the talent is also improved, so need to hire ahead of time has also gone down. As regards to its impact on attrition when the growth comes back, I mean, of course, it's very difficult to predict. But again, if you look at the nature of the demand, right, I think it's not just for us, but for everybody, it gives better time to plan talent. And as all of us with this nature of demand, are able to plan the talent better we can operate at the attrition levels that we operated pre -pandemic, right? I think the last 2 or 3 years, I would say, is an aberration.

But as industry used to operate at a certain attrition level with a certain growth rate. And with this type of deal flow, we feel confident that we can do that for FY '24. So, FY '25 is hard to predict, I think it all will again be a function of nature of the deals and the kind of pipeline we get into. But based on today's visibility, I think this allows us a better talent planning.

Nitin Mohta: The next question is from the line of Nitin Padmanabhan.

Nitin Padmanabhan: My question was around 2 things. So one is you mentioned that sometimes, there are delays in the start. In addition, the deals that you have won, you also have a transition period and revenues will probably accrue post that. And the third was that I think the freeze on spending by some of your banking clients still continue. In that context, does it feel like Q2 would be softer than normal and one should actually anticipate a pickup in the second half and Q2 can actually be softer than what we originally thought, that was the first one. The second was on the margins, considering that we have wage increases, and we'll also have transition costs. Would it mean that we will see a dip in margin? And

then the makeup in the second half, you also have higher pass-through revenue. So does that make it difficult to achieve the 17%, 18% exit, does that become difficult? So those are the 2 questions.

Debashis Chatterjee: So let me answer the second question first and then get to the first question.

See, as far as margin is concerned, it is not something which you can achieve just in one quarter. It's a program that you need to run. You have to have a margin program running across the organization. And once we started bringing the two organizations together as a part of our harmonization, we also rolled out the margin program. We'll look at the various levers that we can use for margin. I mean it's not a rocket science, like you can only use so many levers in our industry. So we know how to do it. And based on that, we are very

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confident that at this point of time, the way we see the business, we should be able to improve margin over time. And in spite of taking in the wage hikes and all those things, the exit could be still 17% to 18% as we have told earlier. As far as the specifics, I think you articulated very nicely in terms of the 3 trends that we are seeing. One is the delays in onboarding. The second is even after the delays in terms of ramp-ups, the revenue profile will be also different for some of these deals and then the freeze that we had in some of the BFS accounts. So given all these scenarios, I think we have to again watch this space. But if the delays continue for too long, which we don't know, it's not something that we have a good visibility into it, but if the delays continue for too long, then obviously, we have to look at how these delays impact Q2. But otherwise, on the other hand, and this is what we mean by paradoxical things. On the other hand, the amount of activities we have in terms of deals is also quite significant. So we have to just wait and watch and see. But obviously, our hope is that we should definitely have a better Q2 compared to the current Q1 and we have to just leave it there for the time being. Sudhir, do you want to add anything?

Sudhir Chaturvedi: No, I think DC you've covered it. I think we are well positioned because with the new scale, I think our market positioning of having the capabilities which are similar to the larger peers and having the speed and the agility and nimbleness that was there in the DNA of both the organizations would still exist. I think that combination suits us well to continue to be a challenger to the larger peers as well as to be a leader amongst the pack when it comes to some of the other deals which involve some of our smaller peers.

Nitin Padmanabhan: Perfect

. Very helpful. Just one last one. Would it be possible to call out what proportion of the deals were new this quarter?

Debashis Chatterjee: We don't give a color of that, Nitin.

Nitin Mohta: That was the final question. I'll hand the floor to DC for the closing remarks.

Debashis Chatterjee: Thank you, everybody, for joining the call. I have one more announcement to make. I would like to take a moment to welcome Vinay Kalingara as the Head of Investor Relations for LTIMindtree. Vinay is taking out from Nitin Mohta, who has decided to pursue opportunities outside

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the company. On behalf of LTIMindtree, I thank Nitin for his contribution to the company and wish him all the best. This concludes today's call. Thank you for joining, and I look forward to speaking with you all next quarter. Thank you.

(This document has been edited for readability purposes)

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Call: Oct 2023

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LTIM/SE/STAT/2023-24/105 October 20, 2023

National Stock Exchange of India Limited,
Exchange Plaza, Bandra-Kurla Complex,
Bandra (E),
Mumbai - 400 051

NSE Symbol: LTIM The BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

BSE Scrip Code: 540005

Dear Sir(s)/Madam,

Subject: Transcript of Earnings Conference call held on October 18, 2023

With reference to the captioned subject, please find enclosed transcript of the Earnings Conference Call held on October 18, 2023.

Kindly take the above on record.

Thanking you,

Yours faithfully,
For LTIMindtree Limited

Vinit Teredesai
Chief Financial Officer
Encl: As above

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"LTIMindtree Limited's Q2 FY'24 Earnings Conference Call "

October 18, 2023

MANAGEMENT : Mr. Debashis Chatterjee – Chief Executive Officer & Managing Director

Mr. Sudhir Chaturvedi – President, Markets

Mr. Nachiket Deshpande – Chief Operating Officer

Mr. Vinit Teredesai – Chief Financial Officer

Mr. Vinay Kalingara – Head, Investor Relations

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Moderator: Ladies and gentlemen, good day and welcome to the LTIMindtree Limited Earnings Conference Call. Please note that this conference is being recorded.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the management's opening remarks. I now hand over the proceedings to Mr. Vinay Kalingara, Head Investor Relations, LTIMindtree. Thank you and over to you, sir.

Vinay Kalingara: Good day, everyone, and welcome to the LTIMindtree Quarter 2 FY'24 Earnings Conference Call.

Today, on the call, we have with us Mr. Debashis Chatterjee - Chief Executive Officer and Managing Director;

Mr. Sudhir Chaturvedi – President, Markets; Mr. Nachiket Deshpande - Chief Operating Officer and Mr. Vinit Teredesai - Chief Financial Officer.

We will begin with a brief overview of the company's quarter 2 performance, after which we will open the floor for Q&A.

During the call, we could make forward-looking statements. These statements consider the environment we see as of today and carry risks and uncertainties that could cause our actual results to differ materially from those expressed in today's call. We do not undertake to update any forward-looking statements made on the call.

I will now turn the call over to DC for his opening remarks.

Debashis Chatterjee: Thank you, Vinay. Good evening, and good morning to everyone on the call.

Thank you for joining us today.

We are pleased to report strong financial and operational performance in Q2 despite an ongoing challenging business environment. Our results highlight the strength of our capabilities, our disciplined execution, and the exceptional

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value that we continue to deliver to our clients as they navigate their current business priorities while also transforming for the future.

Our revenues came in at a healthy USD 1.08 billion, which marks a year-over-year growth of 5.2% in USD terms and 4.4% in constant currency. Our sequential revenue growth in constant currency was 1.7%, and in USD terms, it was 1.6%.

Our Manufacturing and Resources vertical continues to grow, with a year-over-year increase of 16.2% in USD terms. Our BFSI vertical grew 5.9% year-over-year in USD terms and is navigating an environment of caution within the industry. Our Hi-Tech, Media and Entertainment vertical showed a decline of 1.3% year-over-year due to a higher base but continued its growth momentum sequentially, registering a growth of 1.9%.

Geographically, our North American market, which accounts for 73% of our revenues, grew by 6% year-on-year, while Europe continued its strong growth trajectory with an impressive 10.2% increase year-on-year, both in USD terms.

Our EBIT margin for the quarter came in at 16% after absorbing wage hikes across the board, and our net profit margin was 13.1%.

We added 30 new clients in the quarter. On a year-over-year basis, we increased our count of USD 10 million+ customers by 13, while our USD 20 million and USD 50 million clients have increased by 3 each. It is worth noting that we also experienced a sequential increase in our USD 10, 20, and 50 million clients, indicating the success of our cross-sell and upsell through our account mining efforts.

Our order inflow for the quarter was a robust USD 1.3 billion, registering a growth of 20% year-on-year. With this, our H1FY24 order inflow stands at 2.7 billion, a 19% growth over H1FY23.

We continue to see the prioritization of spending from discretionary areas to

cost optimization. This is driving significant deal momentum towards large, longer-tenure deals for vendor consolidation.

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Our strategy of exploring cross-selling and upselling opportunities within our existing accounts continues to yield

positive results for us. While cost optimization remains a primary focus, clients are still investing in projects that have a clear ROI and contribute to their business growth.

I would like to call out a few important deals that we signed this quarter.

One of the largest semiconductor manufacturers in the world has chosen LTIMindtree as their key digital transformation partner to modernize its SAP application landscape, enrich user experience, streamline business processes, and deliver contemporary digital operations across both SAP S/4HANA and SAP Cloud Solutions. A leading US-based apparel retailer with over 900 stores selected LTIMindtree for a multi-year managed services deal for application and infrastructure services.

A US-based insurance and retirement major has awarded LTIMindtree with a multi-year application development and maintenance program. This program comprises 500+ applications across different services: Development, Testing, and Maintenance.

A US-based global fast-casual restaurant chain chose LTIMindtree as their strategic Digital Transformation Partner to provide Application Development and Support, Data and Analytics, Quality Engineering and Assurance Services. We remain invested in the integration of GenAI into our solutions. We have engaged in over 100 conversations and have 20+ active engagements with our clients. In addition, we are developing two key offerings on our platform - Canvas.ai lite and Canvas.ai control plane. Canvas.ai lite will focus on productivity use cases for developers, while Canvas.ai control plane will enable secure, moderated, and responsible use of AI with the choice of commercial, open-source, and custom LLM models. We have collaborated with several partners to revolutionize our offerings and provide unparalleled value to our customers. Furthermore, we plan to train over

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10,000 employees by the end of the third quarter. This will help us build a skilled workforce and stay ahead in an ever-evolving AI landscape.

With that, let me now turn to our industry verticals.

Our Banking, Financial Services and Insurance business grew 5.9% year-over-year. Our Insurance vertical has remained resilient even amidst prevailing industry headwinds, owing to significant deal wins. There is continued caution in the sector because of seasonal and macro uncertainties. Large financial institutions are actively seeking opportunities to consolidate and optimize their spend.

Our Hi-Tech, Media and Entertainment business experienced a decline of 1.3% year-over-year due to a higher base, although it grew by 1.9% sequentially. We expect to continue to maintain our growth momentum in Q3.

Our Manufacturing and Resources business showed a healthy growth of 16.2% year-over-year. We expect to sustain our growth trajectory in the manufacturing sector on the back of our expansion into new accounts.

In the Energy and Utilities sector, the outlook remains promising. The increase in large AMS/IMS deals from Utilities clients and our ability to secure such deals indicate expectations of consistent growth.

Our Retail, CPG and Travel, Transportation and Hospitality business grew 4.8% year-over-year. Our Retail and CPG vertical has seen an uptick in the large deal pipeline across its portfolio, with several deals expected to close in Q3. Our Travel, Transport, and Hospitality vertical has witnessed a recovery in the international leisure and business travel sectors.

Our Health, Life Sciences and Public Services business grew by 1%, year-over-year. In the healthcare sector, we are observing significant traction in data-led transformation deals. In the life sciences industry, our domain expertise is increasingly being recognized. I am pleased to share that LTIMindtree was recently recognized as a major contender in Everest Groups' Life Sciences

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In terms of geographies, North America contributed 73.4%, Europe contributed 15.3% and ROW contributed 11.3% of the revenue during the quarter. In the European market, we saw a 10.2% growth, year-over-year, primarily due to the successful ramp-ups in key accounts.

As anticipated, attrition continues to be stable. For the quarter, our TTM attrition was 15.2%, down from the 17.8% recorded last quarter.

I will now turn over the call to Vinit for Q2 financial highlights.

Vinit Teredesai: Thank you, DC. Good evening, and good morning to everyone on the call. In quarter 2, we delivered strong, profitable growth while continuing to invest in our people. We are pleased with our disciplined execution amid the prevailing macroeconomic uncertainty. Let me now take you through the financial highlights.

Our revenues stood at USD 1.08 billion, up 1.6% sequentially and 5.2% year-over-year. The corresponding constant currency growth was 1.7% quarter-on-quarter and 4.4% year-over-year.

EBIT margin came in at 16% compared to 16.7% in the previous quarter. This is after absorbing the impact of wage hike cycle across the entire workforce, including promotions and corrections wherever applicable. The salary hike was effective July 1. The wage hikes resulted in a margin impact of 200 basis points, which was partly mitigated through an increase of 60 basis points due to improvement in utilization, and 70 basis points from operational efficiencies and absence of visa cost.

Our margin improvement program commenced last quarter and is yielding promising results. The program is well on track, and as we continue to take a proactive approach to identify areas of optimization, we remain confident of being in the 17% to 18% EBIT margin range as we exit FY24.

Net forex loss for the quarter reduced to USD 0.3 million, compared to a loss of USD 1.5 million in the previous quarter.

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Despite the reduction in surplus cash balance due to dividend payments, we had another quarter of strong treasury income of ₹140 crore due to our focus on treasury and a robust investment strategy.

The effective Tax Rate (ETR) for the quarter was 23.5% compared to 25.0% in Q1FY24.

The PAT margin for the quarter was stable at 13.1%. Basic EPS was ₹39.3 for the quarter compared to ₹38.9 in Q1FY24.

The DSO, including unbilled revenue, remained stable at 94 days compared to 93 days in Q1 FY24. The unbilled DSO has significantly reduced to 26 days compared to 33 days in Q1 FY24. The billed DSO has increased to 68 days due to this significant reduction in unbilled. The increase in billed presents an opportunity to focus on collections, and we endeavor to bring the billed DSO below 60 days in the coming quarters.

The operating cash flow-to-PAT continues to improve and is at 92.1% this quarter on account of strong collections as against 89.8% in the previous quarter. Furthermore, FCF-to-PAT has substantially increased from 36.1% to 75.1% year-over-year.

Our cash and investment balances stood at USD 1.08 billion or ₹8,947 crores compared to ₹9,235 crores in Q1FY24.

Return on equity (ROE) for the quarter was steady at 26.9%. As of September 30, 2023, our cash flow hedges stood at USD 3,612 million, and hedges on the balance sheet were USD 369 million.

Our utilization (excluding trainees) further improved to 86.6% compared to 84.8% in the previous quarter on account of continued bench optimization.

We onboarded 1,400+ freshers this quarter. We continue to align our headcount additions to our requirements based on the demand and our efficiency program.

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The Board of Directors have approved an interim dividend of ₹20 per equity share of par value ₹1 each.

We are pleased to announce that we have received thr

ee awards at the

prestigious Bombay Chambers DEI Awards 2023: First runner-up for Disability Confidence & Inclusion, second runner-up for LGBTQIA+

Inclusion, and first runner-up for DEI Champion.

LTIMindtree has been certified as Water Positive, much ahead of our 2030 target. Our efforts align with the Green Carbon Energy & Environment Services' Water Positive Gold Standard, and we have achieved an impressive 2.8 Water Positive Index.

All these recognitions validate our firm commitment to our ESG goals.

I now hand it back to DC for the business outlook.

Debashis Chatterjee: Thank you, Vinit.

In the face of ongoing, escalating macro uncertainties leading to cautious client spending, we continue to strengthen our position as a partner of choice for our clients. Although we anticipate above-average furloughs in Q3, we are

confident that our robust order inflow and healthy deal pipeline will help us deliver a stronger H2FY24, setting a promising stage for FY25.

Our integration activity was a significant milestone in our ongoing path to success, thanks to our team's hard work and dedication. With the completion of this activity, we are now strategically placed to take advantage of the market recovery and further cement our place in the industry leaders' quadrant.

With that, let me now open the floor for questions.

Moderator: The first question is from Nitin Padmanabhan.

Nitin Padmanabhan: Second half requires 3.7% CQGR for 7% growth. Do you believe high single digit growth is at risk?

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Debashis Chatterjee: Thank you, Nitin. All that we can say at this point of time is our H2 definitely will be better than H1. And as we have covered in our prepared remarks, all the opportunities that we have been focusing on and the deals that we have closed in the last two quarters, they seem to be ramping up well, but of course

that is offset by some furloughs and some pressures in terms of the cost takeout in the existing book of business as well. But overall, considering all the aspects, we still feel that our say H2 will be definitely better than H1.

Moderator: We will take the next question from Abhishek Bhandari.

Abhishek Bhandari: Could you please talk about the demand trends in the BFSI vertical and where the client priorities are? On related lines, are the deal ramp ups taking longer than usual?

Sudhir Chaturvedi: In BFSI, firstly, let me just separate banking and insurance. So, in the banking sector, we're seeing clients remain very cautious about spending, and we're seeing that across the board. The deal activity in banking, though, continues to be strong. And there are a few deals that we have signed in the first half of the year and the deal pipeline continues to be strong. These are efficiency, cost takeout type of deals that we are seeing in the market.

But we're also seeing deals where we are seeing some level of investment that certain clients, especially in the FinTech space are making on modernization of their tech stack. So that's the banking commentary. We also expect that the

furlough season in Q3 in banking and we expect that to be on the lines that we've seen before.

In terms of insurance, we've grown well, we've had double-digit growth in insurance year-over-year. And we are continuing to see spend in those areas, despite high CAT losses that insurance clients have suffered. But that's mainly

on the account that they're continuing to modernize their tech stack.

So, insurance, we see resilience, banking, we're seeing continued deal activity, but cautiousness in spending. In terms of ramp up, actually deal ramp up times are not taking, that's proceeding as per what we sign in contracts. But what is taking longer is essentially the decision-making cycles are much longer.

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Moderator: We will take the next question from the

line of Ankit Jain.

Ankit Jain: What is the reason for sharp jump in SG&A this quarter? Levers for margin improvement from here on given utilization is already running at 86% plus.

Debashis Chatterjee: I think the primary reason is we have gone through the revisions and the hike cycle as we said from July that is the primary reason otherwise there is no other reason for the SG&A. I mean, if you look at the overall gross margin, I think the impact that you see is because of the wage hikes. Vinit, do you want to add anything?

Vinit Teredesai: And obviously a little bit of a provisioning on a conservative basis that we have done with reference to some of our unbilled revenues, etc.

Moderator: The next question is from the line of Gaurav Rateria.

Gaurav Rateria: How are you able to get confidence on 2H? Is it based on BFSI recovering or led by other verticals?

Debashis Chatterjee: Well, the confidence that we get on H2 is not just BFSI, but across the board.

As Sudhir articulated about BFSI, but even if I look at the other industry verticals, we have also baked into the fact that there will be larger than average furloughs and which is going to be extended beyond BFSI.

So, keeping all these things in mind, we also have closed opportunities in Q1 and Q2 and all the deals that we have closed, I think they are going to ramp up very nicely in the next two quarters. That gives us the confidence that, and there's a significant, deal activity right now as we speak, as far as Q3 is concerned. And we expect many of them to close in Q3 as well. So given all those things, the strong pipeline, the deal momentum and the activity, and the deal closures that we had in the last two quarters, which are ramping up nicely, we have the confidence to say that H2 will be better than H1.

Moderator: Next question is from the line of Ruchi.

Ruchi: Could you elaborate on which particular segments of business will see higher than usual furloughs?

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Sudhir Chaturvedi: So typically, there are a couple of industries usually banking and hi-tech, which have furloughs in December. But what we are seeing, as DC mentioned, is we are seeing this in more sectors beyond these two. And these two sectors are already cautious about spending. So, it will be on the lines of some of the more conservative furloughs that we've seen in the past.

Moderator: The next question is from the line of Abhishek.

Abhishek: Can you characterize demand trends in BFSI? What services are clients investing in? Any initial thoughts on CY '24 spends and when we could see an acceleration and momentum?

Sudhir Chaturvedi: Well, I think, we are speaking to clients, this is their budgeting quarter. So, they usually budget between October and December for the next calendar year.

And we are seeing that, I mean, recent geopolitical tension aside, I think the commentary prior to that was a lot of it would depend on the interest rate cycle, especially in the, both the US and European markets.

But there was a feeling that, you know, there would be, increased spending from the next calendar year. But I think it is yet to be borne out. I would say that we should wait for a few more months or a couple of months more to understand exactly what, impact the recent events are going to have on client priorities going into calendar year '24.

Speaking about us specifically, as DC mentioned, you know, for us on the back of the deal wins that we've had, and despite, you know, some of the commentary that we've shared with you on furloughs, we think both Q3 and Q4, we are poised to make sure that H2 is better than H1. And that's on the back of our own specific, the deal signed deals and continuing deal momentum.

Moderator: The next question is from the line of Karan Uppal.

Karan Uppal: You mentioned that client focus is on cost optimization, which is leading to vendor consolidation. Have

you gained market share in the last few quarters?

And as a follow up, are you doing that without BPO offerings? And are you able to participate in mega deals?

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Debashis Chatterjee: Well, I think when you talk about efficiency deals or cost focused deals, it kind of leads to vendor consolidation. I can only say that we have participated in several vendor consolidations and from whatever we have seen so far, we are in good shape. I mean, of course you win some, you lose some, but at this point of time, we have done very well in the vendor consolidation situations and most of the opportunities that we are chasing right now, it doesn't really have a BPO, but over a period of time, that's something which will be also looking at as we are setting up as we are expanding our platform operations business.

Moderator: The next question is from the line of Apoorva.

Apoorva: Based on the type and nature of deals in the pipeline and the renewal cycle, what is the book to bill required to get to low to mid-term growth?

Sudhir Chaturvedi: See, we've got a strong order book, right? We have 1.4 billion in Q1 and 1.3 billion in Q2. And the Q1 order book included a large renewal as well. So, this quarter's order intake is on the back of essentially multi-year deal wins that we've had, large deal wins that we've had, and continuing momentum that we are seeing in the market.

So, that's where we are essentially, there isn't a direct correlation with book to bill because we know there is a lot of business that is time & material, that is actually won and delivered during the quarter itself. So, it's a combination of factors.

My suggestion is if you look at all our parameters, especially if you see what's happened with our account pyramids. So, our Focus 100 program is paying dividends because our greater than 10 million clients are up 13 year-on-year, 20 million are up three year-on-year and 50 million are also up three year-on-year.

So, it's a combination of account mining, all the cross-sell/upsell efforts that we're doing, as well as all the large deal invitation. So, the thesis we had going into the merger that these would be the areas that would drive future growth is what we are seeing driving the growth as well as the order book.

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Apoorva: A follow-up to that question, how are synergy opportunities or conversion playing out with respect to the \$1 billion synergy pipeline that you had mentioned?

Vinit Teredesai: As we have mentioned that the synergy, the cross-sell, upsell opportunities have started playing out. Obviously, at this point of time, we do not think we can publish a meaningful number, but we definitely promise you by the end of the financial year, we will start publishing our synergy benefits, both on the revenue and cost to the extent possible on an annual basis.

Debashis Chatterjee: Yeah, and just to add onto what Vinit said, from an organization standpoint, when you talk to our sales teams and the market-facing teams, they have a very clear view in terms of how to increase the cross-sell and the upsell. Like for example, if you are working with a client and you are delivering three service lines, can we increase it to six service lines? So, there are specific KRAs that we are driving. And if you look at the \$10 million+, \$20 million+ and \$50

million+ accounts from one year back to now, you will see a steady increase in those numbers and that basically means that the cross-sell and upsell is working as we have planned.

Apoorva: Could you elaborate on the outlook for BFSI, any impact seen from the organization restructuring in the large banking account, do you see that as a consolidation opportunity or are you seeing continued cost pressure in that account?

Sudhir Chaturvedi: My commentary on BFS, I already mentioned, the client

that you are

mentioning, we actually don't see any impact from that. The work that we do has been over many years in key areas of the bank that continue to be the drivers for the bank, whether it's corporate banking, it's governance, risk and compliance. So those areas remain resilient as the bank continues to grow in those areas. I will still call out that banking is a sector that does have furloughs in Q3, but other than that, we do not see any impact.

Moderator: The next question is from the line of Shraddha.

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Shraddha: Could you elaborate on the seasonality in the manufacturing business that we see play out every second half? Will it play out this time as well? And as a follow-up, whether the growth in the hi-tech was top client or broad-based?

Debashis Chatterjee: So, let me answer the second question first and I will request Sudhir to add on the manufacturing. See we do not really talk about any client specific, but at an overall level, when you're talking about hi-tech, it has been fairly broad based, I can say. And let Sudhir comment on the manufacturing.

Sudhir Chaturvedi: Yeah, I mean, we expect that it will continue on the same lines as previous years on manufacturing.

Moderator: We'll take the next question from the line of Darshit.

Darshit: Could you provide a view on revenue and both EBITDA & PAT margins going forward in the next two years to three years? And the key drivers broadly along those lines?

Debashis Chatterjee: Well, I think when we came together as LTIMindtree, we had to set certain goals and we set some goals from a short term, medium term, which was mostly focusing on the cross-selling and the up-selling. And we also set a goal from a longer-term perspective where we laid out an aspiration to become a \$10 billion enterprise over a period of time. It will take four years, five years, combination of organic as well as inorganic.

And we also set two other goals. One is synergy revenues, as well as improvement of margin over a period of time. We also said the revenue synergy should be more front ended as we go over the next three years, four years. And the synergies in terms of margin, which we called out as 200 basis points will be more back ended. So, these are the things that we are targeting right now. These are the broad level framework that we have laid out.

I can only tell you that, when we came together, day one 14th November last year, we were more focused on the integration. I think we did the integration in record time. We also ensured that all the solutions that we want to take it to the market, the training, our go-to-market, workforce, all those things have been done so that we can do the cross-selling and the up-selling properly.

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And just two weeks back, the management team actually met together and we rolled out our overall exercise for the larger strategy, which is like, how do you get to the \$10 billion mark over a period of four years to five years? That is kind of underway as we speak. I cannot share any more details at this point of time, but I just want you to know that, we have a short to medium as well as a longer term plan. And we are working towards each of those activities as we go along.

Moderator: We'll take the next question from the line of Ravi Menon.

Ravi Menon: Hi-tech, media entertainment is a vertical that is challenged for most, but you have done well. Is this due to new deal wins, or is it just a matter of different set of exposures, such as lower telecom?

Debashis Chatterjee: Well, I think I will let Sudhir provide some color, but before that, let me tell you that when you work in a particular vertical, you also try to take the best practices and the learnings from one account to another account. I think that's something which is working very well as far as hi-tech and me

dia are

concerned. And that's something which we are doing very aggressively as a part of our cross-sell and upsell plan. And what you see is a culmination of

that. It's also a reflection of the portfolio of clients that we have.

I mean, sometimes the portfolio of clients is more important than rather than just looking at the overall industry. So the portfolio of clients that we are managing, I think we are able to expand into those clients fairly well, fairly aggressively. Sudhir?

Sudhir Chaturvedi: Yeah. So, we grew 1.9% sequentially this quarter in hi-tech, media & entertainment, and we expect that growth trajectory to continue because the growth is broad-based, it's across multiple accounts as well as new logos. We

are also seeing opportunities for essentially, software product development and investments that clients are making in some of this, in their own tech stack modernization, as well as some of their processes from a sales and marketing

perspective, some of the investments that they're making. That is something that we see in the pipeline right now, which also gives us a good mix of

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efficiency spend, plus sort of new product development and some sales and marketing spend.

Moderator: We'll take the next question from the line of Vibhor.

Vibhor: Specific to H2, what is the outlook for BFSI and retail sector? Is the growth that we have seen in the hi-tech in Q1 and Q2 sustainable in the second half of the year?

Debashis Chatterjee: I think Sudhir has already answered that question, but maybe Sudhir you can just briefly summarize once again, if you do not mind.

Sudhir Chaturvedi: No, as I said, overall H2, better than H1 at the company level, which means our two top sectors, in BFSI, especially insurance, will continue to try and be the growth driver for the sector. And the deal activity that we see in banking, which is going to help us maintain the growth that we expect to see. In terms of hi-tech, media and entertainment, we think we've got some good broad-based accounts as well as the new logo related growth opportunities available to us.

So again, notwithstanding the furloughs that we'll see in Q3, I'll just repeat that from an outlook perspective, we expect to see that both of these sectors will show growth in H2 and therefore, the H2 better than H1 commentary.

Moderator: We'll take the next question from the line of Anmol.

Anmol: On the deal wins, we would like to understand from the perspective of LTIM that your peers have indicated strong wins, which is not translating into revenue to that extent to which it should have. Are clients transferring work from one provider to another in lieu of higher efficiency gains or is this something related to pause or cancellation of higher discretionary work won previously?

Sudhir Chaturvedi: So, the deal win momentum is continuing, but I think what we are seeing is that existing programs when they come to an end or clients having reduced budgets in this financial year, that so essentially the second part of your

question is where there is some pressure in terms of client spending as well as

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therefore reflected in our performance and in the existing world, especially the discretionary part of their spend.

But the good thing, as I said, is these multi-year deals are actually structured deals. And we've seen several of them on the table. This gives us growth opportunities over the next three years to five years. And more importantly,

also gives us predictability in terms of how we plan for the execution of these deals. In discretionary, you have to do a lot of just-in-time hiring and execution. Whereas here we can take a more planned approach to execute these programs. And therefore, from a longer-term perspective, these deals will stand us in good stead going forward.

Moderator:

The next question is from the line of Mohit Jain.

Mohit Jain: This is on the book to bill ratio. The book to bill is not going up. Could it be because the revenue conversion rates are better? From a pipeline or deal announcement standpoint, are we gaining momentum or is it similar to the previous quarters?

Debashis Chatterjee: Well, on the book to bill ratio, I'll let Vinit comment, but where we are right now, I think it's a comfortable range, comfortable ratio. And if I get your second question in terms of announcing deals, when we come to the quarterly earnings, we always talk about the pipelines and the deals and the closures and how the client metrics are moving, but please also understand that wherever

possible we do announce deals, but they're also client confidentiality. So, if we don't announce, doesn't mean that we are not winning deals. And what we win is reflected in the other metrics that you see.

Vinit, Sudhir, you want to add anything? If I missed out.

Vinit Teredesai: No, I think so the book to bill ratio as DC rightly said, it is in a comfortable range. Please understand that the nature of deals that we are signing now are definitely long term oriented deals. So, to that extent there is a transitional

phase going on and it will settle down, but we are pretty much comfortable with what we are getting in our order inflow at this point of time.

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Mohit: Our margins are slightly below expectations on a year-on-year basis, when would you expect to come back to your planned margins? And a related comment, could you elaborate on the sharp increase in the SG&A in the context of growth?

Vinit Teredesai: So, Mohit, we have always mentioned that what you're comparing today on a year-on-year basis is a merged entity versus two entities working differently.

We are now completing four quarters after the merger gets over. So, from next quarter, if you look at it, you'll see a year-on-year comparison of merged entity financials. So, to that extent, you need to have that differentiation available with you.

Secondly, as we have already mentioned in our margin program, if you look at our current quarter also, we have delivered 16% margin, which is just a 0.7% drop in our operating margin after absorbing a 200 basis point of full wage impact. And this is basically because despite a little bit of a challenging

business environment, we continue to do our cost optimization program, which is yielding results and offsetting our other headwinds that we are getting.

As stated earlier, we are confident that we will be able to exit the FY'24 with an operating margin between 17% to 18% and build upon that. As mentioned in our Investor Day earlier, we expect a 200 basis point over this 17% to 18% by FY '27.

Mohit: A follow-up on the margin question, the utilization is high, do you think we can sustain it at these levels?

Nachiket Deshpande: Yes. So, I think our utilization is high, but at the same time, the market situation on hiring, joining ratios and availability of talent has also improved. So, we feel confident that we will be able to maintain this utilization and manage our just in time hiring in line with our expected revenue growth.

Anmol: How do you foresee your headcount addition going ahead? Do you think we have to increase headcount aggressively to service growth or do you think there is still room for utilizations to inch up?

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Nachiket Deshpande: So, we do not target a particular headcount increase as we go into the quarter.

It is always reflective of how our business growth is shaping up. We had three quarters of decline in the headcount. This quarter, with our utilization at the peak, we have seen a net increase in the headcount.

So, we will continue to see the same trend in the next two quarters as well as we go along. As I said earlier,

we do not see any need for us to sharply increase our headcount in order to deliver the growth. We will do it in line with the

current market conditions and our ability to hire. I think we will be able to do it in line with the growth expectation in the subsequent two quarters.

Moderator: We will take the next question from the line of Abhinav Ganesan.

Abhinav Ganesan: Do you expect BFSI to grow faster than the company average in H2? Is this giving you the confidence of H2 better than H1?

Sudhir Chaturvedi: So, we don't give industry specific color. But what I'm saying is the banking insurance is a key sector for us and we see deal activity and where we are in existing accounts. I think it will remain a key vertical for us and we will see broad-based growth.

The key thing for us is we're seeing broad-based growth across multiple verticals. In fact, DC called out in his comments as well that, retail and consumer goods, for example is place where we have several large deals in the final stages right now. So, growth will come from multiple verticals across the board, so that is what we are focused on.

Abhinav: Would the travel hospitality segments maintain their growth in H2? What are the key drivers of growth in these segments?

Sudhir Chaturvedi: Travel is doing, obviously there's record travel happening right now and the hospitality sector also continues to grow. But there are rising cost pressures there as well, that are being faced in terms of inflation and as well as increase in sort of people costs in those sectors. We expect those two sectors will continue, some of the modernization or

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they were doing are being done over a longer period of time now. But for us, that sector based on, deal wins that we called out in today's prepared remarks as well, then the back of the deal wins will see steady progress in that sector.

Moderator: The next question is from the line of Ashwin Mehta.

Ashwin Mehta: What is our expectation on growth that comes from pass-through in 2H and a follow-up, do you see margins increase from here on in a scenario of higher furloughs, contribution of pass-through and utilization at its highest in the last 10 quarters?

Debashis Chatterjee: We do not specifically talk about pass-through, but I can only tell you that this is very negligible in the overall context of the business. I can say that the confidence that we have in terms of our margin ending up between 17% to 18% exit rate in Q4, this is after factoring all the other impacts that we can have potentially like a furlough, etc. So, we are fairly confident that we should be able to get to that path in Q4 as we have always been saying.

Moderator: The next question is from the line of Girish.

Girish: How would you characterize the mood of clients? Would you say that they seem more optimistic or pessimistic today compared to say six months back? Do you think we will have an annual budgeting exercise, or will it be more tactical spending, which is month by month or quarter by quarter? So, we will probably not get the full picture in early 2024?

Debashis Chatterjee: Well, I can only say that most of our clients have a typically January to December fiscal. So, keeping that in mind, they are getting back on the drawing boards as we speak in terms of their overall plans. I can only say that the cautiousness that we have seen in terms of spend that has continued and that will probably continue till end of this year. Hopefully we should be able to see some spend coming back as we get in to the new calendar year. But beyond that, it is very difficult to call out at this point of time unless we go through a few more months.

Moderator: The next question is from the line of Urmil Shah.

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Urmil Shah: What is the planned employee addition in H2, is the optimization that you have spoken about of headcount, is that complete?

Debashis Chatterjee: I think Nachiket has already answered that to some extent, but maybe you can just.

Nachiket Deshpande: We do not target a particular headcount or the headcount addition, As we said, our utilization is at a level where we would like to maintain it at that level, may not take it up further. And we continue to look at our headcount addition proportionate to our revenue growth that we are expecting in Q3 and Q4. So, that headcount increase momentum will continue in the next two quarters.

Moderator: Next question is from the line of Rohan Nagpal

Rohan Nagpal: Anecdotal evidence suggests that deal duration is going up. One of your peers came on TV and said that average deal duration has gone up from 2.5 - 2.7 years to 3.2 - 3.5 years. Could you provide some color on the change of duration in the deals that you are currently seeing? That is the first question. Is the growth a result of ACV increasing or increase in deal duration?

Debashis Chatterjee: Well, it is both, but let me explain to you one thing, when you talk about the transformation kind of work, they may be short cycle deal opportunities, but they tend to get renewed as we complete one program and go to the next program. Whereas if you look at the efficiency or the cost takeout deals, you cannot really commit to that efficiency to the client unless it's a slightly longer tenure because you need to understand the environment and then do a few things in terms of whether it is Gen AI or whatever you say. All those things can be done only when you have a longer tenure.

So that's why I may not be able to give you some specific about average deal tenure, but I can only say that the number of deals where the tenures are, higher, those deals are significantly increasing. In fact, most of the deals that we are closing right now are longer tenure deals and more of cost takeout or efficiency types.

Moderator: The next question is from the line of Aniket.
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Aniket: Is your margin guidance intact? If yes, what are the levers present to achieve that guidance in FY '24?

Vinit Teredesai: Yes, as I mentioned in my comments, we are confident of exiting the FY '24 with that 17% to 18% operating margin range. And remember that the couple of levers that we have identified, we have talked about pyramid rationalization. While we may not see a drop in our utilization, or increase in utilization, we do not anticipate the utilization may continue at a flat level. So, we'll continue to hire as the need comes in.

We are working on programs which will help us in terms of improving our margins in terms of certain clienteles whereby they have been low. So, productivity efficiency, bench optimization - multiple of these common levers which are available. As you remember that, these two companies came together at a time when both the companies were growing very, very fast. So, we had a little bit of an excess flab into the system.

We had mentioned this very categorically that do not look at headcount additions for the next three quarters, and we will hire as the need comes in. We are using all these levers and they are helping us in terms of offsetting the headwinds that are coming our way. At the same time, obviously our efforts will be to grow our business at a faster pace, and continue to maintain the industry leading quadrant position, which will help us in terms of absorbing some of these headwinds.

Moderator: The next question is from the line of Salil Desai.

Salil Desai: A follow up to Sudhir mentioning that some new deals you are getting are structured deals. Can you please elaborate on what kind of deals these are and the scope of these deals with an example?

Sudhir Chaturvedi: Structured deals are where i

t's essentially large multi-year deals where, the combination of the scope is usually across multiple towers and therefore, involves global client locations, etc. So, an example of a structured deal would be a deal which involves an element of people take over from our clients, right?

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Those deals are structured differently from the normal sort of typical outsourcing deals that we do. So that's what we mean by structured deals, involving other parameters. And frankly, we welcome these deals because this is a good, long-term commits that clients do on the back of, of such structured deals.

Moderator: We will take the final question from the line of Abhishek Kumar.

Abhishek Kumar: When you say 2H better than 1H, are we talking about better Y-o-Y growth or sequentially better 2H compared to 1H? Asking this question as 2H comps on Y-o-Y basis is favorable?

Debashis Chatterjee: Well at this point of time, without getting into too much detail, we can say that 2H will be definitely better than the first half at least on a sequential basis. So that is all I would say and leave it at this point of time. We are very confident that as we said, we have factored in all the furloughs, which seem to be a little more than what we usually used to have, and after factoring all those things, we still feel that, we will have a H2 better than H1, at least on a sequential basis.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question. On behalf of LTIMindtree Limited, that concludes this conference call. Thank you all for joining and you may now disconnect your lines.

(This document has been edited for readability purposes)

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Call: Jan 2024

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NSE Symbol: LTIM The BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

BSE Scrip Code: 540005

Dear Sir(s)/Madam,

Subject: Transcript of Earnings Conference call held on January 17, 2024

With reference to the captioned subject, please find enclosed transcript of the Earnings Conference Call held on January 17, 2024.

Kindly take the above on record.

Thanking you,

Yours faithfully,
For LTIMindtree Limited

Angna Arora
Company Secretary and Compliance Officer
Encl: As above

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"LTIMindtree Limited's Q3 FY'24 Earnings Conference Call "

January 17, 2024

MANAGEMENT : Mr. Debashis Chatterjee – Chief Executive Officer & Managing Director

Mr. Sudhir Chaturvedi – President, Markets

Mr. Nachiket Deshpande – Chief Operating Officer

Mr. Vinit Teredesai – Chief Financial Officer

Mr. Vinay Kalingara – Head, Investor Relations

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Moderator: Ladies and gentlemen, good day and welcome to the LTIMindtree Limited Q3 FY'24 Earnings Conference Call. Please note that this conference is being

recorded. I now hand the conference over to Mr. Vinay Kalingara, Head Investor Relations, LTIMindtree. Thank you, and over to you, sir.

Vinay Kalingara: Thank you Nirav. Good day, everyone, and welcome to the LTIMindtree Quarter 3 FY'24 Earnings Conference Call.

Today on the call, we have with us: Mr. Debashis Chatterjee – Chief Executive Officer and Managing Director;

Mr. Sudhir Chaturvedi – President, Markets;

Mr. Nachiket Deshpande – Chief Operating Officer and Mr. Vinit Teredesai – Chief Financial Officer.

We will begin with a brief overview of the company's quarter 3 performance, after which we will open the floor for Q&A.

During the call, we could make forward-looking statements. These statements consider the environment we see as of today and carry risks and uncertainties that could cause our actual results to differ materially from those expressed in today's call. We do not undertake to update any forward-looking statements made on this call.

I will now turn the call over to DC for his opening remarks.

Debashis Chatterjee: Thank you, Vinay. Good evening, and good morning to everyone on the call.

Thank you for joining us today. I wish you all a very Happy New Year.

As we mark the one-year anniversary of LTIMindtree, I am proud to share that

LTIMindtree has been named a Global Future 50 company by Fortune

Magazine in its latest edition. What makes this achievement even more special

is that LTIMindtree is the only IT services company to feature in the Future 50

list of global companies. I would like to acknowledge the dedication and hard work of all our associates that led to this recognition.

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In terms of our performance, we observed a higher level of seasonality during the quarter, along with an unchanged macro and demand environment. While we had expected the furloughs to be above average, they ended up being higher, both in terms of their degree and extent of impact. Despite these

challenges, we delivered a resilient performance this quarter and achieved our highest-ever order bookings.

Our revenues came in at USD 1.08 billion, which marks a year-over-year growth of 3.5% in USD terms and 3.1% in constant currency. Our sequential

revenue growth in USD terms was 0.8%, and in constant currency was 0.7%.

The sequential trajectory reflected the broad-based impact of furloughs across all verticals. Our Manufacturing vertical saw a strong 20.1% year-over-year growth.

Our EBIT margin for the quarter came in at 15.4%, while the net profit margin was 13%.

We recorded a strong order inflow of USD 1.5 billion, registering a growth of 21% year-on-year despite the unchanged cautionary environment. With this, our 9-month FY '24 order inflow stands at USD 4.2 billion, a 19% growth year-

over-year. Our strong order inflow reflects the increasing relevance and strength of our edge-to-experience capabilities across all markets.

During the quarter, we added 23 new clients and increased our count of USD

10 million-plus clients by 8, year-over-year. Our USD 20 million-plus clients

have increased by 3, and our USD 50 million-plus clients have increased by 1.

Furthermore, our USD 1 million-plus client band now has 388 clients, an

increase of 14 clients on a year-over-year basis.

Let me now turn to our industry verticals.

Our Banking, Financial Services & Insurance vertical declined 1.4% year-

over-year due to higher furloughs. This vertical continues to show a cautionary

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Our Hi-Tech, Media & Entertainment business grew 0.3% year-over-year despite the impact of greater-than-anticipated furloughs. The

vertical remains resilient for us.

The Manufacturing & Resources business showed a strong growth of 20.1% year-over-year due to the seasonal higher pass-through.

In the Energy & Utilities vertical, we have capitalized on opportunities arising from consolidation and secured a significant deal for transformation and supplier consolidation during this quarter.

Our Retail, CPG and Travel, Transportation and Hospitality business grew 0.6% year-over-year. In the Retail and CPG vertical, businesses are focused on optimizing their costs by consolidating suppliers and leveraging automation technologies. Within the Travel, Transport and Hospitality vertical, we are seeing demand for our services related to data.

Our Health, Life Sciences and Public Services business grew by 6% year-over-year. LTIMindtree was recognized as a major contender in Everest Group's Healthcare Digital Payer Services PEAK Assessment 2023.

In terms of geographies, North America contributed 72.7%, Europe contributed 14.5%, and Rest of the World contributed 12.8% of our revenue during the quarter. Our North America market saw a year-over-year growth of 4.1%.

The demand environment remains cautionary. What remains unchanged is the prioritization of spend focused on cost efficiency and transformation projects with a clear return on investment. We have observed clients using supplier consolidation as a lever to achieve their objectives, and are reaping the benefits of this approach as some of this consolidation is being directed toward our company.

I would like to call out a few important deals that we signed this quarter:

A US-based premier oil and gas producer selected LTIMindtree as their strategic partner for end-to-end technology services. As part of the partnership,
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LTIMindtree will provide services across several value-based portfolios covering Digital Solutions, Platforms, and Operations.

A global leader in the design, engineering, and delivery of customized facilities for high-tech industries has selected LTIMindtree as their preferred strategic partner for their digital transformation journey over the next 5 years.

LTIMindtree will drive transformation across the technology landscape through multiple services, including Cloud Migration, End User Services, Security and Application Development and Support.

A diversified multinational mass media corporation has chosen LTIMindtree as their preferred ServiceNow transformation partner. This engagement will help unlock the value of their ServiceNow investments, improve ROI and drive cost efficiency.

A leading US-based energy producer has expanded its infrastructure managed services scope with LTIMindtree.

A global financial services technology company has chosen LTIMindtree for its Product Development initiatives.

A utilities company in the Middle East continues to strengthen its relationship with LTIMindtree by signing another 3-year agreement where LTIMindtree will support its transformation journey by identifying areas of expansion and optimizing the technology landscape.

We are now participating across broader areas of customer spend. For example, we are working with McAfee, a worldwide leader in online protection, as a preferred and strategic partner for their transformation initiatives across Products, IT and Commerce divisions. As part of this partnership, LTIMindtree will be providing engineering services and operations support at a global scale, helping McAfee drive cost efficiencies, agility in innovation and product delivery.

We recently announced the amalgamation of LTIMindtree subsidiaries,

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This practice will focus on delivering end-to-end Consulting, Digital and IT services to Banks and Capital Market firms.
With

digital transformation emerging as the cornerstone of competitive advantage and sustainable growth in today's business landscape, our partners and customers continue to actively explore and invest in AI-led opportunities.

To fully capitalize on this opportunity, we have set up a new service line called 'Enterprise AI'. This service line will enable us to create cohesive and comprehensive AI-first strategies by bringing Generative AI interventions into all our service lines and across four customer priority areas: Foundation, Core, Innovation and Experience. We have also trained over 10,000 employees on GenAI to stay ahead in this ever-evolving AI landscape.

I will now turn the call over to Vinit for Q3 financial highlights.

Vinit Teredesai: Thank you, DC. Hello, everyone, and I wish you all a Happy New Year. I will now take you through the financial highlights for Q3 FY '24, starting with the headline numbers.

Our revenues stood at USD 1.08 billion, up 0.8% sequentially and up 3.5% on a year-on-year basis. The corresponding constant currency growth was 0.7% quarter-on-quarter and 3.1% year-on-year. Our EBIT margin came in at 15.4% compared to 16% in the previous quarter. The key moving parts for the margin decline are 200 basis points owing to higher furloughs, lower working days and seasonal pass-through revenue. This was offset by 80 basis points improvement from SG&A and 60 basis points from operating efficiencies.

Despite significant cash outflow due to dividend payments and mid-year incentives, our cash and investment balances crossed the ₹10,000 crores mark, and we had a strong treasury income of ₹151 crores.

The effective tax rate for the quarter was 24.3%, compared to 23.5% in Q2 FY '24.

PAT margin for the quarter was stable at 13%.

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Basic EPS was ₹39.5 for the quarter as compared to ₹39.3 in Q2 FY '24.

We continue to make significant improvements to the fundamentals of our invoicing and collections. For quarter 3, the total receivable days, including the unbilled DSO was 85 days compared to 94 days last quarter. You may recollect that we significantly improved our unbilled DSO last quarter as well. In Q3, we further reduced our unbilled DSO by 3 days. The unbilled DSO in Q3 is 23 days versus 26 days in Q2. With our focus on collections, the billed DSO reduced to 62 days versus 68 days in Q2. Going forward, we aspire to continue this momentum and bring the total DSO closer to 75 days.

We had a significant improvement in our cash conversion metrics in Q3. The Operating Cash Flow-to-PAT was 155.7% this quarter on account of strong collections, as against 92.1% in the previous quarter and 65.8% in the same quarter a year ago. Furthermore, Free Cash Flow-to-PAT has shown a strong improvement to 143.7% compared to 75.1% last quarter and 35.6% in the same quarter a year ago. I am proud to note that our OCF and FCF conversion figures are the highest ever and have crossed 100% for the first time. We hope to continue this momentum.

We closed the quarter with significantly higher cash and investment balances that stood at USD 1.216 billion or ₹10,115 crores compared to ₹8,947 crores in Q2 FY24. Return on equity for the quarter was steady at 26.6%. As of Dec 31

st, 2023, our cash flow hedges stood at USD 3,687 million, and hedges on the balance sheet was USD 295 million.

Our utilization excluding trainees further improved to 87.4% compared to 86.6% in the previous quarter because of a pickup in billability.

Our attrition continues to be stable. For the quarter, our LTM attrition was 14.2%, down from 15.2% last quarter. We added more than 500 freshers this quarter. With the supply side easing up, we continue to plan hiring on a

relatively real-time basis.

Creating meaningful change forms the foundation of our CSR strategy, and we continue to positively impact our society through our CSR

initiatives. For

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example, LTIMindtree has installed a solar-powered cold storage unit in Karnataka with a substantial capacity of 5 metric tons. We are committed to installing 12 solar-powered cold storage units, each with a 10 metric tons capacity, in various rural locations across India. Our Mahape campus in Mumbai has received LEED Platinum Certification from USGBC, making it part of a select group of sustainable and innovative LEED-certified buildings. We are pleased to announce that LTIMindtree won the prestigious Golden Peacock Award in 2023 for its exceptional sustainability efforts.

The Institute of Chartered Accountants of India (ICAI) has conferred LTIMindtree a special recognition for gender equality and presented a Silver Shield towards 'Business Responsibility & Sustainability Reporting Leadership' for FY23.

These awards affirm our stakeholder engagement and commitment to environmental and social impact.

I now hand it back to DC for the business outlook.

Debashis Chatterjee: Thank you, Vinit.

Against the backdrop of a continued challenging macroeconomic environment and delays in client decision-making, we expect Q4 performance to remain similar to the current quarter. In this environment of restrained client spending, we continue to expand our value proposition to become a partner of choice for our clients.

Despite experiencing higher-than-anticipated seasonality in Q3, our strong order inflow and healthy deal pipeline set the stage for our medium-term growth.

While our margin optimization program continues, we remain committed to investing appropriately to capture growth opportunities, because of which our aspiration of a 17% to 18% exit margin will get pushed by a few quarters.

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With that, let me open the floor for questions.

Moderator: First question is from line of Sulabh from Morgan Stanley

Sulabh Govila: My first question is on the near term, as you mentioned about 4Q growth rates being similar to 3Q. So just trying to understand what is primarily leading to a continuing softness in 4Q given that one would have imagined that these larger furloughs and deeper furloughs would have reversed in 4Q and given you a reasonably strong 4Q? I just wanted to understand what are the moving parts there?

Debashis Chatterjee: Yes. So essentially, as far as the fourth quarter is concerned, at this point of time, our thinking is that some of the furloughs will come back, but not all the furloughs will come back. They will be coming back gradually. So essentially, the recovery will be gradual. And we will continue to have a bit of a pass-through in the next quarter as well. But it's pretty much the furloughs. Overall, as I said, the environment is fairly cautionary, and we have to still wait and see how the macro plays out because at this point of time, there is a delay in decision-making which was there earlier also and that continues to go on as we speak. And even as we work with our clients in terms of their budgets, a lot of clients have still not frozen their budgets, still their plans are also in a flux, which kind of makes our planning also very difficult. So those are some of the things that's making us feel that Q4 will be very similar to Q3.

Sulabh Govila: Understood. And my second question is with respect to the sales activity on the ground. It's been a year since the time we started operating as a combined entity. So just wanted to get some context as to now are we able to target larger size deals related to the past? And how many such deals do we have in the pipeline? And how have been our win rates on such deals versus company average? Just wanted to understand how the merger has panned out from a revenue synergy perspective?

Debashis Chatterjee: Yes, I will request Sudhir to answer. But before that t

he short answer is that you will appreciate the fact that when the merger was announced, we were very keen to integrate our capabilities in a very short time frame. So, we actually got the merger completed in a very short time frame to capture the market

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opportunities. Unfortunately, we never expected the macros to play so heavily in terms of not being conducive to the situation that we are expecting. But in terms of overall cross-selling and up-selling opportunities, we are getting a seat on the table because of our size and scale, I think all those things have worked out fairly well. So let me request Sudhir to add more color.

Sudhir Chaturvedi: Sure. Thanks, DC. Yes, as DC mentioned, what we've seen is a very significant uptick in our large deal overall pipeline. So, our overall pipeline currently is around \$4.6 billion, and it's about 30% up from the same time last year. So that merger thesis has certainly played out well. And the other metric that I'll share with you is that the number of advice deals is very significant. We are participating in almost 30-plus advice deals right now, which means that deal advisers are seeing us clearly as the best possible alternative to some of the larger players in the sector. So that part is certainly playing out, and it's also playing out in our order book, as you've seen. This quarter also, we've recorded \$1.5 billion order book, which is on the back of the deal wins, some of which were also mentioned in DC's opening remarks. And then I'll just say that we are seeing strong growth in our ERP service line. It has been a traditional strength of LTIMindtree, and we are continuing to see strong momentum there as people look for core modernization related work and that is the other part of the large deal portfolio also that we are seeing.

Moderator: Next question is from the line of Ravi Menon from Macquarie.

Ravi Menon: DC, you mentioned that next quarter, we might have a little bit of a pass-through. So, would much of this go away then? And should we think about this as a headwind for revenue in Q4?

Debashis Chatterjee: No, I think what I said is we had higher than usual pass-through. But if you look at the last financial year, there was a pass-through, which is seasonal with respect to Q4. I think it will be in line with whatever we saw in Q4 of last financial year.

Ravi Menon: And this quarter, it looks like there is a significant element of pass-through because we're looking at your segment margin for Manufacturing & Resources,

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the segment profit seems to be actively flat Q-on-Q, while revenue is up. So, should we think about this going away next quarter??

Vinit Teredesai: The pass-through revenue was always there in the second half. This year, we had a slightly higher number in Q3. Q4, you will see a little bit, again, on a similar ground, a little bit of a higher pass-through than what you have seen traditionally. But yes, we are right now not looking and talking about Q1 FY25. At that time, we will have some other levers to offset this headwind that will be coming.

Moderator: Next question is from the line of Nitin Padmanabhan from Investec.

Nitin Padmanabhan: With reference to the headwinds that we're facing, if you could give us some context on which verticals are really seeing this extended pain because some of our peers have actually called out maybe bottoming out on BFSI and so on so forth. So just wanted your thoughts on those verticals and how things have evolved. And what's really causing the pain going to next quarter?

Debashis Chatterjee: First of all, rather than calling out vertical, it's always a reflection of the clients that we manage in our portfolio. And of course, as we called out, we did see a decline in BFSI. And I would say though the Insurance part of the po

rtfolio has been resilient, we did have some challenges in BFS, and again the higher furloughs. We expect that some of the furloughs will be gradually coming back as we get into the next quarter. But overall, if you ask me where do we see growth? The growth will be fairly broad-based across industries and geos, because I don't think there is anything for us to call out saying that only one vertical will grow because we are anyway focused on very limited set of industry verticals, limited geographies, and we feel that the growth, when it comes back, it will be broad-based.

Nitin Padmanabhan: Sure. So, what I was a little unclear about is that some of the furloughs will

sort of recover. And we've had pretty strong deal wins over the last 4 quarters consistently. So when that happens and our pass-through will also continue.

What is the big drag is what I'm unable to understand. Is it very broad-based drag? Or is it specific to any specific area?

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Vinit Teredesai: What we are talking about is that the furloughs will return back, but not necessarily all the furloughs will return back from Jan 1. They will come back gradually. So that's the one part of it. Secondly, the pass-through revenue is a seasonal component, but this is also part and parcel of some of the ramp-ups

that are happening as a part of the deals that we have signed in the past.

Eventually, this pass-through revenue will go away in Q1. But at that point of time, our other services revenue, etc., will return back to offset that.

Nitin Padmanabhan: Perfect. And just last question for you, Vinit. On margin, how are you thinking about it at this point in time versus the earlier target? Is there a new thought process or a thing in mind? And is this delayed primarily because of the weakness that you're seeing that's sort of hurting? So would it mean that maybe

Q1 you have salary increases. Just wanted your thoughts broadly on margin.

Debashis Chatterjee: Let me just explain to you our thought process on margin. See, when we got these 2 companies together, we pretty much focused on our margin expansion plan. And when you create a margin plan, it is also linked to the overall top line that you expect, the revenues that you expect to kick in. Margin plan doesn't work in isolation without having a top line and also certain levers that we apply to get to a margin target. If you look at it, our utilization has also gone up fairly significantly and I don't think it is healthy for us to take the utilization any further. The fact that the order book is so strong, and we have also been part of some vendor consolidation. So, keeping all these things in mind, we feel that at some point of time when the recovery does take place, we need to

keep on reinvesting back in to the business. And if we do that, we have to kind of chase the margin target maybe a few quarters down the line. So essentially, at this point of time, what I can say is our margin program that we have put in place, I don't think that's going to change. That remains intact, but only the targets that we had set, we will probably defer that a little bit, maybe a few quarters. But in that process, during those quarters, we want to reinvest back into the business, keeping in mind that the order inflow is very strong, and we need to do some investments in terms of either SG&A or bench, etc. We want

to focus on that and want to be ready for anything that happens in terms of growth, we should be able to stay ahead of the curve. If you listen to the commentary that we have made, we have set a target that we will be training

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across section of our associates in terms of GenAI. And we have set a target of 10,000. And I think we have met that target. So, our investments will continue. We want to double down on some of the investments even further.

er. And that's why we feel that it is appropriate for us to defer the margin program by a few quarters, but that doesn't mean that we are going away from the overall margin program that we have already embarked on. Does that make sense?

Nitin Padmanabhan: Yes, absolutely. That's very helpful context.

Moderator: Next question is from the line of Manik Taneja from Axis Capital.

Manik Taneja: My question was with regards to the outlook that you've provided in the month of October, then you were very confident about a strong second half led by the deal ramp-ups helping our performance. What changed between then and now? Have you had some negative surprises with some of these deal ramp ups?

That's question number one. The second question was more from a longer-term standpoint when the 2 companies came together. The merger rationale was that you would be able to expedite growth and grow faster than each of the individual companies. But when we look at our growth performance now compared to some of our Tier 2 peers, we have seen a much sharper

moderation. So what's driving that, if you could delve into that as well?

Debashis Chatterjee: First of all, if you compare our growth, you should compare it with some of the larger peers because we are a much larger company. I'm probably answering your second question first. But in terms of the deal ramp-ups that

we have, the deals that we have closed, the ramp-ups are happening well on track, maybe a little slower than we expected, but still the new deals, the ramp-up is happening. I don't think there is any issue with that. But where we have a challenge is some of the portfolio that we had, which was more of discretionary, those portfolios, as they have ramped down, they did not really ramp up at the same pace. For example, we expected furloughs in Q3, but we did not expect that the furloughs will be deeper as well as wider. In fact, there are industries where we did not have furloughs before, like oil and gas, for example, we never used to have furloughs, but even they also went through furloughs. So having said that, some of the decision-making is still pending. Some of the deals which are in the final stage, the decisions are still pending,

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so we expect those decisions any time. So long story short, I think the furloughs are much deeper and wider. The new deals which we have closed are ramping up fairly well. But some of the discretionary spend that we did have in some of the accounts, that is not really coming back because that's where we kind of had a challenge.

Moderator: Next question is from the line of Mohit Jain from Anand Rathi.

Mohit Jain: One is a follow-up to the previous one on furloughs. We do not have much decline, so to say, in BFSI, which used to be into furloughs higher than other verticals. And second on the North American side as well. So is this more specific to like Europe where you have declined more and Retail? Or do you think it has more to do with BFSI and US?

Debashis Chatterjee: Yes. BFSI did have furloughs. But it is offset by the pass-through that we had. In fact, we had some additional pass-through in that vertical, which is offsetting. So, the impact of furloughs, is turning out to be smaller because of that reason.

Mohit Jain: We used to have pass-through in Manufacturing, right? Or this time, is it in BFSI?

Debashis Chatterjee: It's both.

Mohit Jain: What has been services decline for BFSI on a like-for-like basis because we are looking at YoY and QoQ numbers. Doesn't look like there's a big decline?

Debashis Chatterjee: No, we don't call that out. But at an overall level, I think we know that BFSI has been under a bit of stress, and Insurance portion of the portfolio have been quite resilient. And again, it's a portfolio of clients that we manage in a particular vertical, and that's how we look at it. But over a period of

time, I'm

sure it will all recover.

Mohit Jain: And your commentary on BFSI is not changing for the fourth quarter, right?

You're saying the weakness may persist.

Debashis Chatterjee: Yes, that's right.

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Mohit Jain: Okay. And second question is for Sudhir on the TCV growth. We are now maintaining 20% for a few quarters, and you spoke about the deal pipeline number, \$4.6 billion. Should we expect this TCV growth to continue now that we have more number of deals for signing?

Sudhir Chaturvedi: No, as I mentioned, we have a good pipeline, good deal momentum. In fact, we have several deals in their final stages of closure that we are seeing. We are seeing some delays in decision-making in deals, but the closures are still continuing to happen. So I think based on all of those, we are seeing that the order intake that we've been announcing will continue to maintain that momentum. So that will continue as planned.

Mohit Jain: Right. Is there any revised margin guidance, like by when do you guys expect to get back to the previous guidance of Q4?

Debashis Chatterjee: No, as I said, our overall margin program is not going to change, but we just want to ensure that given where we are, given the overbearing macroeconomic situation, as we explained, we don't want to be short-sighted and forget about investing. So, I think it is a conscious decision that we have taken to kind of get back on track after a few quarters. But in the meantime, reinvest back into the business so that we can be ready for capturing any of the opportunities that comes when the market opens up because there is a lot of investment that we

need to do on the business also.

Mohit Jain: On a net basis, should we expect it to be like 15%, 16% in the near term?

Debashis Chatterjee: Well, we are not saying that. But in the longer term, the 17% to 18% target that we have, that is still something that we'll chase in the longer term after a few quarters.

Moderator: Next question is from the line of Vibhor Singhal from Nuvama.

Vibhor Singhal: Two questions from my side. DC, if I keep the performance of Q3 and Q4,

which was marked by the higher furloughs that you're expecting in Q4. If you

keep that aside, given that our deal flows have been quite strong, 20% Y-on-Y

for the last couple of quarters itself. Do you expect the execution of these deals to pick up at some time in FY '25? A larger peer commented that BFSI has

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bottomed out for them. Another large peer commented that they're seeing green

shoots in discretionary spend. We know there has been a delay in decision-

making and these deals converting into revenue. But do you see those picking up somewhere in FY '25, leading to some good growth momentum for us in

that year?

Debashis Chatterjee: Well, I think if you look at the nature of the deals, bulk of our deals that we

have closed and even the pipeline that we have, most of the deals are

efficiency-led, cost takeout kind of deal. And if you look at the nature of these

deals, they do take a longer cycle time for closure. And on top of that, we also

have delayed decision-making. And when they close, these deals are typically multiyear, but they also involve, in most cases, some kind of a transition. So,

keeping all these things in mind, we know, we anticipated that some of these

deals would ramp up over a period of time. There is no reason for us to believe

that the ramp-ups won't happen in these deals, whichever we have closed, because these are mostly efficiency-led deals.

And this is across all the sectors.

It's not just one particular vertical. It's pretty broad-based. So, the short answer to this is, over a period of time, these deals

will all ramp up. You want to add

anything Sudhir?

Sudhir Chaturvedi: Just to add to that, the good thing is these are multiyear deals. So, we will get

the benefit of this over a longer period of time as they start to ramp up, the

ramp-ups are happening gradually. And at the same time, the discretionary

spend has stopped in several industries. Which is why our discretionary book

is not getting refreshed as before. Hence, the reliance is more on these longer-

term cost takeout deals for growth. But again, not a cause of concern because

we have a significant pipeline for that, and we'll continue to build on that, as

you can see with the order inflow, and we know that we can continue with that

in Q4 as well. We will build that growth momentum over a period of time.

Vibhor Singhal: Got it. My second question is for Vinit. So Vinit, a commendable performance

on the cash flow conversion. But on the margin front, you mentioned that there

were 200 basis points of impact from furloughs and lesser number of working

days and the pass-through. Now agreeing that some of the pass-throughs and

furloughs, as you mentioned, might be there in the next quarter itself. But

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shouldn't large part of this 200 basis points of impact in this quarter get

reversed next quarter?

Vinit Teredesai: Yes. As we said that the portion which is pertaining to the furloughs, some

portion of that will come back. The traditional assumption, which was there

that all the furloughs return back on Jan 1, that doesn't happen. That we are

seeing happen in a gradual fashion. And that's the reason, while the revenue from a run rate perspective at the end of March probably may come back to

that level, but the impact during the quarter is going to be felt on the margins.

There will be some positive clawbacks that will definitely happen in Q4. But

we also want to be cautious given the uncertainty, which is prevailing at that

time, how much of headwinds we may get as a surprise, and how much of that

we want to invest back into the business. That is something which DC has

alluded; we want to continue doing it.

Vibhor Singhal: Got it. Just a follow-up to that. As we have mentioned that the target of

reaching 17% to 18% by Q4 has been pushed out by a few quarters. We had also mentioned reaching full year margin of 17% to 18% in FY '25. Does that

also gets pushed out by a few quarters or whatever the time frame is? How do we see that in the current context?

Vinit Teredesai: Yes, extending that logic, absolutely, it will. But we will continue to watch the

situation and if there are any course corrections that needs to be made, we will

do that course corrections. The fundamental principle in terms of the margin

improvement program and some of the efficiencies that we need to bring in our business, that program continues. Some quarters may see some investments

happening. Some quarters might be a little bit liberal, and you may see that money coming back into the margins. So that is something we'll watch over that period of time and as the business situation goes on.

Moderator: The next question is from the line of Sandeep Shah from Equirus Securities.

Sandeep Shah: DC, the question is in terms of one of the negative surprises which you called

out to miss the predictability on the fourth quarter has been the discretionary

spend outlook not improving. But that statement was loud and clear for the

whole industry for the last 2 to 3 quarters. So why we were not able to budget

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that? And at that in the October month, why we were so optimistic about the

H2 being better than H1? We can understand Q3 has higher furloughs, but why

were we optimistic in terms of our discretionary spend outlook improving in

the fourth quarter?

Debashis Chatterjee: Well, I think the primary reason for where we are today is basically the wider

and the deeper furloughs that we have seen. And we normally anticipated above-average furloughs, but the furloughs which we have seen

are much

wider. We used to see furloughs restricted to a couple of industries more than

the others, but this time, the furlough was fairly broad-based. It's much wider.

And even the depth of the furlough within each of those industries, we have seen significantly higher furloughs than what we normally see. I think this was

not something that we anticipated. Probably that is the single most reason for

us to be where we are. And some of the discretionary, we knew it will not come

back, but some of the discretionary spend once you finish a project if it's a regulatory or something that project continues. But in some situations, those

also did not continue. So essentially, it is not that we did not know that

discretionary will be impacted. But still, there were some portion which we

were very confident about, that did not come back.

Sandeep Shah: Okay. And last question in terms of any large client-specific issue, especially

in BFSI or High-Tech because your top client in BFSI is on a roll of big cost-

cutting exercise globally. Is it impacting us? And that is also making a slightly

more bearish on the BFSI outlook?

Debashis Chatterjee: As of now, I would say no, but we are watching the space very closely. I think

when you talk about BFSI, as I said, there is an impact on BFSI slightly more

broad-based rather than one client. But yes, I know what you're talking about,

and we are watching the space very closely. As of now no impact.

Moderator: Next question is from the line of Abhishek from InCred Capital.

Abhishek Shindadkar: I just have 1 question. We have seen a sequential decline in almost 3 of our

large verticals, yet the top 5 and 6 to 10 accounts have seen a sequential strong

growth. So how should we read this dichotomy? Is there a material change in

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the large client mix that historically we have been doing? Or any color could

be really helpful.

Debashis Chatterjee: I think that's the only color. I think if you look at the top 5 clients, there are

some clients that do change positions from time to time. I think that's the

primary reason why you see the change. But that's the only thing I can say.

Moderator: Next question is from the line of Sumeet Jain from CLSA.

Sumeet Jain: DC, when you mentioned that the growth in Q4 will be similar to Q3 and when

I look at your manufacturing vertical seasonality in the last 2 to 3 years, it is not as strong in Q4 as in Q3. Are you expecting other verticals than

manufacturing to see some growth in Q4 despite furloughs still being there?

Debashis Chatterjee: Yes, absolutely. As I said earlier, the overall growth that we are expecting as

we go along is going to be fairly broad-based. It's not just going to be based on only one specific vertical.

Sumeet Jain: And this revival and growth across verticals will be led by your large deals?

Or is the discretionary demand reviving back?

Debashis Chatterjee: It's mostly the large deals that we have already closed and the ramp-ups have started.

Sumeet Jain: Got it. And my second question is in terms of your margin target of 17% to 18% over next few quarters may be pushed out. But what will be the key levers for you to achieve that target, given when I look at the various levers in terms of utilization, offshoring effort or maybe rationalization of tail accounts, almost all of them have been utilized to a large extent. So just to know what levers will you press upon?

Vinit Teredesai: See, it is multiple levers that we are looking at, and some of these levers will be our gross margin improvement mainly. There are multiple accounts what we have called out in the past is one of the programs that we are running is the red program, the accounts which have lower margins, negative margins, which we are trying to work on with the clients to improve that. That is something that will do it. Second is pyramid rationalization.

As I mentioned in my

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remarks, we have started adding freshers. This is the second consecutive quarter we have added freshers. So, pyramid rationalization is something that we are working upon. The third part is in terms of looking at how can we reduce down average cost of our resources. That will be the third one. And fourth, at the end of the day, when we have these multiyear deals, those also continue to give us a little bit of an advantage in terms of managing the pyramid and managing the cost within those projects in a much better way. So, all these levers are at play. The only challenge what we are seeing at this point of time is we thought that we should be able to do a good progress by Q4. That has been delayed. And the other reason for the delay is also the fact that we want to invest back into the business because now our utilization has reached the peak. We had called it out in the past quarter also that this will remain in the short run at this level. But it is definitely at the peak, and we have to now look at adding some bench for the growth that will be coming in as soon as it comes in.

Debashis Chatterjee: Yes. And on another note, I must tell you that whatever we talk about margin program, we only have so many levers. And there are no additional levers. I mean, whatever levers you run within a program, maybe everything is not applicable to every client situation at the same time. It is a discipline that we are running and that will continue.

Sumeet Jain: Got it. Just one last question around your large Banking customer. I think when they reported their results last week, it was quite evident that they have been in-sourcing quite a lot through entire calendar '23. Have you got any plans, what are they thinking of in FY24, given the cost-cutting exercise they are doing across the globe?

Sudhir Chaturvedi: I think over the years, we've told you that the work that we do for this client is in very core areas. We work on core platforms in the corporate banking space mostly and in the RegTech space. So therefore, we have resilience in the work that we do for this client, and that continues. Now of course, as DC said, these changes have been announced recently, and we're watching the space closely to see how things pan out. But as of now, it's been proceeding as per what our plan for the year was.

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Moderator: Next question is from the line of Rishi Jhunjhunwala from IIFL.

Rishi Jhunjhunwala: Two questions. Firstly, if you look at the growth rate deceleration that has happened this year, it's almost close to around 15 percentage points from the 20% that we grew last year on a CC basis. And it would be among the highest if you'll just look at companies which are considered to be high-growth companies. What do you attribute it to specifically for us given that it is higher than most of the other high-growing peers? That is one. And secondly, in a

period where growth is a bit challenging, and we have pushed out our margin targets also in the near term. Given that we now have almost like INR 10,000 crores of cash on the books, and we have not been much acquisitive. Do you think it's time to potentially increased payouts, given that if we look at most of

the large cap companies, they have payouts anywhere between 70% to 100% of their free cash flows?

Debashis Chatterjee: Well, I'll let Vinit answer the second question. But on the first one, if you talk about growth and if you talk about what we anticipated as growth, we always said that when these 2 companies were brought together, it was not really

considering any of the market conditions or macro or anything. It was more with the basis that both the companies should be coming together when both are doing well in their own rights. And that's exactly what we did. And our intention was also

to integrate as quickly as possible so that we can do the cross-selling and up-selling with our clients much more aggressively. I think all those things have worked out well. The only thing which probably did not go the way we wanted was because of the macro changing, the discretionary spend has come down significantly and both the companies, even earlier and LTIMindtree as a combined entity, we had a significant portion of revenue which was coming from client discretionary spend. That's one thing which has come down, but converting or rather getting us geared up for large deals which are more of efficiency deals, we kind of switched that very quickly. But having said that, the large deals take more time to materialize. The decision-making has been delayed. So, all those things also played in terms of whatever you see in the growth. Vinit, you want to take the second question?

Vinit Teredesai: Yes. Rishi, on the cash allocation policy, one thing which we want to ensure is, first, this momentum we wanted to sustain and we want to build upon a good LTIM Q3FY24 Earnings Call

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amount of cash balance. Number two, on a daily basis, we do evaluate multiple candidates for M&A opportunities. So that exercise continues. At the right time, when there is a right opportunity available, we do want to consider and look at making those investments. Third part, the payout policy is a reflection of the profit and has to be based on the profitability, not based on the cash balance that is sitting with us. At the end of the day, our aim is to generate a little bit higher returns and higher cash flow returns, then we can think about improving our cash payout. But at this point of time, there will not be any change in the short run.

Moderator: Next question is from the line of Rakesh Kumar from BNP Paribas.

Rakesh Kumar: I have just one question. See your commentary related to growth and that of margin, there seems to be dichotomy between those two. While you are uncertain about the growth outlook, accordingly, your guidance for the second half coming down materially. Whereas when you're talking about the margin,

you are preparing yourself for growth. This high utilization ideally should not have surprised you because you were already preparing for a much stronger growth in second half. So, I'm trying to understand that, where is this dichotomy coming from?

Nachiket Deshpande: Yes. So typically, if you look at the resources in most of our business and especially with the large deals that we're talking about, which has transitions involved, the resources typically lead the revenue, right? And typically, the revenue shows up in our P&L anywhere between 2 to 3 months down the line based on the construct of the deal. And higher utilization part that we are

talking about, we are looking at lowering that utilization in the short term, where we need to now be prepared for the deals that we are in the final stages for. And as we close those deals, we need to be prepared to have sufficient bench to be able to ramp up those deals on time. And that's really the commentary around taking the utilization down. The higher utilization in the earlier quarters, again, the utilization was expected to be higher, but not to the level that we've ended up taking it. If you remember, even in last quarter, we talked about, 85% is our comfort zone from a utilization perspective longer term. So, in some quarters, it will be up or down. And today, we are at 87.4%.

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We believe that it's much higher than what we would like to be. And hence, we would like to lower that in order to prepare for the deals that we are closing.

Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question. On behalf of LT IMindtree Limited, that concludes this conference call. Thank you all for joining and you may now disconnect your lines.

(This document has been edited for readability purposes)

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Call: Apr 2024

LTIM/SE/STAT/2024-25/24 April 26, 2024

National Stock Exchange of India Limited,
Exchange Plaza, Bandra-Kurla Complex,
Bandra (E),
Mumbai - 400 051

NSE Symbol: LTIM The BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

BSE Scrip Code: 540005

Dear Sir(s)/Madam,

Subject: Transcript of Earnings Conference call held on April 24, 2024

With reference to the captioned subject, please find enclosed transcript of the Earnings Conference Call held on April 24, 2024.

Kindly take the above on record.

Thanking you,

Yours faithfully,
For LTIMindtree Limited

Angna Arora
Company Secretary and Compliance Officer

Encl: As above

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"LTIMindtree Limited's Q4 and FY'24 Earnings Conference Call "

April 24, 2024

MANAGEMENT : Mr. Debashis Chatterjee – Chief Executive Officer & Managing Director
Mr. Sudhir Chaturvedi – President, Markets
Mr. Nachiket Deshpande – Chief Operating Officer
Mr. Vinit Teredesai – Chief Financial Officer
Mr. Vipul Chandra - Chief Financial Officer, Designate
Mr. Vinay Kalingara – Head, Investor Relations

LTIM Q4 and FY24 Earnings Call
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Moderator: Ladies and gentlemen, good day and welcome to LTIMindtree Limited Q4 FY24 Earnings conference call. Please note that this conference is being recorded. I now hand over the conference over to Mr. Vinay Kalingara, Head Investor Relations, LTIMindtree. Thank you, and over to you, sir.

Vinay Kalingara: Thankyou Zico. Good day, everyone, and welcome to the LTIMindtree Quarter 4 and FY'24 Earnings Conference Call.

Today on the call, we have with us:

Mr. Debashis Chatterjee – Chief Executive Officer and Managing Director;
Mr. Sudhir Chaturvedi – President, Markets;
Mr. Nachiket Deshpande – Chief Operating Officer
Mr. Vinit Teredesai – Chief Financial Officer, and
Mr. Vipul Chandra - Chief Financial Officer, Designate

We will begin with a brief overview of the company's quarter 4 and FY'24 performance, after which we will open the floor for Q&A.

During the call, we could make forward-looking statements. These statements consider the environment we see as of today and carry risks and uncertainties that could cause our actual results to differ materially from those expressed in today's call. We do not undertake to update any forward-looking statements made on the call.

I will now turn the call over to DC for his opening remarks.

Debashis Chatterjee: Thank you, Vinay. Good evening and good morning to everyone on the call. Thank you for joining us today.

Before I begin, I'm pleased to welcome Vipul Chandra as our new Chief Financial Officer. His extensive experience will be invaluable in steering our financial strategy towards continued success. I also want to extend my deepest gratitude to Vinit Teredesai for his outstanding contributions during his tenure. His dedication and leadership have been instrumental in the company's growth and financial health. We wish him the best in his future endeavours.

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During FY24, the economic landscape was marked by unprecedented uncertainty and caution. Despite these challenges, we closed FY24 with a revenue of US\$4.3 billion, marking a 4.4% growth in USD terms.

Our dedication to align closely with client needs is mirrored in the significant order inflow recorded this year. We achieved a Q4 order inflow of USD 1.4 billion and a total FY24 inflow of USD 5.6 billion, representing a 15.7% year-on-year growth. This demonstrates our ability to shift our portfolio from a relatively higher discretionary mix towards longer-term, efficiency-driven deals.

We added 9 new Fortune 500 clients over the year, expanding our portfolio to 104.

Additionally, in FY24, the USD 1 million-plus client band has increased by 11 to 394 clients.

The USD 5 million-plus client band increased by 7, USD 10 million-plus clients by 10, and our 20 million-plus clients have increased by 2.

Our disciplined execution helped offset the impact of discretionary spend slowdown, driving growth across all our verticals, year-on-year. Our commitment to customer centricity is evidenced by our improved Customer Satisfaction (CSAT) score, which saw a 5-point increase from the previous year, surpassing industry averages. This quarter, we were honored to receive the 'Service Advocate of the Year' award at the 3rd Annual Microsoft Supplier Prestige Awards. While our performance is in line with how the industry has performed, it falls short of our aspirations.

A marked reduction in discretionary spend, where our portfolio has traditionally been skewed, resulted in a higher-than-anticipated impact on revenue. Additionally, some of our Top 40 customers experienced a decline in growth due to market dynamics and client-centric factors. Despite these ongoing challenges, we have successfully capitalized on emerging opportunities across verticals. Some of our recent key wins include:

As part of a multi-year engagement, a leading financial ser

vices firm specializing in loans and

mortgages has selected LTIMindtree as their primary engineering partner to meet their regulatory timelines and enable seamless operations of their application landscape through a 'Remediation-as-a-Service' and 'Operations-as-a-Service' engagement.

A multinational financial services corporation has awarded LTIMindtree a multi-year contract as an exclusive assurance partner for their transformation journey by implementing a centralized Quality Engineering organization.

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A global leader in insurance brokerage services and risk management solutions has chosen LTIMindtree as their primary partner to establish a new technology platform as they create a new operating model in their digital transformation journey.

A leading energy company in the Middle East has awarded LTIMindtree an end-to-end infrastructure-managed services contract for five years.

A leading producer of frozen products in Sweden has awarded LTIMindtree with a full-scope infrastructure contract for Cloud Transformation. This is a new logo for LTIMindtree.

Our focused efforts in expanding our capabilities and account mining have resulted in substantial growth in three Service Lines, of which two have shown double-digit growth.

Let me cite a few examples to showcase our increasing penetration through cross-selling into our existing accounts:

LTIMindtree has been chosen as the transformation partner to deploy S/4 HANA solutions for a global technology leader. This innovative 'software plus services' engagement leverages our robust SAP capabilities.

As a Customer Experience partner for an automotive solutions major, LTIMindtree delivered a mobile application with a revamped User Experience and User Journey, helping them move away from their current platform.

For a US-based insurance and retirement major, LTIMindtree has been chosen as the transformation partner to modernize their hybrid cloud operations with a converged ops model through Canvas.AI OPS-driven automation and Gen AI solutions to deliver 70% improvement in issue resolution and service experience.

In FY24, LTIMindtree enhanced its partnerships through various initiatives, including co-branding, co-marketing, and co-investments, focusing on key priority areas. Our joint venture with Aramco Digital is a notable example. This JV is a testament to our commitment to forge transformative partnerships. It broadens our geographical reach and opens new avenues for growth, particularly in the thriving Saudi Arabian market.

The advent of GenAI and the potential it holds for transformative applications across industries is poised to revolutionize the way we approach problem-solving, innovation, and productivity.

Our strategic partnerships with industry giants like Microsoft, AWS, Oracle, Snowflake and NVIDIA coupled with our pioneering initiatives, including signing an MoU with Eurolife FFH

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to establish a first-of-its-kind Gen AI and Digital Hub in Athens and dedicated facilities in Poland and Mumbai, position us at the forefront of this revolution.

We are proud of our commitment to service excellence, which has been acknowledged by some of the most reputable global partners in the industry. We secured the 2024 Google Partner of the Year title for Industry Solution Services for Manufacturing. In addition, we were recognized as an Amazon Connect Service Delivery Partner, highlighting our expertise in delivering top-notch customer service solutions.

Beyond these accolades, our commitment to sustainability and social responsibility remains a cornerstone of our business philosophy, as demonstrated by our recognition in various awards for sustainability, DEI, and LGBTQ+ inclusion.

Our success is attributable to the dedication, expertise, and innovation of our 81,000+ professionals. Their co

ntributions have not only earned us recognition as a Great Place to

Work™ in multiple countries but also laid the foundation for our future growth and innovation.

Regarding our industry verticals, we have renamed some of them. However, it is important to note that there have been no changes in client distribution or the financials. All growth numbers for both the verticals and geographies are on a full-year basis.

BFSI vertical declined by 2.8% on a quarter-over-quarter basis. This was primarily due to cancellations of 2 projects as clients reprioritized their spend. This also had an impact on the margins. However, on a yearly basis, our Banking, Financial Services, and Insurance vertical grew 2.2%. Client priorities continue to revolve around regulatory commitment and data transformation for better reporting and decisions.

The renamed Technology, Media and Communications business grew 1.7%. While our strategic clients continue to do well, this vertical had a higher component of discretionary spend, and that played out throughout the year.

The Manufacturing & Resources business showed a strong growth of 14.6%. Demand was driven by ERP transformation, Data estate modernization, supply chain modernization, and Industry 4.0 initiatives.

Our Retail, CPG, and Travel, Transportation, and Hospitality business, now renamed as Consumer Business, grew 2.3%.

Our Health, Life Sciences and Public Services business grew 6.1% year-over-year.

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In terms of geographies, for the full year,

North America grew 5.9%,

Europe grew 3.5%, and

Rest of the World declined by 3%.

I will now turn over the call to Vinit for the financial highlights.

Vinit Teredesai: Thank you, DC. Hello, everyone, and thank you for joining the call.

Let me take you through the financial highlights for the fourth quarter and Financial Year 2024, starting with the revenue numbers.

We ended the fiscal year 2024 with a revenue of US\$4.3 billion, registering a growth of 4.4% in dollar terms. The corresponding constant currency growth was 4.2%. EBIT margin for FY24 was 15.7% compared to 16.2% in FY23. The absolute PAT for the full year was INR 4,585 crores, an increase of 4.0% over FY '23, while the PAT margin was 12.9% compared to 13.3% in FY '23. EPS for the full year was INR 154.90, compared to INR 149.1 in FY '23.

Cash generation for the year improved significantly in FY24, with the Operating Cash Flow-to-PAT at 123.7%, compared to 70.2% in FY23. Free-Cash-Flow-to-PAT came in at 105.5% compared to 49% last year. Given our continuing focus on operating efficiency and working capital, we expect our cash generation to remain strong going ahead.

For the fourth quarter of FY24, our revenues stood at USD 1.07 billion, up 1.1% year-on-year in USD terms. The corresponding constant currency growth was 1.2% year-on-year.

Sequentially, revenue declined by 1.3% in dollar terms as well as in constant currency terms.

EBIT margins for Q4 came in at 14.7% compared to 15.4% in the previous quarter. The key moving parts for the margin are: 70 basis points tailwind from the partial reversal of furloughs, higher working days, and lower pass-through, offset by a headwind of 80 basis points from

project cancellations. Higher SG&A and depreciation had a further impact of 60 basis points. Supported by our healthy cash reserves, we realized returns of ₹189 crores from our treasury operations.

The effective Tax Rate (ETR) for the quarter was 24.0%, compared to 24.3% in Q3 FY24.

PAT margin for the quarter was at 12.4% as compared to 13.0% in Q3 FY24.

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Basic EPS was ₹37.2 for the quarter as compared to ₹39.5 in Q3 FY24.

Through our steadfast collection efforts, we have achieved further progress in reducing our DSO. Our billed DSO further reduced to 57 days, versus 62 days in Q3. We have made

significant progress and have brought down the total DSO by 11 days during FY24. In Q4, the total receivable days, including unbilled DSO, was 80 days, an improvement of 5 days sequentially. We continue to progress towards our aspiration of reducing the total DSO to about 75 days.

Our cash conversion metrics in Q4 continued to drive the strength of our balance sheet. The Operating Cash Flow-to-PAT was 158.4% as against 155.7% in the previous quarter, and 88.5% in the same quarter a year ago. Free-Cash-Flow-to-PAT conversion held its strong trend and came in at 131.5% compared to 143.7% last quarter, and 77.7% in the same quarter a year ago. We hope to continue with this momentum going forward.

We closed the year with an all-time high cash and investment balance that stood at USD 1.38 billion or ₹11,525 crores compared to ₹10,116 crores in Q3 FY24. Return on equity (ROE) for the quarter was at 25.0%.

As of Mar 31st, 2024, our cash flow hedges stood at USD 4,027 million, and hedges on the balance sheet were USD 281 million.

In our endeavor to build bench strength, we reduced our utilization (excluding trainees) to 86.9%.

Our attrition continues to be stable. For the quarter, our TTM attrition was 14.4%, compared to the 14.2% last quarter. We onboarded another 500+ freshers this quarter.

The Board of Directors has recommended a final dividend of INR 45 per share, subject to shareholders' approval, taking our overall dividend for the full financial year to INR 65 per share.

Our ESG strategy continues to propel positive impact on society through our ongoing initiatives. For example, LTIMindtree scored 10 out of 10 in Travel Smart Campaign 2024's annual ranking worldwide. We are placed among the top 25 leading global companies striving to reduce travel-related emissions sustainably.

LTIMindtree has been selected as one of the 320 organizations from over 46 countries listed as Early Adopters of the Taskforce on nature-related financial disclosures.

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LTIMindtree has scored an "A-" in the 2023 Climate Change Ranking by Carbon Disclosure Project (CDP). Out of the 23,000+ global companies, we are in the 5% that have made it to the Global Leadership League.

These awards affirm our commitment to creating a sustainable future for all our stakeholders. And finally, I want to express my deep gratitude to all of you for your unwavering support. It has been my utmost privilege to engage with all of you through the years. My best wishes to Vipul as he takes over as the CFO.

I now hand it back to DC for the business outlook.

Debashis Chatterjee: Thank you, Vinit.

This quarter was an one-off. We will return to growth in Q1.

The positive outcomes of our positioning as an organization with scale, expanded capabilities, and stronger partnerships continue to reflect in our order inflow and pipeline. Through the year, we have pivoted our portfolio to align with the current spend areas and are positioned well to capture the discretionary spend wave when it returns.

We have entered FY25 with a stronger foundation to drive the revenue synergies. As we reflect on our achievements and look to the future, we are confident that the insights we have gained and the strategies we have implemented will enable us to execute better.

We are excited to see what the future holds and committed to making the most of every opportunity that comes our way.

With that, let me now open the floor for questions.

Moderator: The first question is from the line of Nitin Padmanabhan from Investec.

Nitin Padmanabhan: I had a couple of questions. So one is, how are you looking at the discretionary spend environment and the BFSI portfolio as we look out into next year? So that's the first one.

The second is, how should we think about margins because even if I look at the current quarter, it looks like there are a couple of moving parts, which need so

me context. One is that the

employee costs have gone up on an absolute basis despite headcount having come down. And from a balance sheet perspective, it looks like the right of use assets has gone up by almost INR LTIM Q4 and FY24 Earnings Call

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600 crores sequentially. So just wanted some context on both these things, along with the broader view on discretionary, BFSI and margins.

Debashis Chatterjee: So as far as discretionary spend is concerned, at an overall level, I think there is still the same level of caution that we have seen in the last financial, but at the same time, we feel that we are well positioned in terms of the portfolio that we have and the capabilities that we have in terms of bouncing back as and when the discretionary opens up. There is still caution as far as discretionary spend is concerned, 80% of the pipeline that we have are still cost takeout, consolidation kind of opportunities.

As far as BFSI specifically is concerned. Again, it's continuing to be cautious owing to seasonal and macro uncertainties. There is focus on regulatory and market compliance and then those things can get into a long-term transformation as well. And as we called out, there is a onetime impact of 80 basis points this quarter due to 2 project cancellations where clients reprioritized their spends.

In terms of margins, we had called out last quarter itself that we had to pause on the margin expansion plan. It does not mean that we don't want to get there. We still have a robust margin program in the organization. Given the fact that we did not see the revenue line coming the way we expected. We felt that it will not be appropriate to follow the margin plan because it will impact our growth.

But all that I can say is that over a period of time, we will again get back to the same trajectory that we had, but it will take a while because we do feel that it's important to focus on the growth as well along with the margin. But I just want to give you the assurance that the margin is of paramount importance, and we have a plan in terms of focusing on the margin, which we will see as we go along.

Just to highlight one more thing - that as far as the margin program is concerned, this is kind of driven at the highest level in the organization. And in terms of the employee cost and the other question you had, I will request Vinit to answer.

Vinit Teredesai : Yes. Nitin, as far as the employee cost is concerned, there have been 2 factors to it. One is the fact that there is a little bit of an uptick on the on-site headcount as a result of which there is a little bit of a higher cost. Secondly, there is also a little bit of a seasonal effect of some of the benefits getting aligned at the on-site level at the beginning of the calendar year. So, these are the 2 factors.

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And third, we also need to remember at the end of the day, while the net headcount is coming down, the replacement headcount that comes into the organization doesn't come at the same cost. So there is a little bit of inflationary pressure that always comes in. So that's the 3 factors that are basically driving down the employee cost on a higher side.

Operator : The next question is from the line of Sulabh Govila from Morgan Stanley.

Sulabh Govila : My first question is on the deal wins. So this Y-o-Y deal win number that we reported this quarter is a bit softer than a 20% growth that we've seen in the last 3 quarters. So is there a further change in the client behaviour that you saw in this quarter? Or is it just a quarterly anomaly that will sort out over the next quarters?

And if you could also comment on - given the divergence of deal wins and the revenue growth due to the changing nature of the deals that we are winning, at what growth levels of these deal wins, do we think that there could be some meaningful sequential growth that we can report in revenue?

Sudhir Chaturvedi: Yes. So coming to the order inflow point, Sulabh. If you look at it on a full year basis, right, we've touched \$5.65 billion of order inflow, that's almost 16% up year-on-year. I think that's a better way to look at that number because Q3 is the quarter of renewals. So that's why it tends to be the higher quarter because most renewals happen in the October-to-December period. I think the overall order inflow, if you see, it reflects a good mix, as DC said, of our pivot to having a much higher share of the efficiency-led, cost takeout deals, which means that we have a more balanced portfolio of revenues to look forward to from both a good mix of discretionary and long-term efficiency-led revenues.

Sulabh Govila : Understood. And at what point in time should we expect this divergence between deal wins and the revenue growth to sort out?

Sudhir Chaturvedi : Yes. As the deal wins ramp up, as you can see in the full year, we've announced about 20-plus deals in the large-deal space. And we are seeing them all ramp up by the new financial year.

So Q1 onwards, we will see that coming through.

Sulabh Govila : Understood. And my second question is with respect to the margin profile. I know you mentioned that the margin aspiration is sort of pushed out and given the softer growth in the near term, that looks difficult. But I just wanted to understand that from a Y-o-Y perspective, the outlook for FY '25 margins, could it be the case that they are similar or lower than FY '24 numbers? Or do you think that is the number that you can maintain?

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Vinit Teredesai: Yes. So Sulabh, our aspirational margin of what we have laid down both at the time of merger as well as in the short-to- medium term, that continues. As the business environment and the growth comes back into action, I think the margin will also continue to see an improvement. Right now, for FY 25 we don't want to comment anything on FY '24 versus FY '25. FY '24 was a year whereby there was a 4.4% growth. And comparatively, obviously, with the initial impact of merger cost, etc, that were there, the margins had an impact. But as we get into FY '25, it's a business as usual, the growth, etc, as it returns, you will also see an improvement in margins coming back. I just want to reiterate the fact the 17% to 18% target still remains the same, and our overall aspirational target, what we had laid out at the time of merger, also remains intact.

Operator : The next question is from the line of Manik Taneja from Axis Capital.

Manik Taneja : Just trying to prod you further on the Financial Services vertical performance through the course of FY '24. What we have seen is that our revenues have come off through every single quarter, while in the current quarter, you highlighted the impact of 2 certain projects. But how should we be thinking about this particular vertical on a go-forward basis? Because in the past, you have talked about certain consolidation deal wins in the industry, which should probably be helping your cause. That's question number one.

The second question was with regards to the High-Tech vertical. How should we be thinking about the fact that our top-client performance has extremely been good through the course of FY '24, while you've had challenges at an industry level?

Debashis Chatterjee: So Manik, as far as BFSI is concerned, we did have a onetime impact due to 2 project cancellations where clients reprioritized their spends. And because it is one-off, there is nothing for us to believe that we won't get back into growth as we get into the Q1. As far as High-Tech is concerned, the top client continues to grow as we have seen. And there is enough opportunities to leverage the expertise that we get with the top client and then take it to the other clients. And that is something which i

s going on. And with that, we should be

able to channelize the growth in High-Tech as well. So I don't think there is any reason for us to get worried about those 2 areas.

Manik Taneja : DC, my question was with regards to Financial Services through the course of the year. I do

understand that this quarter, essentially, we had certain project cancellations. But Financial Services has been weak through the course of FY '24 every single quarter, and we have been talking about deal wins and consolidation wins for us, and that's the reason to essentially check with you on how should we be thinking about Financial Services growth in FY25.

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Debashis Chatterjee: So I think I misunderstood your question. If you look at the Financial Services per se for the full FY '24, we have actually grown at 2.2%. So from an overall full year perspective, it has been a growth story for BFSI. And barring the impact that I talked about in Q4, I don't think there is any reason for us to believe that there is any specific softness. In fact, there is a lot of work that we do in the regulatory space, which still continues. Yes, discretionary spend is not yet back. But as and when it is back, it will only help us and benefit us in the long run.

Manik Taneja: Sure. And just wanted to get your thoughts around some of the leadership exits that we've seen at the company through the course of recent months, there was an indication that the organization was beginning to stabilize post the merger, but we've seen an increase in terms of recent exits. So how should one be reading this?

Debashis Chatterjee : Well, I think the merger is pretty much behind us. As of first of April last year, it is LTIMindtree. And in any organization, you have exits as part of BAU. I don't think we should read beyond that. And please understand that when these 2 companies came together, we had significant leadership bandwidth. So essentially, in spite of whatever exits you have seen, we have been able to grow year-on-year basis, and there is a strong team on the ground, and we are very confident in terms of our future as well. So I don't think we should attribute these exit to anything other than normal BAU, and we are well geared to deal with any of these changes.

Operator : Our next question is from the line of Ravi Menon from Macquarie.

Ravi Menon: As we look at LTI pre-merger, you used to have a seasonality in Q3 in Manufacturing, and we had thought as a combined company the seasonality should reduce. But this quarter, it looks like that's actually magnified. Could you explain a bit what happened in Manufacturing in this quarter?

Debashis Chatterjee: Well, as far as Manufacturing is concerned, the seasonality that you saw, some continues. There was a significant amount of pass-through, which was there in Q3, which was not there in Q4, and that is part of Manufacturing. So beyond that, I don't think there is any other factor. And by the way, just on a full year basis, Manufacturing has grown almost 15% year-on-year.

Ravi Menon: This quarter, when you look at the growth across client tiers, except for the top 5, it looks like there has been a decline in the top 6 to 10, top 11 to 20 and beyond that as well. So is there a broad-based slowdown still happening? Are there clients still cutting back on projects? Or do you think we are at the fag end of this?

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Debashis Chatterjee: So I think if I understood your question correctly, when we talk about some of the pass-throughs that we had, that is kind of impacting some of the clients in the 1 to 40 segment as well. But what you need to understand is that the top 40 has grown slightly higher than the overall company average for the full year. And we have pretty much seen growth across most of the top 40 clients, on a year-on-year basis. So I

don't think there is any change to the strategy that we had, and our strategy has worked out fairly well.

Ravi Menon : Just a follow-up on that. This pass-through should have been for a very specific client or perhaps 2 clients at most, right? Because this is a seasonal thing, and we have that every Q3 with probably an Indian manufacturing client. But this is a slowdown that we see beyond that as well in each segment when we look at it individually, top 6 to 10 or top 11 to 20. And beyond that, we're seeing a Q-on-Q decline this quarter. So that's why I was wondering...

Debashis Chatterjee : So I think there are 2 things. One is the pass-through is probably a few more clients rather than just 1 client. That's number one. And number 2 is that I don't think we should look at

quarter-on-quarter. We should look at the overall year-on-year. And if you see the year-on-year data, it is looking pretty positive for us.

Operator : The next question is from the line of Vibhor Singhal from Nuvama Equities.

Vibhor Singhal : Two questions from my side. One question, DC, just wanted to check. As you rightly mentioned, our top clients have actually grown higher than the company average. And that's true for FY '24 as well as fourth quarter as well. So just wanted to pick it the other way around. The growth has actually been dragged by the long tail or, let's say, the remaining part of the client bucket. So I mean, what is it that we are seeing there, which is kind of making this revenue overall drag than the top 40? I mean, I'm imagining that the top 40 clients' performance would have been impacted by the project cancellations you mentioned in Q4. But despite that, the non-top 40 clients, apart from, let's say, the discretionary spend that you mentioned, any other thing that you believe is impacting them? And do you see some of them reversing in the coming quarters? And then I have a follow up for Vinit.

Debashis Chatterjee : So Vibhor, as I said, I don't want kind of focus on quarter-on-quarter. But if I look at the overall full year picture, if I look at the year-on-year FY '23 vis-a-vis FY '24. The top clients, the revenue contribution has actually increased slightly compared to FY '23. So I think our strategy of account mining and focusing on the top clients and focusing in terms of cross-sell, upsell, I think that is working out fairly well. Now obviously, the macro conditions did not allow us to do anything more than what we could have done. But our strategy is pretty much in place, and we will continue with that strategy. And along with that strategy, if there is an opportunity for us to do a tail rationalization at some point of time, we will also do that. And

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the client base has also expanded. Each client base has also expanded each vertical has also grown. So let's look at those aspects. I will let Sudhir also add on.

Sudhir Chaturvedi : Just one point in terms of the program that we've been running in the company, the Focus 100 program that we talked about. So we've gradually rolled out that program. We began, as you can imagine, with the top 50 accounts. That was our first priority. Now we've rolled it across the 100. And now as we have experience of rolling out the program, we will also now bring in the rest of the clients that we have, especially the \$1 million-plus clients. I think we have 394 clients that are above \$1 million. So we will use the best practices learned from this rollout to cover the rest of the accounts as well.

Vibhor Singhal : Got it. I just have one follow-up question for Vinit. So Vinit, on the margins front, of course, this quarter, you mentioned the impact of one-off things and all. What is the fresher-hiring target that we have for FY '25? And do you believe that could actually impact margins basically negatively in the near term, taking that into account and given that utilization is

already 87%, what could be the incremental margin levers for you from current levels?

Vinit Teredesai : See, there is a senior-level margin improvement program that is being launched with multiple aspects of it and freshers is only a part of the strategy. As we have stated in the past, our pyramid rationalization, adding more people to the bottom level is something which we are doing. Secondly, in the current context, we are also working out on the right role, right pricing and the red programs, whereby the margin needs to be improved over a period of time. All those things, we are working on. And at this point of time, those are going to be our levers on which we will focus.

The third important aspect is growth. At the end of the day, the growth will drive the margins. I don't think we need to make that much amount of investment on our SG&A. Our SG&A is much stronger to support a larger growth that will be coming in. And I will leave it at that, at this point of time.

Operator : The next question is from the line of Kawaljeet Saluja from Kotak Securities.

Kawaljeet Saluja : DC, my first question is for you. See, it does not look like in FY '25, discretionary spending outlook would improve. So with that being the case, should your growth be similar to what you saw in FY '24, or are there any specific interventions that you have made in terms of cost takeout, deal participation, et cetera, which could change your growth outlook for FY '25 even in a challenging environment?

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Debashis Chatterjee : So Kawaljeet as far as the growth is concerned, I think the one thing which has happened in FY '24 is the deal profiles have changed significantly from a discretionary to more of cost takeout. And typically, what happens in this cost-takeout deals, they are multiyear. And initially, for the first couple of quarters, there is always some transition involved, etc. So the revenues normally kick in when you have kind of ramped up fully in those deals. So there are quite a few deals in which we have completed the ramp up. Some of the ramp-ups were actually delayed as well. But the confidence that we have, and as I said in my opening remarks, this was a one-off quarter when we'll get back to growth. That confidence comes from the fact that many of those deals have kind of ramped up and we should see the revenues kick in.

Now if you look at the pipeline that we have, 80% of the deals in the pipeline are also very similar-in-nature deals. So which means that they need to be closed, they will have transition and then the revenues will ramp up. So the big positive is that there is a much more stickiness in terms of revenues as we go along.

The discretionary situation has not changed significantly. And I don't think we can say that the discretionary situation is any different at this point of time, but it cannot be remaining forever. But we are well prepared to adapt to the scenario where discretionary spend comes back, and we should be able to leverage that as well. So that gives us the confidence of growth. But at this point of time, I'm not going to get into a comparison of growth. But definitely, we are on the right trajectory as a team.

Kawaljeet Saluja : Okay. That's helpful perspective, DC. The second question that I had is for Vinit. Vinit, this onetime impact of 80 basis points due to project cancellations, how does this play out? Was there a revenue reversal or was there basically transition costs that you were carrying, which you have written off? How will this show up in the P&L?

Vinit Teredesai : So the project cancellation, we had anticipated this revenue to come in. And against that, we have done the ramp-up and allocation of people, which then didn't translate into revenue by the end of the quarter. And as a result of it, the impact on the P&L was felt, on account of the revenue not coming in, but

the cost continuing and the margins sort of getting impacted. Now these people have been sort of redeployed to the other projects. In Q1, you should see a good amount of this returning back.

Kawaljeet Saluja : When you show the utilization number, it's adjusted for this or the utilization is on a gross basis, which is including the project cancellation resources and other resources which were used on programs which got eventually cancelled?

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Vinit Teredesai: As I said, that till the fag end they were allocated. So for us, they were into that billable position. So for us, they were considered to be in utilization. We have not adjusted the impact of that.

Nachiket Deshpande : And Kawaljeet, I'll just add one point here. These were sort of a software plus services type of projects. So there were some license write-off that was also involved. It was not just the headcount-related part. So you'll see that both in the revenue and the margin.

Kawaljeet Saluja : Okay. That's helpful. And the third question and the final question that I had, Vinit, is on your hedges and Forex income. Now I mean logically, the rupee has been stable. So rupee is stable.

Normally, you end up booking your forward premium effectively, you end up realizing that into your P&L. But when I look at FX income for FY '24, actually, there was a Forex loss, which seemed to be a little bit unusual because even now when you sell contracts in the forward market, you do get a premium on a 1-year, 2-year, 3-year basis. So what contributed to that Forex loss when you look at FY '24 or rather negligible profit, Forex gain as such. And should this number start normalizing as we move into the next year?

Vinit Teredesai : The hedges, what we have and the impact what you see, these hedges have been taken over a period of time in the last 2, 3 years. We effectively run almost 3 to 5 years forward-looking hedging program. So these just have been taken at different points of time. Secondly, while the Forex from an average monthly perspective sort of doesn't show that much amount of volatility, the hedges get settled towards the fag end of the month, whereby there is a volatility, and that's where the sort of impact of the losses come in.

The third, hedging strategy is always supposed to balance out and not necessarily to reflect on our P&L as a gain or loss. We look at it as a balancing approach whereby on the one hand, we

get a benefit of volatility on the rupee or an EBIT level, and that gets offset by the hedges that we take on. If that happens in synchronization, you will see absolutely 0 impact on the P&L. But as I said, the cost gets incurred on an average throughout the quarter, but it just gets settled towards the fag end of the quarter, and that's where the difference comes into play.

Kawaljeet Saluja : Vinit, what is the realization you're carrying for FY '25 book of forward contracts?

Vinit Teredesai : That's there in our OCI, if you'd see.

Kawaljeet Saluja : That will be for a 3-year period, right...

Vinit Teredesai : Yes. So I won't specifically comment on it because the hedges, what we have today, plus we will be taking over a period of time depending upon how the Forex movement happens.

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Operator: The next question is from the line of Dipesh Mehta from Emkay Global.

Dipesh Kumar Mehta : Just want to get sense about the wage hike cycle, if you can help us understand by when do we plan to give salary hike in this year? Second question is about utilization. What would be our comfort range in terms of utilization? We are currently closer to 87 percentage. So if you can give some sense about it because our headcount continues to taper off, but we are expecting now growth trajectory to start from Q1 onwards. So if you can just help us understand how one should look at

it?

And last question is about Rest of World. Now one can understand about U.S., Europe, some kind of macro challenges impacting the performance. But for us, the Rest of World, even if I look from a full year perspective, seems to be weak. So if you can provide some comment around it.

Debashis Chatterjee : Okay. I'll let Nachiket start, and then I'll chime in as required.

Nachiket Deshpande: So on the utilization front, I think, as we've said, 85% to 86% is our comfort zone, balancing sort of growth and the efficiency ambition. So we are right now slightly higher than our comfort level. So as we see the growth coming up, we talked about Q1, you will see that we will probably end up taking utilization down by 50 to 100 basis points.

As far as our salary revision part is concerned. I think during the year, we do that on the basis of the competitiveness that we see in the marketplace, the individual performance and, of course, tenure of people in the company. Even this year, we'll go ahead with the similar approach in terms of how we roll out increments. The timing of that is still in the planning process. But at the same time, we are on track to pay our bonuses. We do half-yearly bonus payout. We paid the first half on track, and we are on track to pay the remaining part of the bonuses also after the results.

Debashis Chatterjee : As far as your question on ROW is concerned, the decline that you see in ROW, the reason is that there was a significant pass-through that we had in Q3. And that is the only reason why we had a decline. But otherwise, we are still confident that the growth that we will be seeing should be broad based as we go along across geographies as well as verticals.

Dipesh Kumar Mehta: DC, I was referring from fiscal '24 perspective, not for Q4 perspective.

Debashis Chatterjee: Yes, that's right. The degrowth that you see in terms of ROW is primarily because of a significant pass-through that we had in Q3. And some impact in Middle East as well, I think it is linked to the same BFS that we are talking about.

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Operator : The next question is from the line of Mohit Jain from Anand Rathi.

Mohit Jain : Sir, 3 questions. One is on TCV. So if I adjust for the BFSI deal cancellation that you spoke about, our TCV growth for FY '24, is it still 15%? Or should we look at it say, 14% or 13%? That's the first question.

And the second is on CapEx. Like our CapEx is still high, while for the whole year employee addition is not there. So what should we expect there in FY '25?

And third is on BFSI decline. Like can you share services growth in this segment for the quarter? Because last time you spoke about very high pass-through component in BFSI.

Debashis Chatterjee : Sudhir, do you want to take the TCV?

Sudhir Chaturvedi : Okay. So on the TCV point, the number we reported is net of the cancellations that DC spoke about. Your BFSI question, do you mind repeating it?

Mohit Jain: So last quarter, you spoke about a significant pass-through portion in the BFSI segment revenue. Is it through now? The revenue number that I'm looking at 4Q FY '24, BFSI segment, is it services or what would be the services growth number for Q4 on a sequential basis?

Sudhir Chaturvedi : Okay. So I think I'll ask Vinit also to add to this, but I don't believe there was a significant pass-through in BFSI in Q3. These 2 cancellations are primarily services. There's some license element, but it's primarily service.

Vinit Teredesai : So Mohit, I don't think, we ever said that there was a pass-through component in the BFSI per se alone. What we said was last quarter, we had a significant portion of pass-through and that was spread across all the verticals, including BFSI. But it's not that the BFSI was driving down the significant portion of cost. It was in the Manufacturing sector as earlier called out.

Mohit Jain : Manufacturing, s

ir, I'm aware of. So BFSI growth, whatever you have reported, that is the services growth for the quarter as well.

Vinit Teredesai : That's right. Absolutely. That's correct.

Mohit Jain : Okay. And the last one was on Capex, like Capex is still high for the year versus employee addition. So how should we look at it from an FY '25 standpoint?

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Vinit Teredesai : After the pandemic breakout, you have seen that in the first 2 years, we have not spent on Capex. As now we are asking people to partially return back to office, we had to create capacity because now we have people spread across multiple cities. So on an overall note, there is enough capacity in each individual cities, there is a deficit in certain cities, which we are sort of building out.

I think so for the next year to 2 years, you should anticipate that the Capex will be on a higher side because we are building that Capex from a forward-looking perspective at the same time also to bridge this deficit, whichever is there. On the other hand, we should also keep in mind that as we build some of these Capex, there are certain lease cost also that will start coming down as we start surrendering some of these leases. So you have to look at that from a net-net perspective.

Mohit Jain : So the number you report in the cash flow statement, that is net only, right? Or will it be gross Capex number?

Vinit Teredesai : It's a gross Capex number. That's why I said, we will incur Capex in the next 1.5 years until we sort of build up the capacity and build that deficit that we have in certain cities.

Operator : Our next question is from the line of Sandeep Shah from Equirus Securities.

Sandeep Shah : DC, in your opening remarks, you also alluded that apart from macro issues, there were some client-specific issues in the top 40 clients. So how many such clients you have faced the client-specific issue? And most of them are largely behind? Or do you still witness entering FY '25, especially if you can speak about the top client in the BFSI.

Debashis Chatterjee : Yes. So I think the only thing we called out is the 2 clients, which we talked about or the 2 projects, I would say, not client, 2 projects in BFSI, which had the impact in terms of revenues reducing in BFSI. And apart from that, I can only say that some of the discretionary spend in the clients have declined, which we have been talking about for a while. The macro environment has not been the most conducive in terms of clients to get back on discretionary. And there has been also some in-sourcing that we have seen in the top 40 clients.

In spite of all these things, still at an overall year-on-year basis, the top 40 clients still grew 4.5%, and which is in line with the overall organization growth. So overall, I think we are in a good place. In spite of so many challenges, we still have managed to grow the top clients the way we wanted. And we are well positioned in terms of further growth as and when the discretionary comes back.

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Sandeep Shah: And just further to that, any outlook in terms of growth expectations from a top client in BFSI in FY '25?

Sudhir Chaturvedi : We'll talk more about the overall BFSI level. So as DC mentioned, we've been announcing deals at BFSI. In fact, even in this quarter, we had 2 large deals in the BFSI space. It's a good combination of cost reduction deals, plus some core transformation deals, especially in the payments platform transformation space or the lending platform transformation space. And we have a good pipeline in the existing accounts. We had a good new logo addition also that happened this quarter in BFSI and as I said, the large deal pipeline in BFSI continues to be strong. So I think overall, BFSI, if I were to look at it from Q1 onwards, we should start to see a good return to growth, r

effective of the work that has been done or the order intake that has been done in FY '24 and what we are seeing currently in the pipeline.

Sandeep Shah : Okay. And just last few things. Just clarity on this 80-bps impact on the overall revenue because of project cancellation. Is it the revenue being reversed, which was booked in the quarters before fourth quarter or this was an anticipated incremental revenue to be booked in fourth quarter, which has not happened?

Vinit Teredesai : It was an anticipated revenue to be booked in Q4, nothing of the past quarter.

Sandeep Shah : Okay. And this won't reoccur in the coming quarters, right? It's cancelled?

Vinit Teredesai: No, it won't.

Sandeep Shah : And Vinit, last thing, we are exiting with an EBIT margin of 14.7%. The full year margin is 15.7%. The first quarter, we may have a headwind coming through visa and second quarter, if we give a wage hike, it will have an impact on the margin so earlier commentary about outlook to improve margin on a Y-o-Y, don't you believe it's a difficult task? Or we are expecting some tailwinds to emerge in the second half? And all the best Vinit and congratulations Vipul.

Vinit Teredesai : See, again, some of these costs, what you are talking about, visa, etc, are all planned cost. So there is no surprise on that in our planning exercise that has all been factored in. As I said, there are 2 important factors that will play out in Q1. Some of these one-offs that we called out are not going to be there. And then the growth is the other aspect, which will sort of help us in terms of mitigating some of these headwinds. As growth comes in, all these will be taken care of.

Operator : The next question is from the line of Apurva Prasad from HDFC Securities.

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Apurva Prasad : So we did mention this in the call, of the change in the nature of deals that led to the disconnect between bookings and revenue growth. So my question really is that do you think the current levels of book-to-bill is adequate to accelerate growth? Or in your opinion, booking velocity needs to go up and improve from here?

Sudhir Chaturvedi : Yes. Firstly, the order intake is up 16%. Even the book-to-bill is a healthy 16%, 17% above our quarterly revenue run rate. So I think that way we are fine. What you should look at is how we've grown all the pyramid. We've grown every bucket of the pyramid or every layer of the pyramid, we've added clients as well as grown across them. And I think that's what gives us that confidence, as DC has also been saying, about broad-based growth across verticals, across client buckets.

Apurva Prasad : Yes, just wanted to clarify on this point. So what you're essentially indicating is that if the book-to-bill remains at these levels, you could potentially accelerate from the 4% growth rate?

Sudhir Chaturvedi : Okay. Potentially, but a lot of it depends on market conditions. It is still a cautious environment out there. The only thing is, as I said, we've built up a good order book, which is why we have confidence, which we know will flow into FY '25 revenues. Yes, thereafter, as the market conditions improve and if there is a return to discretionary spending, as we mentioned in our opening remarks, we will start to see an uptick.

Apurva Prasad : Got it. And just finally on margins, is margin expansion for the year premised on growth acceleration? Or you do see that happening irrespective?

Debashis Chatterjee : See, margin is not a 1 quarter phenomena. If you talk about margin expansion, it has to be a discipline that you need to have within the organization, and we have done that in the past. And we would have done that in FY '24 as well, but it is also dependent on how the revenue line comes in. The reason why we changed the course because if you only focus on margin, then obviously, the top line also gets impacted. So we wanted to just

take a pause. We still have the program, which is running as far as the margin program is concerned, driven right from the top, I'm personally monitoring that program. So margin has to be part of the hygiene, it has to be part of the discipline. It is just that given the current circumstances, we feel that whatever we had planned last year, that did not materialize but that does not mean that we are going away from the overall game plan that we had. So if it all goes fine, then you will actually see a little slow gradual uptick in terms of margin as we go along in this year as well. Operator: The next question is from the line of Sudheer Guntupalli from Kotak Mahindra AMC. LTIM Q4 and FY24 Earnings Call Apr 24, 2024

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Sudheer Guntupalli: Yes. DC, this is just a clarification on your earlier point that the leadership and sales attrition is just business as usual. So are you implying or sort of confirming that these exits are not costing us any growth because if macro and, let's say, the discretionary stays, where they are, if you look at it as a lowest common denominator for all companies, still, a company of our size should have grown a few percentage points higher than what we have delivered this year. So is there a need to acknowledge that sales attrition, leadership attrition is costing us and this needs to be fixed immediately?

Debashis Chatterjee : Well, the short answer is absolutely no because as I said, when we did the integration and past the integration whatever happened as of first week of April last year, we are pretty much done with the integration. So whatever has happened is all part of the BAU. And the good news is that we had enough leadership bandwidth on both the erstwhile organizations, which is now combined together.

So I can assure you that whatever you see in terms of the organization in FY '24, it is more the macro and the overall scenario that we have seen, but it has got nothing to do with the leadership attrition. And whatever we talk about attrition as we go forward, it's part of BAU, which is absolutely normal.

Operator: The next question is from the line of Ashwin Mehta from Ambit Capital Private Limited.

Ashwin Mehta : Two questions. So DC, as we look to chase growth, do we need to relax some of our operating parameters like we run at almost the highest offshore effort at around 85%. Our SG&A levels are more like 12.5%, which is towards your historical lows. So do you need to invest here? And thirdly, in terms of utilizations, do we need to take them down? And the second question is around the right of use assets. What has driven the more than 40% sequential increase in terms of the right of use assets?

Debashis Chatterjee : Look, I mean, utilization where it is right now, I think Nachiket has alluded to it. Our healthy utilization range is 85% to 86%, in that range. And as we get on with growth, we are always willing to get the hiring engine pumped up. And at this point of time, it is not a difficult situation for us to ramp up faster if you need to. So given all these conditions, all this criteria, I don't think there is any problem from our perspective in terms of the overall operating model, which will help us to chase growth.

And also, when you talk about and if you look at FY '24 when we talked about that we want to just slow down on the margin goals. The idea was exactly what you were talking about. Idea was that let's look at what we have. And we don't want to take margin up just like that unless we also can grow the top line. So we are now already in a situation where we are confident about the growth. And even you have to accelerate growth, if the discretionary LTIM Q4 and FY24 Earnings Call Apr 24, 2024

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comes back, we should be able to do that in the current scheme of things. Nachiket, do you want to add anything?

Nachiket Deshpande : And in terms of the offshore on-site effo

rts you asked, we don't target a particular number. It's not a sort of a margin lever for us. It's a reflection of the nature of the work and the kind of deals that we have with the customers. So it's not that we are targeting a particular number there.

Vinit Teredesai : And your second question on the right to use. It's basically related to the Capex question which was asked earlier. It is basically a capitalization of 2 leased properties that we have

recently got into our portfolio, and that's the reason of that jump.

Ashwin Mehta : Okay. And just a follow-up to what Nachiket mentioned. So in terms of our deal pipeline, which is skewed towards more cost takeout kind of deals. Is there more people or asset takeover involved in terms of deals versus what we would have done in the past?

Nachiket Deshpande : So not all deals have that asset takeover or people takeover component. Some deals do. We continue to be cautious about the kind of deals that we want to get in from a longer-term perspective and the margin impact of that and so on and so forth. Our strategy remains the same that it was in the past as well.

And as far as the offshore effort part is concerned, I think that is a reflection of the type of deals that we are talking about. Typically, multiyear long-term cost takeout deals tend to have higher offshore leverage as well. Hence, you see the effort mix in the way you see it.

Operator : The next question is from the line of Apurva Prasad from HDFC Securities.

Apurva Prasad : On BFSI, the 2 deals that were mentioned, is that restricted to the top account? Or is it beyond that?

Sudhir Chaturvedi : Okay. So it is beyond that. I think folks, please look at it as 2 isolated projects. Which were closed within the quarter, and there is no impact going forward for it. So we're going back to the answer that I gave you regarding the order intake that we already have in BFSI, the wins that we have and the pipeline that we have, and that gives us the confidence of how we see it returning to growth in Q1.

Operator : Thank you. Ladies and gentlemen, that was the last question. On behalf of LTIMindtree, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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(This document has been edited for readability purposes)

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Call: Jul 2024

LTIM/SE/STAT/2024-25/52 July 22, 2024

National Stock Exchange of India Limited,
Exchange Plaza, Bandra-Kurla Complex,
Bandra (E),
Mumbai - 400 051

NSE Symbol: LTIM The BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

BSE Scrip Code: 540005

Dear Sir(s)/Madam,

Subject: Transcript of Earnings Conference call held on July 17, 2024

With reference to the captioned subject, please find enclosed transcript of the Earnings Conference Call held on July 17, 2024.

Kindly take the above on record.

Thanking you,

Yours faithfully,
For LTIMindtree Limited

Angna Arora
Company Secretary and Compliance Officer

Encl: As above

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"LTIMindtree Limited
Q1 FY '25 Earnings Conference Call"
July 17, 2024

MANAGEMENT : Mr. Debashis Chatterjee – Chief Executive Officer & Managing Director
Mr. Sudhir Chaturvedi – President, Markets
Mr. Nachiket Deshpande – Chief Operating Officer
Mr . Vipul Chandra - Chief Financial Officer
Ms . Nikita Raja – Investor Relations

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Moderator: Ladies and gentlemen, good day, and welcome to LTIMindtree Limited Q1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mrs. Nikita Raja from the Investor Relations team at LTIMindtree. Thank you, and over to you, ma'am.

Nikita Raja: Thank you, Neerav. Good day, everyone, and welcome to the LTIMindtree Quarter 1 FY '25 Earnings Conference Call. Today on the call, we have with us

Mr. Debashis Chatterjee, Chief Executive Officer and Managing Director;

Mr. Sudhir Chaturvedi, President, Global Markets;

Mr. Nachiket Deshpande, Chief Operating Officer; and

Mr. Vipul Chandra, Chief Financial Officer.

We will begin with a brief overview of the company's quarter 1 performance, after which we will open the floor for Q&A. During the call, we would make forward-looking statements. These statements consider the environment we see as of today and carry risks and uncertainties that could cause our actual results to differ materially from those expressed in today's call. We do not undertake to update any forward-looking statements made on this call.

I now turn the call over to DC for his opening remarks.

Debashis Chatterjee: Thank you, Nikita. Good evening and good morning to everyone on the call.

Thank you for joining us today.

I want to start by expressing my deepest gratitude to Mr. A. M. Naik, who retired as our Chairman and Board member last month. As a Founder Chairman, his vision and guidance have helped us establish ourselves amongst the largest IT services companies in the country. We are committed to carrying forward his vision and taking the company to greater heights. I

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also want to congratulate our new Chairman, Mr. S. N. Subrahmanyam and look forward to his continued guidance.

Let me now share commentary on the market environment and our performance in Q1 FY '25. Though the market environment remains unchanged, we see some green shoots of recovery. Clients continue to focus on efficiency via cost takeout or vendor consolidation deals. However, we are seeing early signs that they are beginning to deploy the savings in additional budget towards kicking off high-priority transformation programs and making foundational investments for AI. We are seeing this play out more in BFSI and Technology, Media & Communications, our largest verticals. Additionally, the ramp

pick-up in deals we had talked about in previous quarters is beginning to reflect in our revenues.

We are pleased to announce Q1 revenues of US \$1.1 billion, growing 3.7% in constant currency and 3.5% in dollar terms on a year-on-year basis. Our sequential revenue growth in dollar terms was 2.5%. On the margin front, our EBIT margin for the quarter was 15%, improving by 30 basis points sequentially and our net margin was 12.4%.

Our order inflow for the quarter was US \$1.4 billion. In the current business landscape with a focus on cost takeout and vendor consolidation, clients appreciate the clear value proposition we bring, and we believe we have significant runway ahead of us to capitalize on this aspect.

Let me highlight a few such deal wins during this quarter.

A major US airline chose LTIMindtree to provide platform engineering and operation services, leveraging its global delivery footprint in the US, UK, Poland and Australia.

A US-based insurance and retirement corporate has awarded LTIMindtree a multi-year Application Development and support program. This program comprises 100+ applications across different services in the new business portfolio.

A US headquartered company that provides data center solutions to hyperscalers, cloud and enterprise customers has awarded LTIMindtree a LTIMindtree Limited
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multiyear deal to provide port-based management services in application development, data engineering, infrastructure support, testing and ITSM. Across deals, we see a significant AI play and AI-driven reimagination. We are also witnessing good activity on MSA signing and expect that to drive growth in the upcoming quarters.

Now let me spend some time on our industry verticals. The BFSI vertical grew by 2.9% quarter-on-quarter and de-grew by 2.7% year-on-year. We see BFS customers starting to scale up high-priority programs with momentum across subsegments. Regulatory compliance continues to be a key spend area, followed by data plus AI, consumer experience and vendor consolidation. Technology, Media and Communications grew by 7.9% quarter-on-quarter and 11.9% year-on-year. Some key themes playing out here include business model transformation and platform operations.

The Manufacturing & Resources vertical grew by 1.8% on a quarter-on-quarter basis and grew by 10.5% on a year-on-year basis with a continued focus on areas of ERP transformation, data modernization and Industry 4.0. Our Consumer Business saw a decline of 0.7% on a year-on-year basis. Our Healthcare, Life Sciences and Public Services vertical grew by 0.1% year-on-year.

In terms of geographies, America, which made up 75.1% of our revenue, has grown by 4.4% on a quarter-on-quarter basis. Europe made up 14.4%, and the Rest of the World made up 10.5% of our revenue. We are committed to expanding our global footprint and being the preferred global partner for our clients. We recently inaugurated our regional headquarters in Saudi Arabia's capital Riyadh, as part of the expansion in the Kingdom of Saudi Arabia and the Middle East. This follows the recent announcement of our joint venture with Aramco to create an IT services company in the Kingdom. This will enable LTIMindtree to support, manage and direct its strategic business initiatives in this region. We have also opened offices in Calgary and Shanghai and look forward to expanding our presence in Brazil. We now have delivery presence across all key global locations.

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As per our recent survey in collaboration with an external research agency, more than 85% of enterprises are looking to accelerate their AI-related investments. Many customers are progressing from the Proof-Of-Concept stage and looking to deploy AI use cases across the enterprise. Scaling of these AI solutions within the enterprise will require investments in infrastructure, data governance, d

ata lineage, explainability, etc. Our strong presence in these areas gives us a distinct advantage to partner with our customers on their scaling journey.

Knowledge management, customer service, intelligent content insights and generation, document summarization and software engineering are some key areas that are early adopters of AI. I am happy to report that we are assisting a majority of our top 100 clients in AI and related areas.

A key impediment to the broader enterprise adoption of AI is scaling. A platform-based approach is critical to ensure that the right security and responsibility guardrails are consistently adopted. We are systematically investing in our Canvas.ai platform to enable customers in this journey. Our investments in Fosfor, our data-to-decisions product suite and forging partnerships with leading players in this space give us a distinct advantage. These partnerships range from semiconductors to AI governance.

In order to thrive in these disruptive times, it is critical that organizations make a significant pivot to AI. Our strategy of "AI for Everything", "Everything for AI" and "AI for Everyone" is helping us drive this cultural change within LTIMindtree as well as our other clients.

This culture change will only be effective if the entire organization rallies

behind it. To energize the enterprise, we organized our first AI-centric event, "IgnAlte" this month across campuses bringing clients, partners, analysts and employees together to explore the unlimited possibilities of AI and our work around the same. This in-person event was organized across 6 cities, 30 units participated in it, which showcased 100-plus solutions, involved 17 partners and hosted 50-plus delegates from the industry and adviser community. Over 20,000 associates participated in this event, which was a tremendous success.

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As customers prepare for AI adoption, there is increased spend on tech modernization in Data, Digital Engineering and Enterprise Apps. Efficiency gains from cost takeout and vendor consolidation are freeing up funds to support modernization efforts, which is also driving the uptick in demand. We are beginning to gain traction in the platform operation service. We have signed our first major deal in this space in tax and mortgage processing. Our focus is on reimagining the existing processes with a platform plus AI approach. We see a good opportunity to leverage our presence in verticals and other service lines to drive end-to-end process transformation for our clients.

I will now turn over the call to Vipul for the financial highlights.

Vipul Chandra: Thank you, DC. Hello everyone and thank you for joining the call. Let me take you through the financial highlights for the first quarter of FY '25, starting with the revenue numbers. Fiscal year 2025 started in line with our expectations. For the first quarter of FY '25, our revenues stood at US \$1.1 billion, up 2.5% sequentially and 3.5% year-on-year. The corresponding constant currency growth was 2.6% quarter-on-quarter and 3.7% year-on-year.

EBIT for the quarter was INR13.7 billion, translating into an operating margin of 15% compared with 14.7% in the previous quarter. The absence of project cancellation impact of the last quarter and operational efficiencies led to margin improvement of more than 100 basis points. This was partially offset by headwinds from higher visa cost of 50 basis points and higher SG&A on account of travel and marketing events.

The effective tax rate for the quarter was 25.6% compared to 24% in Q4 FY '24.

PAT margin for the quarter remained flat sequentially at 12.4%, however, reported PAT moved to INR11.4 billion this quarter compared to INR11 billion last quarter.

Basic EPS was INR38.3 for the quarter compared to INR37.2 in Q4 FY '24. We have achieved further progress in reducing our DSO. Our billed DSO improved

to 55 days versus 57 days in Q4. And with that, the total receivable

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days, including unbilled, is at 78 days for Q1, an improvement of 2 days sequentially. This is in line with our aspiration of reducing the total DSO. The operating cash flow to PAT was 109.9% against 89.8% in the same quarter a year ago. Free cash flow to PAT came in at 88.6% compared to 72.6% in the same quarter a year ago. The cash and investment balances stood at US \$1.36 billion or INR11,334 crores compared to INR11,525 crores in Q4 FY '24. Return on equity for the quarter was at 23.9%. As of June 30, 2024, our cash flow hedges stood at US \$3,740 million, and hedges on the balance sheet were US \$269 million.

As a result of a ramp-up in deals won, our utilization, excluding trainees, increased to 88.3% from 86.9% last quarter.

For the quarter, our TTM attrition remained stable at 14.4%. We onboarded around 1,400 freshers this quarter.

We are pleased to announce that LTIMindtree was ranked in the Financial Times Climate Leaders Asia Pacific 2024 for the third year in a row for its best performance in reduction of greenhouse gas emissions intensity, over 2017 to 2022, related to revenue and transparency and sustainability

disclosures.

We are also delighted to share that LTIMindtree has attained a fabulous score of 4.7 out of 5 in the FTSE4Good 2024 ESG assessment with environmental and governance pillars scoring a 5/5.

LTIMindtree was conferred the winning award at the "Disability Confidence and Inclusion" category for the second consecutive time at the Bombay Chambers DEI Awards 2024.

Recognitions like these are a testament to our continued efforts on the ESG front to create a sustainable future for all our stakeholders.

I now hand it back to DC for the business outlook.

Debashis Chatterjee: Thank you, Vipul. We have had a positive start to FY '25 and are seeing promising, though early, signs of recovery in demand. We expect the momentum to continue in Q2. The broader macro environment has remained unchanged, and businesses continue to adopt agile strategies to cope with the

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economic conditions. We expect the market to follow this path for FY '25, where the focus will continue to be on cost takeout, but also on select high priority transformations. As clients continue building their AI momentum and graduating AI beyond the proof-of-concept stages, we are well-positioned to capitalize on this opportunity. We will remain close to our clients and adapt if there is any significant change in the business environment.

With that, let me now open the floor for questions.

Moderator: Thank you very much. The first question is from the line of Abhishek Pathak from Motilal Oswal. Please go ahead.

Abhishek Pathak: So I have a couple of questions. Firstly, on BFSI, could you please help define these high-priority transformation areas and how these have changed let's say, from the past quarter where the banks were just shy of spending on them? That's one. And the second question is on enterprise-wide GenAI, which verticals do you think adopt, they scale up the fastest? In other words, which verticals do you think already have a lot of data estate in place? And secondly which verticals have a better business case to scale up GenAI in your opinion?

Debashis Chatterjee: Okay. Thank you. I'll let Sudhir answer the first question and then Nachiket will follow on. Sudhir?

Sudhir Chaturvedi: So on BFSI, what we are seeing is in a key clients, especially in the banking sector, we are seeing that clients actually are dealing with high priority transformation projects, which had got paused last year as they had focused mostly on the efficiency agenda. Some of the programs that were started during post-pandemic, are now beginning to get accelerated as clients look to reduce their technical debt and build b

etter systems in order to support their businesses.

So that's the overall trend that we are seeing, and that's why those high priority projects are back. We are also seeing vendor consolidation happening in this space as clients look to refresh their vendor landscape and we've been on the right side of the vendor consolidations here in BFSI with several new MSAs signed with top-tier BFS institutions in this space.

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Nachiket Deshpande: In terms of the AI adoption, I think it's across the industry. We see many companies across industry segments adopting AI. Of course, BFS and Tech tend to lead based on the already made investments in their data programs as well as significant ROI anticipated on some of the AI business use cases. But we are also seeing good momentum on manufacturing, especially on computer vision-related AIs in the Industry 4.0 area as well as in the healthcare and the life sciences space. So in a way, it's across industries, but these four industries probably would see a lead on enterprise adoption.

Moderator: Thank you. Next question is from the line of Nitin Padmanabhan from Investec. Please go ahead.

Nitin Padmanabhan: Hi good evening. In the prior two quarters, we did have some element of pass-through revenue. But if you look at the other expenses, that hasn't really

tapered. So just wanted your thoughts on how pass-through revenues have behaved during the current quarter. And the second one was on compensation increases. Do you believe that those are in line for payout next quarter?

Debashis Chatterjee: So I think as far as the pass-through is concerned, the pass-through in Q1 is fairly similar to what we had in Q4. So the growth that you'll see, I don't think the pass-throughs have paid any significant role in Q1. And the other thing is in terms of compensation, we are looking at our Q3, which is the second half of the year, where we will do the wage hike. And we are working through that. We are kind of at the planning stage as far as that is concerned.

Nitin Padmanabhan: Sure. And just one more, if I may. Sudhir, you mentioned that there's a push for high-priority projects at this point in time. There are a couple of elements at play. One, you have elections which are on the corner. And you have enterprises who have maybe not spent for 5 to 6 quarters to the extent that we would have liked. So do you think this is just a bump for elections? Or do you think this is something that can sustain and we should see a consistent improvement from here on. How would you think about it based on what you're seeing in the market?

Sudhir Chaturvedi: So Nitin, if you look our top 3 verticals have all grown. And when we reflect on this, though I commented mostly on BFS in my previous response, I think what we are seeing is that the core modernization efforts, that clients have started to undertake are continuing because that tech that creates problems

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with resilience. So what happens is -- in fact, when I speak with CIOs, that's the word that is coming up most often that they're building higher resilience in their IT systems as well as modernizing them, which was the agenda. So that agenda is a long-term agenda. So therefore, we feel that those projects will continue. Now of course, there are elections around the corner. But I think what we see clients having done is, despite the macro and the interest rate situation, they've actually assumed that for the foreseeable future, I would say, for the next 18 to 24 months, they have assumed a similar environment and are investing on the basis of that. Now we'll see whether the election disrupts that, and that's part of the reason why DC also says that we are calling out this momentum continuing into Q2, and we'll stay close to our clients and see what happens in the H2 of this year.

Moderator: Thank you. Nex

t question is from the line of Sudheer from Kotak Mahindra

Asset Management. Please go ahead.

Sudheer: Thanks for the opportunity. DC, first question on your comments on clients deploying additional savings and budget. So are we sort of calling out a trend of pent-up demand playing out here after several quarters of tech spend rationalization?

Debashis Chatterjee: I think if you have listened to our commentary in the last few quarters, we have always been saying that the entire profile of spending shifted from transformation to cost takeout and that cost takeout trend is not changing. It's still going on. And even in the last few quarters we have seen pockets where clients were taking the dollars out from the cost takeout initiative and trying to fund the in-flight transformation.

So that was going on. But now what we are seeing is that is happening a little more aggressively as Sudhir articulated. And that's pretty much for the high-priority programs. They are trying to ensure that they can restart and kind of continue with that. So I think that's what we are seeing and that's where the demand is coming from.

And also if you look at our overall revenues, the deals which we had won which was slow to ramp up, they have finally ramped up. So that is also reflecting in terms of our growth and we have been favourably positioned as

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Sudhir said in some of the vendor consolidation. All these things are helping us.

Sudheer: Second question on the strong growth within Technology, Media and Communications. If you can add further color on the subsegment level both

in high-tech and comms. Is this growth being driven by the top account or is it broad-based? Secondly, on the communications side, some companies have still been seeing revenue declines here. Any sense on what we are seeing in terms of our portfolio?

Debashis Chatterjee: Okay. Let me request Sudhir to take it.

Sudhir Chaturvedi: So in Tech and Services we are seeing broad-based growth, both in tech and in services. In fact, we're seeing a return to growth in services this quarter.

Our comms presence is quite small. In fact, it's a net new vertical for us in certain countries. So we are entering this vertical. We've got a couple of clients. So that's the way to look at our comms presence that this is going to be a new growth engine for us in the future.

Sudheer: Thanks Sudhir. Thank you so much. All the very best.

Moderator: Thank you. Next question is from the line of Vibhor Singhal from Nuvama Institutional Equities. Please go ahead.

Vibhor Singhal: Thanks for taking my question and congrats on a solid performance after two rather dismal quarters. My question was on the client buckets. I think our top five client bucket has been quite strong, probably led by the top line as well and has grown quite sharply, but I think our top 5 to 10 bracket if we see has been an issue I think all through the year. And this quarter also the top 5 to 10 bracket has actually declined both on a Q-o-Q and Y-o-Y basis. Why is it that this bucket is something which is kind of dragging our growth down? And what is the outlook on the specific set of clients and then I have a follow-up for Vipul.

Debashis Chatterjee: So Vibhor if you look at the top clients for the individual quarters there could be a little bit of volatility, but on a year-on-year basis I think the buckets are fairly stable. But if you look at the top 40 clients they have shown broad-based growth both on Y-o-Y as well as Q-o-Q basis. So I think we are more

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keen to track it on a slightly longer duration rather than just looking at quarter-on-quarter.

Sudhir Chaturvedi: As DC was saying, look at it that at a wider base on the top 40. So the contribution of this from a net perspective of the buckets have increased significantly. So some of these are based on t

he cusp, the numbers reduced,

but if you see the quantum of revenue generated by each bucket that has gone up and that's what we track.

Vibhor Singhal: Got it. So on a coronary Sudhir if I could ask, I mean, the top 40 clients have been doing better than the company average. So that automatically means that the non-top 40 clients have actually been performing rather below the company average. Is there any tail end rationalization that we are looking at or is it just a function of top 40 growing higher than the other guys?

Debashis Chatterjee: I think you hit it on the nail. I think the rationalization of the tail is an ongoing process and that is something which will continue as we go along.

Vibhor Singhal: Got it DC. Thanks a lot. Vipul, just one question from my side on the margins. I think this quarter we of course had a sharp cost in terms of visa cost, but in terms of the utilization which has now reached more than 88%.

Going forward, what are the margin levers that you are looking at to take margins back to our premerger margin levers of around 18%. Of course, that will take time for the next 2 years to 3 years. But in the near to medium term what are the margins levers that you're looking at, given utilization at the levels that they are at.

Vipul Chandra: So Vibhor the margin levers that we are looking at are primarily going to be the growth itself which will drive the margins because once the growth comes in and which is what DC said that we expect the momentum to continue in Q2, that will happen. Other levers that we are looking at is pyramid. The pyramid itself has to be corrected over a period of time and that is an ongoing effort which the management team is working on. And thirdly wherever possible we have to reduce discretionary spend to kind of improve the margins. But I would say the first and second are the more pertinent levers for driving the margin growth from here.

Vibhor Singhal: Got it. Thank you so much for taking my question and I wish you all the best.

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Moderator: Thank you. Next question is from the line of Mohit Jain from Anand Rathi. Please go ahead.

Mohit Jain: It is a continuation from the previous question. What kind of margins are you looking at from a 1- 2 year standpoint now that a little bit of growth comfort is coming back into the numbers? So that is one. And second while we are looking optimistic from a first half perspective there is no growth in TCV yet. So how should we look at TCV from say last 4, 5, 6 quarters average perspective?

Debashis Chatterjee: Yes. As far as the margin is concerned, we have highlighted earlier as well that we have put a program in place which is to take the margin up over a period of time. I mean there is a very robust program that we are running as far as the margin improvement is concerned. That program is going to be on and margin is not a one quarter phenomena. It's a discipline. So that's the thing that we are trying to do at this point of time.

So given that scenario, our overall goal does not really change. I mean it's just that we called out in the last fiscal that we given where the year was, we probably have to defer in terms of our timeline. So I still cannot define a timeline, but I can certainly tell you that our endeavour is that if the margin program works well then the margin will keep on going up steadily as we get into the following quarters. And what was your next question?

Mohit Jain: TCV growth.

Sudhir Chaturvedi: So on order intake if you look on LTM basis we're comfortable where the order intake is and we've also got several deals which are on the cusp of being signed right now and have moved into Q2. The other aspect to look at is as we have short-cycle demand right now that we are seeing that flows into the order intake as we essentially close that short cycle demand and start to build that. T&M billing that converts

from resource requests to billing and

then that translates into the order intake and that's what we'll see.

You have to think about it more in terms of -- we saw this trend, I'm just talking in terms of not the level of demand, but the trend when post-pandemic and short-cycle demand starts with resourcing and then picks up, that's what we are seeing. So comfortable with where the order intake is right now.

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Mohit Jain: So my TCV is flat Y-o-Y. So 1Q '24 versus 1Q '25, if the number is same, is there a change in tenure that you have observed 1Q '25 versus 1Q '24?

Sudhir Chaturvedi: No. So actually 1Q '24, we had a very significant large deal that was signed in the High-Tech segment at that time, that's reflected in that order intake that's what you saw. On 1Q '25, think of the deal tenures in terms of the work that we are doing. So as I said these high-priority transformation projects, are long-term projects. So the deal tenure is the same. It's just the way that clients are looking to contract, that is a bit different. I mean it's that short cycle resource-based demand.

Mohit Jain: Okay. Thank you, sir. That's all.

Moderator: Thank you. Next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: Thank you for the opportunity and congratulations on the steady performance in the current quarter. Just wanted to get your thoughts with regards to how one should be thinking about hiring for us given where the current utilization is? And also, if you could give us some sense in terms of how should we be thinking about our subcontracting cost maybe over the course of next 12 to 18 months?

Nachiket Deshpande: So from a hiring perspective given that we are seeing the similar momentum going into Q2 as DC said, that's also resulting into a pretty significant increase in our demand pipeline. And hence our hiring will increase in proportion to that in Q2 given as you said utilization is at an all-time high. So we will have to step up or we are stepping up our hiring in accordance with the demand that we see in Q2. And hence we would see healthy net headcount addition in Q2.

Manik Taneja: Sure. And if you can probably further on the sequential improvement, typically between Q1 and Q2 we see a significant improvement in terms of

sequential growth rates. Is that something that you are building as a base case for FY '25 as well given what you're seeing with your customer behaviour?

Debashis Chatterjee: No, I think if I understand your question you're talking about any kind of headcount movement in Q2?

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Manik Taneja: No, DC. My question was with regards to sequential revenue growth improvement that was seen between Q1 and Q2. Historically, that number essentially sees a significant improvement. That's the reason why I was just checking if with regards to the positive commentary on seeing this momentum continuing into Q2, are you expecting similar trends to play out with Q2 growth being better than Q1?

Debashis Chatterjee: You're basically asking something more than what I have already told you. But I think it's fair to say that we have started on a good footing. We have developed a good momentum, and the momentum will continue in Q2, that is for sure. And it's too early to call out for the rest of the year. But at least in some verticals, like I can call out, say, BFSI, BFS especially, I think we can see the momentum continuing till end of the year as well for the full year. But it's difficult to call out every industry at this point of time. But at a broad level, the momentum is continuing into Q2 as well.

Moderator: Next question is from the line of Ankur Rudra from JPMorgan and Chase. Please go ahead.

Ankur Rudra: Just a few questions. Number one, you've mentioned multiple times the momentum has improved and good to hear you sustain. C

ould you distinguish between what is the change in the underlying demand environment? Because in your prepared commentary you said it's unchanged. Your client mix behaviour and your own execution?

Debashis Chatterjee: Yes. So Ankur, when I say the environment has not changed, it's still a scenario where clients are still focused on cost takeout and efficiency as a priority. I don't think that has changed and that's what we mean by that environment is fairly similar. But having said that, if you have seen the growth in Q1 and if I say that the momentum continues into Q2, the factors are probably a few.

First of all, the deals that we had closed in the previous quarters, they are now fully ramped up, which is helping us. And as I think we have articulated earlier that some of the verticals like BFS, the high-priority projects are kicking off, which means the clients are willing to selectively start the spend. Even in some cases, we have seen some vendor consolidation. We have been favourably positioned in those vendor consolidations. And the other aspect

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which gives us the confidence getting into Q2 is we have signed multiple new MSAs this quarter, which will help us in terms of revenues as we go into the next quarters.

Ankur Rudra: And maybe a follow-up to that. I think Sudhir mentioned the short-cycle demand that's coming back. How broad-based is that across industries?

Sudhir Chaturvedi: It's in our top three verticals, which is what I said earlier, which contribute about 80% of our revenue.

Ankur Rudra: Could you characterize this as discretionary or it's not right to characterize as discretionary in any way?

Sudhir Chaturvedi: I think the traditional definition of discretionary, I would not use that. What I would say is that high priority transformation programs, the things that are building resilience, some of the core modernization programs, which is why we are seeing it reflected, and I'll request Nachiket to build on this, that in the service lines, we are seeing this growth. We are seeing it in data and AI. We are seeing it in ERP and we are seeing it in digital engineering. So those are the three areas which are what I talked about the modernization spend is where they're continuing in the core areas of these verticals in our clients, which is why we feel that this will sustain.

Debashis Chatterjee: And I think we can also add that some of the clients we see, they are making the investments in terms of AI. They are building the foundation for AI, and

that's the investment they are looking at.

Ankur Rudra: Maybe just last question for me on the AI side. Is there any way to share how material these AI initiatives are for you in terms of proportion of the contract or proportion of revenues or projects, especially as you move from proof of concept to scale? And also as a follow-on, maybe down the road, will this be more of a revenue driver or a margin driver?

Debashis Chatterjee: Well, let me take a stab at it and then I'll request Nachiket to chime in. See, as far as AI is concerned, our view is that if I just poll the top 100 clients we have, almost 85% of those clients are doing something or the other in terms of AI. And AI is going to be very pervasive. It's like every aspect of your business, you will be leveraging AI. So it is probably going to be difficult to

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kind of quantify revenues as far as AI, but rather look at how quickly you can make AI more pervasive within your business.

I think that's the focus we have and whatever we have done within the organization so far, if you heard my prepared remarks where we talked about the event that we organized as IgnAlte, and we are going to repeat a similar thing at on-site with the entire sales population sometime next week, we are pretty much infusing AI into all our service lines so that the organization

is
absolutely ready in terms of AI.

I think those are the aspects which are keeping us busy. AI is definitely important to have that kind of capability, which will help us in terms of closing opportunities, but it will be all available in pockets very pervasive across the client organizations. Do you want to add anything, Nachiket?

Nachiket Deshpande: And I think DC talked about "AI in everything", and "Everything for AI", right? So the second part, as the enterprises are getting ready for AI adoption, their spend is happening in having GPU infrastructure, getting their data strategy right, have trust and explainability on data, make sure the governance on the data is right and then they're building business use cases. So for them to finally deploy AI, the spend happens in these areas, which is where the demand is seen. So if you actually look at it, as Sudhir said, our demand in the service line is a direct reflection of customer spend in getting ready for AI.

Moderator: Next question is from the line of Dipesh from Emkay Global Financial Service. Please go ahead.

Dipesh: A couple of questions. First of all, I just want to get a sense about EBIT margin. I think last quarter, you indicated about more like flattish for the year. Our salary hike now we are giving in Q3. So considering where we are in Q1 from EBIT margin, are we comfortable for more or less flattish kind of EBIT margin performance for the year, and steady improvement subsequent period, which can lead us to our aspirational margin range?

Second question is about hiring. So if you can give us some sense about fresher hiring plan. If you can repeat Q1 number and for the full year, how we are looking at fresher hiring plan?

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And last question is about I think some of the places you indicated about core modernization you're seeing some uptick. If I look at your deal intake, it is not showing any material change. So whether client is also dividing the core modernization into bits and pieces kind of thing, which may give you better visibility, but not getting converted into similar deal intake. So if you can give some color around it.

Vipul Chandra: So firstly, I think on your margin question, we are expecting the margins to improve from here on. And yes, the efforts are there as per our margin improvement plan, which we have already put in place to improve the margins as we go along in the year. As we had called out earlier, the only thing we are saying is that the target margin levels that we had talked about earlier that may be getting deferred by a few quarters. So that's why we are not calling it out right now in terms of timeline by which we will reach those levels.

Nachiket Deshpande: Second question was on fresher hiring. So I think as DC said, we had 1,400 intake on fresher hiring this quarter. And for the remaining three quarters in the year also, we are as per our plan on fresher hiring. So there is no change to that. And I think with this current 1,400, we have also exhausted all the backlog of offers that we had in the market earlier. So we continue to remain on target for our fresher hiring plan.

Sudhir Chaturvedi: And in terms of the core modernization response, see the thing is it's an engagement model. So clients are trying to do this within this year. And therefore, there is no time for them to structure this as a deal and put it out to bid, etcetera, which is why I said that is why I called it short-cycle demand. It's essentially a change in engagement model where clients are looking to contract with us. Because you are doing core modernization, you have to do in areas of your strength. We know that this demand is with us. It's the engagement model that is different.

The other aspect as DC mentioned a couple of times is the vendor consolidation is also taking place in the sector. As efficiency agenda continues, those savings are being uti

lized for these high-priority programs.

So being on the right side of both the efficiency agenda as well as the transformation programs is what is leading to our commentary on momentum.

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Moderator: Thank you. Next question is from the line of Rishi Jhunjunwala from IIFL Institutional Equities. Please go ahead.

Rishi Jhunjunwala: Actually, most of my questions have been answered. Just a quick bookkeeping one. If you look at our depreciation and our interest expense, we have gone up very sharply over the last 12 months. Depreciation is up by almost 27%, interest expense is up by almost 67%. Just trying to understand what is driving that and if there is any one-off in there?

Vipul Chandra: It's primarily as you have called out depreciation and lease are both relating to real estate investments that we have been making in terms of increasing our office capacity. I think we had talked about it earlier also that post-COVID some of these investments have been lagging and we have been now investing in our businesses and also preparing for our employees to start coming back to office in more numbers. We are also initiating a lot of employee engagement programs in order to increase collaboration and improve the synergies between the employees. So overall, it's an effort in that direction and it's a part of ongoing business investment.

Rishi Jhunjunwala: These are sustainable levels, yes?

Vipul Chandra: Yes.

Rishi Jhunjunwala: Okay, thank you.

Moderator: Thank you. Next question is from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: Congrats on the good revenue performance. Want to talk about the BFSI growth. How broad based is it that and which parts of the vertical are we seeing growth in?

Debashis Chatterjee: The growth is fairly broad-based. And as I think Sudhir called out that there are consolidation that we see in some accounts and especially in BFSI, we are favourably positioned in some of the vendor consolidations. And given the current visibility and the momentum at least for BFSI, we can say that the growth seems sustainable.

Ravi Menon: And just a clarification on the TCV. You spoke about MSAs and many of the short cycle programs where it's more about primary material engagement. I

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guess this is not really included in TCV because it's not predictable event and contracted demand?

Sudhir Chaturvedi: No. So what happens is as we contract and we get the duration of the engagement that's when it translates into order intake. That's when we take it into consideration. Other order intake is taken as we sign a large deal for example, that's taken immediately. This happens over the course of the year

as we staff and build.

Ravi Menon: Okay. Thanks. I appreciate it.

Moderator: Thank you. Next question is from the line of Ashwin Mehta from AMBIT Capital. Please go ahead.

Ashwin Mehta: The first question is in terms of wage hikes. If you can remind us is it 3Q that you are looking at a wage hike this year?

Debashis Chatterjee: Yes, it's a second half of the year and it's Q3.

Ashwin Mehta: Okay. And just a follow-up in terms of hiring. So given where the utilization is and where our headcount is ex of freshers, do you see a substantial headcount addition possibly more laterals skew in that given what you're talking on growth?

Nachiket Deshpande: Yes. For Q2, definitely we see a significant increase in our lateral.

Ashwin Mehta: Okay. And still, despite that we'd still be flattish from a full year perspective because ideally second half should start to have the wage hike impact also for us.

Vipul Chandra: As I said that the margins are expected to remain at current levels or maybe improve from here. But yes, as we decide upon the wage hike quantum and timing to some extent that impact will start playing out. So since we have not yet decided

on the quantum, we'll give you further guidance on that as we go along in the year.

Ashwin Mehta: So the last one was in terms of second half seasonality typically, you have a stronger seasonality in second half because of the pass through that kick in for us. Do we envisage a similar kind of a scenario especially when you are talking about the momentum continuing in BFSI in the second half as well?

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Debashis Chatterjee: When we called out the momentum in BFSI is because we definitely see that there's a lot of opportunities in terms of, as Sudhir articulated, there is growth that we are seeing, and there are short cycle projects that we are seeing in BFSI. And we anticipate that should continue beyond Q2 as well.

Ashwin Mehta: Okay, thank you DC and all the best.

Moderator: Thank you. Next question is from the line of Anmol Garg from DAM Capital Advisors. Please go ahead.

Anmol Garg: Just two questions. Firstly, I want to understand what kind of deals that the company is winning in AI? So are these more annotation labelling kind of work, which is generally low pricing in nature? Or it includes more of a high-quality work? If you can indicate the typical size and duration of such deals.

Nachiket Deshpande: So most of the deals, as I called out are in the areas of preparing enterprises to get ready for AI. So for us, that AI spend is translating into a significant number of data engineering projects, data lineage, governance-related projects as well as the platform build-out project. As we talked about for enterprise adoption of AI, what's the important element for all enterprises is to look at a platform-based approach in order to have the responsibility and the security elements consistently implemented.

So building out those platforms hence, digital engineering type of demand and then preparing data and explainability and lineage in that data resulting into data and AI-related demand. That's kind of the demand that we are seeing. And of course, there are vertical-specific and function-specific use cases but that is a continuous process. It's like a factory model, the use cases continue to evolve and various functions within the organization continue to build a number of new use cases as we go along.

Anmol Garg: Sure. Secondly, I want to understand your take on the supply buildup. So as we are seeing more discretionary demand coming back should we assume that the company will start materially building up supply. I mean, not just in 2Q but going forward as well? Or are we sticking to just-in-time hiring and use of subcontractors in case there is a demand spike which comes in?

Nachiket Deshpande: Even the last quarter, we had called out, for us our comfortable utilization levels are 85% to 86%. And we are right now almost 200 basis points or even

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more higher than our comfort level. So, we definitely will continue to build

supply so that we come back to that comfort level of utilization.

And also on the demand, I think as Sudhir said, it's not necessarily the discretionary that we saw in the past but it is more related to the engagement model being short cycle but the demand is around the modernization. So we do expect that the demand is more long term but the engagement models are staffing base and hence, it doesn't show up in the deal wins in the TCVs. But the demand is more secular demand than a conventional discretionary that you would have seen in the past.

Anmol Garg: Sure, thanks.

Moderator: Thank you. Next question is from the line of Abhishek from InCred Capital. Please go ahead.

Abhishek: Sudhir, we compared the demand to post-COVID. And separately, you also mentioned about the demand sustaining until December, probably, I did not understand these comments. What I'm trying to understand is that post-COVID, we saw a demand for couple of quarters or pro

bably till almost 18

months. So, can you just reiterate or somewhat elaborate that point?

Sudhir Chaturvedi: Yes, I think I should clarify what I mean by that. See post-COVID what happened was there was a modernization spend across the board, and that involves significant moves, for example, a lot of cloud migration, etc. It was in significant areas, including a lot of work in the experience area, etc. Which is why there was a combination of essentially transformation projects and significant discretionary spend that happened. Now what we are not seeing is a return of that discretionary spend. What we are seeing is those transformation projects have started around that time, and these are long-term programs, these are Fortune 1000 companies, right? So they run these programs over multiple years. Those programs, if you remember, we had talked about having been paused or slowed down last year as clients look to prioritize the efficiency agenda only. Those are the programs that are now coming back on track.

In fact, pausing those programs has caused some issues in their IT estate. And therefore, clients are looking to get back to those programs and accelerate the

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completion of those programs. That is the demand we're seeing coming back.

The discretionary part, we have yet to see.

Abhishek: So just a follow-up to that. So you also mentioned about the short-cycle projects. So, fair to assume that at least for the next 2 or 3 quarters the short-cycle projects would fill up our pipelines?

Sudhir Chaturvedi: Yes. I've used the word short-cycle, perhaps the better term would have been sprint-based, right? So most of these modernization programs, as Nachiket was talking about, are a combination of digital engineering, data etc. And these are run in Agile methodology. So the Agile methodology is basically you run sprints and you fund the sprints.

So I think that is perhaps a better way to explain this. There are the sprint-based release of funds is available to us. And that's why we know that this demand is almost exclusive to us and will continue, at least in the sector. We specifically called out BFS as a sector for it, and that's what we are seeing. So that's the way to look at this.

Abhishek: Thank you for taking my question, and best wishes for the future.

Sudhir Chaturvedi: Thank you.

Moderator: Thank you. Next question is from the line of Girish Pai from BOB Capital Markets. Please go ahead.

Girish Pai: There was some discussion around vendor consolidation where there is a refresh of the vendor landscape, and you mentioned the multiple MSAs signed. What is it the incumbents didn't do, which led you to get those number of MSAs?

Sudhir Chaturvedi: I wouldn't say there is one secular trend across all of these MSAs. Each of these MSAs were signed in different verticals with different clients, have different requirements. I think, but what I'm saying is that the vendor consolidation trend continues as part of the efficiency agenda of our clients. And in certain cases, there are some vendor-specific issues that our clients are seeing, which is why they're also looking at consolidation.

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Girish Pai: And my second question is , the industry has been talking about some ramp-downs and reprioritization by customers. So in this particular quarter, you didn't see any of these clients do that, is that how I should look at it?

Debashis Chatterjee: Not at all. We talked about some cancellations in the last quarter before that. Absolutely, there's nothing like that.

Girish Pai: One last question, Saudi JV, when will it ramp up? And will it have similar margins to the corporate margins that we have today?

Sudhir Chaturvedi: So Saudi JV is in the incorporation stage right now. Multiple jurisdictions need to give us approvals for the incorporation to be completed. So we are in t

hat process right now. It will take time to ramp up. So once we incorporate and start to ramp, we will give you more guidance on that at that time.

Girish Pai: Thank you.

Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question. On behalf of LTIMindtree, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Sudhir Chaturvedi: Thank you.

Call: Oct 2024

LTIM/SE/STAT/2024-25/82 October 22, 2024

National Stock Exchange of India Limited,
Exchange Plaza, Bandra-Kurla Complex,
Bandra (E),
Mumbai - 400 051

NSE Symbol: LTIM The BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

BSE Scrip Code: 540005

Dear Sir(s)/Madam,

Subject: Transcript of Earnings Conference call held on October 17, 2024

With reference to the captioned subject, please find enclosed transcript of the Earnings Conference Call held on October 17, 2024.

Kindly take the above on record.

Thanking you,

Yours faithfully,
For LTIMindtree Limited

Angna Arora
Company Secretary and Compliance Officer

Encl: As above

"LTIMindtree Limited
Q2 FY '25 Earnings Conference Call"
October 17, 2024

MANAGEMENT : Mr. Debashis Chatterjee – Chief Executive Officer & Managing Director
Mr. Sudhir Chaturvedi – President, Markets
Mr. Nachiket Deshpande – Chief Operating Officer
Mr . Vipul Chandra - Chief Financial Officer
Mr . Vikas Jadhav – Head, Investor Relations

Moderator: Ladies and gentlemen, good day, and welcome to the LTIMindtree Q2 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded. I will now hand the conference over to Mr. Vikas Jadhav, Head of Investor Relations, LTIMindtree. Thank you, and over to you, sir.

Vikas Jadhav: Thanks, good day, everyone, and welcome to LTIMindtree's Quarter 2 FY '25 Earnings Call. Today on the call, we have with us Mr. Debashis Chatterjee, Chief Executive Officer and Managing Director; Mr. Sudhir Chaturvedi, President, Global Markets; Mr. Nachiket Deshpande, Chief Operating Officer; and Mr. Vipul Chandra, our Chief Financial Officer.

So, we'll begin with a brief overview of the company's quarter 2 FY '25 performance, after which we will open the floor for Q&A. Just want to remind you that during the call, we could make certain forward-looking statements. These statements consider the environment as we see as of today and carry risks and uncertainties that could cause our actual results to differ materially from those expressed today in today's call.

We do not undertake to update any forward-looking statements made on this call. You can find these forward-looking statements in our earnings release also.

With that, now I turn over the call to DC for his opening remarks.

Debashis Chatterjee: Thank you, Vikas. Good evening, and good morning to everyone on the call. Thank you for joining us today. I'm happy to report that Q2 was a good quarter marked by broad-based sequential growth we experienced across all LTIMindtree Limited Q2FY25 Earnings Call
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our verticals and geos, and several multiyear deal closures in manufacturing, energy and utilities and BFS verticals. We consolidated our standing in an existing account through vendor consolidation and long-term revenue commitment, securing a US\$200 million plus TCV over a 5-year period. Our large deal pip

eline remains robust with several deals nearing final decisions.

These positive trends are reflected in the strong hiring of over 2,500 employees during this quarter. We also opened 22 new logos during the quarter.

With that preamble, let me summarize the numbers. I am pleased to report a sequential growth of 2.8% in U.S. dollar terms against the backdrop of a largely status quo IT spend environment. Q2 revenue stood at US\$1.13 billion and was up by 4.4% in constant currency and 4.7% in dollar terms on a year-on-year basis. On the margin front, the EBIT margin for the quarter stood at 15.5%, an improvement of 50 basis points sequentially, and the net profit margin was at 13.3%. Q2 order inflow stood at TCV of US\$1.3 billion. In a continued challenging macro environment, the need for a substantial shift in pivot towards AI is quite clear to us.

To lead in this new AI influenced business environment, we did a complete LTIMindtree level pivot to an AI-first approach, which continues to drive our success amidst these disruptive times.

I will today share with you our AI strategy, which is anchored in three core principles.

"AI in everything", ensuring we reimagine everything we do with AI, "Everything for AI", creating a supportive ecosystem for all AI innovation to scale within the enterprise.

And lastly, "AI for everyone", democratizing AI for the benefit of all

stakeholders.

Let me elaborate further on these three components of our AI strategy.

First, we will adopt AI ourselves and transform the way we work by infusing “AI in Everything” we do. For example, we are enhancing experiences with

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the help of Gen AI-augmented creatives and content; we are also running and optimizing campaign operations with AI powered tools. Our knowledge fabric-driven agent and Copilots-based IT operations, is helping unlock the next level of efficiency and productivity. We are leveraging AI for legacy modernization. For security operations, we are focusing on AI-driven threat detection and response. We are using Vision AI for industry 4.0 use cases, like defect detection in metals. We are reimagining platform operations with an AI first approach in areas such as underwriting, claims processing and customer service operations.

We also recognize the challenges our customers are facing in scaling AI for the enterprise, which could be in the form of trust in data, cost of scaling, AI safety, adoption or human impact. To address these challenges, we collaborate with our customers to engineer platforms that enable AI at scale. This commitment forms our second principle, “Everything for AI”, which encompasses preparing data foundation and infrastructure for AI, building trust and observability, and implementing the right controls for Generative AI application. Just to illustrate the scale we have achieved in a short span, the LTIMindtree AI platform we launched earlier has been adopted in 40+ customer environments to achieve the same.

The third principle of our AI strategy, “AI for everyone”, focuses on empowering people and humanizing AI. We aim to achieve this by Firstly, developing copilots and navigator apps tailored for every persona. Next, creating AI solutions that are humane by incorporating the right guardrails, bias management and trust.

And lastly, addressing use cases that leverage AI for the betterment of humanity and contribute to solving global challenges.

We are already seeing positive outcomes from this strategy, both in terms of value delivered to our customers and the impact on our generative AI-based deals in pipeline.

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For example, for a financial services major, we have doubled the first-time resolution percentage for the contact center.

Our “AI in Everything” strategy is driving success across our service line offerings and industry verticals, enabling us to win deals by leveraging Generative AI capabilities. Let me share with you some examples of AI-powered wins for the quarter.

A U.S. global manufacturing leader chose LTIMindtree as a preferred partner for its global application management and transformation services. We used our AI first NextGen operations framework to enhance efficiency, foster innovation and speed up transformation. This opportunity arose from vendor consolidation, where we became the sole partner for the customers from four existing vendors. This was the largest multiyear deal for LTIMindtree.

A major global financial institution selected LTIMindtree to collaborate on modernizing their wealth data platform. We utilized advanced automation technologies along with Gen AI to improve customer experience and broaden the customers' global market reach. This was achieved by developing a new data taxonomy, adopting cloud technology for faster service delivery to clients and partners, modernizing mainframe and reducing operational costs.

We have been selected by a leading U.S.-based energy utility company as its long-term strategic partner for end-to-end IT operations in the AI-first model.

We have won an infrastructure transformation and managed services deal

from an engineering major on the back of our AI-powered IT operation solutions.

We are clear about the role of the ecosystem in this pivot. We are consistently launching AI solutions and offerings through our partner ecosystem, which not only amplifies our AI strategy but also acts as a powerful channel for growth.

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For instance, LTIMindtree and IBM have launched the IBM AI Innovation Center at Bengaluru's Hebbal campus. This center will develop top-tier solutions to speed up clients AI adoption. It will highlight advanced technologies and innovative AI, machine learning and data science solutions featuring IBM Watson.

We are empowering our workforce by providing them with generative AI tools and training through our Edutech platform, Garuda. This platform offers tailored training pathways based on employee skill levels and technology backgrounds, featuring curated programs from both our internal service lines and partners. Currently, 63% of our workforce is trained and equipped with Gen AI capabilities.

To summarize, our AI pivot and what it means for our business, we remain committed to investing in developing our AI intellectual properties as well as vertical and horizontal solutions. These investments are poised to deliver substantial results by fostering innovation, enhancing operational efficiency and driving a competitive advantage.

Let me now spend some time on our industry verticals. Q2 growth was led by the BFSI vertical, which registered a sequential growth of 4%. Banks focus on cost cutting through restructuring, along with our strong relationship and execution track record have benefited us in gaining market share. We have a robust, large deal pipeline in this vertical with a few deals in the final stages. We are seeing more BFSI clients working towards getting data ready for AI. After a significant sequential gr

owth of 7.9% in Q1 in the Technology, Media and Communications vertical, Q2 witnessed a further 1.9% sequential growth, with a year-on-year growth of 12%. While cost optimization continues to remain the dominant theme for both hardware and software vendors, there has been a focus on infusing AI and Gen AI in products to enhance customer experience. This is expected to scale up further as the market matures.

The Manufacturing and Resources vertical witnessed a steady growth of 0.7% on a sequential basis and 5.8% on a year-on-year basis. We see continued traction in ERP, while also gaining market share in vendor

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consolidation, leveraging our "AI in Everything" theme. As mentioned earlier, we closed a deal of over US\$200 million in TCV in this vertical.

Our Consumer business experienced sequential growth of 2.6%, aligning with the overall company performance. Growth in Q2 was driven primarily by the TTH and retail sectors. We are employing AI to enhance customer engagement and as an entry strategy for some of our smaller verticals.

Following a 7.9% drop in the Q1 revenue, the Healthcare, Life sciences and Public sector vertical experienced a 5.9% sequential growth.

In terms of geography, America, which contributes 75% of our revenue has grown by 7% on a year-on-year basis. Europe contributed 14.4%, and the Rest of the World contributed 10.6% of our revenue.

On the people front, our headcount rose to over 84,000 at the end of the quarter as we added 2,500+ employees during the quarter. For the quarter, our LTM attrition remained stable at 14.5% compared to 14.4% last quarter. We onboarded 1,100-plus freshers this quarter.

This quarter, we introduced an initiative called LTIM Rhythm, our vision of the future of workplace. LTIM Rhythm encapsulates our commitment to fostering a collaborative, flexible and dynamic workplace environment, that not only caters to the evolving needs of our clients, but also ensures the

holistic development of our associates. This also helps us in implementing our strategy of "AI for Everyone", which we articulated earlier.

I will now turn over the call to Vipul for the financial highlights.

Vipul Chandra: Thank you, DC, and good evening, everyone, and thank you for joining the call. Let me take you through the financial highlights for the second quarter of FY '25, starting with the revenue numbers.

Our Q2 revenue stood at US\$1.13 billion, a growth of 2.8% sequentially, and 4.7% on a year-on-year basis in dollar terms. The corresponding constant currency growth was 2.3% quarter-on-quarter and 4.4% year-on-year.

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Our EBIT margin expanded by 50 basis points to 15.5% as compared with 15% in the previous quarter majorly on account of absence of visa costs.

Net forex gains for the quarter increased to US\$9 million compared to US\$1.6 million in the previous quarter.

Leveraging our strong cash position alongside efficient investment management, we achieved an investment income of INR212 crores this quarter.

The effective tax rate for the quarter was 25.8% as compared to 25.6% in Q1.

PAT margin for the quarter was 13.3% as compared to 12.4% previous quarter. Reported PAT climbed to INR1,252 crores this quarter compared to INR1,135 crores in last quarter. Basic EPS was INR42.3 for the quarter as compared to INR38.3 in Q1 FY '25.

B

illed DSO increased to 60 days versus 55 days in Q1 '25, which is still a reduction of 8 days versus Q2 of the prior year. The unbilled DSO, however, reduced by 2 days. The total DSO was at 81 days compared to 78 days in the previous quarter. We continue to focus on our billing and collection efficiency to move towards our aspired target DSO of approximately 75 days.

The operating cash flow to PAT was 74.2% as against 109.9% in Q1. Free cash flow to PAT came in at 54.5% compared to 88.6% in Q1. The cash and investment balances stood at US\$1.43 billion or total INR11,974 crores compared to INR11,334 crores in Q1 FY '25. Return on equity for the quarter was at 23.8%.

As of September 30, 2024, our cash flow hedges stood at US\$3,907 million, hedges on the balance sheet were US\$326 million.

Our Utilization, excluding trainees in the quarter was at 87.7% compared to 88.3% last quarter. This is in line with our continued investment in our growth momentum.

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The Board of Directors have declared an interim dividend of INR20 per equity share.

We're pleased to announce that LTIMindtree has attained a rank of 13 across sectors and rank 5 in IT and communication sector, in Business World India's Most Sustainable Companies Top 50 listings for 2024.

We're also looking to use our ESG capabilities to help our clients achieve their ESG goals. In line with this, LTIMindtree has launched a new comprehensive digital transformation and ESG platform, Smart Spaces 2.0, which can help with end-to-end ESG reporting across key factors while delivering predictive maintenance and repair input.

These recognitions and actions serve as a testament to our proactive approach to integrating sustainable practices.

I now hand it back to DC for the business outlook.

Debashis Chatterjee: Thank you, Vipul. Despite the challenging environment, our growth remains steady and in line with what we had indicated in the last quarter. We are cautiously optimistic about this momentum carrying forward into Q3.

However, historically, Q3 experiences seasonal headwinds as well due to furloughs and fewer billing days, which could moderate this momentum to some extent. Additionally, wage hikes for all employees in Q3 are expected

to put pressure on our margins.

Nevertheless, our strategic shift towards AI has resulted in a robust buildup in our deal pipeline. With strong deal wins, sustained deal traction in our key verticals and significant hiring in Q2, including freshers, we are well positioned as we move into the latter half of the fiscal year.

With that, let me now open the floor for questions.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. The first question comes from the line of Sulabh Govila from Morgan Stanley. Please go ahead.

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Sulabh Govila: The first question is around the deal pipeline. So just wanted some color around that. How has that grown? And what's the nature of the deals that you have? Are you witnessing more short cycle deals than you did in the last quarter? And is that reflecting into better ACV trends?

Debashis Chatterjee: Sudhir, do you want to take that?

Sudhir Chaturvedi: Sure, DC. So, I think from a large deal momentum perspective, the pipeline continues to be strong. It has grown to over \$5 billion right now from a large

d
eal perspective. In terms of the demand trend that we're seeing, we're seeing significant traction in the BFSI vertical, as you can see in our growth numbers as well. And that vertical is also characterized by having demand, which is, I think short cycle perhaps the wrong term. What we are seeing is that we are actually doing both a combination of deals as well as being opening new logos as well as the new MSAs also that we mentioned last time in our call, where we spoke about how we are being chosen as a preferred supplier.

So, the combination of factors that is now resulting in a pipeline that has a combination of large deals and being on the right side of vendor consolidation as well as demand from a slight increase in discretionary spend.

Sulabh Govila: Understood. Secondly, I wanted to check what's leading to softness in the top 6 to 10 client bucket? The revenue in this bucket has gone down from \$85 million a quarter to now \$75 million, \$76 million in the last 2, 3 quarters. So is there any client-specific issue here that you're facing?

Debashis Chatterjee: I think it's fair to look at the top 40 clients, and we also don't tend to look at on a quarter-to-quarter basis, we rather look at an overall yearly basis. And I think from that perspective, we are doing fairly well. If I look at my top 5, top 10, top 20 and top 40 client segments, the concentration risk has slightly reduced. But at the same time, if I look at the top 40 clients, they are still grown this quarter sequentially. In fact, all the buckets, top 5, top 10, top 20, top 40, there is a sequential growth, which is good for us. So overall, I think the account mining is working, which is what our focus has been, and we are happy about it.

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Sulabh Govila: Understood. And the last question is on the margins for Vipul. What should be the impact of wage hike that we should be baking in 3Q? And what would be the offsetting factors that can help you negate the impact?

Vipul Chandra: So in terms of our wage hike impact, you could take it maybe approximately 200 basis points, which will be partly offset by our continued operational efficiencies, which we had started driving any which way, 2, 3 quarters back and which are continuing. Some of those operational efficiency drivers will continue to kind of offset and the growth that we are also looking for. So some of these things will partially offset the impact, but may not be the full impact.

Moderator: The next question is from the line of Nitin Padmanabhan with Investec. Please go ahead.

Nitin Padmanabhan: So, you spoke about furlough. Are furloughs similar to what you have seen in the prior year? Is it better, is it worse? That's the first one. The second is what are the areas where you continue to see weakness in the market from a vertical perspective where you want to see some improvement? And

finally, with regards to the large deals which you announced, that is the vendor consolidation with an existing client, if I'm right? And if that is the case, then in which vertical is this? And by when do you expect to start seeing ramp-up here?

Debashis Chatterjee: Yes. So, Nitin, let me just try to answer one by one. Your question on furloughs. We realized that last year, the furloughs were a little more than what we had anticipated. So, our expectation this year is that the furloughs will be back to the regular levels that we used to have. So, it is not going to be as high as it was last year. So that's on the furloughs.

If you ask me about specific areas, if you look at the growth that we have, in fact, all the 5 segments that we report our revenues on, all t

he segments

have grown. But I would have liked my Travel and Travel Tech (vertical) to do a little better because there are certain situations where some of our clients are dependent on specific issues, which we don't have much control. And that is one area where we are hoping that some improvement happens as we go along.

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And from your large deal perspective, the deal that we talked about, and I think we called out in our opening remarks as well, it is part of our manufacturing vertical. And it is a combination of both renewal as well as significant additional scope, almost you can say half, half. And that's how it is a \$200 million plus deal. And the transitions have already started for this deal, so the deal will start ramping up in Q3.

Nitin Padmanabhan: In which geography would that be?

Debashis Chatterjee: It's in the U.S.

Moderator: The next question is from the line of Vibhor Singhal with Nuvama Equities. Please go ahead.

Vibhor Singhal: Congrats DC on a solid quarter. Just two questions from my side. Firstly, on the BFSI vertical, very sharp recovery from what we saw especially in the last 2 quarters of the last financial year. You also talked about some of the deals in BFSI, which are there in the pipeline and we should be able to close very soon.

So just to look at the outlook in the sector, do you expect the growth momentum in this vertical to continue, especially after the interest rates also coming in? What are the specific areas in the BFSI that you're looking at in terms of higher expense, let's say, capital markets or insurance or which part of those businesses? Any color on all those aspects would be helpful. And then I'll have a follow-up question.

Debashis Chatterjee: Yes. Thanks, Vibhor. So, if I understood your question, let me just give you some color on BFSI. We are first of all, very pleased with the growth coming back in BFSI. But specifically, about the growth, it is primarily led by BFS. The growth is fairly broad-based across all the clients that we have. We have been winning these deals in two scenarios. One scenario is wherever we have been incumbent, and there is a vendor consolidation. It has worked out favorably for us. And also in a situation where we have not been present, it's a new logo for us. We have won that kind of deals as well.

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I must say that bulk of the wins that we have had in this BFSI has been mostly cost takeout and efficiency-oriented deals. Having said that, our strength in governance, regulatory and compliance also helped in terms of driving some of the spends in this area. And I can only say that the cautiousness that we had in terms of discretionary spend, that has not significantly changed. So, we still see not much of discretionary spend coming back. But as I articulated in whatever opportunities we are getting, there is a significant momentum that we have generated.

Vibhor Singhal: Got it. So the discretionary spend, those remain on hold. That we have not seen any change from, let's say, the last quarter?

Debashis Chatterjee: Yes. I don't think there's much change in terms of discretionary spend. It is yet to come back.

Vibhor Singhal: Got it. Now secondly, we see only high-tech vertical. Of course, we had 2 quarters of very solid growth and this quarter was a bit soft. So any color on that give

n you spoke a lot about the Gen AI application that we are moving to the Canvas platform. So how is the spend in this vertical? Are the users of the hyperscalers also going to drive the growth in this vertical? And given that will our relationship with the top client that is also the high-tech vertical clients, will that also help us in this vertical, not just immediately, but let's say, over the next 3 to 4 quarters?

Debashis Chatterjee: Well, the thing is the Tech clients, both the Software as well as the Hardware vendors, I think they will always look at the new technologies like AI, Gen AI very aggressively. So the focus still remains significantly in terms of cost take out. And you must have also heard that quite a few clients, they're not necessarily just our clients, they have been also doing some layoffs. But as far as our portfolio is concerned, I don't think there is anything to be concerned about as of now because we still have a good growth coming from across the board in terms of high-tech clients.

Vibhor Singhal: Got it. Just one last question, if I could just squeeze in. In the last call that we have mentioned that large part of our pipeline, we have not pivoted towards cost takeout deals. So is that pivot now bearing us fruits as you mentioned, of the BFSI deals for cost takeout deals? And do we intend to
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continue on that path? Or do you believe maybe in the next couple of quarters, we expect the discretionary spends to come back, and then there could be some mix and match of the deal pipeline there.

Debashis Chatterjee: I think the most important pivot that we have done is for us to be ready to support Transformation as well as efficiency deals. I think that's the biggest pivot that we have done in the last several quarters. And at this point of time, we have closed quite a few cost takeout deals, and that is kind of driving the growth. Now when the discretionary will come back, it's very difficult to say. We'll probably get an idea when the clients are going to their budget session, which is not very far away. But of course, as we get to know, we can always share with you, but it's a little too early to predict in terms of what is coming, given the fact that it has been on a pause for quite some time.

And I think what is most important for us is that, as I said, we can play on both the sides. We can play on the cost takeout side, we can play on the transformation side equally well. I think that's the biggest pivot that we have gone through.

Moderator: The next question is from the line of Manik Taneja with Axis Capital. Please go ahead.

Manik Taneja: DC, just wanted to prod you with regards to the near-term outlook that you've suggested. If I understood correctly, you said, the momentum that we've seen in the first half or the first couple of quarters, there should be some moderation to that in the third quarter. And the second question was for Vipul. If you could help us with the quantum of wage hikes that we have implemented and are they implemented for the full quarter? Or unlike one of our group companies, is it a partial impact? And the last one related to margin, if you could talk about your thought process about the medium-term improvement in margins that we were looking to achieve in a couple of years?

Debashis Chatterjee: Let me take the first question, and then I'll request Vipul to cover the other two. So Manik, as far as the H2 is concerned, we are cautiously optimistic about the momentum that we have generated. We have told in Q1 that the
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Q1 momentum will continue to Q2 that has happened. But at the same time, we are cautiously optimistic about this momentum carrying into Q3. Because historically, Q3 has the seasonal headwinds as well as furloughs and

fewer billing days, which could moderate this momentum to some extent. But at the same time, the deals that we have closed in the last 2 quarters, they have ramped up and they continue to deliver growth. So, the momentum from that perspective will continue, but the furlough impact is still not known. So, we have to just wait and watch. Vipul?

Vipul Chandra: So, and the other two questions which you asked, I think I mentioned that the impact of wage hike is going to be around 2% on our margin and it is a full quarter impact. As far as the margin improvement, your operational efficiency initiatives that I spoke about, largely is going to be driven by revenue growth and the pyramid correction that we are working on. And as you would have heard in the opening remarks from DC that we have added 2,500 plus headcount in this quarter, of which 1,100 plus are freshers. So, we are working towards getting that utilization rate down, which we have talked about in the last quarter. At the same time, we are also focused on correcting the pyramid as we go along. And some of those operating efficiencies will keep going on.

Manik Taneja: If I can just chip in with one more question. While not having substantial increase over the course of recent quarters, we are once again beginning to see an increase in terms of on-site mix of headcount. Do you think we continue to see this increase further, given the nature of demand or you would be switching to extract some more efficiencies from a higher offshore mix?

Debashis Chatterjee: Let me request Nachiket to take that. Nachiket?

Nachiket Deshpande: This is actually not a strategic lever that we look at from an improvement standpoint. It is actually a result of our business in specific deals. So, we don't expect that to vary a lot. Let's say there was a marginal increase in the on-site which was this quarter, there is a quarterly fluctuation. I wouldn't read too much into it.

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Manik Taneja: Okay. And is there any timeline now for that 17% to 18% EBIT margin that we wanted to achieve in a couple of years?

Vipul Chandra: So again, as I mentioned in the last quarter as well, to get to that kind of a margin number, which we are aspiring for, the journey has gotten elongated mainly because of the external environment as well. Unless and until the industry starts seeing double-digit kind of growth again, it's difficult to kind of move on that journey in a fast manner. So right now, I think the focus has to be more on maintaining the margin and wait for the growth to come back.

Moderator: The next question is from the line of Rishi Jhunjhunwala with IIFL Institutional Equities. Please go ahead.

Rishi Jhunjhunwala: Most of my questions have been answered. Just one basic understanding of the business as it stands now. Now when LTIMindtree were two different companies, LTI used to have a revenue trajectory wherein second half used to be better than first half in most of the years in a normal spending environment. Is it fair to say that as a combined entity now we are very similar to how some of our larger cap peers are wherein first half typically in a normal environment would end up being better than second half?

Deb

ashis Chatterjee: Well, let me just take a stab at it. I mean, whatever you do, whatever you say, but it also depends on how clients spends are and how the overall macro looks like. So that's an experience that we had in the last fiscal. But at this point of time, as we see, the momentum that we have had in the first half and the deals that we have closed, ramp-up that has to happen, that momentum should continue, barring the uncertainties and the seasonality that we have in Q3. I think we should just leave it there and see how it plays out rather than trying to get ahead of ourselves.

Rishi Jhunjhunwala: Right. The other question is just in terms of the kind of yield we are generating on our investments and cash. It seems to be north of almost 8%. So just wanted to understand the nature of investments we are doing?

Debashis Chatterjee: Let me request Vipul to take that.

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Vipul Chandra: So in terms of the investments that we are doing, I think most of the investments are in mutual funds on the debt side, either money market or G-Sec and corporate bond portfolio in the mutual fund. The better investment efficiency that we have been talking about has been more proactively shifting the duration in line with the change in interest rate environment in the market, which has helped up generate or catch the interest rate move properly as it has happened in the market.

Moderator: The next question is from the line of Abhishek Kumar from JM Financial. Please go ahead.

Abhishek Kumar: I have two questions on furloughs and let me ask them together. First, I just want to understand how to read furloughs? When you say furloughs this year would be a more normalized furloughs, does that mean that the pressure on budgets are easing and therefore, because furloughs generally coincide with budgeting cycle. So does that kind of suggest that budget next year could also be normal?

That's question number one. And question two is some of your peers have said that furloughs this year would be similar to last year. But that could be because of difference in portfolio clients, etcetera. So, when we say it is more normalized, which areas or which vertical we are seeing furloughs normalizing? And is there any pockets where you see that furloughs could still be similar to last year?

Debashis Chatterjee: Okay. So, it's a little too early to predict about the budget cycle, etcetera, given the fact that in the U.S., elections are also on our way. So as far as budgets are concerned, budget for this year was already baked in and furloughs are normal. And what we had last year, again, furloughs are also reflective of the portfolio of clients that we had. So, from that perspective, we are going to be definitely better compared to last year in terms of the furloughs that we, better from a positive way from our perspective.

So that's all I can say that last year was a little different, but we'll get back to a normal furlough year as far as this year is concerned. But difficult to talk about budget, with all the U.S. elections and all these things overhanging on us.

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Moderator: The next question is from the line of Abhishek Pathak with Motilal Oswal. Please go ahead.

Abhishek Pathak: So, on discretionary spend, our comments are, I think, slightly cautious as compared to the players who have rep

orted so far. Just wondering like what's the divergence here? I mean, is it a portfolio mix? Or is it a more short-term election-led or furlough-led approach that's leading us to be slightly cautious? That's one.

And the other bit is, of course, the growth this time has been fairly broad-based. So is it fair to assume that whatever recovery that's happening on the client side is now finding more legs and it is becoming more widespread. And just if that is the case, how comfortable are we on the headcount?

What's the comfortable level of utilization that we think we should operate at? And in case growth really comes back in earnest, how would we sort of look at the hiring strategy from hereon?

Debashis Chatterjee: So, Abhishek, you asked quite a few questions. Let me see if I can remember an answer. First is when you talk about discretionary, let me just take a step back and explain to you how we will normally classify the programs and the projects that we do for our clients. One is the efficiency, longer-term cost takeouts. That's number one. Number two is when clients are investing in terms of building out new applications, which is like could be revenue facing applications, front-end applications, etcetera.

That is pure discretionary spend. And I would say there is a third category, which is clients also have to deal with a lot of regulatory stuff, like governance, regulatory compliance stuff from time to time, which is not exactly a maintenance, but they need to still spend money to get those things out of their way.

Now I don't know as far as we are concerned, we try to identify our programs in these three categories. But for some, maybe the regulatory and

the discretionary could be the same thing. So we don't know how people classify. But as far as we are concerned, we definitely have been seeing a lot of traction in the cost takeout. We have been seeing a lot of traction in terms of governance, regulatory, compliance wherever we work with our LTIMindtree Limited Q2FY25 Earnings Call
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BFS clients. On the discretionary when clients are trying to build new applications, I think it has been kind of on a pause for the last more than 5, 6 quarters.

And I think once the U.S. elections are over, probably there will be some initiative from the clients in terms of looking at discretionary. But as of now, it is fair to say that except for AI-related investment, which clients are doing, where we are participating with them, I don't think there is any other area where clients are spending on discretionary. So that's the first part of your question. I think what was the second question?

Abhishek Pathak: Just a bit around hiring and if the growth recovery is more broad-based, what's the comfortable level of utilization? And how do we hire from here?

Debashis Chatterjee: So I think this quarter is a very good quarter for us because we are able to report a broad-based growth. And all the segments that we report on every segment has grown, which is a very good news and which is a very positive sign. But of course, we will expect that the growth continue to be broad-based. So, from your perspective, from our perspective of utilization, we definitely -- we have always called out that we are operating at a utilization which is probably slightly higher than what we would like.

Our target utilization range will be something around 85%, that will be ideal. And one of the reasons why we were operating for the last several quarters at a slightly higher utilization is also to ensure that we get the benefit of the two organizations coming together, utilizing the bench from two organizations so that we kind of reduce the be

nch and make best use of it.

So there was a specific design why we could operate at a higher utilization. But obviously, as the growth comes back, we will aim to be at 85% utilization and which will also kind of mean that there will be a headcount addition accordingly. We always try to add the headcount based on the business scenario. I think you can do the math, and you can see that there will be headcount addition from this point as we go along.

Moderator: The next question is from the line of Rahul Jain with Dolat Capital. Please go ahead.

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Rahul Jain: Yes. It would be great if you could give some color both quantitative and qualitatively on the deal signing during the quarter.

Debashis Chatterjee: We don't really talk in too much of detail, but Sudhir do you want to give some color?

Sudhir Chaturvedi: Yes. We reported an order intake of \$1.3 billion. I mentioned the overall large deal pipeline also of \$5 billion. And being on the right side of vendor consolidation deals. The deal momentum continues to be good across. So pipeline is also strong and healthy across the board. And so I think in terms of the verticals that we are winning deals, again you can see it's a combination of BFS as well as manufacturing leading the deal win cycle, but we're also seeing opportunities across all our verticals in terms of the large deal activity that we see.

Rahul Jain: And just one bit on the consumer side of the business, if you could give any color how we plan to revive growth prospect here. Again, the deal win does not feature this space? So anything more input here would be helpful.

Debashis Chatterjee: Yes. And I think this will be. Sorry.

Sudhir Chaturvedi: We already mentioned that there is some softness that we are seeing in a couple of our travel clients and our Travel Tech clients. I think that's when I talked about the pipeline, the pipeline is across all verticals, including the consumer business. So we expect as we enter the new calendar year, I think things will start to improve there.

Moderator: The next question is from the line of Aayush with B&K Securities. Please go

ahead.

Aayush: So, a couple of questions. So first is again on the consumer business. So just wanted to understand more that when we said that some of the clients are having some issues in the TTH vertical. So, when are we expecting those client issues to get resolved? Or are there any kind of green shoots to be available that we are seeing and the growth from the next quarter or maybe like in the next-to-next quarter?

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The second question is for on the margin front. So if I see that our SG&A cost has been trending upwards, not that much, but yes, definitely quarter-on-quarter basis, if we see 12.5% becomes 12.7% and then 12.8% as a percentage of revenue. So what sort of comfortable range are we having that can subsidize the SG&A expense? And are we like investing in towards hiring the salespeople to chase to large deals or some kind of investments are we doing there?

Debashis Chatterjee: So, on the first question that you asked, since you are asking for something very specific, let me tell you that the Travel and Travel Tech clients that are part of our portfolio, they are also dependent on specific airline manufacturer, which is the Boeing in terms of delivery. I think t

hat is

something which is a well-known fact that there has been severe issues, and I think they have been forced to scale back in terms of their spend and which is impacting us. I always say that what happens to us is a reflection of not only just the industry, but the section of clients we have as a part of our portfolio, and that's going through. Hopefully, there should be some turnaround, but I don't think it's easy to say at what point of time things will change.

And as far as the other thing within the consumer portfolio there is the real estate portfolio and ever since the interest rates have been very high, there has been impact. But as the interest rates and the mortgage rate come down, I think hopefully, there should be more opportunities in terms of spend with those clients. I think that will be my way of looking at the consumer business. I'll request Vipul to answer your other question.

Vipul Chandra: So, I think the other question was on the SG&A cost going higher in this quarter and whether we are comfortable with this increase, and it will come back.

So answer to that is that we have had some seasonal events, sales event, which come up in this quarter, either in Q1 or Q2. And that's the reason for this increase in Q2 versus Q1. Minus the sales event, if you look at the SG&A, then it would have been probably a bit lower. So, our operating efficiency steps include steps on controlling the SG&A costs as well.

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Aayush: Just a follow-up for Sudhir, if you can just explain because we are having a bit more exposure to the SAP. So, what sort of traction are we eyeing for the SAP because we are hiring on the SAP front and what is the kind of demand are we seeing on that front?

Sudhir Chaturvedi: Sorry, I didn't quite catch that question, please. Could you just repeat it again?

Aayush: So, I just want to understand more about from the SAP angle, like how are we eyeing the demand traction from the SAP and the hiring front, specifically for the SAP capabilities?

Debashis Chatterjee: Are you referring to SAP?

Aayush: Yes, yes.

Sudhir Chaturvedi: Okay. Yes, from an SAP perspective, we know that there has been an increase in demand because of the S/4HANA implementations that our clients are doing. Again, we're working on several implementations right now. We are a top-tier partner of SAP. So for us, the ERP segment, which is what we call our core service line offering is continuing to grow well. And there is good traction in that market. Again, some of that is reflective in the growth and the deal signings that we are seeing in the manufacturing

vertical specifically.

Moderator: The next question is from the line of Girish Pai with BOB Capital Markets. Please go ahead.

Girish Pai: I have three questions. Did I hear it right that the wage impact will be about 300 basis points? That's question number one. Second, would the average resource cost for a Gen AI skill infused IT service organization be higher? And the third is with regard to mainframe modernization, especially in the BFSI space, there's been a lot of talk of Gen AI changing the picture there. Are you seeing anything changing on the ground on this particular aspect?

Debashis Chatterjee: So, let me request Vipul to take the first question and then...
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Vipul Chandra: On the first question,

I think what I had said was 200 basis points, not 300.

So, I think that's a simple answer.

Nachiket Deshpande: And when it comes to the Gen AI skill set, it will be across the spectrum. So if you talk about key talent, which can build algorithms, platforms and models that talent would be an expensive talent because it's a very niche and very in-demand capabilities. But if you look at the large part of our talent pool that will need knowledge of using Gen AI in improving their significant productivity. And that's where I think we are focusing on building that talent ground up, cross-skilling and upskilling all of our talent to be able to leverage Gen AI capabilities.

Of course, there are some additional skill sets that we would require as well as around data tagging, around content moderations and a lot of these skills that are needed in order to fine tune and train the models. That's a very different skill set than what we traditionally had. And will also come at a very different price point and a different background as well. So, we need to look at it. It's not one thing that will define, but there will be continuum of those skill set with the Gen AI.

And the other part is mainframe modernization. DC already referred to one deal in his prepared remarks which included in BFSI segment which had a significant mainframe modernization component in it. And we are seeing a good traction around mainframe modernization, especially driven by Gen AI team, which can significantly cut the lead time and the cost required to modernizing all those applications.

Moderator: Ladies and gentlemen, we take the last question from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: I actually wanted to take your thoughts around GCC activity that we are seeing, including with some of our larger hospitality clients recently. So, would be great to get your perspective as to how you think this plays out for our business over the medium term?

Debashis Chatterjee: Well, Manik, GCCs are not something that is happening today. It has been there for several years. And we, as a company, have been very clear that we
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have to work with the GCCs and coexist with the GCCs, because if you look at the strategies of the GCC, they also have a very clear view in terms of identifying areas where they work with partners.

So, we are working with many of our clients who also have GCCs working with them with the U.S. teams as well as with the GCC. So that will continue.

So, I don't think there is anything specific that we need to worry about. We just need to continue what we have been doing.

Moderator: Thank you. Ladies and gentlemen, this concludes our question-and-answer session. On behalf of LTIMindtree, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Safe Harbour

Certain statements in this release concerning the future prospects are forward-looking statements. These statements, by their nature, involve risks and uncertainties that could cause the actual results to differ materially from such forward-looking statements. The Company assumes no obligation to

revise or update any forward-looking statements that may be made from time to time by or on behalf of the Company.

Call: Jan 2025

LTIM/SE/STAT/2024-25/117 January 20, 2025

National Stock Exchange of India Limited,
Exchange Plaza, Bandra-Kurla Complex,
Bandra (E),
Mumbai - 400 051

NSE Symbol: LTIM The BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

BSE Scrip Code: 540005

Dear Sir(s)/Madam,

Subject: Transcript of Earnings Conference call held on January 16, 2025

With reference to the captioned subject, please find enclosed transcript of the Earnings Conference Call held on January 16, 2025.

Kindly take the above on record.

Thanking you,

Yours faithfully,
For LTIMindtree Limited

Angna Arora
Company Secretary and Compliance Officer

Encl: As above

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"LTIMindtree Q3 FY'25 Earnings Conference Call"

January 16, 2025

MANAGEMENT : Mr. Debashis Chatterjee – Chief Executive Officer & Managing Director
Mr. Sudhir Chaturvedi – President, Markets
Mr. Nachiket Deshpande – Chief Operating Officer
Mr . Vipul Chandra - Chief Financial Officer
Mr. Vikas Jadhav – Head, Investor Relations

Q3FY25 Earnings call
January 16, 2025

Moderator: Ladies and gentlemen, good day and welcome to the LTIMindtree Q3 FY'25 Results Call.

As a reminder, all participant lines will remain in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pressing "*" then "0" on your touchtone telephone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Vikas Jadhav, Head, Investor Relations, LTIMindtree. Thank you. And over to you.

Vikas Jadhav: Thanks, Yashashree. Welcome to LTIMindtree's Q3 FY'25 Earnings Call.

Today, on the call, we have with us

Mr. Debashis Chatterjee, Chief Executive Officer and Managing Director,

Mr. Sudhir Chaturvedi – President (Global Markets),

Mr. Nachiket Deshpande – Chief Operating Officer and

Mr. Vipul Chandra, Chief Financial Officer.

We will begin the call by providing a brief Overview on the company's Q3 Performance, after which we'll open the floor for Q&A. During the call, we could make forward-looking statements. These statements consider the environment as we see as of today and carry risks and uncertainties that could cause our actual results to differ materially from those expressed in today's call. We do not undertake to update any forward-looking statements made on this call.

I now turn the call over to DC for his opening remarks.

Debashis Chatterjee: Thank you, Vikas. Good evening and good morning to everyone. I wish you all a very Happy New Year and thank you for joining us today.

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I am pleased to report that the growth momentum from the previous two quarters continued into Q3. Revenue for Q3 increased by 1.8% sequentially and 5.6% year-over-year in constant currency, reaching US\$1.14 billion. The quarter marked multiple accomplishments including year-over-year growth across all verticals with particular traction in the BFSI vertical, which we have consistently highlighted.

Additionally, we signed a record TCV amounting to US\$1.68 billion, up 29% quarter-over-quarter. These wins included a new logo in manufacturing vertical worth over US\$50 million as well as two large deals in the BFSI vertical. We also opened 17 new logos during this quarter. Furthermore, we enhanced our cash generation and increased employee headcount for the third consecutive quarter. These positive outcomes were achieved despite seasonal challenges including furloughs and fewer billing days.

The EBIT margin for the quarter was 13.8%, down from 15.5% in Q2. The 170-basis points decline was mainly due to wage hikes, which we estimated would impact margins by approximately 200 basis points.

In recent quarters, we have extensively discussed our AI strategy and its potential impact on our growth. With this context, I would like to take this opportunity to explain how we are actively implementing our AI strategy.

Our framework, "AI in everything, Everything for AI, and AI for everyone" not only continues to resonate strongly, driving innovation and delivering value for our stakeholders, but is also helping us win deals.

From a customer penetration standpoint, we are now engaged with the majority of our customer base across verticals on AI initiatives, demonstrating growing trust in our ability to drive impactful AI-led transformations. In the current landscape, every major deal is assessed through an AI lens. As we discussed during our Investor Day (<https://www.ltimindtree.net/investor-day-2024>) held in November last year while AI may cannibalize some revenue, it offers substantial opportunity for growth and increased market share when strategically leveraged. Our recent record deal wins demonstrate our capabilities and positioning, and we remain committed to viewing AI as a key

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opportunity for growth. Here is an account of some critical deal wins this quarter, where AI played a crucial role.

Let me begin with “AI in Everything” deal wins:

A global manufacturer chose LTIMindtree to manage its end-to-end IT landscape, using LTIMindtree's ‘ AI in operations’ platform.

A leading global investment firm has selected LTIMindtree's proprietary ‘ AI and infrastructure’ platform to manage its end-to-end infrastructure services.

A Middle East nuclear energy company chose LTIMindtree for its end-to-end IT landscape, leveraging our ‘ AI in operations’ platform.

I would like to now highlight our “Everything for AI” wins:

A state-owned insurance company selected LTIMindtree to implement data fabric and development of AI use cases, including data governance.

A leading US headquartered software company that provides enterprise cloud computing solutions has entrusted LTIMindtree with managing its Next-Gen Data Fabric.

A leading Middle East oil and gas major has partnered with LTIMindtree to implement an Advanced Data Governance Platform.

The third pillar of our strategy is “AI for Everyone” , which focuses on empowering people and humanizing AI:

We are happy to share that we have achieved nearly company-wide completion of foundational AI training. In addition to expanding the breadth of training, we have curated and invested in advanced skill building programs that focus on specializations tailored to customers' needs such as hyperscaler platforms, enterprise applications and both closed and open source LLMs.

In Q3, we deepened our partnerships focused on building more AI-led transformative services and solutions for our clients.

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Here's an account:

LTIMindtree and GitHub established a strategic alliance to enhance AI-driven software engineering.

LTIMindtree and Microsoft entered a partnership to accelerate AI innovation and drive digital transformation for global enterprises.

LTIMindtree collaborated with AWS to launch industry-specific Gen.AI solutions. Our Gen.AI platform, AI frameworks, and accelerators combined with AWS's robust Gen.AI capabilities enable rapid development and deployment of customized Gen.AI solutions across industries.

LTIMindtree developed “Smart Underwriter”, an Agentic AI Solution powered by ServiceNow. The solution is designed to assist underwriters in making more informed data-driven decisions and enhance efficiency through intelligent automation.

In Q3, we announced a partnership and strategic investment in “Voicing.AI”, an advanced Agentic AI Solution for Customer Engagement Processes. These processes are critical for clients to not only serve their customers for products sold but also enhance their sales effectiveness. A majority of customer service firms are expected to adopt Gen.AI in 2025. LTIMindtree in partnership with Voicing.AI's Agentic AI intends to disrupt this market and provide significant cost savings to clients in addition to superior experience. We are actively involved in over 40 client conversations that leverage our combined value proposition.

We are pleased about our AI progress and excited about the opportunities ahead. We remain committed to driving AI innovation for our customers and within our own organization.

Next, I will discuss our “Industry Verticals Performance”:

Q3 growth was led by BFSI vertical which grew 8% year-over-year and 4.2% quarter-over-quarter in constant currency. Both BFS and Insurance witnessed healthy growth; we signed one large deal using LTIMindtree's proprietary “ AI

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in infrastructure” platform to manage clients end-to-end infrastructure services.

The Manufacturing and Resources vertical grew 1% year-over-year and 9.1% quarter-over-quarter in constant currency. This quarter included some pass-through revenue. We also won a deal wor

th over US\$50 million in which we will manage the customers' application stack, ERP and infrastructure using our AI platform.

Technology, Media and Communications vertical grew 9.1% year-over-year and declined by 5.5% quarter-over-quarter in constant currency. Tech companies continue to be at the forefront of AI adoption. In the spirit of doing more for less, we are passing on AI-driven productivity benefits to our clients. Customer business grew 2.2% year-over-year and 0.2% quarter-over-quarter in constant currency.

Healthcare, Life Sciences and Public Services vertical grew 2.2% year-over-year and 0.4% quarter-over-quarter in constant currency.

We continue to expand our workforce to support growth. This marks our third consecutive quarter of employee additions. In Q3, we onboarded 2,362 employees, bringing the year to date count to 5,150 new hires, reflecting a 6.3% increase compared to the previous year's end headcount. At the end of the quarter, our total headcount stands at 86,800. Attrition remains stable at 14.3%. I will now turn over the call to Vipul for Financial Highlights.

Vipul Chandra: Thank you, DC. Hello, everyone and thank you for joining the call. Firstly, I would like to wish everyone on the call a Very Happy New Year.

Let me now walk you through the Financial Highlights for the 3rd Quarter of FY'25 starting with our revenue performance. Our Q3 revenue stood at US\$1.14 billion, reflecting sequential growth of 1.1% and 5.1% year-on-year in dollar terms. The corresponding constant currency growth was 1.8% quarter-on-quarter and 5.6% year-on-year.

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EBIT margin declined by 170 basis points to 13.8% as compared to 15.5% in the previous quarter. The impact on account of wage hikes came in at about 220 basis points, and the hikes were effective from first October and given to all eligible employees across the company. However, despite the seasonal impact of furloughs and lower working days, our ongoing efforts on cost optimization helped margins by 50 basis points sequentially. The foreign exchange movements negatively impacted the revenue line and positively affected the cost line items at EBIT level. At the PAT level, it has been broadly neutral for us.

The effective tax rate for the quarter was 26.2% as compared to 25.8% in Q2. We expect the effective tax rate for FY'25 to be in the same range.

The PAT margin for the quarter was 11.2% as compared to 13.3% in the previous quarter. Basic EPS was at Rs.36.7 for the quarter as compared to Rs.42.3 in Q2 FY'25.

Our efforts towards our aspirational DSO target of 75-days are continuing, and in line with this we close the total DSO for this quarter at 80-days compared to 81-days in the previous quarter.

We had a significant improvement in our cash conversion metrics in Q3, the operating cash flow to PAT improved to 126.3% as against 74.2% in Q2. Furthermore, free cash flow to PAT has shown a strong improvement to 106.8% compared to 54.5% in Q2.

Despite a significant cash outflow due to interim dividend payment and mid-year variable payout, I am pleased to report that our cash and investment balances are up by almost 500 crores quarter-on-quarter and stood at 12,488 crores. This corresponds to US\$1.45 billion. The return on equity for the quarter was at 23.7%.

As of December 31, 2024, our cash flow hedges stood at USD3.88 billion and hedges on the balance sheet were USD360 million.

Our utilization, excluding the trainees dropped further to 85.4% compared to 87.7% last quarter. This aligns with our focus on strengthening the bench

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capacity, enabling us to support our growth ahead. We also continue to onboard

freshers in line with our strategy to broaden the pyramid; we onboarded over 1,400 freshers this quarter. Our TTM attrition remained stable for the quarter at 14.3% compared to 14.5% last quarter.

On the CSR front, I am pleased to announce that LTIMindtree was placed in the top 10 of 50,000 assessed companies in Achilles Networks, with an overall ESG score of 84 out of 100, Achilles' average score stands at 56 only. Our commitment to sustainability involves embedding the principles into our culture and long-term strategy. LTIMindtree was featured in Business World Magazine for being one of the top 50 India's Most Sustainable Companies in 2024.

We have also been named one of the Top 50 Companies for Women in India and one of the top 20 best IT Companies for Women in India by the 2024 Avatar & Seramount Best Companies for Women in India.

These recognitions are a clear acknowledgement of our efforts to create value beyond profits for all our stakeholders.

I now hand it back to "DC for the Business Outlook."

Debashis Chatterjee: Thank you, Vipul. In terms of the business outlook, there has been a promising increase in deal activity and the deal pipeline in Q3 as evidenced by a record order inflow in the quarter. The continuing client focus on cost reduction and vendor consolidation is supporting a strong pipeline. The savings generated from these cost cutting measures are directed towards pilot programs and scaling AI initiatives. AI spends have started shifting from point proof of concepts (POC) to scaled projects in select areas as well as in foundational data and infrastructure.

As we enter calendar year '25 political and economic uncertainties persist. With a new government in the US and the possibility of policy changes, predicting spending trend with certainty is challenging.

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We are optimistic about sustaining growth momentum into the fourth quarter supported by the deal ramp ups, reversal of most furloughs and continued strength in the BFSI vertical; however, it could be impacted by short-term headwinds on account of AI-driven productivity. While we expect to improve margins in Q4, absorbing the full impact of wage hikes may take a bit longer in the current growth environment.

With that, let me now open up the floor for questions.

Moderator: We will now begin the question-and-answer session. We will take the first question from the line of Abhishek Pathak from Motilal Oswal. Please go ahead.

Abhishek Pathak: I had a couple of questions, DC. Firstly, on the composition of deals, have you started seeing short cycle deals coming in more aggressively in this quarter? A lot of your peers have indicated that discretionary spends are coming back or at least are partly coming back more strongly than earlier expected and considering LTIMindtree has a heritage of transformation and what you would call discretionary deals, are we seeing more of that as well? And the second thing was I guess the margins were a positive surprise this quarter despite a 3% headcount addition and the productivity gains that you passed. And now that utilization levels are at 85%, how should we model margins going forward, will you be comfortable at this utilization level or should we expect this to dip further, and for FY'26 then, considering once the productivity benefits are absorbed, how do you expect margins to play out?

Debashis Chatterjee: So, basically, you asked three questions, right?

Abhishek Pathak: Yes, one on the deal composition, the second on comfortable level of utilization and likewise the margin outlook because of that.

Debashis Chatterjee: So, let me start with the composition of deals. As you see the order intake for this particular quarter has been quite substantial, very positive and there is a portion of renewals in that but bulk of the orders are more cost take out and productivity and vendor consolidation related. Now having said that, there are pockets in which the short cycle deals are back. When I say short cycle deals, we can call it discretionary but more in terms of the regulatory space especiall

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in BFSI. So, those are back, but it's also a reflection of the portfolio of clients that we have. So, given our portfolio of clients, I don't think it's fair to say that it's kind of back across all the industry in a uniform way, but definitely in BFSI we can see some traction and we are hoping that it should come back over a period of time. So, that kind of gives you a view of what's happening with respect to the deals.

Second thing, in terms of utilization, we had very clearly called out that we have to lower the utilization, keeping in mind that there is a build up with respect to deals and now that we have won those deals, I think the utilization may inch up a little further in Q4, keeping in mind that the people that we have got on bench right now they can be deployed easily. You can probably see the utilization inch up a little further, which will also have some positive impact in terms of margin as we go along in Q4. Now, as far as FY'26 is concerned, specifically, it is a little too early to call out, but if you have heard our commentary before, our intention is to have a profitable growth which means that margin is very important for us. So, though margin is a factor of growth and probably we will be able to take the margin up if we do see a double-digit growth coming back in FY'26, but it will be always our endeavor to take the margin up slowly based on the framework that we have already put in place.

Vipul, do you want to add anything?

Vipul Chandra: I think you covered the points. So, even the comment that you made, Abhishek, about this quarter, the margin is seeing a surprise. I think part of the reason for that, as we had called out in the earlier earnings call and the investor day commentary as well that we are looking at employing other margin levers also in terms of cost optimizations and pyramid optimizations, etc., and those efforts are ongoing, and that's where we continue to work on.

Abhishek Pathak: On the Hi-Tech top line, should we expect 4Q to be the bottom there or do we expect that to spill over to FY'26?

Debashis Chatterjee: The productivity gain that we pass to the client and especially the top client, I think that will at least one more quarter we have to bear that before it stabilizes.

Moderator : We'll take our next question from the line of Yogesh Aggarwal from HSBC Securities. Please go ahead.

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Yogesh Aggarwal: A couple of questions. Going back to the Hi-Tech client where you passed on the productivity gain, DC, I am just curious it seems a little counterintuitive, we're talking about an upcycle and you guys obviously are very thick partners with that hyperscaler as well. So, why this sharp cut right now and was there any volume compensation promised for this productivity gain for future?

Nachiket Deshpande: So, if you look at the commentary made by our top client, they are significantly increasing their investments around AI, creating infrastructure all around the world and there is a significant CAPEX that has been announced by them over the last one to two quarters. So, as they are looking at rebalancing some of that investment. There is an expectation of harvesting that from ongoing operations. And also I think to be honest, it is also proof of the pudding, right. Some of these AI-related efficiencies that we are jointly advocating to our clients, we got to also demonstrate that in the work that we deliver. And that's really what is driving that productivity expectation in this particular situation. It's a demand problem that they are seeing, but it is more about one demonstrating that the efficiencies are getting generated and we are able to do that within our own environment and then continue to reinvest that into the AI-related investments.

Yogesh Aggarwal: Nachiket, it doesn't bode very well because that would mea

n that the same

thing now will be offered to the clients of the client, right, hyperscaler am I understanding it correctly?

Nachiket Deshpande: So, we are already seeing that. We are able to infuse AI in delivering higher levels of productivity than we could in the past and that is becoming a key differentiator for us to win some of these vendor consolidation and cost take out deals. So, that's an expectation from client all around and that's been a focus area for us in the last six months.

Yogesh Aggarwal: On the other note, the deal wins are so impressive, especially in the 3rd Quarter

when usually deal signings are not that good, but still you sound a little more cautious compared to all the other companies who have reported so far. Is it just the Hi-Tech impact or you worry about some other customer issues as well?

Debashis Chatterjee: I don't know what you mean by cautious, but as far as we are concerned, I think we are very clear that the momentum that we have generated in the last two Q3FY25 Earnings call
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quarters and the growth momentum into this quarter will continue in the next quarter. So, that's number one. The other thing is the order inflow that we have and whatever we have in terms of pipeline as we go along, that also gives us the confidence to say that FY'26 will definitely be better than FY'25. So, that's the confidence we have now. Calling out specifics is a little difficult because the clients are still going through budgeting sessions and we are kind of working with them and as Nachiket rightly called out, I mean, there is a pressure in terms of doing more for less. That's why there are consolidation initiatives that we are working on. And we have been very well placed in those initiatives because of our understanding of where we can make a difference in terms of everything.

Moderator : We will take a next question from the line of Kawaljeet Saluja from Kotak Securities. Please go ahead.

Kawaljeet Saluja: I've got a couple of questions. DC, first is the productivity benefit that you passed on to the large client. When did that happen and what is the duration of residual impact in the fourth quarter from it?

Debashis Chatterjee: The entire theme of doing more with less and the productivity benefits that we are talking about, I think you can probably say at least two months within this quarter, and which will also extend into the next quarter.

Kawaljeet Saluja: So, obviously there'll be some impact on profitability. So, what are the measures to recoup some of the hit to profitability from this productivity reset, and by when would you be able to, let's say, recoup the losses or to margins from here?

Debashis Chatterjee: I think when you talk about profitability, I don't think the specific productivity benefit that we have passed out is really playing a role in profitability. As Vipul commented in his commentary, we did consciously decide to do the wage hike because I think it was very important for us to do that. We had a few less working days and also there was a huge Forex impact. So, those were the factors. But in terms of overall profitability where we are, it can only go higher from this point as we enter into the next quarter.

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Nachiket Deshpande: Where we are passing on the productivity benefit, we are actually generating those benefits and passing on. That's why it is relatively margin-neutral.

Kawaljeet Saluja: So, it's not a pricing reset which is going through to your margins from that large account?

Nachiket Deshpande: No.

Kawaljeet Saluja: The other question, for you DC and Nachiket, is that let's say in FY'26, discretionary does not recover and your business portfolio continues to be cost take out heavy. With that assumption, where do you think will end up on margins?

Debashis Chatterjee: Well, I think that's an assumption. I have not s

een in this industry, discretionary

at an all time low for almost two years. So, I think that is something that will probably be changing. And as I said, it's not that discretionary is not back. We are doing a lot of regulatory related work in BFS, which will continue into the next year as well. When I say next year, next fiscal. So, I think the margin trajectory will continue. We will always try to focus how to improve the margin, and the levers are all known to us, whether it is pyramid or whether it is utilization. So, I don't think there is any worry on that front, but yes, if I can get a double-digit growth back in FY26 with the discretionary coming back, then it will be even more positive on the margin side.

Kawaljeet Saluja: Right. You see, in the past, whenever you used to give wage increases, you would recoup the impact of wage revisions into the subsequent quarter. I mean,

does that still hold true or life has changed?

Debashis Chatterjee: Absolutely. It holds good and normally takes 2 to 3 quarters.

Kawaljeet Saluja: Just a final question, a couple of questions for Vipul. Vipul, first is that what is the rate at which you have your \$3.8 billion of hedges. And second is that where do you think the depreciation charge stabilizes, is the capitalization of most of the facility over?

Vipul Chandra: So, on the first question, Kawaljeet, I don't think we talk about the specific rates at the hedges. We do follow a systematic hedge program. And we build Q3FY25 Earnings call

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up the hedges over a period of time as we go along. So, it's a systematically taken up hedge program which continues. So, it's not a one time hedge where you can specify a rate because every quarter the rates keep changing, the average rates keep changing. I think our track record in terms of our hedging program which I am sure you must be tracking and it does show its efficacy over the last multiple years now.

Coming to the second point about the depreciation, I think our investments in our office spaces and building up further capacity as we have been calling out, we have been investing into our business and some of those investments are still continuing. Some of our office buildings are still under construction. So, we will see some more additions to the capital stock. And consequently, maybe a bit higher depreciation. But at the same time, as the buildings get commissioned and we get into our own buildings, some of the lease rentals also may see some rationalization. So, I think suffice it to say that in answer to your question, the depreciation has not yet come to a stable state. It will probably go up a bit more before stabilizing.

Moderator: Thank you. We will take our next question from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal: Thanks for taking my question and congrats to the team for very solid deal wins in the quarter. DC, my question was on the manufacturing and the Retail vertical. In the manufacturing vertical, we have reached back the \$200 million to \$220 million quarterly run rate after almost 3 to 4 quarters. So, I mean very solid growth in this quarter, but I think from overall market participants we're hearing a lot of negative commentary regarding the auto segment while the ex-auto remains quite decent. What are our clients talking about it? How is our portfolio aligned towards that?

Sudhir Chaturvedi: So, on manufacturing, just to call out a couple of things. Firstly, we signed our largest ever deal win last quarter in manufacturing. And even in this quarter, we have actually had a couple of good large deal wins in the manufacturing sector, which are about \$50 million in size. So, that's sort of contributing to us having a good order book in manufacturing and the pipeline being there. I think our exposure to the auto vertical in manufacturing is relatively low. We do a Q3FY25 Earnings call

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lot of work with industrial manufacturing clients. So, I think for us, we see that there is continuing sort of good pipeline there and continuing momentum.

Vibhor Singhal: Given the deal wins that you mentioned in this vertical in this quarter, can we expect the growth momentum in this vertical to continue in the coming quarters?

Sudhir Chaturvedi: So, there is an element of some pass-through in this quarter, but if you look at it from a year-on-year perspective, you'll see good growth.

Vibhor Singhal: I will just pick your brains on the Retail vertical as well. I think in this quarter, we have seen some of your peers talk about Retail vertical bottoming out. Another peer reported quite good growth in that again. So, any color on that, what have we seen? Of course, we clubbed CPG, Retail and Pharma. So, you might want to break that down. But overall, the vertical, what is the kind of traction that we're looking at? And if you think it has bottomed out for us?

Sudhir Chaturvedi: Yes, for us, it's primarily consumer goods and Pharmaceutical and there's some exposure in retail, but quite small. And there we are seeing more or less a stable sort of demand environment. There are some deals in the pipeline, but I would say it's more stable.

Vibhor Singhal: Just one quick last question for Vipul, if I may. Vipul, we have seen another round of headcount addition in this quarter, and that headcount addition has been quite good over the past two to three quarters, along with the lines that you had mentioned earlier that we would be adding this. So, when do you think the balance between incremental hiring utilization is going to play out in the margins. This quarter, of course, the wage hike impact was there. Can we expect the pyramid rationalization and the hiring to basically decelerate a bit over the next coming quarter and hence help us in our margins?

Vipul Chandra: So, I think part of the answer you have called out yourself, that we have always called out that our comfortable range for utilization is 85% to 86%. We have reached those levels. So, from here on, the utilization and hiring will be a function of the market conditions and the demand environment that we see. So, it's not that we are actively looking to kind of target any other utilization levels. It's a question of how the demand plays out. As far as the pyramid correction

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is concerned and the fresher intake is concerned, that is one of the levers that we have talked about. And we are continuing to focus on that. Again, it's a function of how the demand plays out and how we are able to kind of deploy the freshers after getting them trained up. But I think the fact that we are working on these margin levers, as I've covered just a little while back also, is visible even in terms of the margin impact in this quarter. And that is something which we will continue to work upon as we go along.

Vibhor Singhal: Got it. And same thing with offshoring, I suppose. I think we would be comfortable with these levels, little scope to go beyond these numbers, I suppose?

Vipul Chandra: Yes, I think onshore-offshore ratio is something which we monitor, but I think we are doing reasonably well on that parameter. Again, as the situation requires, we will continue to adjust. But it's, again, a function of the ongoing business demand.

Moderator: Thank you. Next question is from the line of Manik Taneja from Axis Capital. Please go ahead.

Manik Taneja: The first question was with regards to the productivity benefits that you passed on to your top customer on the Hi-Tech side. I want to understand, do you envisage situation that something similar might happen with other customers as well. That's question number one. The second question was on your margins. So, in your Analyst Meet, you spoke about trying to essentially get margins to about 17%-18%

over the medium term given the current margin profile and some of the operating levers and I would presume that through the course of the last 12 months you would have already seen some G&A consolidation gains. How should we be thinking about the bigger drivers for us to recover on margins?

Debashis Chatterjee: Let me take the first question and request Vipul to take the margin question. So, Manik, in terms of when you talk about productivity benefits, the reason why we called out the top client is because it's a large client with a large revenue. But if you ask me, what is it that we are doing with respect to AI, if you have seen our strategy rollout, during the investor day, we clearly called out that we are doing AI in everything, which means that whatever we do for

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our clients and ourselves, we want to infuse AI in everything that we do, which means that we are not waiting for clients to come back, but we want to go to our clients proactively and figure out how can they do more with less. Now with that approach even with existing portfolios, we have seen that clients are very excited. And whenever there's an opportunity to expand the portfolio beyond whatever we are doing, we have actually gained market share within that particular client. And even in consolidation initiatives, which is vendor consolidation, our strategy is working well. You know, it also kind of indicates that we have a good handle in terms of what kind of solutions we can propose to the client when it comes to AI in everything. So, we called out the top clients specifically because it's a substantial impact, but I don't think there is any

substantial impact on any of the other clients, but as a theme, we are going to aggressively push AI in everything, which we hope that eventually it will be beneficial to us because we will be winning more market share in the process.

Manik Taneja: So, does that mean in the near term, this could be diluted to our growth as other customers also look for some of these efficiency gains?

Debashis Chatterjee: No, I don't think so. See, whatever we have called out for the near term, the only thing I would say that for the top client, we will have an impact in the next quarter as well. But I think we will see growth in the next quarter. As I said, the growth momentum will continue into Q4, so which means that there is enough growth out there in other opportunities which will nullify the slight impact that we will have at the top client. So, we are very confident that our strategy will work, and this strategy can actually be a differentiator for us as we go along.

Vipul Chandra: So, coming to your second question on the margins front, I think in Quarter 2 Earnings Call, we had already called out the impact of the wage hike. And we had also talked about the fact that a wage hike impact cannot be recovered in one quarter. While we have been working on our cost optimization and other margin levers, and that's why the full impact of the wage hike is not visible in the margins. It's lesser than that. But it will take, as DC had said a little while back maybe a couple of more quarters or 2-3 quarters to recover back fully. We had also spoken about in the investor day interactions that one of the biggest levers for margin to be recovered, is growth. And as long as the growth

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is in single digits, the other levers, the pace at which they work versus the growth lever, their pace is different. And to that extent, if the growth comes back in double digit, then of course the journey towards margin recovery and going beyond gets faster. Otherwise, it's a bit of a slow grind in operational levers.

Moderator: Thank you. We will take our next question from the line of Sandeep Shah from Equirus Securities. Please go ahead.

Sandeep Shah: DC, if I look at our growth with

in the top 10 for the last two, three quarters, has been slightly volatile. So, you explain that most of the growth has been coming through your top 10 clients. So, to explain very well on the Hi-Tech account, is there any other large top 10 client specific issues which makes us slightly cautiously optimistic?

Debashis Chatterjee: The answer is no. I don't think, and even if you look at the top 10, it has remained fairly stable, which means that within my top 10, the other accounts have grown.

Sandeep Shah: And also in terms of AI related productivity, you are saying the theme which is growing is more with less. So, in that scenario, one can assume that in the near term, there could be more benefits to be passed on, which may lead to an increase in the volume starting at FY26.

Nachiket Deshpande: I think you're right. You answered the question.

Sandeep Shah: And just on insurance, if I am not wrong, we work with some of the US logos, which also has exposure in terms of California fire. So, any client-specific issue you foresee or it's too early to make this judgment?

Sudhir Chaturvedi: Too early. Right now it's too early.

Moderator: Thank you. We will take our next question from the line of Rishi Jhunjhunwala from IIFL Institutional Equities. Please go ahead.

Rishi Jhunjhunwala: Just a couple of questions. One, your deal number has been reasonably strong at that \$1.68 billion. But you haven't really called out any like \$100 or \$200 million kind of deals in that. I just wanted to understand if you can give some

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more color in terms of the mix of this order inflow, split between maybe qualitatively split between discretionary versus cost takeout and new versus renewal?

Sudhir Chaturvedi: So, I think if we look at the \$1.7 billion, almost \$1.7 billion worth of order intake and you see the makeup of that, there is a significant amount that has come from new large deal wins. If you remember, even in our investor meet,

we talked about a good large deal pipeline with deals in the final stages. We also spoke about us being on the right side of several vendor consolidation deals that were underway. So, those were the two major contributors, along with the renewals. So, Q3 is our renewals quarter, especially in the BFSI vertical. And we saw strong renewals. And again, strong renewals is also a good sign that we continue to maintain the base of clients and we will seek to grow them further during the year. A majority of this renewal is longer term deals as evidenced by both renewals as well as the large deal makeup of this. We are yet to see discretionary comeback in a secular fashion. There are projects in certain verticals that are there, but this order intake is essentially a combination of deal wins, vendor consolidation, and renewals.

Rishi Jhunjhunwala: And just very quickly, for this quarter at 1.8%, the two headwinds that we saw, one was with the top Hi-Tech client and the other one on the furloughs.

Furloughs are going to get reversed in 4Q and the impact of the Hi-Tech client is going to reduce. So, I just wanted to understand, I mean, is it possible to quantify say what the growth in this quarter would be ex of that client's issue and can we at least get that kind of growth in 4Q as well?

Debashis Chatterjee: I think we don't want to quantify, but we can only say that we are very confident about the momentum continuing into Q4 as far as growth is concerned, keeping in mind that some of the issues that we will have with the top client. I mean, please remember, as I said some time back, the top client impact was probably for not the full quarter in Q3. But we will have a full quarter impact in Q4, but the furloughs will be back, may not be fully, but they will be coming back. And I think the number of working days also will be less in Q4. So, keeping all these things in mind, all these headwinds, we are still c

onfident that we will
continue the growth momentum.

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Moderator: Thank you. We will take our next question from the line of Ravi Menon from Macquarie. Please go ahead.

Ravi Menon: Despite this productivity improvement given to you, Hi-Tech customer, your top five revenue is still just barely down 0.7% quarter-on-quarter. So, does that mean other clients grew despite furloughs and all that?

Debashis Chatterjee: Yes.

Ravi Menon: So, we have seen, I would say, consistent growth across most of the other client base. So, are we seeing a broad base pick up across except for this one client?

Vipul Chandra: So, even on this client, if you compare year-on-year, there is still growth. So, for this quarter, our productivity pass-back has happened, that's the reason why we are calling out, because it's a noticeable number to not talk about.

Otherwise, I would say that the growth is there.

Ravi Menon: Is this related to a certain revenue size milestone being hit or is this like a contract renewal process every four years or something like that? How should we think about this?

Debashis Chatterjee: I think Nachiket has articulated it very well that when we talk about AI, the top client is pretty much in the forefront of AI, and along with the top client, we are actually working with many other clients in terms of how do you really do the AI in everything. And when it comes to the top client, we need to also do the same thing. So, I think you need to look at it from that perspective that when you say AI in everything, it will be in our own environment, in our top client, as well as all the other clients that we work with. So, just that the top client has a huge revenue and there is some impact. That's why it's worth mentioning. But otherwise, I don't think there is anything that we are concerned about. As we said, that even on a Y-o-Y basis, the top client has still grown.

Ravi Menon: Thanks so much. And one last question on the impact of pass-through on the margins. Could you quantify that this quarter?

Vipul Chandra: So, I think, as you're aware that pass-throughs in the past has been a regular phenomenon. I think over a period of time, the pass-through revenues have

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become a part of the overall revenue makeup of the company. And the impact is also now pretty much factored in into the quarter-on-quarter movements. So,

I think it's not, and we don't really call out the impact individually for pass through and services and everything. I would just say that it's a regular part of the business revenue now and it's continuing in the same way.

Moderator: Thank you. The next question is from the line of Abhishek Kumar from JM Financial, please go ahead.

Abhishek Kumar: Again, sorry to harp on the productivity pass back. We have heard of 20%, 25% productivity coming through AI, especially in product development. So, in that context, just 5% decline sequentially in your Hi-Tech vertical seems small. So, does that mean either we were able to offset some of that pass through or it is just the beginning of sharing some of the productivity gains. It might have started in one section of the relationship. And it can continue because even we have discussed earlier the productivity gains are significantly higher than what we are seeing right now in terms of decline.

Nachiket Deshpande: So, I think all of the above in a way. So, number one, I think the productivity benefits in different parts of the services within the top client also have different characteristics, right? So, hence you will not be able to apply one number. It's not just one service, but a variety of things that we do in our engagement. Second, we have been also gradually working on it. So, it is beginning and as DC said, in Q4, we will see a full quarter impact of what we are passing-through for this particular cu

stomer as well. And as I think we talked about the philosophy of more for less, it is also getting compensated by growth in the adjacent areas where we are passing on productivity. So, it's a combination of all of these three is why you see a different impact versus what would be the productivity deals that are being passed on.

Abhishek Kumar: Sure, maybe just to follow up. So, do we expect growth in FY26 over FY25, especially in this account or in Hi-Tech vertical, given the continuation of productivity pass back?

Nachiket Deshpande: Yes, I think on a full year basis in FY26, we will surely see the momentum. But as I think DC called out, it's too soon. Budgets are still getting finalized.

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So, I don't think we are in a position to sort of confidently say that, but the indications are that I will continue to see the momentum.

Abhishek Kumar: So, one last question on Europe. We saw decline. I am not sure how much it declined in constant currency, but any color on what is leading to drag in Europe?

Sudhir Chaturvedi: In CC terms, Europe grew 0.7% sequentially.

Moderator: Thank you. We will take our next question from the line of Rohan Nagpal from Helios Capital India. Please go ahead.

Rohan Nagpal: So, just, sorry, this is on the productivity pass through again. So, since we're at a stage where we are generating the productivity gains internally and then passing them on, there has to be a fairly objective way of measuring the kind of productivity gains that we have seen because there is a contract that determines payment. So, could you just provide, I mean while you don't want to get into specifics in terms of exactly how much productivity gain you are seeing, but could you provide some color on the areas or directionally what sort of quantum of productivity gains you are seeing?

Debashis Chatterjee: No, we may not be able to call out specific quantum, but I think it is fair to say that if you follow our strategy at an overall level, we have been calling it out well ahead of time that we know that when you talk about AI, there has been a lot of conversations about how does AI reflect in terms of productivity and will it cannibalize some revenues in specific areas. And we have been proactive in terms of understanding that and launching our overall strategy, which is AI in everything. knowing very well that if we do that, in the short term, maybe there could be certain benefits you need to pass on to the clients, but in the medium to long term, that will only benefit us to get more market share for the client. For example, we have, just the only thing I can call out is that the top client, we have been working with co-pilot adoption. We are leveraging co-pilot very aggressively which by inherent, by using copilot inherently, you get a significant productivity gain. Now, if you imagine the volume that we support and for that volume, if we leverage copilot, that's a significant volume, that's a significant number. So, it is not a copilot is just one example in case of the top client, but there are other levers as well and as Nachiket articulated, there are

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multiple areas within the same client in which you work, and the approach is very different in different areas. But overall, we are very confident, and I think we are actually ahead in terms of understanding the need to look at this productivity benefit so that in the long run, it will only be beneficial to us.

Rohan Nagpal: I just have a follow-up over here. So, if there is AI in everything, we just expect like productivity benefits that could have a material impact in the relationship with our top client to effectively diffuse through our entire client base and every workstream? Is that right?

Debashis Chatterjee: No, I think let me take a step back and explain to you. When you say AI in everything, it is

not just top client. It's pretty much across the entire client base.

In fact, we have launched an initiative where almost 60 out of the top clients, we are doing something or the other in the form of AI. Now, typically, there are deals which we have won, and I think some of them we announced earlier, where we would not have won that vendor consolidation unless we had committed to AI productivity gain. So, which means that even in situations which is a new deal, unless you have a very clear strategy in terms of how you can solution the productivity gain for the client, we may not be able to win that deal. So, the way to look at it is that we know very well that for our existing client base, in some areas we may be cannibalizing, but at the same time, we are very confident that with our approach, when it is appreciated, we will actually be able to expand in the same client. That's the way we are looking at it. And that's why, in spite of all the headwinds, in spite of some of the things that we talked about, the Forex, the lesser number of working days, productivity gains, passing onto the top client, still we are confident that our growth momentum, which we have developed over the last two quarters into Q3. We will also continue into Q4.

Moderator: Thank you. Ladies and gentlemen, that was the last question. On behalf of LTIMindtree, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Safe Harbour

Certain statements in this release concerning the future prospects are forward-looking statements. These statements, by their nature, involve risks and uncertainties that could cause the actual results to differ materially from such forward-looking statements. The Company assumes no obligation to revise or update any forward-looking statements that may be made from time to time by or on behalf of the Company.

(This document has been edited for readability purposes)

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Call: Apr 2025

LTIM/SE/STAT/2025-26/14 April 28, 2025

National Stock Exchange of India Limited,
Exchange Plaza, Bandra-Kurla Complex,
Bandra (E),
Mumbai - 400 051

NSE Symbol: LTIM The BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

BSE Scrip Code: 540005

Dear Sir(s)/Madam,

Subject: Transcript of Earnings Conference call held on April 23, 2025

With reference to the captioned subject, please find enclosed transcript of the Earnings Conference Call held on April 23, 2025.

Kindly take the above on record.

Thanking you,

Yours faithfully,
For LTIMindtree Limited

Angna Arora
Company Secretary and Compliance Officer

Encl: As above

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"LTIMindtree Limited Q4 & FY'25 Earnings
Conference Call"

April 23, 2025

MANAGEMENT :

Mr. Debashis Chatterjee – Chief Executive Officer & Managing Director
Mr. Venu Lambu – Chief Executive Officer (Designate)
Mr. Nachiket Deshpande – President, Global AI Services, Strategic Deals & Partnerships
Mr. Vipul Chandra - Chief Financial Officer
Mr. Vikas Jadhav – Head, Investor Relations

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Moderator: Ladies and gentlemen, good day, and welcome to LTIMindtree Q4 FY '25 Earnings Conference Call.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I will now hand the conference over to Mr. Vikas Jadhav – Head Investor Relations, LTIMindtree. Thank you and over to you, sir.

Vikas Jadhav: Thanks Rutuja. Good evening, everyone. Welcome to LTIMindtree's Q4 FY'25 earnings conference call.

Today on the call we have with us

Mr. Debashis Chatterjee – Chief Executive Officer and Managing Director

Mr. Venu Lambu – Chief Executive Officer, Designate

Mr. Nachiket Deshpande – President, Global AI Services, Strategic Deals & Partnerships

Mr. Vipul Chandra – Chief Financial Officer.

We will begin by providing a brief overview of the Company's Q4 and FY'25 performance, after which we will open the floor for Q&A.

During the call, we could make forward-looking statements. These statements consider the environment as we see today, and carry risks and uncertainties that could cause our actual results to differ materially from those expressed in today's call. We do not undertake to update any forward-looking statements made on the call.

I now turn the call over to DC for his opening remarks.

Debashis Chatterjee: Thank you, Vikas. Good evening, and good morning to everyone, and thank you for joining us today.

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To start with, I am pleased to mention that on the Earnings Call today, we are joined by Venu Lambu, who has rejoined us as CEO Designate on 24th January. Venu has worked closely with me for over a decade in the past. Since joining, he has gained deeper insights into the Company's current operations and strategic planning. Venu will continue to focus on driving growth and enhancing stakeholder value. While I cover the performance highlights for FY'25, I would request Venu to provide his perspective on the business outlook later.

In terms of yearly performance, FY'25 was a period of consolidation, characterized by growth in our key verticals, growth across top customers, large deals traction, and significant progress in AI-leveraged deals. Despite robust revenue growth in the first half of the year, momentum slowed in the second half due to macro uncertainties. Nonetheless, as a strategic partner, we maintained close relationships with our customers and supported them in their cost initiative programs, while further consolidating our position with them. Overall, we achieved constant currency revenue growth of 5% compared to 4.2% in FY'24. Revenue totaled US\$4.5 billion, reflecting a growth of 4.8% in U.S. dollar terms.

The strategic alignments with our customers have resulted in a robust order inflow this year. We recorded a Q4 order inflow of US\$1.6 billion, marking the second consecutive quarter with over US\$1.5 billion in orders. The total order inflow for FY'25 stood at US\$6 billion, representing a 6.1% year-on-year increase. This exhibits our capability to continue to adjust our portfolio from a higher discretionary mix to longer-term efficiency-driven deals. Operating margins for the year stood at 14.5%, a decline of 120 basis points year-over-year.

At the end of Q4 and FY'25, our total headcount stands at 84,307, reflecting a net year-over-year addition of 2,657 employees. Attrition remained stable at 14.4%.

Collaboration between academia and corporates is critical in times of technological transition. As a step towards this, we are excited to share that

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LTIMindtree has partnered with the Indian Ins

titute of Management, Mumbai

to introduce the postgraduate program for executives in AI-led experience design. This year-long program is designed to equip professionals with cutting-edge skills in customer experience design by leveraging the transformative capabilities of artificial intelligence.

At LTIMindtree, we believe that true operational excellence is measured not only in metrics but also in the trust we build with our clients. I am delighted to share that our CSAT score improved to 5.98 in FY'25 from 5.85 in FY'24, well above the industry average.

I am glad to see LTIMindtree being included in the "S&P Global Sustainability Yearbook 2025". This inclusion marks the first time we have been featured in the S&P Sustainability Yearbook and reflects our ongoing commitment to sustainability and transparent practices.

The ongoing AI-led technology transition is enabling us to capitalize on new opportunities across various industries. Let me take you through some of the key wins in Q4.

A leading US Life Insurance Company has engaged us to enhance its quality processes using AI to improve the operating model, thereby advancing enterprise quality engineering maturity. This is a multi-year deal which will focus on enhancing quality engineering practices and leveraging AI to transform the operating model.

We have been chosen by a global re-insurance group to enhance efficiency through an AIOps model as part of its end-to-end outsourcing deal.

A leading digital Company in the Kingdom of Saudi Arabia region has entrusted us with providing end-to-end operations services for their hybrid cloud security platform.

We have been selected by a global Energy major to provide next-gen ERP support services across multiple functional and SaaS-based solutions.

Our year-end deal pipeline continues to remain robust.

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Next, I will discuss our Industry Verticals Performance:

Our primary verticals, BFSI, Technology & Manufacturing, which accounted for approximately 80% of FY'25 revenues, experienced good growth this year. The Technology, Media & Communications vertical contributed 24.5% to FY'25 revenues and grew 8.7% year-over-year in U.S. dollar terms. We see continued momentum in this sector.

Our largest vertical, BFSI, which contributed 36.1% to FY'25 revenues, grew 4.6% year-over-year. Client priorities continue to revolve around regulatory commitment and data transformation for better reporting and decisions. During the year, we closed several large deals in this vertical, primarily focused on cost optimization, vendor consolidation and tech modernization.

The Manufacturing & Resources vertical, which contributed 19% of FY'25 revenues, grew 7.2% year-over-year, aided by the large deals we signed earlier this year. Demand was driven by vendor consolidation, ERP transformation and managed services deals.

Our Consumer business, which consists of Retail, CPG, Travel, Transportation and Hospitality businesses, showed flat growth year-over-year in constant currency terms. Retail and CPG witnessed growth during the year, while the TTH portfolio had a couple of client-specific slowdowns.

Our Health, Life Sciences & Public Services business, our smallest vertical, declined by 3% year-over-year. The decline primarily came from the Healthcare business.

In terms of geographies, North America grew by 7.1%, Europe declined by 1.2%, and the rest of the world declined by 1.7% in FY'25.

I will now turn over the call to Vipul for the financial highlights.

Vipul Chandra: Thank you DC. Hello everyone and thank you for joining the call.

Let me take you through the financial highlights for the 4th Quarter and financial year 2025, starting with the revenue numbers.

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We ended the fiscal year 2025 with revenue of US\$4.5 billion, registering a growth of 4.8% in dollar terms

and 5% in constant currency terms. The EBIT margin for FY'25 was 14.5% compared to 15.7% in FY'24. The PAT margin was 12.1% compared to 12.9% in FY'24, while the absolute PAT for the full year was INR 4,602 crores, an increase of 0.4% over FY'24.

Cash generation for the year continued to drive the strength of our balance sheet, with operating cash flow to PAT at 98.8% and free cash flow to PAT at 78.5% for the full year.

We closed the year with an all-time high Cash and Investment balance of US\$1.56 billion or INR 13,346 crores compared to INR 12,488 crores in Q3 FY'25.

Return on Equity was at 21.5%.

For the 4th Quarter of FY'25, our revenues stood at US\$1.13 billion, up 5.8% year over year in USD terms. The corresponding constant currency growth was 6.3% year over year. Sequentially, revenue declined by 0.7% in dollar terms and by 0.6% in constant currency.

EBIT margins for Q4 were flat at 13.8% compared to Q3. Despite the sequential revenue decline, we were able to maintain margins due to improved operational efficiencies.

PAT margin for the quarter was at 11.5% as compared to 11.2% in Q3 FY'25.

Basic EPS was INR 38.1 for the quarter as compared to INR 36.7 in Q3 FY'25.

The effective tax rate for the quarter remained stable at 26.2%.

We remain committed to reducing our day's sales outstanding as evidenced by the improvement in total DSO, which reduced by 1 day, bringing it to 79 days for Q4 versus Q3.

As of March 31, 2025, our cash flow hedges stood at US\$3,618 million, and hedges on the balance sheet were US\$259 million. Corresponding numbers for Euro hedges stand at €145 million and €28 million respectively.

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Our utilization excluding trainees in the quarter came in at 85.8% compared to 85.4% last quarter. Our attrition continues to be stable. For the quarter, our TTM attrition was 14.4% compared to 14.3% last quarter. We onboarded over 4,700 freshers during the year, which is another step on our pyramid correction journey.

The Board of Directors has recommended a final dividend of INR 45 per share, subject to shareholders' approval, taking our overall dividend for the full financial year to INR 65 per share.

Our commitment to sustainability remains steadfast. Let me outline some of our accomplishments on this front:

I am pleased to announce that LTIMindtree received the "India Green Award 2025" for demonstrating Best Practices and Achievements in Sustainability Reporting.

LTIMindtree was also awarded the prestigious Zero Waste to Landfill Certification for 2 of our Mumbai offices in Powai and Mahape.

We proudly stand as the only Platinum Award winner in the "Sustainability Report Category" within the Technology IT Services sector. This achievement underscores our leadership in sustainable practices within our industry.

LTIMindtree attained the Global Leadership League in CDP Climate Change 2024 for the fifth year in a row.

I am also pleased to report that Crisil has reaffirmed its rating on the Company's bank facilities as Crisil AAA / Stable and Short Term facilities as Crisil A1+.

I would now like to invite Venu to share his thoughts.

Venu Lambu: Thank you, Vipul. I am very excited to rejoin LTIMindtree. The transition has proceeded smoothly, and it has been a rewarding experience collaborating with DC once again. Over the past 90 days since my rejoining, I have travelled extensively to various locations, engaging with both employees and customers.

I have participated in over 100 meetings involving customers, industry experts, partners and investors. These engagements across stakeholders over the past

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90 days have been quite reassuring and reinforced my commitment to value creation at LTIMindtree.

The recent macro uncertainties will take their own course. Over the past two decades, we have faced various challenges and emerged stronger each time.

We see the current phase of technological transition and macro issues as another opportunity and are confident in our ability to thrive.

I would like to outline 3 key initiatives that we have prioritized as we move into FY'26:

The first initiative is sales transformation. This centers around simplifying the service line sales structure, strengthening leadership in high potential businesses, reimagining value creation with our partners and customers, and exploring new sales models in the AI economy, targeting a larger portion of clients' cost base than just IT.

As we move into this AI driven economy, clients are increasingly seeking multi-service, multi-delivery and multi-geographical solutions. This significant shift in demand necessitates the development of an innovative playbook, prompting us to revamp our large deal organization. The framework for this organization in the context of AI differs significantly from the traditional methods. It focusses on the proactive integration of new age technologies into clients' IT system as well as our own service delivery processes.

To boost our scalability in this evolving landscape, we have devised a robust go-to-market strategy, spearheaded by Nachiket Deshpande, President of Global AI Services, Strategic Deals and Partnerships. Nachiket will now be based in the U.S. and his experience across the value chain will help in delivering integrated solutions that resonate deeply with clients' evolving needs.

While the first two initiatives focus on revenue maximization, the third initiative, "Fit4Future," primarily aims at enhancing agility and profitability. It involves a complete re-baselining of operational costs – both direct and indirect. The goal is to relook at existing team structures and alignments, Q4FY25 Earnings Call

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processes, and reshape them towards reducing extra layers, leading to agility and operational efficiency with innovative use of AI. The program will target productivity improvements in all areas, like sales, delivery, and business enabling units, maintaining an optimal and efficient bench process, optimizing span of control, etc., and should start yielding results through margin improvements during the year.

In conclusion, we are confident about navigating the macro challenges as we move into executing our growth plan for FY'26, and we expect our Fit4Future Program to help improve the margins from Q1 onwards.

With that, let me now open the floor for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session.

The first question is from the line of Sulabh Govila from Morgan Stanley.

Please go ahead.

Sulabh Govila: My perspective is from an organization point of view, the changes that you highlighted, would you say that these changes have already been in place, especially with respect to people? Or you think that it is something that will take some time to play out?

And secondly, within that, the areas that you mentioned about sales transformation as well as targeting margins, what among these could be some of the quick wins that you will target in the first year? And what could be some of the longer areas that you will pursue?

Venu Lambu: Sulabh, on the first part, the organization structure is final. The organization that was in place, we are just strengthening that, improvising in the areas where we need to do it. But the focus is to continue and accelerate the momentum.

That's number one.

The second thing, the areas that I spoke of with regard to the Fit4Future program, some of these initiatives are already running as I entered into the

organization. It's just that I brought it under one overarching umbrella and one overarching program and driving it with governance and focus. So it's
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something which was already in work-in-progress. So it's not something that we have

started in fresh. It's just that it got extra focus and extra rigor.

Vipul Chandra: It got expanded a bit in the last quarter.

Venu Lambu: Okay, which ones will give results with regard to the second part of the question? On the sales transformation. Our expectation is that both should start giving good results. Sales transformation is not about overhauling the sales structure. It's about getting better at what we are doing. There is a chance to improvise our playbook as the client expectation changes. And that's what we are focusing on.

So the word transformation may look like a big thing, but you should read it as an improvisation from the overall sales effectiveness standpoint. And we are confident to start getting some quick-end results on both these initiatives.

Sulabh Govila: Understood. Thanks for that comprehensive answer.

The second is the outlook on the top 2 clients that we have, given that, especially on the Hi-Tech clients, should we expect the productivity benefit pass-on phase to be over? And one should expect this client to grow this year. And in the banking client, given the changes that client is pursuing internally, what areas would you think are relatively protected and what could be at risk?

Venu Lambu: On the first part, on the productivity part, as DC would have briefed in Q3, that's been factored already in Q3 and Q4 quarter. So that's the end of the initiative we are driving, and we are happy that we successfully delivered those benefits to our customers. So that's sort of a closed topic in that regard. It's a customer where we had a relationship over many years and we will continue to work with them in developing new capabilities and areas to grow.

The second one is you asked a question with regard to the banking. I don't want to comment on client-specific news that you're talking about, but I can only say that we continue to see increased opportunities in our clients, across all the top clients that we are engaged with. So I don't see any immediate risk on that.

Sulabh Govila: Understood, understood. And last one from me with respect to the current demand environment and visibility that you have, so the macro uncertainty
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that's been playing out over the past few weeks, would you say that, that has had some impact in the month of March, and that's continuing in April, or you've not seen anything like that in the past few weeks?

Venu Lambu: I will comment and then DC can add anything extra on that. I think, the uncertainty that was there in Q4, I don't think it has disappeared as we step into Q1, right? So it still persists in various forms and shapes. So that's one part of the answer with regard to where the uncertainty lies.

The second is where do we see the demand outlook coming from the client? I would say it's predominantly coming from the 3 areas. Even the clients are navigating the same uncertainty that we are navigating. So they are looking for opportunity to save cost. So there are opportunities where we can help customers in cost-saving opportunities.

The second is, this is also an opportunity for our clients to actually simplify their vendor landscape. So there is a huge vendor consolidation demand out there. So it's an opportunity for us to be competitive and get a bigger share of that.

And the third is that as most of our clients navigate to the AI economy, they need to modernize their tech as well. Especially if you want to pivot and scale at AI, it requires tech modernization. So these are the 3 set of archetypes of demand that we see, which are pretty much contextual to the uncertainties that even our clients navigating it.

Sulabh Govila: Understood. Thanks for taking my question, and all the best for this financial year.

Venu Lambu: Thank you Sulabh.

Moderator: Thank you. The next question is from the line of Abhishek Bhandari from

Nomura. Please go ahead.
Abhishek

Bhandari: Yes, thank you for the opportunity. I had a few questions. So Venu welcome back home. From the time you left LTIMindtree to the time you rejoined, and the last 3 months you've spent in the company, what are the areas you think have changed where there's a need for immediate attention? And what are some
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of the areas where you think things have improved since the time you left? The background of this question is some of the expectations what investors had in terms of growth being A plus B after the merger has not really played out. So, if you can answer this....

Venu Lambu: Yes, firstly, Abhishek, thanks for welcoming me back. To be honest, I don't think it's fair for me to analyse that way, because I was there only 1 month after the merger. So it's very difficult for me to have a reference point and do that. But we also need to understand, I am sure you appreciate that the market we were talking 2 years or even 3 years back was completely different from the market that we talk today. The client expectations have changed and their spend areas have changed. And coupled with that, even the technology advancement. The kind of AI conversation we could have had 2 or 3 years back versus today has fundamentally changed.

So that's on how I look at it from an external standpoint. But, from an internal standpoint, it's the same organization. I have a very talented team and great leadership, and we are all passionate and determined to deliver the growth. So at least on that aspect, I can assure you there's nothing that I've seen a different change. If not anything, probably I would have seen more hunger and more passion to deliver growth. Thanks to DC for that.

Did I answer your question, Abhishek?

Abhishek Bhandari: Yes, partly, I think maybe in coming quarters you will have little more clarity on the strategy and how it has played out. I appreciate it has just been a few months ago.

The second question is on the headcount number, this quarter we had a very sharp headcount reduction. So maybe if you could guide us how one should think about the linkage within your expectation on growth and headcount addition going forward.

Nachiket Deshpande : Yes. So this quarter, if you see the reason for a sharp decline in the headcount, it should be seen in the context of Q2 and Q3 where we had built aggressive

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headcount increase in the anticipation for growth. And we worked on deploying that in Q4. And hence you see the net headcount reduction.

But going forward as the AI-led productivity starts to play out, Abhishek, we would expect that the headcount growth may not be linear with the revenue growth that we see. So there would continue to be that play as we go along, and as the AI adoption increases across our services.

Abhishek Bhandari: Got it. Thank you for that, Nachiket. And my last question is, should we expect the usual seasonality for you to play out even in FY'26, basis the order book closure and the pipeline what you have? Or is it slightly different this time given the macro world play?

Venu Lambu: Well, the seasonality variation that you see in our quarters from last year, I think in my view it will be more or less the same, right. If at all there is anything that we can add on top of it is our ability to respond to the clients' new types of demands and helping them in all the 3 areas that I mentioned. So we need to see how that gets played out, and also how long this uncertainty environment stays throughout the year. So those are the 2 variables outside, I would say.

Abhishek Bhandari: Got it. Thank you, Venu, and all the best. And DC, thank you for your time in the Company.

Venu Lambu: Thank you.

Debashis Chatterjee: Thank you, Abhishek.

Moderator: Thank you. The next question is from the line of Sandeep Shah from Equirus Securities. Please go ahe

ad.

Sandeep Shah: Yes. Thanks for the opportunity. You spoke about the client-specific issue in terms of both Hi-Tech as well as in BFSI. Apart from that, is there any other client-specific issue, especially in a vertical like Insurance or in Travel, Transportation & Hospitality where vendor consolidation, we may win some, we may lose some?

Venu Lambu: Look, firstly, Sandeep, I don't think I spoke about any issue as such. If at all, I actually gave an assurance that the productivity part of our top client that we

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have executed successfully. So, we don't see that flowing into the Q1. That is point one. And the second, was with regard to the banking client, where my commentary was more about how we continue to see opportunities with our clients as we go along. So not sure if I missed the context but there are no specific issues that I highlighted.

Sandeep Shah : So outside of these two, what I wanted to know is, is there any top client-specific issue in travel as well as in terms of Insurance because of California fire and exposure of some of our clients more towards California?

Venu Lambu : With regard to your questions on Insurance and Travel, look, I think Travel, as we called out, there are a couple of client-specific instances that had an impact on the FY'25 numbers. And these are the clients that are actually planning new initiatives. At least I could sort of say that in the near future, there are no other new impact on those clients and that was already taken care in FY'25. In terms of the further demand outlook from those clients, we have to just wait and watch for a couple of quarters.

Sandeep Shah : Okay. And just a strategic question, Venu, when you are joining back the company, there has been a dual problem in terms of growth being lower versus what it used to be LTI Mindtree versus peers and second, margins are also at a very low level despite some of the levers have been juiced out in the last 3 to 4 years. If you look at gross margin, it is at all-time low and is one of the lowest in the industry. So in terms of focus, do you believe driving both the initiative concurrently could be a difficult job and you might have compromised one for the other? What is your strategy in regards to this? And second, as a clarification in terms of service line transformation, so is it one can understand the GTM model may change from vertical focus to service line focus?

Venu Lambu : No, firstly, let me clarify that part. No, it doesn't mean that. What it means is that the clients are consuming service capabilities in a different way these days. It's no more consuming a part of one service line or anything. Most of the construct, whether it's the Tech Modernization, cost saving, or the AI kind of a niche, involves more than one service line. So when I spoke about simplifying, it's about making sure that we become more agile and become more competitive in the way we address the market with regard to the service line sales capability. That's the first part of it. And the second thing is that with

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regard to playing on both the tracks of revenue and margin, I think it's something we have the capability. It's not the first time we would have addressed these challenges, right? So we have all the capabilities, and we have the teams who can navigate both. And our endeavor is actually to drive profitable growth. So hence we need to get both. I don't think you can get profit by just cutting the cost. So you need the revenue and the volume as well. So it goes both hand in hand. I know it always looks challenging, but I think that's where we have a great leadership team in place to deliver that.

Sandeep Shah : Okay, thanks. Congratulations, Venu and all the best. Thank you.

Moderator : Thank you. The next question is from the line of Manik Taneja from Axis Capital. Please go

ahead.

Manik Taneja : Hi. Thank you for the opportunity and congratulations Venu for rejoining LTIMindtree. So my question was with regards to the commentary that was provided post your third quarter results, where you were quite optimistic about sustaining the growth momentum driven by a combination of factors. If you can talk about where were you negatively surprised in terms of verticals with the way how Q4 panned out? And the second question is with regards to the

Sales transformation that you're talking about, you've seen a number of exits in the organization in the course of recent months. Could you talk about how you're looking to backfill some of these positions and the likely time constraints? Thank you.

Debashis Chatterjee : Manik, the way to look at it is that we had strong growth in Q2 and we also saw good order inflow in Q3, which kind of made us believe that the volumes are going to coming for which there will be good growth in terms of Q4. But obviously, multiple factors, mostly macros as you are aware of, which kind of played a role in terms of two aspects. One is many of the deals that we closed which were supposed to start, they did not start in the same way. The ramp ups were delayed. And secondly, some of the deals which were expected to close in Q4, they also got carried forward into the next quarter. So these are some of the factors that did not play out the way we had anticipated. That is why if you look at the intake for Q2 and Q3, the intakes were high, but we could not really ramp up the way we wanted. But of course, the good news is that some of those deals will get closed in this quarter, so you will hear about it as we go along.

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But otherwise, I mean that is why the growth momentum could not continue though we had anticipated. And on the Sales transformation, let me hand it over to Venu.

Venu Lambu : Thank you, DC. I think on the Sales transformation, as I mentioned, it is more about getting a better version of ourselves in the context of the new playbook or in the new AI economy. We already have a great sales team, and we have a very effective way of managing our client relationship. And we are sort of infusing with the new playbook that is needed in the context of AI economy. So that's how I look at the Sales transformation. Our industry leadership is constant and is steady. So there's been no exits in that part of the organization and one or two exits that we had, we have backfilled it very successfully. The growth office, we have consolidated under one leader now. We have a global Chief Growth Officer, and we also integrated the vertical delivery as well under one single Chief Delivery Officer. So I don't think we have any risk with regard to the exit. In fact, we have a good interest for the leadership inclusion as we start growing as well.

Manik Taneja : Sure, if I can chip in with one more question. This question was for Vipul. With regards to our Fit4Future program, we are talking about some of the easy wins come through very quickly in FY'26. If I look at your cost split up over the course of FY'25, we've seen our non-manpower expenses come off meaningfully over the course of last couple of quarters. If you can talk about what exactly has driven some of those efficiencies and how should we be thinking about these expenses on a go-forward basis?

Vipul Chandra : So I think as we said that under Fit4Future program, we are targeting agility and cost optimization. There are many tracks in that program that we are simultaneously focusing on. So some of the tracks which have started yielding results are in terms of the overhead side, which you have seen and you yourself commented on in the SG&A side. Some of the other initiatives which are going to start playing out will be in the manpower cost area also as we address the span of control and also the optimization and driving the effic

iciencies in the workforce management process and the talent process. And as we are adopting AI more and more, we have already said that the increase in headcount versus revenue may not be linear going forward. So I think all of these levers playing

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together is what we are looking at. Some of them have already been in place. Some of them will start kicking in further now.

Manik Taneja : Any targets or any timelines that you are giving to the margin improvement aspiration?

Vipul Chandra : Manik, as you know, we don't give a guidance per se for the future. But I think in terms of the timelines or impact, that will be visible through the quarters in FY'26 as we go along.

Venu Lambu : It's a journey which will start getting visible from Q1 onwards.

Manik Taneja : Sure, thank you all the best for the future.

Moderator : Thank you. The next question is from the line of Vibhor Singhal from Nuvama Equities. Please go ahead.

Vibhor Singhal : Thanks for taking my question. Venu, I had a question on the strategy that you mentioned about the various initiatives that you are taking in terms of a Chief Growth Officer and the revitalization of the employee workforce. So is there any target in our mind, a North Star maybe, that we want to basically achieve this kind of growth if not numerical in absolute terms, in terms of relative to peers or industry, similarly on the margins front. So are there any targets that you're looking at? If you can't share them with us at this point of time, is there a timeline that we are looking to share that, okay, this is what we aspire to be in X years of time or whatever that timeframe will be?

Venu Lambu : Look I think in the short term, it's about getting the growth in the first quarter, which I feel we are reasonably confident of achieving that. And in the medium term for the full year, I would not comment on any specifics, but I think I will live up to the spirit that DC has been advocating over the years of industry leading growth. I think that's what our endeavor will be to achieve that. But as I said, in the short term on Q1, I think we are reasonably confident of getting the growth.

Vibhor Singhal : Got it. Also just a couple of questions on the outlook and just specifically on the Q4. I mean, we've heard a lot of our peers talk about the heightened level of uncertainty in the Manufacturing and Retail vertical. These two are key
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verticals for us and of course there is the impact of the uncertainties mainly because of the tariffs. Is that also what is kind of reflecting in our conversations with them or there is nothing as of now that has come up with them? And your outlook for these specific verticals, let's say, in the near to medium term?

Venu Lambu : You can't generalize it across the sector because it depends on where the client's operations are, where the supply chain is, where do they sell and so on. So it becomes very difficult to generalize it, but I can tell you how our demand is looking of these two sectors, right. In Manufacturing, I would sort of phrase it as steady and growth oriented in the short term. In Retail, we have very exciting conversation going on on some of the strategic deals and strategic engagement. There is no material request that has come to us at the back of the tariff changes, but the fact about discretionary spend is that it still remains the same as what it was in the previous quarters, and clients are adopting wait and watch, but the three areas that I called out in the beginning about cost saving, vendor consolidation, tech modernization initiatives, across these three areas, specifically these two sectors, I would rephrase the way I said it, steady and growth in Manufacturing, Retail, some couple of exciting engagements that we have under discussion.

Vibhor Singhal : Just one last bookkeeping question.

The Healthcare vertical, though it's a small one for us, saw a very sharp decline in this quarter, both on a Q-on-Q and Y-on-Y basis. We almost lost US\$10 million of revenue on a quarterly run rate basis in this quarter. Any specific thing to call out, any client-specific issue which might reverse in the coming quarters, or anything on that will be great?

Debashis Chatterjee : No, I think there is no client-specific issue per se. Most of the business in Healthcare and Public services is project-based. And there are these project-based business-related cyclical impacts in the public services. That's all about it. I mean, there is definitely no customer specific issue.

Vibhor Singhal: Could it be a DOGE impact that the government of US is leading the initiative?

Debashis Chatterjee : Most of the work we do in Public Services are in all India, so there is no impact like that. There is no DOGE impact.

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Vibhor Singhal: Got it. Thank you so much. Thanks for taking my questions and wish you all the best.

Moderator: Thank you. The next question is from the line of Abhishek Kumar from JM Financial. Please go ahead.

Abhishek Kumar: Hi, good evening and congratulations, Venu, on your new role. My question is

it's a difficult environment to execute transformations of any company. Any macro that you have kept in mind or how contingent is your transformation program on the macro? Have you baked in similar macro, any deterioration? Or in other words, what can derail the transformation strategy or delay this?

Venu Lambu: Firstly I just want to re-baseline or contextualize the transformation question that you said. The way I look at it is the very fact that I've come back to an organization which is familiar to me, right? I know the people, of course I worked with DC for many years, and Nachiket, and other leaders for quite a few years. So we are looking at ourselves as how do we get better with our own version? You know, I call it as can we become a better version of ourselves? So transformation may look like a very heavy lifting multi-year theme kind of a narrative, that is not what we are at it. What we are at, is identifying specific areas where we can get better. Fit4Future is, for example, is one area. I think there is an opportunity for us, we can get better at the cost, right? And we need to get better at the cost, again, because of the macro uncertainty and also because an opportunity that AI has given us to re-baseline certain element of cost. So we are bringing all that under one umbrella called Fit4Future. So that's a very specific thing, not related to the external environment, hugely in our control to deliver that. The second thing is that with regard to the sales transformation that I spoke of, again, it's about how do we ensure that we give newer playbook to our sales leadership? How do we give new sales capabilities to our sales organization? And that's not a one-time affair. That's an ongoing thing, we just kicked it off and it will go on throughout the year and beyond. Again, that is pretty much in our control, right? So there's only one thing which is outside of our control is the demand outlook. And that is not included as part of transformation. So that's why I would sum it up, that the things that we are focusing on to get into a profitable growth curve is, all lot in control, minus the Q4FY25 Earnings Call

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macro uncertainty, both in terms of how long it will remain and in what shape it takes.

Abhishek Kumar: Understood. My second question is on the growth outlook for FY'26. DC said roughly 6% of TCV growth this year. At the same time, there is a shift from discretionary spend to longer tenure deals or cost takeout deals which are longer tenure. And then we have probably the full year impact of productivity pass back coming in FY'26. So fair to assume that the growth could

be lower

than 6% or just in terms of whether FY'26 could be similar, better, worse compared to FY'25, that would be helpful? Thank you so much.

Venu Lambu: Look, I don't want to give very specific range or something because we don't give those guidance. But I can only tell you that order booking momentum will continue. It'll only go up from the last year. And as I did indicate, we are at the very interesting and exciting phase of conversation with a couple of large clients in the Retail sectors. And so we'll have a couple of large deals update that we may share with you in due course. At the moment, I am very optimistic that the order book will be higher than last year.

Abhishek Kumar: Okay, great. Thank you and good luck.

Moderator: Thank you. The next question is from the line of Mihir Manohar from Carnelian Asset Management. Please go ahead.

Mihir Manohar: Yes, thanks for giving the opportunity. And congratulations to Venu on joining back. Largely wanted to understand on the margin impact, which has been there over the last 7-8 quarters, the hit is largely coming from gross margins. Now, I mean utilization has remained largely flat. Onsite-offshore ratio has remained in that range of 14%, 15% which essentially means that either there is a pyramid has gone bad over the last eight quarters or there is a pricing reset itself, there is a margin reset itself which has happened in the business. So can you throw some light what is causing this margin impact? Is it the pyramid getting really bad or is it the new pricing itself getting adjusted?

Vipul Chandra: So in terms of the margin, having deteriorated over the last few quarters, I think in quarter three also we had called out that the impact of wage hike which we had implemented from 1st October had kind of affected the margins in Q3 and

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the impact of that has continued in Q4. At the same time, we had started initiatives on margin improvement and which we talked about earlier. So in spite of the revenue growth not coming through in Q4, we have managed to maintain our margins. So I think we can say that we have bent the cost curve by taking some initiatives. Yes, pyramid correction is one of the levers that we are focusing on and we have been focusing on. Span of control is another lever that I talked about. So there are multiple levers that are being focused upon as a part of our Fit4Future program. And we are confident that they will start showing impact from Q1 onwards. But it is a journey, and we will have to undertake that journey over the next few quarters.

Mihir Manohar: With respect to the large Hi-Tech client, is there a pricing reset which has impacted margin?

Venu Lambu : There is no pricing reset that has happened.

Vipul Chandra: It was productivity pass back as we had called out in Q3 and that is what it was. As we had said in our Q3 earnings call also, it had not affected the margins of our segment. So there is no pricing reset. It is a productivity pass back which we have done and successfully delivered.

Mihir Manohar: And my second question was on the deal wins side, as two quarters of good deal wins. I mean, I understand the situation is a dynamic situation. When should one expect these deals to see some impact on the revenue side? And specifically, if you can highlight, how is AI helping us over here in getting deals that will be really helpful?

Venu Lambu: I think we spoke about delivering growth in Q1. So part of it should get reflected in Q1. And also spoke about sharing further update on couple of strategic deals pursuit that we are in which is what we would share in the due course, so that will start reflecting from Q2 onwards. So that is what I would say. Vipul, anything further you want to add?

Vipul Chandra: Nothing.

Mihir Manohar: Sure, that is it from my side. Thank you.

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Modera

tor: Thank you. The next question is from the line of Kumar Rakesh from BNP Paribas, please go ahead.

Kumar Rakesh: Hi, good evening and thank you for taking my question and welcome back, Venu. My first question was to better understand the growth trend during this quarter. So when we entered this quarter, we were expecting the growth momentum to continue. And through the quarter, as you spoke that some of the deals didn't close and the ramp up got slowed down, the impact seems to be about 2.5% point, which is higher than what your peers have seen the impact in the quarter. Actually, many of the peers have spoken that they haven't seen any impact. And going into the quarter, you were building a headcount as well, expecting that growth to play out. So first part of the question is that what resulted into the impact in your business to be higher than peers, because you also spoke about that Manufacturing and Retail where you are over indexed, you haven't seen the material impact to be there. So what exactly is it that resulted into your growth being impacted more than peers? And now as we are entering into the first quarter, your headcount is much lower while you are confident of growth. So what essentially is driving that confidence going into the first quarter that you will be able to deliver growth?

Debashis Chatterjee: So let me take the first part. So we remember when we had our earnings last quarter, we had very clearly called out about the fact that we have to pass on some productivity benefits from one specific account and it exactly played out the way we had anticipated. And the good news is that we have completed that exercise in Q4, so there is no overhang of that in the next quarter. Having said that, we also expected the volumes to increase in the other parts of our business. And that is what I elaborated in my earlier answer, that though we signed a lot of orders, the order book was very healthy, but the ramp ups did not happen the way we had anticipated. And predominantly, factor could be the macro situation, that's one. And some of the deals that we should have closed in Q4, they are getting shifted to Q1. So overall, the long story short is that the ramp ups did not happen, the volumes did not come the way we had expected, though we had, in anticipation of that, we were well prepared. And that's

predominantly the reason why we did not meet the expectations that we had said. But having said that, as Venu articulated, we are very confident that as we get into the next quarter, you know, the two things will happen. One is we

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will be definitely able to talk about a few new deals and second thing is we are very confident of the growth coming back. So Venu, you want to answer the second question?

Venu Lambu: Yes, I think some of the deferment that we spoke about or some of the decisions that got slightly deferred is also one of the reasons why we will start seeing that coming up in Q1. But I think if you look at it in Q4, the way I see it from the market standpoint is, most of the clients were sort of a wait and watch mode in JFM (Q4FY25) quarter. I think in the coming quarter, at least the conversations have started happening. Yes, they are cautious, they are waiting and watching on some big decisions, but things are not stand still. So there are still opportunities in the areas that I highlighted earlier, and these conversations are happening. I think the JFM was a quarter where a lot happened within the short period of time. So it was, I think, probably too much for our clients as well to sort of comprehend and then act on it. But I think now, I am not saying things are getting clearer, but as the things continue to remain as it was before, I think it's an opportunity for people to start finding a way to start doing business, specifically in those three areas. And we see the continued traction of those th

ree areas. That's why I am confident about getting back to growth in Q1. And also I highlighted a couple of large deals where if I may take a risk of saying we are favorably positioned, which we will announce in the due course, and those large deals are also the reason that I am confident of Q1.

Kumar Rakesh: Just a clarification on those comments. So you spoke about volume took a hit in this quarter. So the revenue decline that we are looking at, the volume decline was similarly lower in the quarter?

Venu Lambu: Sorry, which one are you referring to?

Kumar Rakesh: The sequential revenue decline that we have seen in constant currency basis, your volume also had a similar decline in the quarter.

Venu Lambu: Yes, it was more or less the same.

Kumar Rakesh: Understood. And my second question was, in the past, you have, although not given guidance, but you have been quite confident about talking about that the company's growth would be peer leading growth. Are we confident enough to

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at least speak about that for FY'26 that we should be able to match or lead the peer growth or the uncertainty is too high to make that comment at this stage?

Venu Lambu: Yes, look, in the given situation, I will take it 1 or 2 quarters at a time before sitting here and giving the full year commentary. So that is why we have been consistent in this call that do we see a growth coming back in Q1, absolutely yes. We will see that coming back. Do we see margins getting better in Q1?

Yes, we see the margin getting better in Q1. But as we get more and more clarity and both with our clients and outside involvement, I think we can extend, we can give a further extended commentary beyond couple of quarters.

At the moment, that is probably where I would stop.

Kumar Rakesh: Makes sense. Thanks a lot.

Moderator: Thank you. Ladies and gentlemen, that was the last question. On behalf of LTIMindtree, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Safe Harbour

Certain statements in this release concerning the future prospects are forward-looking statements. These statements, by their nature, involve risks and uncertainties that could cause the actual results to differ materially from such forward-looking statements. The Company assumes no obligation to revise or update any forward-looking statements that may be made from time to time by or on behalf of the Company.

(This document has been edited for readability purposes)

Contact Information

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Call: Jul 2025

LTIM/SE/STAT/2025-26/46 July 22, 2025

National Stock Exchange of India Limited,
Exchange Plaza, Bandra-Kurla Complex,
Bandra (E),
Mumbai - 400 051

NSE Symbol: LTIM The BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

BSE Scrip Code: 540005

Dear Sir(s)/Madam,

Subject: Transcript of Earnings Conference call held on July 17, 2025

With reference to the captioned subject, please find enclosed transcript of the Earnings Conference Call held on July 17, 2025.

Kindly take the above on record.

Thanking you,

Yours faithfully,
For LTIMindtree Limited

Angna Arora
Company Secretary and Compliance Officer

Encl: As above

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"LTIMindtree Limited
Q1 FY2026 Earnings Conference Call"

July 17, 2025

MANAGEMENT :

Mr. Venu Lambu – Chief Executive Officer & Managing Director
Mr. Nachiket Deshpande – President Global AI Services, Strategic Deals & Partnerships
Mr. Vipul Chandra – Chief Financial Officer
Mr. Vikas Jadav – Head, Investor Relations

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Moderator: Ladies and gentlemen, good day and welcome to the LTIMindtree Limited

Q1 FY2026 Earnings Call.

Please note all participants are currently in listen only mode. There will be an opportunity to ask questions following the conclusion of the management's opening remarks. Please note that this conference is being recorded.

I now hand over the conference to Mr. Vikas Jadhav, Head, Investor Relations at LTIMindtree. Over to you Sir.

Vikas Jadhav : Thanks Inba. Good day, everyone, and welcome to LTIMindtree's Q1 FY2026 Earnings Conference Call.

Today we have with us on the call

Mr. Venu Lambu – Chief Executive Officer and Managing Director,

Mr. Nachiket. Deshpande – President, Global AI Services Strategic Deals and Partnerships,

Mr. Vipul Chandra – Chief Financial Officer.

We will begin with a brief overview of the company's Q1 FY26 performance, after which we will open the floor for Q&A.

During the call, we could make forward-looking statements; these statements consider the environment as we see today and carry risk and uncertainties that would cause our actual results to differ materially from those expressed in today's call. We do not undertake to update any forward-looking statement made on the call.

With that, I now turn the call over to Venu for his opening remarks.

Venu Lambu : Thank you Vikas. Hello everyone and thank you for joining us on the call today.

I am excited to share the highlights from Q1 FY26, my first quarter as CEO and MD.

As we continue to navigate market shifts, our robust strategy and disciplined LTIMindtree Limited

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execution have translated into an all-round performance. Vipul and I will discuss this during the course of this call.

Let me begin by sharing the headline numbers. In Q1 FY26, we reported revenues of \$1.15 billion, reflecting sequential growth of 2% in US dollar terms and 0.8% in constant currency terms. Our EBIT margins expanded by 50 basis points sequentially to 14.3%. Our order inflow for the quarter stood at \$1.63 billion, up 17% year on year, marking the third consecutive quarter of order flow exceeding \$1.5 billion.

I would now like to highlight some of the noteworthy deals that were achieved during the quarter.

We have won our largest ever deal with a global agribusiness leader as part of their vendor consolidation strategy. We have been selected to implement an AI driven model for application management, infrastructure support and cybersecurity services, including SAP S/4HANA, ServiceNow, and Microsoft Azure Platform, with a strong focus on efficiency and simplification.

We were selected as a strategic partner by a leading digital company in the Kingdom of Saudi Arabia to manage their supply chain and digital landscape. A global leader in professional services partnered with us for their supply consolidation initiative spanning client technology, enterprise technology, and information security.

In addition to these major wins, our pipeline remains robust with several large opportunities.

Regarding our vertical performance, we reported sequential growth in dollar terms across all industries.

BFSI grew 1.6%. Technology, media, and communication stabilized this quarter, registering a growth of 0.8%. Manufacturing and resources experienced a growth of 0.3%. The Consumer business delivered robust growth, achieving 6.2%. Healthcare, life science and public services witnessed a growth of 4.8%.

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In terms of geographies, Europe led with a sequential growth of 9.7%, America's grew by 1.8%, and the Rest of the world declined 6% sequentially. Our headcount at the end of Q1 FY26, stood at 83,889, a decline of 418 employees. Our focused approach to operational efficiency resulted in an

improvement of 2.3% in utilization levels from 85.8% in Q4 FY25 to 88.1% in Q1 FY

26. As part of our continued focus on fresher induction, I am pleased to share that we have on-boarded 1,600 plus freshers this quarter. In addition to these operational strides, we also received several recognitions across our strategic partnerships during the quarter. Let me share a few. LTIMindtree was honoured with "Diversity in Security Award" at the 2025 Microsoft Security Excellence Award, emphasizing our dedication to promoting inclusive security teams and providing innovative Microsoft-based security solutions.

We were named "Google Partner of the Year 2025 for Industry Solutions in Manufacturing" for the second year in a row.

We have been named the "Databricks Business Transformation Partner of the Year", highlighting our exceptional contribution to driving data and AI-led transformation across industries.

Our capabilities are well recognized by industry analyst and we secured leadership positions in:

ISG Provider Lens™, SAP Ecosystem 2025 for "Rise with SAP Implementation" and "SAP Business AI and BTP Services" globally.

HFS Horizons- Energy and Utility Service Providers 2025.

Everest Group - Talent Readiness for Next Generation Application Services Peak Metrix Assessment 2025.

You can read the full list in our press release.

In Q1, we made a significant progress in our transformation journey while delivering profitable growth. I am pleased to share a few strategic updates.

If you recall in Q4 FY25, we spoke about focusing on few transformational

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initiatives. Firstly, our Sales Transformation has been crucial in strengthening our ability to increase our win rate in large deals. Secondly, the Fit for Future program has been instrumental in re-baselining our cost and improving agility. This has enabled us to streamline processes and operate more efficiently.

Lastly, our strategic pivot towards becoming an AI centric organization is well underway. This is not merely about adopting new technologies, but also redefining our business model and strengthening our internal foundations. These initiatives have contributed positively to our results.

Building on these efforts, we continue to expand our capabilities to remain relevant for our clients.

In Q1, we launched BlueVerse, our Agentic AI ecosystem for the enterprises of the future. It helps clients accelerate their AI concept to value journey.

BlueVerse is powered by

AI advisory, which accelerates innovation, transforms organization culture, and drives optimization.

AI Foundry, which not only helps build tailored AI solution, but also has the ability to orchestrate multi-agent solutions across various enterprise stacks; and

Agent Marketplace, an expanding repository featuring over 300 industry and function specific AI agents designed to accelerate AI adoption across industries.

We also launched GCC-as-a-Service, a unique AI-powered industry offering that provides a modular, unit-based framework for clients looking to establish, optimize, and scale, their capability centers effectively. This comprehensive catalogue encompasses a wide range of services across build, operate, transform, and transfer phases, allowing clients to leverage capabilities in a consumption-based service model. Our offering includes entity setup, infrastructure provisioning, facilities management, industry and technology solutions, and access to our BlueVerse ecosystem, including our AI studios.

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Adding to the momentum, NextEra, our strategic joint venture in Saudi Arabia with Aramco Digital became fully operational this quarter.

These growth initiatives are part of our journey to strengthening our digital

transformation positioning through the convergence of human insight and intelligent systems.

In that context, I would like to highlight a few of our AI-led client success stories and progress on our internal adoption.

ption.

For a large manufacturing company, we integrated AI throughout their engineering and operations, achieving a 25% improvement in meantime to resolve and a 30% improvement in meantime for self-service enablement. For one of the world's largest financial services institution, we enabled their AI-led legacy modernization journey, driving an 80% reduction in the time it takes to write a complex logic, a 20% faster speed to market, and 10 to 15% lower costs.

For an auto rental major, we deployed a computer vision based damage detection system that reduced inspection time from two weeks to under three minutes with over 90% accuracy.

For a utilities major, we used a GenAI based maintenance solution that boosted field services productivity by 30%, reduced rework by 28%, and lowered operational costs by 18%.

In addition, we have extensively adopted AI across our internal function.

With 62 initiatives across seven product lines and nine business processes, we are driving an AI-led transformation from employee experience to delivery excellence.

We are among the first adopters of Microsoft Security Copilot, incorporating the natural language assistive agent to aid our internal security team in incident response and threat hunting.

Our HR and talent acquisition team have integrated AI throughout the talent lifecycle, enhancing employee experience and productivity. We have

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introduced RAlma an AI companion designed to support employees with a personal interactions for query resolution and HR support. RAlma aids in various areas such as talent attraction, on-boarding, and recognition, while also providing executives with actionable insight on key performance indicators.

I will now turn over the call to Vipul for financial highlights.

Vipul Chandra : Thank you, Venu. Hello everyone.

We trust that you have reviewed our integrated annual report for FY25, which offers detailed disclosures encompassing both financial and non-financial metrics and highlights our ongoing commitment to ESG principles. Let me now walk you through the financial highlights for the first quarter of FY26, starting with our revenue performance.

Our Q1 revenue stood at \$1.15 billion, reflecting a growth of 2% quarter on quarter and 5.2% year on year in dollar terms. Corresponding constant currency growth was 0.8% quarter on quarter and 4.4% year on year.

Our EBIT margin expanded by 50 basis points sequentially to 14.3% in Q1 FY26. This increase was primarily driven by our Fit4Future initiatives which resulted in an approximately 1% improvement, although seasonal visa costs and Forex impact partially offset the increase.

Profit after tax (PAT) for the quarter stood at Rs.1,255 Crores as compared to Rs.1,129 Crores in the previous quarter which is an increase of 11.2% quarter on quarter. The higher sequential increase in PAT versus EBIT was on account of higher exchange gain in other income.

The quarter's effective tax rate was 27.3% compared to 26.2% in Q4. This was due to a one-off tax impact on the repatriation of some capital from one of the subsidiaries.

Basic EPS was Rs.42.3 for the quarter as compared to Rs.38.1 in Q4 FY25.

Our total DSO for Q1 increased to 81 days from 79 days last quarter.

however, Q1 unbilled DSO improved to 22 days from 24 in Q4.

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The operating cash flow (OCF) to PAT ratio was 82.3% down from 88.4% in Q4. Free-cash flow (FCF) to PAT ratio stood at 60.7% compared to 67.7% in Q4.

Cash and Investment balances stood at around \$ 1.5 billion or Rs.12,835

Crores post the payout of final dividend for FY25 compared to Rs.13,346 Crores in Q4 FY25.

Return on Equity (ROE) for the quarter was at 22.1%.

As of June 30, 2025, our cash flow hedges stood at \$3.87 billion and hedges on the Balance Sheet were \$284 million.

For the quarter, our Trailing 12-month attrition co

ntinued to remain stable at

14.4%.

On the ESG front, LTIMindtree has received a CRISIL ESG rating score of 73, placing us in the Leadership category and another commendable score of 75 given by NSE Sustainability Ratings and Analytics Limited.

I now hand it back to Venu for the business outcome.

Venu Lambu : Thank you, Vipul. In summary, this is a promising start to the year and we are committed to building on this momentum. We remain confident in our ability to sustain growth and improve profitability. With disciplined execution, deeper client engagement and a robust pipeline, we are well positioned to deliver value to all our stakeholders as we navigate the ongoing challenging macro environment.

With that, let me now open the floor for questions.

Moderator: Thank you very much Sir. Ladies and gentlemen, we will now begin the question and answer session. We take our first question from Sulabh Govila of Morgan Stanley. Please go ahead.

Sulabh Govila : Thanks for taking my question.

So my first question is with respect to the Top five client bucket from a Q-on-Q growth perspective, the growth appears slightly muted relative to the company average that is there this quarter. So is there any subvertical where LTIMindtree Limited

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you think growth could have been better and how should we think about this client bucket for the rest of the year?

Venu Lambu : Sulabh is your question on the Top 20 client bucket.

Sulabh Govila : I said Top five.

Venu Lambu : Look, I think if you actually look at the top five client bucket, it is actually 0.5% against 0.8% at the company level, right, on a constant currency basis. I mean yes it is lower, but it is not something material that really worries us. It is sort of a seasonal, there are certain spend that happens within a quarter and then some spend which rolls up into the next quarter so there is nothing which is material that I can call out on the top five account category bucket.

Sulabh Govila : Okay, okay and how should we think about this bucket for the rest of the year?

Venu Lambu : Well to be honest, not just for the top five bucket the whole business itself, looking at the commentary from one quarter to the next quarter because you know how the things are outside. So it is too early to look at it from the full year perspective. I can only say that as I mentioned in my outlook commentary, the growth momentum will continue and the growth momentum will be there across all the Industries and across accounts. So that is the best comment I can give you at this time Sulabh.

Sulabh Govila : That is clear Venu. Thank you. Second question is with respect to the margins. If I look at the segmental margins this quarter, we saw the High-Tech margins coming off in the third quarter of last year when we had passed on some of the productivity benefits to the top client and they appear to have also come off again this quarter also. So if you could highlight what led to that, it is a sharp decline of 200 basis points.

Vipul Chandra : We had some late quarter ramp ups in anticipation of some deals and the holding cost for those resources has primarily resulted in this impact in this quarter but again, it is a quarter on quarter variation. Ramp ups, sometimes comes in the later part or sometimes it is split over into the next quarter. So it is a temporary phenomenon.

Sulabh Govila : Okay, okay, understood. And then last bit again on the margins front, we saw LTIMindtree Limited

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gross margin inch up quite sharply based on the utilization improvement that is there this quarter. So one is that how sustainable are these utilization levels that are there and what has led to the SG&A cost increase on a Q-on-Q basis?

Venu Lambu : Let me comment on that and Vipul feel free to add on this, right? So look, I think if you recall, we had spoken about the Fit4 Future program, which is

a

very comprehensive program to re-baseline the cost, both the SG&A overheads as well as the direct cost. And that has produced result. And that is one of the key contributing factors that you see when we look at the margin improvement. And the second thing is that in terms of sustainability going forward, I think we are reasonably confident of continuing this margin expansion movement as we go into Q2. Third was utilization. There is a comment on utilization. Look, 88.1%, given that we have a reasonably decent demand, so I would have liked it to be slightly lower utilization so that we can maximize the potential of revenue utilization but the ramp-ups that happened against a couple of last deals and the momentum that we saw in the quarter sort of pushed us to the higher utilization. Yes, over a period of time, our preference is to bring it slightly down so that we can cater to the demand that comes within the quarter and has to be fulfilled within the quarter.

Vipul Chandra : Also, in terms of your question about the SG&A expense going up in this quarter versus last quarter, I think you will normally see a seasonal uptick because of the marketing events and related travel expenses. So it is a seasonal phenomenon to some extent in Q1 versus Q4. Also in Q4 last year, we had seen some recoveries in the provision for doubtful debts. It was lower in Q1 as compared to Q4. Q4 we had a good run on that side.

Sulabh Govila : Understood. Thanks for taking my questions.

Moderator : Thank you. Our next question is from Manik Taneja of Axis Capital. Please go ahead. Mr. Taneja, could you please unmute your mic?

Manik Taneja : Hi, thank you for the opportunity. So basically, while my question related to margins has somewhat been answered, I just wanted to check on the revenue performance within your top customers. If you could talk about what are you seeing within your top customers across Financial Services and the High-Tech vertical? That is question number one. The second question is with LTIMindtree Limited

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regards to this margin improvement program that we are running, if you could talk about the different levers that you think will come into play over the foreseeable future and then a related question around any thoughts on wage hikes for the current year.

Venu Lambu : So, Manik, thanks for the question. I think when we look at the Tech, Media and Communication sector we see an interesting trend that is happening over there. So, there is a pivot of the business model itself of the customers in that sector. I mean, as they invest more and more into their AI pivot, they are sort of managing their spend that is needed towards an investment towards making their business models aligned to the AI pivot. So that also offers a good opportunity for us in the long run. So I do feel that our approach is to continue to keep that momentum going on as we go into the next sector but I think fundamentally, there are a lot of clients in that sector that are actually going to redefine their business model. I think that is going to be an interesting remodeling that will happen, especially when you sort of break the AI capabilities and investment on the AI infrastructure that makes the entire, even if it is an ISV versus the hardware companies, how the hybrid is happening. And also there is a convergence of capabilities that are happening, right, in terms of their own acquisitions and companies expanding into the different areas and so on. So with that, we see as an opportunity, if we stay very close to our customers and, in the long run, I am fairly optimistic about that sector. BFSI, I think, if I just look at the BFS aspect of it, it is a sector which is still cautious in terms of its spend. Primarily, you can relate to all the macroeconomic themes that you are all aware of it. And what we intend to do is that, we are focusing on those accounts within the

BFS sector, which has

the high growth potential, that is well positioned, even though amidst all this macroeconomic environment. So at the end of the day, we can take a sectoral view, but I somehow feel that if you take account specific view, our ability to execute much sharper and get the best out of it amidst all the challenges is the kind of approach that we are adopting.

So sector wise, there is no change. It has been the same as what it was in Q4,

but it all comes down to, okay, which accounts we can get a better growth going forward. So we are taking a very account specific approach than getting blurred with the sectoral narrative. The second is with regard to the LTIMindtree Limited

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Fit4Future. Fit4Future is not just about the cost saving initiative, it is a very comprehensive initiative that makes us more agile as an organization, more fit as an organization as we navigate our future transformation journey. It has elements of simplification of the process. It has elements of how do you enhance the AI adoption into the internal environment, It has aspects in terms of how do you enhance the sales productivity. It has aspects of how do you look at the bench that we need to map it against the demand that we need. And also, of course, we can get smarter on other overhead expenses as well. And then finally, the direct cost, which essentially is the cost of delivery. So it is all these levers that makes an organization fit for the future. So I do not like to pick up one specific area. It is a very comprehensive program. There is a lot of focus in that from a governance standpoint, I personally review it every week, along with my leadership team. So I am very pleased that the whole organization is running behind to deliver the results on that. With regard to the wage hike plan, look at the moment, we have not spent time in planning for it. Sometime during the year we will give you an update in terms of what is our plan with regard to the wage hikes.

Manik Taneja : So that helps. And if I can ask one quick one, this is a clarification question for Vipul while you commented on the on the reasons for the drop in segmental margins for High-Tech if you could talk about the HLS vertical as well because for now two quarters we have seen those segmental margins come off in that industry segment compared to what used to be a trend for the last several quarters.

Vipul Chandra : I think on the HLS vertical side to look on the positive side, we have seen a revenue growth coming in this vertical, which is also a change after a few quarters. And the drop in the margins has been cyclical as well as to some extent related to the drop in the volumes which had happened in the past. So with the recovery of the revenues in this and the cyclical nature playing out, this margin should improve again. Another thing which has affected the margins in this segment is one of our public services project that got over and that margin contribution from that project has gotten taken out and replaced with other projects which have come in. So again, it is difficult to kind of look at it on a quarter on quarter basis. I think the overall margin improvement program that Venu spoke about is going to show results in all LTIMindtree Limited

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segments over a period of time.

Manik Taneja : Sure, thank you and all the best for the future.

Moderator : Thank you. Our next question is from Sandeep Shah of Equirus. Please go ahead.

Sandeep Shah : Thanks for the opportunity. Just in terms of sustaining the growth momentum in the future quarters, I just wanted to understand because in the first quarter we had lot of new business TCV wins on the mega deals and I think if I am not wrong. Outside the one deal we announced, there was a second deal which we were expecting to close in manufacturing in 1Q. And there could be more deals in the pipeline

e. So is it fair to assume the growth momentum has an upside rather than a downside on a moving forward basis? And this year's revenue growth in a constant currency could be similar to last year's revenue growth in a constant currency.

Venu Lambu : Sandeep, thanks for the question. I do not like to give you a commentary with regard to the guidance of the full year, which we usually do not do it but I can only talk about the traction in large deals. After Nachiket took over the mandate of driving the large deal organization globally, we have a lot of activity that is going on in the organization, right from, the way we have a conversation with clients and proactively how we structure the large deals and our ability to win those large deals. Even the win rate of those large deals and the traction is increasing significantly. And as I said, the momentum will continue, as we go into the next quarter, I do not like to comment anything

beyond the next quarter, with the way how the macroeconomic changes so fast. And all this upside and downside commentary depends on what reference you have. From our point of view, I am looking at the reference of the Q1. I am confident that from the reference point of Q1, we will continue the growth momentum as we go into Q2.

Sandeep Shah : Okay, fair enough and your commentary about BFSI as a growth outlook is quite contradictory versus most of your large peers. So is it more to do with our client specific issue or are we seeing a pattern across many of the BFSI clients?

Venu Lambu : Look, if you take a very high level sectoral view, the commentary would not

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be very different as such, but I somehow feel that the approach we have taken is a very deep, sharp focus on execution in our focus accounts. That is the pitch that is available for us to play the game. So we want to be focused on that and all the commentary with regard to our BFS vertical was in the context of those specific focused accounts, not a very high level sectoral view.

Sandeep Shah : Okay and just the last two questions. Is it fair to assume many of your top client specific issues are now behind and can you also give a colour in terms of how is the large deal, mega deal pipeline entering into 2Q?

Venu Lambu : I am not sure which issue you are referring to. If it is about productivity as a topic, I think we confirmed that in Q4 itself. And with regard to the large deal, I would request Nachiket to give his commentary on the large deal traction, please.

Nachiket Deshpande : Thanks, Venu. So as Venu mentioned, I think with the formation of the centralized focused global large deals team, we are seeing the traction improve, both in terms of the deal invites, the pipeline of the deal that we have, and also, as Venu said in the win ratios and the consistency with which we are pursuing these deals. So I think the short answer is yes, we are seeing the momentum continue at least in the next few quarters.

Sandeep Shah : Okay, thanks and all the best.

Moderator : Thank you. Our next question is from Surendra Goyal of Citi. Please go ahead.

Surendra Goyal : So good evening, did the largest deal that you talked about contribute to revenues in the first quarter? And if yes, could you share any details and what should be the trajectory of ramp up going forward? And also any margin implications that we should be aware of?

Venu Lambu : Look the large deal, which we announced in the middle of the quarter, The transition has started in Q1. So the revenue is staggered between Q1 and Q2 and of course the subsequent quarters, as we enter into the steady state and we start ramping up into the areas that we are contracted for. So, I would say, it is a revenue spread across a couple of quarters to start with and then it will

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be steady as we go along. There is no material impact on the

margin with

regard to the large Deal.

Surendra Goyal : Sure. Thank you.

Moderator : Thank you. Our next question is from Ravi Menon of Macquarie. Please go ahead.

Ravi Menon : Thank you for the opportunity. Congrats on a decent quarter. The margins for the Energy vertical, it is significantly below company average. Is this one of the margins levers that we have as we try to move our margins back towards 16% plus?

Venu Lambu : Give us a second, your voice is breaking in between. Is the question related to the Manufacturing and Energy Utilities?

Ravi Menon : Yes the Energy Utility is vertical where the margins are significantly below company average.

Vipul Chandra : Again in terms of the Manufacturing and Energy vertical, there have been ramp ups for a few deals which are underway. And we have seen good growth coming in this vertical. The margins are expected to pick up as we go along and the ramp ups stabilize.

Venu Lambu : And you know actually if I can add Vipul. I mean if you look at it, the

Manufacturing sector had significant growth for us on the sequential basis as well. So when you have that kind of a growth, you also build up a ramp up in the later part of the quarter that starts realizing the revenue in the subsequent quarter. The other thing to note is that the growth in that sector also came in despite the passthrough that came off from Q4 versus Q1.

Ravi Menon : Thanks. Could you give us CC growth in Europe please?

Vipul Chandra : CC growth in Europe was around 3%.

Ravi Menon : Okay thanks so much. Best of luck.

Moderator : Thank you. Our next question is from Rahul Jain of Dolat Capital. Please go ahead.

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Rahul Jain : Thanks for the opportunity. Basically, I have one question is that if you look at your revenue coverage its kind of best ever since we have been reporting this TCV data. So can we say that the growth rate are bound to improve from here on taking FY25 level as a base?

Venu Lambu : Rahul, our endeavor is to do that, to always get better from one year to the next year but as I mentioned in response to the other question, I do not want to give any specific guidance for the full year. I will just live with what I told in my outlook. We are keen to continue this momentum as we get into Q2 and which we are reasonably confident of.

Rahul Jain : Right, right. So I think the only thing which you said additionally was that you are confident of higher TCV win this year versus the previous fiscal. So do you see the culmination of that into revenue is any weaker than in the past year?

Venu Lambu : Well, I did not say that it will be higher. We only reported that for Q1 we had the higher growth of TCV. We did not comment on the full year unless I miscommunicated that.. And yes of course, if we close, big deals in the first half of the year, it will start impacting our revenue as we go into the second half of the year. So, at the moment, we are focused on closing all the big deals that are in the pipeline that Nachiket spoke about.

Rahul Jain : Surely and last bit on the utilization front, what is an ideal operating level that you see should be ideal for our business momentum?

Venu Lambu : Look, it depends on the demand pattern we get, if we have a demand pattern of an orderly demand pattern, which gives us good visibility for a couple of quarters ahead, which is slightly challenging in the macroeconomic environment, I would say probably 86-87% would be a healthy utilization to have.

Rahul Jain : The reason I ask this is because one of the peer actually specifically highlighted the demand supply mismatch in terms of the talent pool. So you think our resources are pretty flexible that way or you think at current moment it is ideal but we need to work on it as well.

Venu Lambu : Is it more of a skill set mismatch is the question?

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Rahul Jain : Yes.

Venu Lambu : Look to be honest I do not think we see a material difference on that. Yes, of course there is always newer things that comes in our industry, especially with AI coming in, there are newer roles, new skill sets that come in but is there anything that is actually, becoming a bit of a drag for the growth or fulfillment and all that, we do not see that, I would say.

Rahul Jain : Okay that is helpful. Thank you and best luck for the year ahead.

Moderator : Thank you. Our next question is from Nitin Padmanabhan from Investec.

Please go ahead. Mr. Padmanabhan, you may ask your question now.

Nitin Padmanabhan: So just wanted your thoughts on the Consumer vertical. It has done well this quarter. Anything specific? Is it the last deal or what has contributed to the growth and how do you see things panning out there from this vertical perspective? The second thing I just wanted your thoughts, so you did mention risk as we go through the year, uncertainties and all of that.

Anything specific that you are worried about across any of these verticals or is it just a broader macro concern that you have?

Venu Lambu : I think it is a broader macro concern, but I think as I mentioned, the approach that I am sort of recommending is that look, the environment is what it is; so it is about how best you can get the growth by staying very close to our

customers, by bringing in new capabilities, helping them in redefining their business model and so on. We are hugely focused on the execution part of it by staying very, very close to the customers. So if we do that, then environment will remain what it is, we can't influence that part of it and see what best we can get as growth. And that has been our approach in Q1. And that is how it has helped us to get the result in Q1. That is what we intend to continue in the subsequent quarters. Very specific to the Consumer services, yes, a part of that contribution was because of the large deal, but again, there has been a broad-based growth in the other sub-verticals as part of the consumer, business and that also has helped us whether it is in Travel, Transport side of the business, as well where the business uptick has been decent compared to the Q4.

Nitin Padmanabhan: Got it, got it. And just one question for Vipul. Vipul, you mentioned that the LTIMindtree Limited

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Fit4Future Program actually contributed to almost 100 basis points of margin expansion this quarter, but that was offset by visa and higher travel costs.

You think that becomes a tailwind going into the next quarter or there is some other headwinds as well?

Vipul Chandra : I think, Nitin, the maths is pretty clear. So yes, you can deduce that.

Nitin Padmanabhan: Perfect, perfect, perfect. Thanks a ton and all the very best.

Moderator : We will move to our next question that is from Dipesh Mehta of Emkay Global. Please go ahead.

Dipesh Mehta : Thanks for the opportunity. I just want to get some understanding about the NextEra JV, how should one look at the business scaling up there? And if you can help us on our role and any margin profile difference in that business. So margin profile, as well as working capital cycle variation in that business, if you can provide broad perspective.

Venu Lambu : Look, NextEra is operational in Q1. We are at very early stage of business ramp up over there. We are seeing a good acceptance of this joint venture capabilities. We formed a joint venture with one of the best-known brands in the Saudi market with Aramco Digital. So we get entry to a lot many client organization within the Aramco as well as outside of Aramco as well. So it is a very early days, I would say Dipesh. As we go along in the journey over the next couple of quarters, I am happy to call out specifically on the deals and the traction that comes on the NextEra but in the beginning, in the first 30, 60 days, we are seeing good discussions happenin

g with Aramco as well as the

other customers within the Saudi market. And with regard to the margin, I would suspect that it will be a little bit below our company average because of the market at which you sell the services compared to the deals in the US or another part of the world, yes, it will be less than the company average in that sense.

Dipesh Mehta : Understood. Last question is about Insurance. You made comment about BFS. Can you provide sense about how Insurance is playing out for us? Any broad outlook, what are the demand drivers and what are the challenges you face in that?

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Venu Lambu : Look, Insurance demand drivers are all about tech modernization and again, the AI adoption in terms of their customer engagement, internal processes agentifying. That is the kind of discussions and the kind of opportunities, that we have in insurance. We are not seeing a big scenario change in insurance vis-a-vis Q4 to Q1. Compared to BFS, I would probably say Insurance, we have seen fewer deals.

Dipesh Mehta : Congrats and thanks.

Moderator: Thank you. Our next question is from Rishi Jhunjunwala of IIFL. Please go ahead.

Rishi Jhunjunwala : Yes, thanks for the opportunity. A couple of questions here. Firstly, if we look at, when the merger of the two companies happened, one of the key factors was a lack of overlap in key clients in terms of either service line exposure or otherwise. And cross sell, upsell was a big opportunity there. If you look at past two to three years of data, at least in the top 40 clients, it does not reflect growth being anywhere closer to what it could have been.

Outside of the macro factors, can you give some colour in terms of where we are on the journey of probably increasing the number of service lines to each of the key clients across the two entities that used to be there?

Venu Lambu : Look, Rishi, this is part of the Sales Transformation track that we have, which is essentially focused on enhancing the sales productivity, if I may say. And then one of the biggest levers of enhancing that productivity is that, can we sell more capabilities to our existing clients? So that is part of the transformation. We just made the start of that transformation. It is not that it did not exist before, it was always there. We had service lines and we have invested in service lines sales organization globally as well. We have seen good traction in specific service lines, but I think we can do a lot more in cross-selling and up-selling into our existing accounts. That is a journey we are on. And the more we do, it starts getting reflected in the company growth level as well. And if you actually see, even for this quarter, I think out of 10 service lines, we had almost seven service lines, or eight service lines, which has shown good growth, both quarter on quarter growth and year on year growth. And those growths have come across these service lines, and that is reflected in. The industry growth is a reflection of the service line growth as

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well. But yes, we can do a lot more to sell, cross-sell and up-sell both.

Vipul Chandra : Just to add, Rishi on this point, I think in the last few calls also we have clarified that the cross-sell, up-sell cannot be really looked at diverse from the market conditions in terms of driving growth. Ultimately, for the cross-sell up-sell to work, the clients have to be willing to commit fresh spends, which has been slow in the industry. So I think one area which we have talked about in the past also is that in this environment, the way we have been able to get larger deals and participate in vendor consolidation. That also is a reflection of this capability.

Venu Lambu : Large deals will have multi service lines. I mean, if you look at the one which we announced, it has probably 6 or 7 service lines built in.

Rishi Jhu

njhunwala : Fair enough and secondly, if we look at from a supply side perspective, you are currently at peak utilization. Your sub con expenses are lowest that it has been for the past four or five years and you have not hired much in the past two quarters, whereas the TCV or the order inflow has inched up reasonably well in the past two, three quarters. So how do we think about the dynamics there? Is it a function of higher non-linearity that is going to play out due to productivity or is there any other reason to that?

Venu Lambu : I think I explained the reason for utilization in the earlier question. It was also due to the ramp up that happened in the quarter and all the accelerated hiring that started in the later part of Q1 is going to come on board in Q2. The hiring process has accelerated. There are two, three things that we are doing very strategically in the talent supply chain part of it, and we just covered it in my commentary as well. In terms of how do we actually bring the AI capabilities in the way we source the talent, we match the skill sets of the talent, and how do we reduce the on-boarding time of the talent after that? So that is also part of our transformation initiative. We have actually made some good progress.

Having said that, yes, this is an area where, we need to do a lot more, to get to that utilization level that I said that if it is between 86 and 87%, it is a good range to be around, at least at the end of Q2, if we can be around that range it will help. So we are doing a lot of proactive hiring in that context. Our talent team is fully engaged to get to that ramp up. In some way, it is a good problem to have, Rishi. We will mitigate that. And I think I also called out

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the fresher induction 1600 people we inducted in Q1 and we will induct more throughout the year.

Rishi Jhunhunwala : All right, so thank you. All the best.

Moderator : Thank you. Our next question is from Debasish Mazumdar of SVAN Investments. Please go ahead.

Debasish Mazumdar : Hi, Venu. Thank you so much and a little late, but welcome back. So, three questions I have, one is if you hear the whisper in the industry it is very clear that you guys are extremely aggressive in chasing especially large size deals

but if I see the TCV that you announce every quarter for last three quarter it is hovering around \$ 1600-1700 million range so if you can give some direction that at what level you are looking at or whether you are comfortable at this level of deal wins or how the pipeline is looking like.

Nachiket Deshpande : As we talked about earlier, we are seeing definitely an increased momentum on large deals and even going into Q2, we hope to announce few more and continue to build the pipeline for the rest of the year. So, definitely the large deal closure rates will improve. On the order inflow, I think there are a lot more other factors that go into it on a quarter on quarter basis. So, I would not say that it is a one-to-one comparison. There are different renewal timings on different customers and different industry segments. If you look at on a yearly basis, I think you would definitely see a higher order booking and the large deals booking reflecting into that for the full financial year. In a quarter-on-quarter basis, I would say it will be very difficult to exactly attribute that to the deal closures.

Debasish Mazumdar : So is like \$1.6 billion quarterly run rate is a kind of comfort zone for you and you feel that this will give us sufficient amount of growth because I understand that YOY there is a growth and book to bill ratio for us also improved. Do you think that \$1.6 billion is the correct number to look at?

Nachiket Deshpande : See as our size grows, we would also have to keep up our order booking proportionate to that size to deliver similar growth that we aspire to grow. So to that extent, we would want to s

ee the growth in our order booking as well

as we go along as our base also increases. That is how I would look at it.

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Debasish Mazumdar : Sure, understood. And the second question that I have is if I just relate vertical wise growth and the top five client performance, it seems to be that our large tech client is still not out of woods for us. So, do you think that that business has kind of bottomed out and we will start seeing growth here?

Venu Lambu : I think in the Q4, you know, I did mention that the productivity topic is behind us, we executed to deliver productivity program, we sort of executed it very well. Otherwise at the vertical level, if you actually seen it, we have grown this quarter. Sequentially we have grown the Tech vertical. I do not want to get to very specific client situation, but, if I just look at the overall vertical level, it has grown sequentially as such. But with regard to the top client, the productivity issue is behind us. That is not material. What we need to do is probably to win more deals and expand our wallet share in that account but we do not have any material issues that we have to deal with. It is all sales that we need to focus on in the top client.

Debasish Mazumdar : And one last question is the Rest of the World business that we see, normally we see seasonal degrowth in this quarter. So does it same like that or there is something else to read in it?

Vipul Chandra : The Rest of the World business also, one it is a smaller pie as compared to the rest of the company overall in terms of revenue and any seasonal variations do tend to get exaggerated because of the small base. And in terms of the Rest of the World coverage, seasonality due to the license revenues in Q4 does play out in Q1 in comparison. And we are also kind of looking at some more deals coming through in this vertical as well. So it could pick up in the future as we go along. As I said, it is a small portion of the total.

Debasish Mazumdar : Okay, understood. I mean, the point that I am trying to get into is whether we are leaving few of the businesses to get into better margin because lot of our peers is doing that in the Rest of the World to get into a better margin levels and to focus more on the areas which matters.

So is it more intentional or it is just a seasonality that is what I am trying to get into.

Vipul Chandra : It is just a seasonality aspect of it.

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Venu Lambu : We are always selective in deals. Anywhere in the world we are selective, not specific to the Rest of the World. So it is not just about revenue and profitability. It is also about, can we really add value in those engagements?

So we qualify the opportunities in the context of whether we can add value to our customers and then of course does it fit into the right commercial profile.

Debasish Mazumdar : Sure, sure. Thank you so much.

Moderator : Thank you. Our next question is from Sumit Jain from CLSA. Please go ahead.

Sumit Jain : Thanks for the opportunity. My first question again is on probing your top account in the High-Tech vertical. I mean historically it used to grow very strongly in June and September quarters and obviously you used to do a lot of product engineering work for their cloud platform, which still continues to grow pretty strongly. So can you just highlight is there a change in the rhythm of the growth of that account going forward, given that it is still the most important account for LTIMindtree? How do you see that as a strategic account and what are the growth levers for you in that customer?

Venu Lambu : Look, I would probably answer it in two dimension, right? So, firstly, the account has grown over a very long period of time, very consistently. So we are at a base where we are hugely material to the client. We are seeing greener pasture as the top client expa

nds into the newer areas. So that discussion continues but we also need to remember that we came at the back of revenue net of the productivity gain in the last two quarters. So the whole team was engaged in delivering to that program. And now as we started this year, we started off with the good progress in the Tech vertical with the sequential growth. Our relationship is stronger as always and we will leverage that and look for opportunities where we can grow beyond that. See, I do not want to compare it with historical trend because the base was different, Sumit and also the market environment even for the top client for that matter.

Sumit Jain : Right, got it and secondly, wanted to understand I mean you guys are doing a lot of initiatives on Gen AI so wanted to understand are you seeing any sort of deflation in your existing business or the contract which are coming up for LTIMindtree Limited

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renewal? Are you passing on productivity benefits and seeing any sort of impact on the revenue growth? And then in relation to that, do you see non-linearity for your business between revenue growth and headcount growth because of Gen AI?

Venu Lambu : The opportunities in the AI is something we are very, very optimistic about.

And that's why we have an AI organization under Nachiket we launched BlueVerse an agentic ecosystem. We are sort of penetrating AI across all our service lines and Industry verticals. With regard to the productivity ask that comes from the clients at the time of renewal or even outside of the renewal process, is always a discussion that we will evaluate it because we have this relationship. And most of this productivity gain also comes at the back of our incremental scope we can deliver for the customer, because every client wants to do more with less. So if we can get more coming our way and we can deliver the more with less, it is a win-win equation. So I think most of this productivity discussions in my view will lead to a win-win discussion, with the way we are approaching it. So which is something which I am fairly confident about. There is no material impact because of productivity as a topic that I can call out but is there an ask from the clients with regard to productivity? Absolutely, yes and that ask is always there. And our effort is to come up with a win-win equation that, okay, can we do more with the same client with less? The third is with regard to the non-linearity. Look we will have to wait and watch how things will span out because the nature of contracts also have to change in our existing book of business also. If there is a T&M contract, can we convert that into the managed services? Is the client okay to convert it to managed services? And can we bring AI within that managed services construct and thereby reduce the headcount? This is something we will have to do along with the customer. So the customer also has a significant role in redefining the way forward business model. So it is too early to call it either way, but you are seeing the trend anyways. Over the last two years, if you see the revenue addition that we have added and the headcount, there are enough indications to say that the non-linearity signs are visible.

Is it visible to a to an extent that you can call it as a completely new business model. I do not think that is there but definitely we are adding revenue either

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with the same headcount or with a slightly less headcount already.

Sumit Jain : Got it and maybe one last question if I can squeeze in. I mean in your last in-person analyst meet, you obviously talked about \$10 billion revenue target by 2030-2031, but obviously I think things have changed to that extent but given the fact that, are you having any ambition to grow probably in leaders quadrant or in double digit, anything you guys are planning to give any outlook

k? I am not asking for a quantitative guidance, but at least where do you stand compared to your competition?

Venu Lambu : I do not know which competition is being referred, but in general look our aspiration or strategy is, firstly for the clients, we want to be very relevant in our positioning of digital transformation partner and then second is I spoke about all the transformation mandate of being very people-centric company with AI focus. And third is the aspiration. The aspiration of course \$10 billion revenue is an aspiration that we have and we are working towards that aspiration. So that aspiration has not changed, but it is all about reaching that aspiration goal one step at a time. So that is why I am restricting myself to Q1 and to the next quarter, which is Q2.

Sumit Jain : Got it. Very helpful, Venu. Thanks a lot and all the best.

Moderator : Thank you. That was the last question.

Ladies and gentlemen, on behalf of LTIMindtree Limited, that concludes today's conference. Thank you for joining us. You may now click on the leave icon to exit the meeting. Thank you all for your participation.

Safe Harbour

Certain statements in this release concerning the future prospects are forward-looking statements. These statements, by their nature, involve risks and uncertainties that could cause the actual results to differ materially from such forward-looking statements. The Company assumes no obligation to revise or update any forward-looking statements that may be made from time to time by or on behalf of the Company.

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Call: Oct 2025

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National Stock Exchange of India Limited,
Exchange Plaza, Bandra-Kurla Complex,
Bandra (E),
Mumbai - 400 051

NSE Symbol: LTIM The BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

BSE Scrip Code: 540005

Dear Sir(s)/Madam,

Subject: Transcript of Earnings Conference call held on October 16, 2025

With reference to the captioned subject, please find enclosed transcript of the Earnings Conference Call held on October 16, 2025.

Kindly take the above on record.

Thanking you,

Yours faithfully,
For LTIMindtree Limited

Angna Arora
Company Secretary and Compliance Officer

Encl: As above

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"LTIMindtree Limited
Q2 FY2026 Earnings Conference Call "

October 16, 2025

MANAGEMENT :
Mr. Venu Lambu - Chief Executive Officer and Managing Director
Mr. Vipul Chandra - Chief Financial Officer
Mr. Vikas Jadhav - Head Investor Relations

LTIMindtree Limited
October 16, 2025

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Moderator: Ladies and gentlemen, good day and welcome to the LTIMindtree Limited Q2 FY2026

earnings call.

Please note all participants are currently in listen-only mode and there will be an opportunity for you to ask questions following the conclusion of the management's opening remarks. Please note that this call is being recorded.

I now hand over the conference over to Mr. Vikas Jadhav, Head Investor Relations at LTIMindtree. Thank you and over to you, sir.

Vikas Jadhav : Thanks, Inba. Good day everyone and welcome to LTIMindtree Q2 FY2026 earnings conference call.

Today we have with us on the call Mr. Venu Lambu, Chief Executive Officer and Managing Director and Mr. Vipul Chandra, Chief Financial Officer.

We will begin with a brief overview of the company's Q2 FY2026 performance, after which we will open the floor for Q&A.

During the call, we could make forward-looking statements. These statements consider the environment as we see today and carry risks and uncertainties that could cause our actual results to differ materially from those expressed in today's call. We do not undertake to update any forward-looking statements made on this call.

I now turn the call over to Venu for his opening remarks.

Venu Lambu: Thank you, Vikas. Hello, everyone, and thank you for joining us on the call today.

I am pleased to share that Q2 FY2026 has been a strong quarter for us, marked by broad-based performance across our business. We are committed to becoming an AI-centric organization in the agentic enterprise era.

Our strategy remains on course, driven by sales transformation, Fit for Future program, and focus on large deals. The results reflect disciplined execution and depth of our client relationships and solid progress in our ongoing transformation. Vipul and I will talk more about it during this call.

Let me begin by sharing the headline numbers for Q2 FY2026. We reported revenues of US dollar 1.18 billion, reflecting sequential growth of 2.4% in constant currency terms and 2.3

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% in USD terms. EBIT margins expanded 160 basis points from 14.3% in Q1 to 15.9% ahead of our plan. Our order inflow stood at USD 1.59 billion, up 22% year-on-year, marking the fourth consecutive quarter of order inflow around USD 1.6 billion. We signed large deals in each of our five verticals.

I would now like to highlight some of the noteworthy deals we won during the quarter.

We secured a large deal with a leading global media and entertainment company to drive its digital transformation and enable an AI-centric delivery model.

We have been selected as a strategic partner by a global financial institution to deliver end-to-end technology and consulting services across all its line of businesses, spanning multiple geography, positioning as one of their five major service partners.

We have been selected by a Global Manufacturer of Chemicals to oversee and execute their technology transformation in a rapidly evolving industry landscape.

We will deploy our BlueVerse™ tech to drive AI efficiency and streamline processes for cost management and rapid innovation.

We have expanded our strategic partnership with a global hospitality major through a significant multi-year deal to accelerate the digital and guest loyalty transformation initiatives.

We have been chosen by a leading FinTech solution provider to deliver merchant certification services through an automation-first approach.

We have won a contract from the Government of India's Central Board of Direct Taxes to transform India's PAN infrastructure. Our recent press release highlights the winning detail.

We have been chosen as an AI partner by a global energy player to develop an agentic solution for legal and IT functions, leveraging BlueVerse™ Foundry, our agentic ecosystem platform that has g

ained strong traction with our global customers.

We were chosen by a global media and entertainment major to create a Gen-AI-based solution designed to revolutionize both linear and nonlinear streaming platforms.

By implementing an advanced AI-powered video metadata extraction system, we will unlock the intrinsic value within their entire catalog, from classic library titles to new release assets.

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We were selected by a Europe-based life science company to lead a large-scale ERP transformation, reimagining all key business processes through an S/4 HANA implementation.

We have expanded our strategic engagement by winning a large deal with a technology major to drive cloud migration for the customer, enabling quicker time to market in a cost-effective way.

These wins demonstrate our strong sales and delivery execution aligned with our changing expectations of our customers.

Let me now share updates on our vertical and geographical performance in USD terms. This is the second consecutive quarter of sequential growth across each vertical.

The growth was led by consumer business, which grew 9.1% quarter-on-quarter.

Healthcare, life sciences, and public services reported strong growth of 10.2% quarter-on-quarter. Manufacturing and resources experienced a growth of 1.7% Q on Q. BFSI grew 0.2 % quarter-on-quarter. And technology, media, and communication reported 0.1% growth quarter-on-quarter.

From a geo-perspective, Americas grew by 2.1%, Europe by 2.4%, and rest of the world by 3.7% sequentially.

It is worth noting that each of our client revenue pyramid categories saw an addition on a year-on-year basis.

Our headcount at the end of Q2 FY2026 stood at 86,447. This reflects a net addition of 2,558 employees for the quarters, including 2,604 freshers.

This quarter, we received several recognitions, let me highlight some key ones.

We won six gold and two silver Brandon Hall Awards across various talent categories.

We received a gold award for excellence in diversity, equity, and inclusion strategy at the Financial Express HR Awards 2025.

We were recognized as a leader in the application development services for AI application in the Peak Matrix Assessment 2025 by Everest Group.

We were featured in the AI consulting services landscape Q3 2025 published by Forrester Group.

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Please refer to our fact sheet for a complete list of our recognitions.

Let me now take you through some of the key business updates for this quarter.

We welcomed Gururaj Deshpande as our Chief Delivery Officer. With over 30 years of experience in large-scale IT delivery, Guru will play a pivotal role in enhancing client delivery, embedding AI into our delivery framework, and driving operational excellence.

We hosted our first Executive Partner Conclave in California, USA, a milestone event attended by senior executives from hyperscalers and strategic enterprise partners. This event strengthened our mutual collaboration in driving AI-centric solutions for our customers.

We were awarded patents for two specific AI-centric innovations. The first one is "Method and system for managing financial well-being for customers", and the second is "Method and system for controlling clustering of SDLC artifacts".

We launched our BlueVerse™ studios in Mumbai and London, which will serve as collaboration hubs for our clients' AI-led transformation.

We partnered with Shopify to set up an AI Commerce center of excellence to create industry accelerators.

We introduced BlueVerse™ RightAction, an AI governance framework that ensures compliant and intelligent decision-making by autonomous agents.

We expanded adoption of the BlueVerse™ Success Metrics framework, a maturity and measurement framework now used by over 40 clients to convert AI vision into tangible business

value.

We developed an AI-powered quality engineering framework for a global real estate major, streamlining story refinement and automating test case generation. This resulted in a 60% productivity improvement.

We embedded AI across IT operations for a utility major, including service desk, autonomous agents, and monitoring. This resulted in significant cost saving, 4x ROI on AI investment, enhanced employee experience, and IT resilience.

We created a Gen AI platform for sports goods manufacturer that automated customs declaration using NLP and proactive error resolution. This improved compliance from 35% to 97%.

We have more than 1,500 digital agents in action in addition to our workforce.

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To emphasize our reskilling program, we are pleased to share that over 80,000 employees have completed the GenAI Foundation Training Program. This program equips them with vital skills for applying AI in their work.

For financial updates, I will now hand over the call to Vipul.

Vipul Chandra: Thank you, Venu. Good evening, everyone, and thank you for joining the call. Let me now walk you through the financial highlights for the second quarter of FY2026, starting with our revenue performance.

Our Q2 revenue stood at USD 1,180 million, reflecting a growth of 2.3% quarter-on-quarter and 4.8% year-on-year in dollar terms. The corresponding constant currency growth was 2.4% quarter-on-quarter and 4.4% year-on-year.

I am pleased to highlight that our Q2 revenue in INR terms has crossed 10,000 Crores mark and stood at Rs.10,394 or Rs Crores.

Our EBIT margin expanded by 160 basis points sequentially to 15.9% in Q2 FY2026. This increase was primarily driven by gains of 80 basis points from our margin improvement program, part of the Fit for Future initiative, and non-recurrence of visa cost. Forex tailwind contributed another 80 basis points.

Profit after tax for the quarter stood at Rs.1,381 Crores as compared to Rs 1,255 Crores in the previous quarter, registering a growth of 10.1% quarter-on-quarter and 10.4% on year-on-year basis.

The effective tax rate for the quarter was 26.5% as compared to 27.3% in Q1.

As mentioned previously, the higher ETR in Q1 was due to a one-time tax impact on account of capital repatriation from one of the subsidiaries.

EPS was Rs.47.2 for the quarter compared to Rs.42.3 in Q1 FY2026. This is at an all-time high.

Our total DSO for Q2 stood at 82 days versus 81 days in the quarter.

The operating cash flow to PAT ratio was 85.6% up from 82.3% in Q1. The free cash flow to PAT ratio stood at 72.4% compared to 60.7% in Q1.

Cash and investment balances stood at around USD 1.58 billion or Rs.14,000 Crores compared to Rs.12,835 Crores in Q1 FY2026.

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Return on equity for the quarter was at 21.8%.

The Board of Directors has approved an interim dividend of Rs 22 per equity share, an increase of 10% from the corresponding quarter of the previous year.

As of September 30, 2025, our cash flow hedges stood at USD 4.11 billion and hedges on the balance sheet were USD 241 million.

Our utilization, excluding trainees, remained flat at 88.1% during the quarter. For the quarter, our trailing 12-month attrition decreased to 14.2% compared to 14.4% in Q1.

On the ESG front, our Global Sustainability Report for FY2025, themed A Tapestry of Progress, aligned with international standards, was released.

This quarter, we strengthened our employee volunteering efforts through CSR by organizing activities such as plantation drives, literacy programs, and initiatives supporting women in microenterprise management.

I am pleased to share with you that LTIMindtree Global City Office Phase 1 has been awarded LEED Platinum certification. This prestigious recognition is a testament to our commitment to sustainability and environmental

responsibility.

We have also been honored with the prestigious Golden Peacock Award for Risk Management in 2025. This recognition is a result of our continued commitment to industry best practices and aligning risk management to strategy goals.

I will now hand it back to Venu for the business outlook.

Venu Lambu: Thank you, Vipul.

In summary, our strong performance this quarter demonstrates our team's unwavering commitment and deep trust our customers continue to have in us.

As we look ahead, we remain confident in our ability to sustain this momentum of profitable growth driven by strong deal wins, execution rigor, strategic transformation, and investments in AI.

Before we proceed with the Q&A session, I would like to wish you and your family a very happy Diwali.

With that, let me now open the floor for questions.

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Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin the question-and-answer session. Anyone who wishes to ask a question may click on the raise hand icon from the participant tab on your screen. We will wait for a moment while the question queue assembles. We take the first question from Sandeep Shah of Equirus Securities. Sir, could you please go ahead?

Sandeep Shah : Congratulations on a very strong execution, both on revenue and EBIT margin. Venu, first question is, if I look at the top 5 client bucket, the growth seems slightly tapered. And related question is, looking at the top 2 clients, one in high tech and one being BFSI, do you foresee any long term concern as these clients may face a hurdle in terms of your overall growth journey for medium to long term?

Venu Lambu: Yes, thanks for the question, Sandeep. Look, I think if you look at it across, all our client buckets, we have actually grown. And as you rightly called out, the top five accounts had a different number. But, there is a reason for it. It is not related to the outlook or a demand. I think these are the top five large engagements we have. And these are the large accounts, which is going through recalibration because of the AI productivity benefit that they get. So we will have to transition that phase and at the same time, we should, whatever the revenue we add, to some extent, it gets offset by the AI productivity as we transition this phase, but once we are done through this phase, there is no reason why we cannot grow in this top five clients, right? So I do not see any structural issue, not a material reason to be worried about in that particular segment. I think it is just a transition phase that we are going through in these five accounts, which is natural, I guess, expected with the opportunity that exists in AI. And those things get applied when the renewal comes. So you will have to look at slightly in a larger context on that but I would look this as more of a transitional phase.

Sandeep Shah : Okay. And just a related question. Last time for the BFSI growth prospects, you were sounding slightly cautious. So is the outlook remain same or you become slightly more positive? And looking at your deal wins and some support from the pass through sales, it even looks like the second half growth momentum could be better. And the last question in terms of EBIT margin, there is a significant improvement. So where we are currently in the near term, where could be the trajectory? And in the medium to longer term, can we go to high teens? We are already at 16. Can it be even higher teens in the next three to four years?

Venu Lambu: Yes, look, I think with regard to the BFSI, there are two points I would like to call out, right? So, one is, in the BFSI segment, we sort of entered the year at the back of a very strong year in FY2025, so, we need to look that phase – I actually call that as a pre-productivity era phase, right? So, coming back at the back of that growth, and then, as I spoke about, there

is a recalibration happening at the time of renewals, which would offset some of the growth that we would get in this form of a new engagements and new deals that is exactly what's happening in BFSI space. It is nothing to do with the market outlook being
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cautious or not. I think it is just the phase that I explained in the top five, the commentary I made with regard to the top five clients sort of apply there. So I still remain, optimistic about the growth in the BFSI space as we go into the second half. And in terms of the overall growth for the second half, yes, absolutely, that is the endeavor. And I think I made this comment in the Q1 commentary, probably not in the earnings call, but the post-earnings call in the other interaction, that our plan is to be nearer to the double digit in the second half of the year at some point that is what we are working on. So that would not change. On EBIT, I will request Vipul to give a comment, but I would expect that also to have a similar commentary.

Vipul Chandra: Sure, and thanks for the question. I think in terms of the EBIT outlook, we remain confident in terms of being able to expand our EBIT margins as we go forward. We do not give out our specific EBIT guidance for medium term, so I will refrain from doing that but I think we are on a good profitable growth trajectory and we remain confident to be able to maintain that.

Sandeep Shah : Okay, thanks. I may come in the follow-up. All the best.

Venu Lambu: Thank you.

Moderator: Thank you. We take our next question from Manik Taneja of Axis Capital. Please go ahead.

Manik Taneja : Hi, thank you for the opportunity and congratulations for the very steady performance that you have shown in the current quarter. You did allude to some pressure within your top customers, but given some of the large deal wins that we have won in the recent past and some of the pass-through revenues that typically tends to come through in second half, do you think the strength that we see in second half of FY2026 may be higher than what we

have historically seen? That's question number one. The second question is with regards to wage hikes for your staff and also in terms of further gains from the Fit for Future program. How should we be thinking about them, both for the near term and the medium term?
Thank you.

Venu Lambu: Sure. Thanks, Manik. Look with regard to the commentary on H2, I think I made in the earlier question as well we remain optimistic and confident about delivering and continuing the same growth momentum in the second half. And if you have to deliver to the near double digit at some point in second half, obviously we expect the growth to be slightly higher than what we had in Q2, as we look beyond the Q2. So that is the plan we are working on it. So I am fairly confident about the path that we take there. With regard to the wage hikes, we did announce the wage hikes to our employees in our Town Hall today and the way we are going to approach is, and before I share the approach, let me just take 30 seconds and give you a context on how we see the topic of wage hikes evolving. See, I think we are going through a very significant inflection point in the industry and also within
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our company. And there is a lot of opportunities on the other side of the inflection point. So it is very important that we navigate this journey collectively with our employees and one of the critical aspects of the journey, traveling together with our employees, is about how we cross-skill and up-skill our employees to the next AI requirement or AI projects that keeps coming to us. So in the agentic AI era, the skill becomes a very critical element of that. So we are going to take our employees along that skilling program and that is already in progress and that will continue to accelerate. So we ha

ve fixed two milestones on how

we address the wage hike. And my personal view is that that may be the new normal going forward as well. We may not have a one wage hike in one particular quarter for a whole of employees. We might spread it. So this time we are making a beginning.

We will have wage hike spread over two quarters. The first tranche will be in the effective 1st of January. And the second one will be in the 1st of April. And I would expect that we will have to adjust to the new normal that we will have 2 stages of increments coming in for our employee base. You can assume that 50% in January 1st and 50% of our employees in the April 1st. I think on the Fit for Future gains, Vipul commented on the earlier question, where we are optimistic about continuing our margin momentum. And those gains are a very critical piece towards those goals. And that is going very well for us. And you saw that in our Q1 results, you saw that in our Q2 results and that will start getting reflected even in Q3 and beyond.

Manik Taneja : If we could talk about some of those margin tracks, Vipul, given historically we used to talk about some of the G&A rationalization when the merger happened. If you could help us understand what are those margin levers or the cost levers that you are working on in which you expect to essentially see more tangible benefits?

Vipul Chandra: So, I think we spoke about some of these levers earlier also and I think this fit4 for future program or the margin focus remains a continuing focus area for us. And there are multiple levers in this program but let me just touch upon a few of them that we are looking at. One is the productivity lever aided by AI adoption and as Venu talked about, we have been adding revenue in this year without really having a significant addition to our headcount. The second point, the second lever which we are working on is pyramid correction, towards which our commitment for the fresher hiring program is continuing and as we go along in the year, that will start reflecting in our pyramid as well. We are also working on our span of control internally, and we believe that there is more scope to do on this. And overhead also, while we have reduced versus the beginning of the year, you still think there is more scope as well in that as also. So, there are multiple levers and this is a continuing exercise.

Manik Taneja : Thanks Vipul, wish you all the best.

Vipul Chandra: Thank you.

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Moderator: Thank you. Our next question is from Vibhor Singhal of Nuvama Equities. Please go ahead.

Vibhor Singhal: Yes, hi. Thanks for taking my question and congrats on a solid performance team. Got two questions, one for Vipul and one for Venu. So, my question for you was on the lets say the growth momentum that we are looking at. So first of all, I think what I would want to check is that I think we have two large deals which should probably be ramping up at some point of time. So is it correct to assume that the PAN 2.0 deal should start ramping up in Q3 and the recent media deal that we have won should start ramping up in Q4?

Venu Lambu: Yes, so the PAN 2.0, the early ramp up has started. Yes, you are right. You can expect that to ramp up by Q3. But the media large deal, I think it will take a slightly longer time because it has got a very extended transition period. It is a deal where the existing scope plus the new incremental scope are getting recalibrated and consolidated, that is how we are redefining the entire IT landscape over there. And for that, there is a transition with multiple vendors that needs to be done. So I would expect the media account ramp up to be over a period of a couple of quarters.

Vibhor Singhal: Got it, got it. You also alluded to maybe possibly touching a double-digit growth in terms of CC growth at some point of time in this year. Does that basically still hold? And

the recent

deal wins and the growth in this quarter, does that align with the target that you are looking at?

Venu Lambu: Yes, as I said, we want to be nearer to the double-digit or double-digit, there is always that bit of a leeway we kept to see how things unfold, but that can become closer to the double-digit or actually get to the double-digit, that plan is pretty much still in progress.

Vibhor Singhal: In FY2026, you mean to say in the remaining two quarters?

Venu Lambu: Yes, it is at some point in the second half of the year, we will have that growth coming in and I think I clarified it in the last calls as well, that we are looking at that in the USD terms. So.

Vibhor Singhal: Got it. Got it. Great.

Venu Lambu: Just to clarify.

Vibhor Singhal: Sure. Great to hear that. Vipul, just one question on the margin side. I think this quarter we saw a very sharp reduction in SG&A from 12.8% of revenues come down to 11.7. So almost 100 basis point benefit from that. So first of all, is that sustainable? And secondly, is there more room for this to come down in the Fit for Future program that we are running?

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Vipul Chandra: So, we have two parts to that answer. One is, there is normally a seasonal pickup in the SG&A cost because of certain marketing events, etc., which typically come seasonally in the first quarter. Those were not there in this quarter. Number two, as I just said that the Fit for Future Program is a continuing program and there are further levers that we are working on. So we are working on improving even this parameter further.

Vibhor Singhal: Got it, got it. Thank you so much. This was clear. Thank you so much guys for taking my questions and wish you all the best.

Venu Lambu: Thank you Vibhor.

Moderator: Thank you. Before we take our next question, we would like to remind participants to join the question queue. You may click on the raise hand icon. We take the next question from Sushovon from Anand Rathi. Please go ahead.

Sushovon : So this is Sushovon here, just quickly thank you so much for the opportunity and congratulations on a fantastic set of numbers. Just one question, specifically when we are looking at almost 60% of your revenues, which are coming from two sectors that has been basically flat. How do you see that evolving over the years? There is any client-specific issues that are there? And the other bit is, do you see a structural change in your vertical mix over a period of time? I have another question, but I will just wait for your answer.

Venu Lambu: I would link it to link the top five commentary to this answer as well. Because obviously, if you look at it, in the top five client base, I spoke about recalibration at the back of productivity that is happening. So there is this one element of it, because that also has, accounts which falls into this 60% segment that you have called off. So that is one. And second thing is that, the commentary I made with regard to the BFSI is that we are coming at the back of the strong growth last year. And then we had the renewal cycle coming in, which sort of led to this recalibration. And I expect that that is improve as we go along over the next two quarters but with regard to the tech verticals I will just call it because that comes under the 60% thing that you spoke of. I look at that segment in two eras, right? So same time last year, we were on what I actually call as a pre-productivity era. So that is when the AI adoption and all that conversation just started and then the acceleration happened about the productivity gain that we passed it on to a few customers that you know about, which we made a commentary last year. So post-productivity era is what I would suggest. I would sort of look at it starting from Q3 onwards. And in the post-productivity era, we should start seeing the growth because it is not fair to compare the year-on

-year on

that segment, the pre-productivity era, because the things did change. The price points did change. The renewal recalibration happened. We passed on the benefit to the customer as well at that time. Now, the thing is we are seeing growth in all these segments, in the 60%

of the segments that you called up. We have good pipeline traction. In fact, if you look at
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the order booking in our BFSI it was significant. It contributed materially for our 1.59 billion of order booking. So that is how I would summarize it.

Sushovon : Thank you, sir. Just one more question. Do you see the productivity-related benefits to be more specific to BFSI and high-tech and possibly manufacturing retail? It is comparatively lesser, or is that something that I am construing? This is what I am seeing, sir, from a sectoral perspective.

Venu Lambu: Well, the way I would look at it is that the larger the engagement, the larger the account size, the impact is more material, right? So that is how we would say, but AI infusion is what we want to encourage across all our customers, across all our segments, right? We have increased it more than 40, 50 accounts adopting AI in this quarter as I covered in my in my initial commentary. So that is how it works. I think it is just the size and scale of the account and segment where you start seeing that impact material.

Sushovon : Thank you so much.

Moderator: Thank you. We will now move to our next participant that is Debashish Mazumdar of Svan Investments. Please go ahead.

Debashish Mazumdar : Thanks for the opportunity and congrats on good set of numbers. Sir, my first question was around the deal wins. So for the past almost three, four quarters, the deal wins have been similar range, but our top line growth has been steady or we have started to see some acceleration there. So how should I link these two things, both of them, so I could have some flavor around the deal wins also? How should I relate both these things?

Venu Lambu: Yes, so there are three attributes, if you want in the topic of relating the order booking to the revenue, right? You know, firstly, we have shown quarter to quarter progress, right? I mean, that is a reflection of the order booking translating into the revenue. But we need to understand that the order booking has three factors. The one is, what is the transition period for these last deals before it sort of materializes into steady state revenue? And I, as an example, I called out the media customer. It has a longer transition period. The one which we announced in Q1, that has already been transitioned right. So we are getting into a steady state, so we will start seeing the revenue coming in. So each of these deals have different characteristics in terms of what is the transition period and how much it sort of ramps up. And the second thing is that the renewable deals are getting clubbed with the vendor consolidation deals. Even the recent large deal that we announced, it is a great case study of our existing scope plus taking over the scope of the other vendors through the vendor consolidation strategy makes the deal bigger. And when you look at that, the vendor consolidation is over a multi-year period, because you consolidate two vendors, then you move to the third vendor and fourth vendor. So that is how the second attribute of it. And the third is some of our renewal deals gets recalibrated to a new price point as we go along.

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So that is how we have to look at it. The only summary I would leave it is that we are fairly confident of where we are going in the second half of the year, and we have enough momentum that is backing us up on that.

Debashish Mazumdar : Understood and sir my second question was specifically the commentary you just alluded to of the large customers having the impact of AI. So you ha

ve been talking about that even in the calls before and the other players or peers in the industry have been talking about change of scope in the larger player. So, I just wanted to understand does it have to do a lot more do with macro specifically that that these deals are getting or the existing book of work is also under pressure or is this to do more with AI?

Venu Lambu: So I think it is more to do with AI. The macro was probably a couple of quarters back, that would have been pretty good. But now AI, if we encourage our customers to leverage AI in the engagements, we actually, proactively championed the partnership of AI infusion in our existing segment. I do not think we gain anything by holding into that. The right strategy is to let go what is right productivity gain to our customers because we win back more. We win back more compared to what we give. It is just that it is a transitional phase and we have to look at what is the scale of growth that comes in over a period of time. And we are seeing that in our accounts. You see that in our results. While we are positive in the productivity benefit, we still grew.

Debashish Mazumdar : Understood, sir. So just a continuation on that part, a clarification. So could you quantify some sort of AI revenues, or has it reached to a monetization phase for us? And some levels

of revenue streams or percentage would you be able to guide us to?

Venu Lambu: At the moment, we are not because there is a pure play AI native services that we do on the BlueVerse™ AI genetic system but there are lot of other service line which contribute towards driving the AI solutions, whether it is our cloud business or digital engineering business, data most importantly, and so on. So till we come to a point where we can come with a much sharper definition of what is AI revenue, I think it will be a bit premature to start calling it out.

Debashish Mazumdar : Got it. Thanks a lot.

Venu Lambu: Thank you.

Moderator: Thank you. We will take our next question from Sulabh Govila of Morgan Stanley. Please go ahead.

Sulabh Govila : Hi. Thanks for taking my question and congrats on a strong quarter. My first question is on the deal wins and the pipeline. So in the last two quarters, we have had two mega deals in the ballpark range of, lets say, \$500 million each. So with respect to the current pipeline,

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would you characterize the current pipeline in having similar such size deals, which we are confident of closing in the near term? Or would you say that even without those, we will be able to maintain the level of deal wins that we have been doing?

Venu Lambu: Look, I think that, there will be some seasonal movements here and there, depending on the deal cycle that it takes to close deals. But as we are looking at continuing our growth momentum and reaching to that number that I spoke of at some time in the second half I would look forward to having the continued deal momentum, right? I just do not want to box it to a specific number at this moment. But, we have a robust pipeline, fantastic deals in discussions with our customer that is how we will go on. And just to clarify to your point, we did not announce the deal size on the on the second deal that you mentioned, because the client has requested us to maintain the confidentiality. So I am just calling that out. So the silence doesn't mean an acknowledgement of the deal value. So we did not call that out. And also the deal that we announced recently is a great testimonial of a combination of our existing scope and the new scope. And that is what we will see more and more in our existing accounts while we go after the new accounts with the new deals as well.

Sulabh Govila : Understood and my second question is on the margins. The benefit on margins from levers such as productivity driven by infusion of AI. Historically, whatever margin benefits the

industry has seen, they found ways to pass it back to clients. And particularly on levers like these, which is where the effort is getting reduced. Would you say there is something different this time around where such benefits can be retained by the IT vendors?

Venu Lambu: Well, it depends on the type of engagement. Our EBIT momentum is not just based on the productivity. It has got multiple factors as Vipul explained. earlier, but when it comes to the AI productivity things like managed services, fixed price project, the development and capacity-based engagements. These are the engagements where we have an opportunity to keep a part of it, if not full, of the productivity, towards us. Yeah, that is how I see it. But that is not the only lever. That is one of the levers. That is not the only lever.

Sulabh Govila : Okay, understood. And just the last bit, from a third quarter perspective, I just wanted to check, given that the wage hikes are now coming in from the fourth quarter, do you have any headwinds going into the third quarter from a margin standpoint, apart from the lower margin pass-through revenues that would come in?

Vipul Chandra: So, I think the seasonal headwinds which are always there in terms of furloughs, etc., those are going to be there, but we still remain confident of being able to expand our margin further. So I do not think we are expecting anything so substantial which can delay us right now, but that is where we stay confident.

Sulabh Govila : Okay, sir. Thanks for taking my question.

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Moderator: Thank you. We now move to our next question. That is from Ravi Menon of Macquarie. Please go ahead.

Ravi Menon : Hi. Thanks for the opportunity. Two questions. One, this deal that we signed with this media major, I thought that it was in October, early October. So is that included in the TCV? And if it is, I mean, why was it included? Was it signed before September 30th?

Venu Lambu: Sorry, you are talking about the deal that we announced. Sorry, Ravi, could you come again, please?

Ravi Menon : Yeah, the deal that you announced, I think early October has that been included in this deal

TCV?

Venu Lambu: Oh, yeah, it is included.

Ravi Menon : So how come? Because typically we would include only things signed up to September 30th, right?

Venu Lambu: Yes, it was signed in September. We announced it later on.

Ravi Menon : Ok, all right, perfect, thanks.

Venu Lambu: And the announcement has to go through a lot of approval process with client. When they say this is the effective date of the contract, and this is the approval date for the announcement, that is when we do, because a lot of these deals have their own client's own regulatory approval process as well. So we will have to wait till that thing that gets done. So we had an agreement and signed contract in September.

Ravi Menon : Thanks. And apart from your top five clients, it looks like every other segment is actually growing pretty well. So should we think about this top five as really being in that transition phase of productivity, as you put it, and others will still have to see that kick in? The smaller customers will see this coming at a later stage?

Venu Lambu: Well, the other segments are actually growing. So not sure which part is the latest stage of it. If you look at our 6-10 clients.

Ravi Menon : Sorry. Yeah, what I meant was, will we see a similar pressure from productivity at a later stage with the top 6-10, top 11-20, and so on?

Venu Lambu: Look, it is not going to be in a sequential basis that the top five first finishes and then the sixth and 10th comes later on in the queue. It does not work like that because most of these clients are already in discussion and productivity, right? Everybody wants productivity here

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and now. It is just that I said, larger the engagement, larger

the account, you see the impact

being material. But we are in very constructive discussion and, in fact, a proactive evangelizing AI productivity across all of our customers and it is a sort of a parallel approach, Ravi. It is not sequential.

Ravi Menon : Thanks. And one last question. We have now seen you win very large deals. I think that was the whole thesis behind the merger of LTIMindtree and it looks like that is playing out. But how about the legacy modernization side? Are you in a good position to compete against incumbent vendors there?

Venu Lambu: Yes. Look, I think merger was three years back. I think we should move on from that point in my view. Right. Because the market has changed, the capabilities that clients want, are different than what it was three years back. And also, the decision making parameters to award a large deal also has fundamentally changed. So we are sort of playing out in a new playbook now, which sort of suits into the new market segment that we are addressing the same customers, but with the new expectations. So I would sort of look at it as that most of these large deals are coming at the back of vendor consolidation and also having a strategy of creating an AI roadmap along with that, of course, you modernize technology, you modernize data, you modernize infrastructure, and so on. So that is how I look at it.

Ravi Menon : Thanks so much. Best of luck.

Venu Lambu: Thank you.

Moderator: Thank you. We take our next question from Sudheer Guntupalli from Kotak Mahindra AMC. Please go ahead.

Sudheer Guntupalli : Yes, hi Venu, congrats on a good quarter. So just on this productivity issue, if I remember it right, I think we had gone through a couple of back-to-back quarters where we had seen stress because of this productivity issue in the top account. And then we called out that that issue was completely behind. Now we are talking about this productivity pass-on issue again, just trying to get some clarity whether this is a new issue in the same account or this was the overhang related to the same productivity pass on thing that has started three, four quarters back, it is still continuing. So any further clarity on this?

Venu Lambu: Yeah, sure Sudheer. So look, firstly on the top client, I think, we informed this in Q4 that the productivity commitments that we did to the top client is done. So that topic is closed. I think my commentary with regard to the productivity is the new landscape in the market. I actually don't see this as an issue, honestly, as long as we continue to grow. Right?

Because, this is not, well this is an issue in terms of how much growth you can channel in general for the industry, but productivity is a new normal. It is a new normal till everybody transitions into a new post productivity era on the existing book of business. So it is going

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to take a different phase approach for different customers somebody would go much faster, somebody would go in a phased approach. So that is how I would say. So I do not think it is related to the top account at all. In fact, we grew in this quarter in top account. So sequentially we grew in this quarter. So I do not think that is really an issue. I hope that answers the questions Sudheer.

Sudheer Guntupalli : Okay, so what you might be referring to is maybe the other four accounts where you would have seen some productivity pass on issue and not related to the high-tech top account. Is that the correct understanding?

Venu Lambu: Yes, I think I was answering in the context of top five clients having a different road trajectory than the 6th and onwards. So it was more related to the top 5 customers because any larger engagement, larger productivity initiative is a material impact for that particular period.

Sudheer Guntupalli : Understood, sir. And lastly, you are sounding very confident that we will reach double digit kind of gr

owth rate sometime in the second half. But given that we also have sizable exposure to BFSI and high tech where we see significant amount of furloughs and very similar thing has played out a couple of years back. So, any sense on how the furloughs this time is going to be and why we are confident despite the impact of furloughs?

Venu Lambu: Look, I think the furloughs is going to be normal as what it always happens to be here. So we do not see any signs of increasing it. But absolutely, yes, there is a seasonal furloughs. It has been factored in when I made the comment, a comment about nearer to the double digit, sometimes in second half, the furloughs has been accounted for.

Sudheer Guntupalli : All right, sir. Thank you and all the very best.

Venu Lambu: Thank you.

Moderator: Thank you. Our next question is from Sumeet Jain of CLSA. Please go ahead.

Sumeet Jain : Yes, thanks for the opportunity. Most of my questions are answered. I just had one question. You are operating at a very high utilization of 88% and you obviously have certain large deals to ramp up. So can you throw some light? How are you planning the headcount around it and in case you need any skill match mismatches there, will you be relying on subcontractors the way we saw this quarter?

Vipul Chandra: Yes, Sumeet. I think in terms of the utilization levels, yes, you are right that it is slightly elevated and we are working on getting it into a more comfortable zone as we had called out earlier also between 86% to 87%. I think our fresher hiring program that we are remaining committed to and under which we hired more than 2,600 freshers in this quarter, will start

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playing out once they get trained and they start getting deployed. And we are continuing to remain committed to hiring more freshers as well. So overall, we are working towards, adjusting this along with our pyramid adjustment as we go along. As far as, sorry, what was the second part of it? Yeah, on the subcontract side.

Sumeet Jain : I mean, will you be relying on subcontracts? Yeah.

Vipul Chandra: Yes, so it is a function of how the deals are coming in, how quickly they have to get ramped up and, if we have to rely upon subcon for the initial ramp ups, etc., that is one way to do the ramp-up faster. And yes, we will be looking at that as well as a lever for maintaining the growth.

Sumeet Jain : Right. And we maybe just harping upon the same point on top five accounts or rather not the top, but the remaining four accounts, or let us say in BFSI or high-tech verticals. How long do you see this transitory phase to be there where the AI productivity benefits have to be kept on passing? So your double-digit growth outlook or rather ambition by second half, I am sure is independent of growth in these two verticals. So can you throw some light on how long is this transit period in your view?

Vipul Chandra: Yes, firstly, I think I hope you all acknowledge that the other portfolios are growing, beyond the industry average, right? In fact, much higher than the industry growth, right? which adds up to a good, well-balanced portfolio, right? There is also a strategy of making sure that we have a well-balanced portfolio because, a few times you all have asked that are we dependent on a few accounts a lot. So I see this as also a transitional phase for us where we end up creating a much more balanced portfolio. So that is one overarching commentary I want to make. Because if you look at it, most of the large deals that we got are outside of the top five. So that is another great example to say how you bring more balanced portfolio. Now, coming very specific to the period of transitional phase, there is no one specific timeline for, let's say, three or four accounts. Each of them are going through its own timeline, but I do not expect this to be a very long phase. You can expect the progress happening fro

m Q3, Q4, onwards. Each of them will grow in a different proportion, but some of them will take a long time. But as I said, I would urge you to look at the overall portfolio and look at what we are doing in terms of balancing the portfolio right to reduce the risk and especially to address the concentration risk, which some of you have spoken quite a few times with me. That is where I would leave it. I hope that answers your question Sumeet.

Sumeet Jain : Definitely. I think congrats on a great quarter and great deal wins and a great run going ahead. All the best.

Venu Lambu: Thank you.

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Moderator: Thank you. We take the next question from Dipesh Mehta of Emkay Global. Please go ahead.

Dipesh Mehta : Thanks for the opportunity. A couple of questions. So I think three questions. So first is about, let's say we are indicating about double digit growth entering into H2. Considering the deal pipeline and overall strong momentum what we are observing, whether it would set the base for FY2027 kind of expectation? That is question one. Second question is about the net new portion in H1, whether it is different than the, let's say, last four, six quarter what we observed in terms of net new in overall deal intake versus the past. Third question is about non-controlling interest. This quarter it seems to be much higher than usual pattern. If you can provide some sense what led to that jump. And last, if I can add more, is more medium term. If you can give some sense about AI adoption across our top client, and what kind of impact you have observed impact of AI on renewal. Thank you.

Venu Lambu: Yes, what was the third question Dipesh, if you can repeat that once again.

Dipesh Mehta : Non-controlling interest, if I look at P&L, it is around 20 odd Crores, which used to be a very small number only.

Venu Lambu: I will let Vipul to answer that, but let me take the other question. Look, I think FY2027 is still some time away to comment, so let us hold on to that. There is one big thing that we have to deliver is continuing this momentum for the second half of the year and make sure that we come very, very close to the double digit at some time in the second half of the year.

So that is how I look at it. I think it is too premature to comment on FY2027. So let's talk sometime in end of January kind of timeframe where I will be in a better position to comment on FY2027. I think the new deal, most of the deals, if you look at it coming in, in leveraging our existing scope, doing the vendor consolidation in our existing customer base and then we also announced one net new account in Q1, which was one of the last deals that we announced. So we have a combination of both. We spoke about large deals across all our five verticals. If you look at all these five verticals, we have done some work with those customer at some part of the engagement life cycle. So that is how we sort of done that. AI in top clients? Sorry, I lost the chain of question on that. What was the specific question, Dipesh, on AI in top clients?

Dipesh Mehta : So I just want to get a sense of AI adoption across our top clients, because you indicated 40 -50 clients in one of your earlier comments. And any impact on renewal, how the size and scope changes?

Venu Lambu: See, AI infusion is something we are proactively driving it within the company. We have a framework called ADAPT framework, which measures the skill sets in the account, the AI adoption maturity at different phases of it. In some accounts, we are doing an AI in the form of an agent where you are assisting the humans. So there, it is not much about cost impact.

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There could be more about, how do you make employees work more effectively? How do you service customer more effectively, right? So that is one form of AI infusion. The second is we are doi

ng AI infusion in another category of accounts where we can do more work with the same team. That means you actually get more revenue keeping the same cost if it is a fixed price kind of a project. The third one is that where we have a discussion with the customer to drive more productivity so that we can pass on that benefit to the customer. So when I talk about AI infusion, does not necessarily mean that I pass everything to the customer. And also does not always mean that it is always related to the productivity. The AI has multifaceted impact into the engagement. It goes beyond productivity. So that is what we are driving in and we are pretty excited about that adoption across our customers. With regard to the non-controlling interest, Vipul will answer that.

Vipul Chandra: Sure. So I think the answer to that question is that until last quarter we were accounting for this entity that we had set up in partnership with Aramco as a joint venture and equity

method consolidation. During this quarter there have been certain changes in the partnership arrangement between us, which now has allowed us to consolidate the subsidiary on a full line-by-line consolidation basis. So, going forward this will be a full line-by-line consolidation. Thank you. Hope that answers the question.

Venu Lambu: Yes, it does. Thanks.

Moderator: Thank you. We will take our last question from Sandeep Shah of Equirus Securities. Please go ahead.

Sandeep Shah : Yes. Thanks for the follow-up. Just, Venu, sorry to stress again on top five. In terms of this process of AI calibration and the renewal where productivity gains are passed on, do you believe we are not losing wallet share because such process could be intensely competitive where apart from an existing, there are other vendors are also being invited because these are named Fortune 500 clients. So is it fair to assume our wallet share continues to remain defensive and it is not at a risk?

Venu Lambu: Yes, firstly on the top five commentary, I mean, just look at in the right context, right? So I mean, we are talking about the top five bringing it minus 5%. Right. So if you look at the overall, it is not that material when I look at the overall balance portfolio, I gave you a reason why it is happening, because if you are just passing on the productivity benefit, you do not just degrow at minus 5%, it will be much higher. That means we are actually doing more business, but it is getting offset by the transitionary phase that we are going through some of these customers, hence you see that impact, right? So that is how you need to look at it. The second thing is that, look, these are the customers where we have relationship more than 10 years, some of them more than 15, 20 years. So we have deep relationships. So I absolutely do not see this as a red flag. If we can help our customers to transition this

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phase successfully, there is a lot waiting for us on the other end. In fact, we are winning the deals in the same accounts. It will start reflecting, as I mentioned, in different phases over the next few quarters, how these accounts will reflect as a net positive. That is how I look at it.

Sandeep Shah : And the last question, Vipul sir, though there is an improvement in FCF to PAT ratio, but with our scale now closer to some of the other large catch and margin increasing, can we go to industry standard of 90% to 100% FCF to PAT?

Vipul Chandra: I think the answer to that is that, the OCF to PAT, if you look at it, that should be closer to 90% to 100%, I would say. The FCF is a function of also how much of investments we are making in our capital expenditure side, which we have talked about in the last couple of quarters and continuing to invest in our facilities expansion and also developing and modernizing our IT infrastructure internally and that investment is going to continue. So I think we ar

e still investing in our business. And to that extent, the FCF to PAT ratio will probably remain where it is and gradually it will start moving up once we start coming to the desired capacity levels of the facilities.

Sandeep Shah : Ok, thanks and all the best.

Moderator: Thank you. Ladies and gentlemen, on behalf of LTIMindtree Limited, that concludes today's conference. Thank you for joining us and you may now click on the leave icon to exit the meeting. Thank you all for your participation.

Safe Harbour

Certain statements in this release concerning the future prospects are forward-looking statements. These statements, by their nature, involve risks and uncertainties that could cause the actual results to differ materially from such forward-looking statements. The Company assumes no obligation to revise or update any forward-looking statements that may be made from time to time by or on behalf of the Company.

(This document has been edited for readability purposes)

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Call: Jan 2026

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National Stock Exchange of India Limited,
Exchange Plaza, Bandra-Kurla Complex,
Bandra (E),
Mumbai - 400 051

NSE Symbol: LTIM The BSE Limited,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001

BSE Scrip Code: 540005

Dear Sir(s)/Madam,

Subject: Transcript of Earnings Conference call held on January 19, 2026

With reference to the captioned subject, please find enclosed transcript of the Earnings Conference Call held on January 19, 2026.

Kindly take the above on record.

Thanking you,

Yours faithfully,
For LTIMindtree Limited

Angna Arora
Company Secretary and Compliance Officer

Encl: As above

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Q3 FY2026 Earnings Conference Call"
January 19, 2026

MANAGEMENT :
Mr. Venu Lambu - Chief Executive Officer and Managing Director
Mr. Vipul Chandra- Chief Financial Officer
Mr. Vikas Jadhav - Head, Investor Relations

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Moderator: Ladies and gentlemen, Good day and welcome to the LTIMindtree Limited

Q3 FY2026 earnings call.

Please note all participants are currently in listen-only mode and there will be an opportunity to ask questions following the conclusion of the management's opening remarks. Please note that this call is being recorded.

I now hand the conference over to Mr. Vikas Jadhav, Head, Investor Relations at LTIMindtree. Over to you, sir.

Vikas Jadhav : Thanks, Inba. Good day everyone and welcome to LTIMindtree Q3 FY2026 earnings conference call.

Today we have with us on the call

Mr. Venu Lambu, Chief Executive Officer and Managing Director and

Mr. Vipul Chandra, Chief Financial Officer.

We will begin with a brief overview of the company's Q3 FY2026

performance, after which we will open the floor for questions and answers.

During the call, we could make forward-looking statements. These statements consider the environment, as we see today, and carry risk and uncertainties that could cause our actual results to differ materially from those expressed in today's call. We do not undertake to update any forward-looking statements made on this call.

I turn the call over to Mr. Venu for his opening remarks.

Venu Lambu: Thank you Vikas. Hello everyone and wishing you and your families a Happy New Year. Thank you for joining us.

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In FY2026, we accelerated our journey towards becoming an AI-ready organization, shaped by our BlueVerse™ ecosystem, sales transformation program, a sharper focus on large deals, and redefined partnership.

Together, these initiatives have yielded tangible outcomes, strengthening our ability to deliver new edge capabilities at scale, consistently win in the market, and create greater value for our clients.

The progress we have made across these initiatives is reflected in our strong Q3 FY2026.

We reported revenues of USD 1.21 billion, reflecting a sequential growth of 2.4% in USD terms and similar growth in constant currency. Operational EBIT margins expanded by 20 basis points from 15.9% in Q2 to 16.1% in Q3.

PAT grew 29% year-on-year before adjusting for the labor code impact.

Our order inflow stood at USD 1.7 billion, up 6.4% quarter-on-quarter.

This quarter, we continued to win significant deals. Let me highlight a few.

We have been selected as a strategic partner by a leading U.S. insurance and financial services company for a multi-year engagement covering application management, infrastructure operations, and end-user services driven by an AI-led delivery model. This is a USD 155 million total contract value for a five-year term.

We have been selected by a leading manufacturer to consolidate its technology landscape with a multi-year agreement that spans applications, cloud, infrastructure, cybersecurity, data, and AI services.

We have been selected by a global financial institution to deliver end-to-end technology and consulting services across all lines of business, positioning us as one of their five major service partners.

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We have partnered with a global technology company to deploy AI solutions that enable a safe and secure customer experience across one of the world's largest planet-scale app ecosystems.

We have been chosen by two clients - a global manufacturer and a multinational imaging company to deploy our BlueVerse™ platform as a foundation for AI agents to enhance efficiency across their business operations.

We have been selected as a transformation partner by a UK headquartered food and beverage company, leveraging our AI capabilities to simplify

infrastructure and application complexities, manage operational risks and drive business efficiencies.

We have been selected by a glob

al AI leader to deploy AI agents for its learning and development platform.

Together, these deals demonstrate our ability to combine innovation, scalable delivery, and deep domain expertise to drive long-term value for our clients.

Let me now share updates on our vertical and geography performance in USD terms. In a seasonally weak quarter, typically impacted by furloughs and holidays, our sequential performance was as follows.

Consumer Business experienced a growth of 1.2%.

BFSI declined by 0.7%.

Manufacturing and Resources reported a growth of 9.4%.

Tech, Media, and Communication was flat.

Healthcare, License, and public services grew at 9.9%.

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From a geography perspective, the Americas grew by 0.4%, Europe by 3.4%, and the Rest of the world by 14.1% sequentially.

At the end of Q3, the total headcount stood at 87,958, with net additions of 1,511 including 1,736 freshers, reinforcing our commitment to building future-ready talent at scale.

We continue to be recognized by the industry leaders and partners. This quarter, we received several recognitions:

We have been recognized as a leader and star performer in Everest Group's Banking IT Services PEAK Matrix® Assessment 2025.

We have been recognized as an Innovator in Avasant's Generative AI Services 2025 RadarView™.

We received two partner awards at AWS re:Invent 2025: Application Modernization Consulting Partner of the Year (Global) and Industry Partner of the Year, Travel and Hospitality.

We have been accredited as a Microsoft Fabric and a Real-Time Intelligence SI Partner, which further strengthens our AI capabilities.

We have been recognized as one of the Financial Times' Best Employers in Asia-Pacific 2026, reflecting our dedication to a forward-thinking and inclusive workplace where employees excel.

We won the Golden Peacock Award for Risk Management 2025, highlighting our commitment to strong governance and risk management practices.

Please refer to our fact sheet for a complete list of our recognitions.

Let me now take you through some key business updates.

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In parallel to driving growth for the year, we have been focusing on defining our way forward strategy as part of our group's Lakshya 2031 initiative, the details of which will be shared at the next available opportunity.

Our industry is at an inflection point - marked by significant reimagination of capabilities, redefined operating models, the convergence of technology and domain expertise, and most importantly, evolving client expectations - all unfolding at a relentless pace.

We are reimaging our service lines with clear focus on AI Ops and integrated transformation capabilities. This reimagination is centered on connecting discrete capabilities to modernize and scale data and systems while accelerating AI adoption in the enterprise agentic era. In parallel, through our business AI services, we are unlocking new productivity paradigms across business operations by combining our BlueVerse™ ecosystem with deep domain expertise. This will be championed by repositioning our brand from being a technology-only partner to a business creativity partner for our clients.

From an execution standpoint, our Fit4Future has delivered on its stated objectives over the past three quarters. As we move into FY2027 and look beyond, we remain committed to addressing the next phase of our growth and cost agendas. To this end, we are launching New Horizons , a comprehensive enterprise-wide program to drive our transformation agenda over the medium

to long term.

This quarter, we made a significant progress across AI-driven solutions, transformation, partnerships, and talent development. Here are some of the key ones that I would like to talk about.

We launched BlueVerse TM with Organizational general intelligence - a next-generation agentic IT service management platform, designed to autonomously manage and resolve complex IT operations.

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We are building AI factories by industry and at scale, creating BlueVerse TM industry blueprints to help our customers adopt agentic AI at speed, supported by our RightAction TM governance framework.

We have been selected by a top North American real estate firm to redesign their workflow and deploy GenAI agents for unstructured tasks managed through a single interface. This approach will speed up deal processing, minimize manual work, and enable their agents to focus more on valuable client interactions.

We have partnered with a diversified industrial technology enterprise to enable critical data elements extraction and digitization from their existing contracts.

We have been selected by a U.S. onshore oil and gas producer to deploy an AI system with multiple autonomous agents for automating its field operations.

We launched Agentic AI SDLC solutions and industry-specific solutions for our TTH vertical on the AWS Agentic Marketplace.

We have been extending the capabilities of our BlueVerse TM Craft Studio to enhance the creator ecosystem through AI technologies. As a part of this effort, we partnered with the International Film Festival of India to define a new era of AI-led storytelling in cinema.

We secured an important patent for BlueVerse TM Knowledge Fabric, enabling faster software delivery, improved SDLC efficiency, and smarter collaborative insights.

We announced a partnership with Armada.ai to accelerate the adoption of Edge AI for industry-sovereign and federated learning.

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We launched EdgeXcelerate an integrated offerings that drives edge transformation by seamlessly connecting IT, OT, and ET, while standardizing the design, deployment, and operations of edge environments.

We launched TransisTOR, an automation engine, enabling enterprises to migrate KPIs, models, and pipelines to Oracle AI Data Platform to unlock value and amplify outcomes through a network of AI agents.

We launched our MediaCube offering, an integrated AI-driven media and marketing platform that helps enterprises plan, monitor, and optimize media across channels.

Our people remain at the heart of our strategy and performance. We continue to invest in attracting, retaining, and upskilling talent in line with evolving client demand and our long-term business priorities. Building on this commitment:

We strengthened AI-focused learning journeys across the organization, with more than 50% of our employees achieving intermediate or advanced AI skills.

In parallel, recognizing that industry domain expertise is critical to our tech

domain convergence strategy, over 70% of workforce has now been covered under Tech + Domain skilling across various competency levels. In summary, our AI strategy, grounded in AI inclusion and AI-native pivots - continues to drive transformational outcomes and strengthen our positioning as a business creativity partner in building agentic enterprises. With that, I will hand over to Vipul for financial updates.

Vipul Chandra: Thanks, Venu. Hello, everyone, and thank you for joining the call. Firstly, I would like to wish everyone a Happy New Year.

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Let me now walk you through the financial highlights for the third quarter of FY2026 starting with our revenue performance.

Our Q3 revenue stood at USD 1,208 million, reflecting a growth of 2.4% quarter-on-quarter and 6.1% year-on-year in dollar terms. The corresponding constant currency growth was 2.4% quarter-on-quarter and 5.2% year-on-year. The revenue in INR stood at 10,781 crores, which is a growth of 3.7% quarter-on-quarter and 11.6% year-on-year.

Our Q3 operating EBIT margin expanded by 20 basis points sequentially to 16.1%. This increase was primarily driven by our Margin Improvement Program as part of the Fit4Future initiative and by a positive forex tailwind during the quarter. These gains were partly offset by lower workdays and furloughs.

The margins had a one-time impact on account of change in the labor code amounting to Rs.590 crores or USD 66 million.

Adjusted profit after tax for the quarter stood at Rs.1,401 crores as compared to Rs.1,381 crores in the previous quarter registering a growth of 1.5% quarter-on-quarter and 29% on a year-on-year basis.

The PAT after taking the above impact of the Labor Code stood at Rs.959 crores.

The effective tax rate for the quarter was 26.5%, unchanged from Q2.

Basic EPS given the one-time impact was Rs.32.8 for the quarter as compared to Rs.47.3 in Q2 FY2026.

Our total DSO for Q3 stood at 85 days versus 82 days last quarter.

The operating cash flow (OCF) to PAT ratio was 129.9%, up from 85.6% in Q2. Free cash flow to PAT ratio stood at 112.8%, compared to 72.4% in Q2.

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Cash and investment balances stood at around USD 1.62 billion or Rs.14,558 crores compared to Rs.14,000 crores in Q2 FY2026.

Return on capital employed for the quarter was 29% against 27.5% last quarter.

As of December 31, 2025, our cash flow hedges stood at USD 3.97 billion, and hedges on the balance sheet were USD 407 million.

Our utilization, excluding trainees, declined to 86.9% in the quarter, compared to 88.1% in Q2. For the quarter, our trailing 12-month attrition decreased to 13.8%, from 14.2% in Q2.

On the ESG front, we achieved an exceptional FTSE Russell score of 4.6 out of 5, which is far above the industry average and one of the most trusted ESG benchmarks used by global investors.

In addition, with a score of 71 out of 100, we secured a top EcoVadis ranking placing us in the top 8% of the companies globally in our sector. We achieved recognition in the top 1% globally for the environment theme, as well as ranking within the top 3% for both social sustainable supply chain themes and governance themes.

As a step towards building a sustainable ecosystem, I am pleased to highlight that our Pune, Shivajinagar, Bangalore Global City Phase 1, and Chennai Innovation Campus Tower-1 have received LEED Platinum certification from USGBC, making them part of a select group of sustainable and innovative LEED-Certified buildings.

I now hand it back to Venu for the business outlook.

Venu Lambu: Thank you, Vipul. As we look ahead, we expect the growth momentum delivered over the last three quarters to continue through the balance of

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the year. This confidence is supported by our execution discipline, improved deal momentum, and the traction we are seeing across our AI-led offerings.

In parallel, we are preparing for the next phase of our growth journey in FY2027 and beyond. This will be anchored in a strategic repositioning of the brand, sharpening our ability to compete more effectively in the marketplace, and deliver tangible outcomes for our clients.

W

ith that, I would like to open the floor for questions.

Moderator: Thank you very much, sir. Ladies and gentlemen, we will now begin the question and answer session. Anyone who wishes to ask a question may click on the raise hand icon from the participant tab on your screen. We also request participants to restrict to two questions and then return to the queue for more questions. To rejoin the queue, you may click raise hand icon again. We will wait for a moment while the question queue assembles. The first question is from Vibhor Singhal from Nuvama Equities.

Vibhor Singhal : Thanks for taking my question. And congrats on a solid performance in a seasonally weak quarter. So I had a couple of questions. One is, we have seen very strong growth momentum over the past three quarters. And as you had mentioned that, you expect that to continue. I think last quarter, we had mentioned that at some point of time, we would hope to touch double-digit YoY growth rate in this year. So with the current numbers, do you think we're still targeting for that in Q4? And the second question on the growth part is our top five client bucket declined this quarter as well after the last quarter. So any color on that as to what exactly is driving that? And when do you think this decline in the top five clients could actually bottom out? And then I will have one follow up for Vipul.

Venu Lambu: Vibhor, thank you. Happy New Year to you. Firstly, on the first question, look, we delivered 6.1% year-on-year growth this quarter. That means we

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are getting better with every quarter on a year-on-year growth terms. So, the plan that we have to coming closer to double digit, that has not changed that is still the plan. And I do feel that we are within the reaching distance. So, there is nothing extra that I can add, except to tell you that, we want to deliver to that nearer double digit, as we go into the Q4. With regard to the top five customers decline, Look, I think if you recall last time Vibhor, I had spoken about the productivity journey of our customers, right? So every customer goes through its productivity journey because nobody is sitting quiet when it comes to what can be done on AI or the existing book of business. And that is what we are helping customers, proactively in going through that journey. And if you look at the top five, they are really material accounts with a sizable revenue. So unless all the five clients complete their journey, we will have to live through this short-term decline in that bucket. But what is most important is that, are we balancing our portfolio? The answer is yes. Are we growing as a company? Yes, we are growing. Are we continuing to commit that we will continue to grow? Yes. Right. So hence, I would not read too much into it. It is a phase and we have to go through it. But the good news is that I do feel that in the top five client, probably, just about one client that is left now, that needs to pass through that phase and, that may take more time than the remaining, the remaining four accounts, which seems to have already transitioned reasonably on the journey. And next quarter, I expect the, one out of that five account will eventually bottom out. And then out of that bucket's decline approach. But to be honest, I am not unduly worried about it. It is a journey we had to go through. We know what we are doing in that bracket.

Vibhor Singhal : Sure, great to hear that, Venu. Just one, my follow-up question for Vipul. So, sir, I think margins are very strong performance in this quarter. Just two things on that part. Have we decided as to when are we going to give the wage hike for this year? If there is some color on that. And secondly, beyond the margins that we have reported in this quarter, do you think

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there is still a lot of juice left in

the Fit4Future program? And margins from here can probably be expanded with the operation efficiency that you are planning to do?

Vipul Chandra: Sure, Vibhor. So in terms of the wage hike timeline, I think in the last quarter itself, we had spoken about it and we had said that we will be starting the wage hikes from Q4. But instead of doing it in one go, we will be probably spreading it out over a couple of quarters. So that plan remains intact. And we will be taking up wage hike for about 50% of our population in Q4. As to the second question, whether there is still juice left in Fit4Future, I think the answer to that is that cost, discipline, and margin improvement initiatives are a constant initiative that has to be there in the company. And to that extent, that is the journey that we will continue to drive on. Now whether there is a juice left in Fit4Future, I think the answer to that is that we are looking at sunseting the Fit4Future program and replacing it with a more balanced transformative program called "New Horizons", which focuses in equal measure on growth as well as cost discipline. So in a nutshell, we believe that there is still more juice left in terms of driving the cost efficiencies. And as we go through our journey in the next year, this effort will continue and we will continue to improve our margins on operational front.

Vibhor Singhal : Got it, Thank you, sir. Thank you so much for taking my questions and wish you all the best.

Moderator : Thank you. We now invite our next participant, Mrs. Sulabh Govila from Morgan Stanley.

Sulabh Govila : Yeah, thanks for taking my question. My first question is on the deal wins. So, Venu just wanted to check on the construct of the deal wins that we have had over the last few quarters. So, just wanted some color around how has the mix of renewals versus the new deal wins been in the last three

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quarters versus the last year. And any change in the tenure that you would have seen during this time frame?

Venu Lambu: Yeah, thank you, Sulabh. Look, I think the deal mix is traditionally, if you had looked at a couple of years back, the renewals would , probably have come with a little bit of an incremental scope. But I think the clients are looking at renewal as an inflection point where they want to reimagine their partner ecosystem or they want to reimagine their vendor ecosystem. So for us, renewal is not just a transactional renewal. Now it has become very strategic because it leads to taking over the wallet share of other companies in that particular account. And you see that in the pattern of the large deal that we announced, most of them are actually taking the wallet share of other competitors . Except, yeah, most of them actually. There is nothing exceptional except anything we announce in the public sector part, it is different.

Moderator: Sorry to interrupt, Venu sir, we could not hear you in the last few seconds. Could you please repeat?

Venu Lambu: Okay. Thank you, Sulabh. You got it or do you want me to repeat the mix of the deal part?

Sulabh Govila: No, I understood you mentioned that you have been winning the wallet share in the deals that have been panning out. Yes.

Venu Lambu: And with regard to the tenure, there is no change. Pretty much look at an average of three to five years contract cycle.

Sulabh Govila: Okay, understood. And the second bit is that in the last few quarters, the run rate of growth that we have seen, which is, let's say, in the range of 2.0 % to 2.5%. So if you were to think about delivering something similar going forward, do you think that you need to inch up the deal win TCV run rate that we have been winning? or even these levels you would be comfortable

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to deliver that run rate given that there is some improving ramp up on the deals which is timel

y happening and leakage has been lower, so any color around that would be very helpful.

Venu Lambu: Yes absolutely Sulabh if you look at it from an FY2027 point of view obviously we will grow from whatever is our exit run rate based on Q4 so that essentially means that to deliver an industry-leading growth, that's isour aspiration. We have to up our order booking. I think we are pretty much getting there. The most important thing of increasing the size is first to achieve consistency in the deal closures. And if you look at the last three quarters, even as recent as last week, we announced large deals. So, increasing the order booking, I think it will be a natural course that will happen as we get into FY2027. And to some extent, if it gets aided by the market condition, it only helps that much.

Sulabh Govila: Understood, sir. Thanks for taking my question and all the best for the coming year.

Venu Lambu: Thank you.

Moderator: Thank you. Our next question is from Manik Taneja from Axis Capital.

Manik Taneja : Yes. So just wanted to get your thoughts around the ramp up plans for some of the large deals that we have won over the course of last couple of quarters, both across media and entertainment and possibly some of the India-driven deals, and if you could help us understand how much of that growth in the current quarter was probably supported by the India driven deals.

Venu Lambu: Yeah. Hi, Manik. Look, India deal, we just announced it a couple of days back. So, I'm assuming you are looking at it as the PAN deal which we announced in the previous quarter. If the question is related to that, yes. The ramp up of PAN deal is reflected in our rest of the world geography.

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And the same thing, the orders that we closed in Q1 and Q2, depending on the transition duration, some customers have a longer duration. The client that we announced in the second quarter later part, one of our large deal has a longer time that will go on till Q4 and before it gets into the steady state. So, in summary, does this include the deal's ramp up? Yes, it does include. But does it include the full ramp-up to the scale? No, it does not include yet.

Manik Taneja : And the second question was with regards to a segmental margin performance. If you could talk about what is driving the improvement in margins within the financial services vertical at a segmental level and also talk about how should we be thinking about margins in the high-tech vertical where margins have come off through the course of this year?

Vipul Chandra: Sure. So in terms of the margin improvement in the BFS vertical, it is on account of our continuing efforts under the Fit4Future program and our infusion of freshers into the accounts. So pyramid improvement, rate realization, all of these things have played a role, as well as to some extent foreign exchange benefits. So it is a few things put together. Sorry, what was the second part of your question?

Manik Taneja : Similar question around the high-tech vertical, wherein we have seen margins come off through the course of this year.

Vipul Chandra: So in the high-tech vertical, I think we have spoken about it in the previous quarters also that some of the clients had embarked on their productivity journey in high-tech earlier than other clients, as Venu also mentioned in

the context of the top five clients. Now, the good thing is that in this quarter, if you look at it, the revenue growth has stabilized and even on the margin front, the efforts are continuing in the same direction as in BFS in terms of improving the pyramid, improving the rate realizations, and also cutting the overheads wherever it is possible. I think overall, if you look at

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it, our Fit4Future program has delivered an almost 230 basis points improvement over the last nine months which

is significant. So I think the efforts are continuing and segment by segment there could be some peculiarities in different segments and different accounts can be at different stages of their productivity journey. So what we are focusing on is more in terms of balancing out the portfolio and making sure that at company level overall we continue to improve our margins.

Manik Taneja : And the last one for my end, while you have spoken about splitting wage hikes across two quarters, if you could talk about how should we be thinking about the impact of wage hikes through the course of next couple of quarters? And do you think you still have some operational levers to negate some of that impact through the course of these quarters?

Vipul Chandra: So if you look at a wage hike alone per se, the impact could be up to 1% in each quarter, Q4 and Q1. Coming to the point about whether we will be able to pick up some of that impact by way of other operational efficiencies, yes that will be the endeavor. And we are going to continue to work on our New Horizons program to help us do that. Having said that, I think we do need to be mindful of the fact that next quarter, again, we have lesser working days than Q3. And also, in terms of the productivity journey, which Venu talked about, those impacts will also have to play out fully. So we will see how it happens. But suffice it to say that we are confident that we will be able to close the year at better EBIT margins than the previous year.

Manik Taneja : Great. Thank you and all the best for the future.

Moderator : Thank you. We take our next question from Surendra Goyal of Citi.

Surendra Goyal : Yes. So a couple of questions for Vipul. Firstly, could you share the pass-through revenues for the quarter, if any? And secondly, as SG&A as a percentage of revenue is down almost 100 basis points sequentially, 150

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basis points YoY, is there anything to call out here, or is this a more sustainable level going forward?

Vipul Chandra: So to answer the first question, I do not think we call out the pass-through revenue in exact number terms. Suffice it to say that it is similar to the seasonal impact that we see every year in this quarter. And some amount of movement up or down can happen, but more or less similar to the previous years. On the SG&A front, it is a combination of what I said earlier about the Fit4Future program driving some of the efficiencies, as well as some one-off reversals that we had in this quarter. So to answer your question about a potential level of SG&A to think about, our attempt will be to kind of keep it in the region of around 11 to 11.5 or 11.6% kind of a range. Does that answer the question?

Surendra Goyal : Yes, thanks. Just a follow up. Could you quantify the reversals in this quarter?

Vipul Chandra: Again, that is not the kind of detail that we get into. Yes, it is not that material but it is something which has given us a one-off benefit in this quarter to some extent, apart from the Fit4Future led productivity benefits. So I have also given you the range on a long-term basis. So that should, in a way, give you the answer.

Surendra Goyal : Understood. Thank you.

Moderator: Thank you. Our next question is from Ravi Menon of Macquarie.

Ravi Menon : Thank you for the opportunity and congrats on a good quarter. I want to talk about this healthcare public services segment margin improvement. So

this quarter, you said that this includes the PAN contract that started ramping up. So can we assume that since we have seen margin improvement that this contract is at least not margin dilutive and it is kind of a normal margin contract, even though it is Government of India?

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Vipul Chandra: So I think again, in healthcare and life sciences and public sector domain, these are verticals whi

ch are very highly driven by the project life cycles that they are going through. So it is a bit of a cyclical impact for India and the project impact which keeps playing out. Overall, anyway, what I have said earlier about the Fit4Future program driving the productivity improvement has an impact on this segment as well.

Ravi Menon : And secondly, your top five customers, there has been a slight decline, but saw that in your deal wins, there was an announcement that you are now one of the five major service partners for a global financial institution. So can we say that we should not worry about any vendor consolidation deals, at least with your major financial services client?

Venu Lambu: Yes., that is a fair assessment. There is no risk of our business being part of the vendor consolidation. If not anything, I am looking at this as an opportunity to grab the wallet share of a lot of other tail vendors that exist in an account. As I said, the top five most of them have passed through the productivity journey except one, which will bottom out in Q4 and then I am really hopeful for a very growth-oriented top-five story.

Ravi Menon : Thanks so much. Best of luck.

Venu Lambu: Thank you.

Moderator : Thank you. Our next question is from Sandeep Shah of Equirus Securities..

Sandeep Shah : Yes, and thanks for the opportunity. Sir, you may have answered this in the previous question, but is it fair to assume the top client in high tech and top client in BFSI - We have not lost any wallet share and unlikely to lose wallet share because of the vendor consolidation.

Venu Lambu: Look, I think the top client in the high-tech sector went through that productivity journey same time last year, and we were done with it. So we

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have grown sequentially in that client, in the top tech account. We have actually grown sequentially. So for me, with regard to the tech top account, it is a story that got over when we told in Q1 that our productivity phase is done and it is sort of there. With regard to the financial services, I think as I mentioned, I think Q4 is where the overall BFS will sort of bottom out and then we have a plan on getting into a much accelerated trajectory. But the good news is that for some of the big global banks in BFS, we are the prime supplier, right? I mean, our positioning has got elevated differently this year, where not just the top BFS client, but all the top five, top seven global banks, we are the prime supplier. So while we navigate the short-term productivity headwinds, long-term, we are fairly optimistic about the future of the business.

Sandeep Shah : Okay and sir do you believe the trend of productivity gains which you highlighted in a set of top five clients may extend beyond top five maybe in the coming quarters or coming years maybe for top 20?

Venu Lambu: Yes sure okay I will add it. Vipul, please add to it right. Look I think the top 20 is a slightly broader base right so I am hoping that with puts and takes the top 20 should be in the positive trajectory. It is not fair to say that every accounting top 20, top 40 has gone through their phase. It is a first year of a productivity journey, as I call it. But I am more hopeful of that category of accounts actually with puts and takes to continue to deliver growth, because we have a good pipeline as well.

Vipul Chandra: I was just adding to this point in the following way that in the last quarter, we had spoken about this journey playing out at different points in time for different clients. And overall, to say that all the clients have gone through

the journey will probably take a bit longer. But as Venu rightly said that impact is more felt in the top five clients. The top 20 is a much wider bucket. And there wherever people have gone through the journey earlier, we would have started growing a little bit more wherever somebody goes

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through the journey now, it will have a bit of a negative, but overall, we expect that bucket to continue to grow for us.

Sandeep Shah : Okay, fair enough. Thanks and all the best.

Moderator: Thank you. We take our next question from Sushovan Nayak of Anand Rathi.

Sushovan Nayak : Thank you very much for the opportunity and congratulations on a good set of numbers in a seasonally weak quarter. So just one question on the impact of the labor code. What we understand when we compare with respect to the large-cap peers, your labor code impact is higher than the large-cap peers. It is almost 5.5% of the quarterly revenue versus 2.5% to 3% what we have seen for the other large-cap peers. Is there any reason for that which it is possible to give a view? And what would be the recurring impact of this? Thank you.

Vipul Chandra: Okay, so Sushovan, on this one, I think it will be difficult to comment absolutely because we would not know what is the starting point for the other players in the market. But depending upon the starting point of the gap in terms of the new definition of wages versus the way earlier the gratuity impact and the leave encashment impact was being calculated, there are bound to be differences between different companies in terms of the one-time impact. So the good thing is it is a one-time impact. So one quarter, it is done. And then, next quarter onwards, you can continue with the rest of the BAU activities.

Now, in terms of the recurring impact, it is also going to be something which is going to be dependent upon certain clarifications and certain rules which are expected to come out. Also, we do not expect the impact to be very material. The exact impact workings, we are still going to do or wait to do until after we have got some clarifications, which are expected in the industry.

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Venu Lambu: Look, any impact on that, if it is whatever percentage post that will be common across all companies, a little bit. But I do not expect, as Vipul said, to be material on the recurring side.

Moderator: Thank you. Our next question is from Dipesh Mehta of Emkay Global.

Dipesh Mehta : Yes, thanks for the opportunity. A couple of questions. First, I just want to get a sense about the demand outlook in three verticals if you can provide some sense any changes you witnessed, let's say in last six months and the growth driver in BFSI, Consumer and High Tech. If you can provide some broad color on how you expect it to play out in calendar 2026 from growth perspective and maybe considering our some of the portfolio related things.. Second question is you indicated about project Lakshya and related things which you said you will share later which gives slightly medium term kind of perspective but is it possible to give some sense about, let's say how we look overall AI portfolio and any plan to share some number around it. Thank you.

Venu Lambu: Sure. Dipesh, thank you. For the question, firstly, I will put the headlines for all these three. So it sort of gives you the color of the outlook coming to be. BFSI, as I mentioned, bottoming out of the top client, but all other accounts growing faster than the market. Even this quarter, the other accounts have grown much faster than the other accounts. So we will be done with the bottoming out of the BFSI in Q4 on the top account productivity journey. And then we will continue to grow as we go into the next year. And there are a lot of things that back up the statement, whether it is capability story

or relationship. And the fact that I said, we are the prime supplier for some of the largest global banks. It is not just one or two accounts, right? So we are almost seven global banks. We are the prime supplier. So there is a huge opportunity over there. And the spend pattern has not changed. They always continue to b

e conscious, carefully calibrated spend and that is what we will go after in BFSI. With regard to the consumer spend, we will

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continue to keep the momentum as we go into the next year, because there are some interesting engagements, conversation that is happening with customers. And I am hoping that some of those things will be materialized so that I could be very precise in giving you a color more on that.

Opportunity does look pretty interesting in that space.

High-Tech, I think, has made a journey from sort of a quarter to quarter decline to a quarter where it has been just about the flat, just a flat growth. So it can only go up from here on the Tech side, right? With regard to the spend pattern, look, materially, fundamentally, has not changed as much as I can call out one or two things, but there are still opportunities out there. We just need to remain focused and bring all our solutions to our customers, we will get growth. Finally, I think on the medium and long-term outlook, when I talk about the next available opportunity, I am not looking too far ahead before this year ends, we will look for an opportunity where we come and present to you the forward-looking strategy because it is still a work in progress. We need to take it to the Board and then we will share it. But I can only tell you that the thought process and aspiration that we have on the plan that we are building is very ambitious.

Dipesh Mehta : I understand. And maybe if I can squeeze last question about the sustainability of double-digit growth entering into next year because by exit, we intend to reach to closer to double digit. Considering overall market dynamics, I am not looking for specific guidance, just trying to understand overall thought process and whether it is possible to deliver. Considering overall progress what we made so far in terms of our deal funnel, deal closure and client conversation, do you think that it is likely to be sustained entering into next year?

Venu Lambu: Look, we are, as I said, our aspirations are big, our ambitions are very strong, but you also need to understand that we are living in a bit of a day-to-day variable world, right? So I would prefer to wait for the Q4 earnings

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where we can add more specific color for the FY2027, right? At the moment, the focus is delivered nearer to the double digit for this year, and also as Vipul called out, deliver margin higher than last year so that we can sign off in a good way for Q4. That is what we are hoping for.

Dipesh Mehta : Fair point. Thank you.

Moderator: Thank you. Our next question is from Abhishek Shindadkar from InCred Capital.

Abhishek Shindadkar : Venu, a question for you. Can you extend your observations about the High-Tech customers' productivity journey to other customers in verticals? And also, if you can, kind of do the customer segmentation, meaning, is this trend happening more in the Fortune 100, Fortune 200 customers today. So this is more industry specific rather than a company specific. And part two of that question is, I heard people saying it could take longer for the other below 20 million customers. So maybe if you can just highlight, what is the timeframe that we are looking at, at this overall productivity journey? Thank you for taking my question.

Venu Lambu: Yes, thank you Abhishek. Look, I think from an industry standpoint, it is a fairly straightforward formula because to extract the productivity you have to make some investments, right? So it has to be a one-time investment. So higher the base of that work and the revenue, if it is material, then ROI

for the AI investment also.... Because AI productivity is not a magic wand, right? So we need to redefine the processes. We need to get the right tools in place, right platforms in place, get the team to identify opport

unities

which can be coded. So there is an investment that goes in through an AI tech team, which will create those productivity solutions. So I feel that the larger the account portfolio, it makes more sense is how I see it. With regard to the rest of the accounts, look, it is a very diversified portfolio. Whether it is your Top 10 or 20 to 40, those accounts are very diversified

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portfolio. And there are a lot of good pipeline in those accounts. And we have announced deals also in that portfolio. So I think we have a good mix in that span. I cannot generalize such a big portfolio, either it takes shorter or longer. I think account-wise dynamics will play there. But what we are is focused, and with all puts and takes, can we deliver growth? And which is what I said, yes, we are in that direction.

Abhishek Shindadkar : Thank you. Best wishes for the rest of the year.

Venu Lambu: Thank you.

Moderator: Thank you. Our next question is from Kawaljeet Saluja of Kotak.

Kawaljeet Saluja : Hi, Venu. First question for you, Venu. The first question is that you had multiple successes in those USD 300 to USD 500 million deal bucket. So what has been the unifying theme or success factor which has propelled such multiple large and mega deal wins? And how does the pipe for such deals look like as we speak today?

Venu Lambu: So that is a great question. What is driving this is if I look at it, the offering per se, the what part of it, is fairly a point of parity. If I am doing a big cloud migration or cloud modernization or digital engineering, it is pretty much a point of parity with other companies as well. But I think what differentiates us is the how part of it. How do we go about in solutioning? How do we go about in innovating the delivery models? How do we go about in identifying the team that client finds is as a very strong team that works for us? And finally the innovation that we bring in the commercial model as well. So I do not want to let all secrets open in this call, but in general, the how part is what helped us to win those large deals. And I think the very fact that we built a large deal organization, which sort of sleeps and breathes large deal, they see these scenarios more regularly than the team who handles transaction and also does other things. So I think that, that focus also has helped us.

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Kawaljeet Saluja : Noted. And how does the pipeline of such deals look like?

Venu Lambu: It looks, decent enough. It looks decent enough for us to close those deals every quarter and keep sharing as we go along. It has not gone down.

Momentarily, it will go down when you close a deal, but then over a period of time, it builds up. It is fairly steady, I would say, Kawaljeet, fairly steady.

Kawaljeet Saluja : The second question I had for you, Venu, thanks a lot for that answer. The second question I had for you, Venu, is that one of the upsides which LTIMindtree had was those mega-sized accounts, which are the top two accounts. But the downside, of course, is that it creates client concentration as well. And you would have seen a fair number of conversations going in that direction. So how long do you think would it take for you to have, let's say, a more balanced client portfolio? Or do you think you will have to live with this volatility, or I mean created by concentration of business?

Venu Lambu: No, not really. I think the concentration part is going down organically, over the period of few quarters Kawaljeet If you see, same time last year, probably we were in 20% to 23% between two accounts in terms of revenue share. If you look at it now, I do not have the exact percentage of top of my head, but it will not be as if I would not be that wrong if I say 18%

to 19% kind of a share. So I think the concentration risk is organically going down. And t

he good news is that we as an organization are growing because all the deals that we are announcing are outside of these, right? So that is it. I think we are already in that trajectory, but let me also add to it, right? We want to grow in every account. Whether it is top account, top 2 account, top 5, top 20, we want to grow every account. But there are a lot of headroom for us in many various places in our business. Europe can grow faster. Our Middle East joint venture can grow faster. Our accounts that I spoke about seven big global accounts in BFSI sector. If those accounts grow faster than the top client, you still grow top client, but you

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still grow the other accounts better. So I think we are in a very uniquely well-positioned to get that kind of a mix going on as we get into the next year. But, it is a continued journey, a lot of hard work. And I can tell you my team is very excited about getting there.

Kawaljeet Saluja : Well noted on all the points you made, Venu. But just out of curiosity, the deal number three mentioned in your press release, which is positioning us as one of the five major service partners. Is it the same one, which is the large BFSI account, which has been a topic of discussion?

Venu Lambu: Sorry, Kawaljeet, I do not know which one you are referring to?

Kawaljeet Saluja : Well LTIMindtree has been selected by a global financial institution to deliver end-to-end technology and consulting service across all lines of business, positioning us as one of the five major service partners here.

Venu Lambu: No, look, the account, which was under discussion, the one which you called out, it was not under discussion at our end. So, which have consistently maintained it from the first quarter as well. But this is a different account. This is part of the global banks that I spoke about.

Kawaljeet Saluja : Okay, noted. And just a final question for Vipul. Vipul, you are one of the few companies which has had a consistent hedging policy, and that has worked well. But given the recent volatility in rates, etc, is there a thought of revisiting the long-dated hedges that you carry? And second is that is there an OCI gain or loss that you are carrying underlying these hedges in your books of accounts?

Vipul Chandra: Sure. Thanks for the question and I wish you a Happy New Year. So in terms of the hedging policy, you are right that we follow a very consistent hedging policy and we are not really looking to change the hedging policy as such. Volatility on a quarter-on-quarter basis in the hedges performance is not what we look at. We look at the overall, PAT performance and that is where

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we want to maintain the consistency over a period of time. Now, coming further on that is that within the hedge policy, there is some amount of flexibility, which we have, which allows us to ramp up or ramp down our hedges within a certain band. So that flexibility we use from time to time, depending upon the market conditions. But overall, we are not looking to change our hedging policy per se. Coming to the second question in terms of OCI, yes, we do have certain mark-to-market losses sitting in the OCI, which will, if the exchange rate remains where it is, which will flow through the P&L, but then the concomitant benefit of that will also flow through in our EBIT numbers. So overall, I think the hedging policy is serving the purpose that it is supposed to serve.

Kawaljeet Saluja : And Vipul, what will be the average rate of hedges that will mature in the next 12 months? Or, you know, let's say, would it be a gain or loss when you compare to the spot? That is the final question. And thanks a lot.

Vipul Chandra: So we do not give the year-by-year breakup of the hedge rates. I think in our fact sheet, we have published the hedge rate for the overall hedg

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portfolio which stands at, I think if I remember correctly, Rs. 91.29 and in terms of the near-term hedges, given our systematic hedging program, some of these hedges, which will mature in the next 12 months would have been taken earlier. So near term would be less than the Rs. 91.29. And the longer term will obviously be higher. Also, I think in terms of the hedge rate or the average impact of that, that could be higher in the near term. But as we keep putting on more hedges as we go along, that impact also keeps getting mitigated because every quarter that goes by, we keep adding hedges also in the longer term. So it is effectively a systematic hedging program, which gives us the benefit of stability of earnings as well over a period of time built-up hedge rate which works out very well in most situations except in short-term volatility where sometimes you can have some hedge losses, which are offset by the gains in the EBIT.

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Kawaljeet Saluja : Fair enough. Thank you so much and I wish you a great 2026.

Vipul Chandra: Thank you.

Moderator : Thank you. Ladies and gentlemen, that was the last question for today. On behalf of LTIMindtree Limited, that concludes today's conference. Thank you for joining us, and you may now click on the leave icon to exit the meeting. Thank you for your participation.

Safe Harbour

Certain statements in this release concerning the future prospects are forward-looking statements. These statements, by their nature, involve risks and uncertainties that could cause the actual results to differ materially from such forward-looking statements. The Company assumes no obligation to revise or update any forward-looking statements that may be made from time to time by or on behalf of the Company.

(This document has been edited for readability purposes)

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Call: May 2026

(no extractable text — likely a scanned image PDF)

Call: Jun 2026

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BSE Scrip Code: 540005

Dear Sir(s)/Madam,

Subject: Transcript of Investor call held on May 22, 2026

With reference to the captioned subject, please find enclosed transcript of the Investor Call held on May 22, 2026.

Kindly take the above on record.
Thanking you,

Yours faithfully,
For LTM Limited

Angna Arora
Company Secretary & Compliance Officer
Encl.: As above
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"LTM Investor Call"

May 22, 2026

Management:

Mr. Venu Lambu - Chief Executive Officer & Managing Director

Mr. Vipul Chandra - Chief Financial Officer & Whole-time Director

LTM Investor Call
May 22, 2026

Page 2 of 23 Moderator : Ladies and gentlemen, good day and welcome to the LTM Investor Call. Please note all participants are currently in listen-only mode and there will be an opportunity to ask questions following the conclusion of the management's opening remarks. Please note that this call is being recorded.

During the call, LTM could make forward-looking statements. These statements consider the environment as it sees today and carry risks and uncertainties that could cause actual results to differ materially from those expressed in today's call. LTM does not undertake to update any forward-looking statements made on this call.

I now hand the call over to Mr. Venu Lambu, Chief Executive Officer and Managing Director at LTM Limited. Over to you, sir.

Venu Lambu: Thank you, Inba. Good morning, everyone. Firstly, thank you very much for joining the call at short notice. Along with me, I have Vipul Chandra, the CFO and the Board Member of LTM. I and Vipul, we will give you an overview of the very strategic and unique deal that we announced today morning.

Let me take you through the overview of the transaction and then, we are happy to take your questions post that.

Firstly, we are very, very excited about the two fundamental aspects of this transaction. The first is about the deal construct. In the days where clients are navigating various complexities, whether it is a macroeconomic aspect, AI, transformational opportunities, and geopolitical dynamics. The creativity aspect of how you create value to clients and to all our stakeholders is the cornerstone of every deal that we construct, and this is a testimonial of a business creativity deal where there is a win-win arrangement and there is a value-creation opportunity for all the stakeholders. Let me take you through the key tenets of the deal.

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Page 3 of 23 The first tenet of the deal is a proposed acquisition of Randstad Technology and Consulting Services business in Europe and Australia.

Randstad is world's leading talent company. They are a \$24 billion-plus corporation. Within the group, there was a dedicated business unit which was focused on technology and consulting services business in Europe and Australia. So we are talking about that asset. The technology and consulting services business across these two big markets comes to annualized revenue of €469 million and we have a proposed enterprise value of €160 million on a cash free, debt free basis. The geographies, the primary markets where we will get a great access, some of the marquee client logos are in the mainland Europe region. The continental Europe and overall Europe has been a strategic growth focus area as part of our five-year strategy, hence it aligns very well and I will talk a bit more about that in the subsequent slides.

The markets we are talking about predominantly are all the continental Europe and we will also have access to the near-shore delivery centers in Romania and Portugal. This will strengthen our near shore capabilities in addition to the centers that we have in Poland. The geographies that I spoke about from Australia to the continental Europe are completely white-space for us. Our presence is subscale in these markets. So in that context, it is a white-space geographic opportunity.

Moving on to the verticals, it is the same approach. The verticals of aerospace, defense, automotive, and utilities, which includes some of the marquee logos from the telecom sector and the regional banks is completely white space for us. Especially the first three verticals are hugely white-space for us, both from a regional presence perspective and the vertical domain capabil

ity perspective.

In terms of capability, the fact that Randstad Technology and Consulting Service business has been hugely focused in creating vertical-specific solutions, there is a significant domain capability that is embedded within

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Page 4 of 23 the teams. And that fits in well with our tech domain convergence story that I spoke about as part of our five-year strategy. And having access to good talent with cybersecurity, again, a very unique capability and something that we were subscale at. Now we get a scale and more so in the context of the sovereign solutions that gets built up and more so in the context of the regional cybersecurity. And the third capability synergizes with our iNxt capability, which is industrial AI and industrial IoT capabilities. So that is the first part of the deal and I will talk a bit more on that in the next few minutes.

On the second aspect of the deal is five year IT services partnership with the Randstad Group. Randstad Group has a huge aspiration of scaling up

their GCC in India, and most importantly make AI as the core of transformation of the services that gets delivered from Randstad India's GCC and we are the preferred partner, and we have signed a five year agreement to enable Randstad GCC with an AI centric approach. The third aspect of the deal is, as you all know, LTM has a good amount of spend on our subcontractors. We believe there is an opportunity in increasing the efficiency of our spend on subcons and also ensuring we enhance our compliance and speed of response in dealing with our subcontractor workforce. So we are going to leverage the parent company, Randstad Groups, MSP capabilities, for managing our subcons, and most importantly, the contract covers the savings that will be realized through the subcons. So these are the three aspects of the deal.

Let me move on to the next one. A bit more detail about the Vector 1. As I mentioned, Revenue of €469 million, approximately about \$500 million plus in USD terms, 78% in Europe and 22% in Australia. I have already covered the areas that we will cover in the mainland Europe, and of course, we get the delivery centers in Romania and Portugal, and a significant presence in Australia. Australia as a geography will become more than \$100 million revenue for us. Marquee customers with 15 plus scaled accounts, and we will have access to a very rich domain to run digital engineering,

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Page 5 of 23 cybersecurity, industrial IoT capabilities across different delivery centers in Romania, Portugal, and onshore capabilities spread across four verticals that I spoke of, aerospace & defense, auto, utilities, and the BFS. The other aspect of the talent is that we get access to the security cleared talent, which are extremely critical when servicing the aerospace and defense customers and most importantly, these regions have consciously been building the sovereign AI solutions and for that, you need talent, which are not just about local, but also certified in the security standards that is needed to address the aerospace and defense sector. Some of the marquee client base, we are hugely excited about this, and this is where the real value creation opportunity lies for us. All the customers that I show here are the customers where we have absolutely no presence, and that is a big headroom opportunity for us.

In aerospace and defense, a leading global aircraft OEM based out of Europe, one of the largest defense technology company, and the top five European aerospace and defense company are some of the marquee logos in aerospace and defense.

In the automotive sector, three out of the top eight European auto manufacturers, access to the top five European automotive suppliers and leading commercial vehicle OEM. In the utility segments, one of the largest European utility c

ompanies based out of France, two of the top five European telecom companies, and we also get access to the top three telecom and broadband companies in Australia.

In BFS sector, two of the top four Australian banks and top three banks in France. And all these customers are the ones who have global aspirations, and these clients have a huge need for the global delivery model and that is the huge headroom that we see in the growth over here.

Let me dwell a bit more on the complementary capabilities. Our anchor market always has been North America with 73% of our revenue coming from North America and 15% and 12% between Europe and emerging

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Page 6 of 23 markets. The regional presence that I spoke about in continental Europe and Australia will only strengthen our vision of having a balanced portfolio in our business. We want to grow U.S. fast and we want to grow the other regions, especially Europe and emerging markets, much faster. The segments are hugely complementary. Our dominant presence in FS, tech services, consumer, and production complements very well with the newer verticals that we are going to inherit in aerospace and defense, automotive, and utilities and the BFS in Australia which will complement with our global BFS capability and the strength that we have.

In terms of capabilities, as you are all aware, that LTM pivoted itself into an AI centric business with restructuring of three LOBs, of iRun, iTransform, and Business AI, powered by our BlueVerse™ agentic ecosystem and now with a complementary domain and tech expertise that we get, we have a huge value creation opportunity in pivoting into the AI era, and most importantly, in the regulated industry and in the markets, where the aspects of AI in the context of sovereign solutions and the regional AI applications will become significant. The global delivery with offshore scale of what we have will complement with the near-shore and onshore capability that we will get as part of this transaction. So in all aspects of the business, the market access, the capability access, and the delivery and our talent access are complementary to each other with minimal overlap areas and that is why we believe this is a huge value accretive acquisition and most importantly, this is a value-accretive deal for both the parties because of the 360 degree relationship that I spoke about.

Let me go one at a time in terms of what's value accretive for us at LTM. We get a huge scale advantage in Europe. Post closure, we will be in excess of a billion dollar business in Europe and we will be 2x in APAC and as I mentioned, we will be in excess of \$100 million business in Australia. This will give us not just the scale advantage, but also the domain depth that is needed in the agentic AI era to have the large deals and to help our customers in transforming in the AI era.

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Page 7 of 23 The second is Sovereign AI. It is a head start, they are both for the regulated industries and the high growth industries in these markets. The Sovereign AI is identified as a high growth area, and we will get a head start into that as the market matures and as the market captures the momentum on the Sovereign AI.

The third, as the target entity is focused on three primary capabilities, and if you look at the capabilities that exist within LTM, it is a huge opportunity for cross-sell and upsell. We can sell our enterprise platforms of SAP, Oracle, Cloud, data, our interactive capabilities, and the business AI capabilities into these accounts as these capabilities do not exist on the other side. It is going to be hugely complementary and huge cross-sell and upsell opportunity.

The fourth aspect of value creation is about turbo-charging our large deal engine. We have demonstrated this throughout FY2026 and this will only get strengthened more so in the context of Europe and also

in the context

of the global deals, which requires presence across all the major markets. Lastly, because of the global nature of our customers in the U.S. and also the global nature of the customers in Europe, the expanded regional scale and expertise will help in mapping and increasing our wallet share in our global multi-region customers and thereby we can have a cross-pollination of expertise across the regions to scale. So that is a huge opportunity on a proposed acquisition.

As a quick recap, where does it fit in our five year strategy? We said, as I covered it and I will be covering a lot more details in our investor day, the positioning is all about being a partner who can solve a clients' business problem through a creative approach and that is where we positioned ourselves as a business creativity partner when we rebranded to LTM and we said, we will double down our focus in Americas, but at the same time, we will keep an eye on the balanced portfolio and de-risk a high concentration of few areas and we will make sure that we will scale Europe

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Page 8 of 23 with a focused push in the key emerging markets and this transaction fits pretty well into the first highlighted portion.

The second is, what is needed to pivot for AI is the domain and tech capabilities, and we have to reimagine capabilities that we have as part of the core services. Again, these two areas are complementary and fits very well from a strategic rationale standpoint.

The third aspect of the strategic framework that I am going to highlight here

was about, we acknowledged when we designed the strategy that the AI pivot and AI transformation is going to be done with a huge collaboration of our global delivery capabilities and the local expertise as most of the countries become very sovereign in nature in terms of how they handle data, and how the AI infrastructure is built, and how the AI will be implemented. So hence, it is extremely important that we have the complementary capabilities, both onsite, near-shore, and offshore capabilities. So this is, hugely a strategic fit for all the elements that we define as part of our five year ambition.

So that is all I had to share today and me and Vipul are here to take any questions that you may have.

Moderator: Thank you very much, Sir. Ladies and gentlemen, we will now begin the question and answer session. We take the first question from Prateek Maheshwari of HSBC Securities. Please go ahead.

Prateek Maheshwari: Hi, Venu and Vipul. Thank you so much for the opportunity. First of all, congratulations and the deal seems to be a good fit for your five-year strategy. Something that I wanted to check about was the revenue, the trend that we have seen for the company. It has been declining at 10% rate. So just if you could double click on what is happening and how do you see that? And then I have a follow up question for Vipul.

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Page 9 of 23 Venu Lambu: Sure. Thanks for the question Prateek and look, I think there are three aspects to the revenue decline and that was very clear when we made this decision. The first is, like everyone else, over the last two years, there has been macroeconomic challenges specifically in Europe and that was one part of that story. The second one is about, there has been a conscious effort in FY2025 to actually trim the tail accounts, because the seller was already in the process of divesting this part of it and so there was a conscious effort from their side to make the tail accounts rationalized much faster so that it becomes an asset that they can transact smoothly. So that was the second thing. The third thing is that, and we have done this analysis. If you look at the clients that I spoke about, all these clients have a significant presence in India. Especially over the last two years or so, at the back of

India and Europe, trade agreements, at the back of an offset deal that is happening in, especially in aerospace and other customers. They have ramped up GCC a lot and, Randstad Technology and Consulting Services business did not have a scale offshore. They had an offshore, but it was not a scale that we can do it. If we were there one year back, probably we would have arrested that decline. But I see this as a positive movement because all these clients are hugely excited about it and, as part of this, I have spoken to four clients as part of the process and the excitement is very huge, with these customers in terms of leveraging our global delivery model that complements with the onsite and near shore capability. So these are the reasons, you know, that are there for the revenue decline, but they are not anything to do with the structure of the business, but it is because of the reasons that I mentioned.

Prateek Maheshwari: Thanks. Venu since you said that they (Randstad) did not have offshore capability could you also double click on like what do you expect out of it. As in the release had some GCC opportunity as well right and you also mentioned that in your opening comments so if you could double-click on that as well?

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Page 10 of 23 Venu Lambu: Yes, the second aspect of the deal that I am talking about is the GCC for the Randstad Group's IT requirement and all their AI transformation requirement. So that is the GCC. Their spend is huge, they are a \$25 billion operation, so they have a huge technology and AI spend, so we are going to be the AI transformation partner in strengthening their GCC capabilities, which is actually based out of Hyderabad. So that is the GCC concept. The point that I mentioned about the existing customers, they went about their own GCCs, right whether it is an aerospace customer or automotive customer, they went with their own GCC. So that when somebody decides

to go on a GCC, there is a lag before you start complementing them with your capabilities and strategy and that lag is what resulted in decline in the later part of last year.

Prateek Maheshwari: Thanks, Venu. My question for Vipul was so how should we think about the margins? I see because they are more near shore and on site, the revenue per employee is about three times of average of LTM, right? So probably margin profile could be a little lower, right? So just want to understand how do you think about the steady state margin impact on the P&L because of the deal and also what do you expect in terms of your amortization and acquisition cost?

Vipul Chandra: Yes, so thanks Prateek. I think on the margin front, I can say that their gross margin on the onsite side is actually pretty good. I think what Venu touched upon right now in terms of the limited offshore model which they had, if you take that out, the onsite margin is pretty good. I think coupled with our offshore muscle, the business has the potential to scale up on the margin side as well, pretty good. As far as the, what was the second question you were asking about?

Venu Lambu: We looked at the value creation with all the three aspects of the deal, right?

So there is a margin in the deal one business, which as Vipul said, their gross margin is actually better than our gross margin for near-shore resources that we have in Poland versus the onsite and near-shore, that's number one. Number two is that, as part of the 360 value creation, there is a margin

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Page 11 of 23 contribution coming from the deal two that I spoke about, which is the scaling of the GCC part of it and the third that I spoke about, is increasing the efficiency on our subcon spend. So there is a savings realization as well on the deal three part of it. So for us, the contribution to the value come from the three aspects of deal one, deal two, and deal three and in summary, I ju

st want to say, there is going to be no material impact to the margin, for this year, even after closure and for the next year, we have plan in place to make sure that there is no material impact.

Prateek Maheshwari: This will be on EBITDA or this will be on EBIT as well, on no material impact?

Vipul Chandra: This, we are talking about the EBIT itself and in terms of, I think the second question you asked about was the amortization, which of course we follow, but I think, if you look at the consideration and the amortization on that, I do not think it is going to be a very material impact for us and as Venu said, that we already have plans in place to improve both the revenue and margin as we go forward.

Prateek Maheshwari: Thanks, Venu. Thanks, Vipul. Thank you for your answer.

Moderator: Thank you. Our next question is from Vibhor Singhal of Nuvama Equities. Please go ahead.

Vibhor Singhal: Thanks for taking my question and congrats on this acquisition. So Venu just to continue from where the last question left, so first of all, I think as you mentioned that we acquired this European and Australian IT services business of Randstad, so does Randstad also have IT services and consulting business outside of these geographies, maybe in US and some other domains and if yes, then what would be the reason that we basically chose this part apart from, of course, these being the white spaces for us?

Secondly, you mentioned that basically the three reasons that we saw a revenue decline for the company over the past couple of years. So given at the time that we have acquired and given that they have already trimmed down their tail accounts and all, do we expect to stem the decline in

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Page 12 of 23 revenues going forward and will this part of the business be also able to grow at our company growth rate and so let us say, for example, this year we are expecting mid-to-high single digit growth rate will this part of business also be able to grow in the same range and just a related question?

This business operates in the aerospace and auto verticals in product design space as well, product engineering space as well, does it kind of create any conflict of interest with the group company LTTS or that is kind of all cleared and nothing that we need to worry about there? That will be

the questions for you. I will just have one follow up for Vipul after that.

Venu Lambu: Okay, so let me cover one at a time. First, let me clarify the last point. That is an easy one, straight on. There is absolutely no conflict with any of our group companies. We are very conscious about it. We are focused significantly on AI-led software engineering, AI-led digital engineering. We are very focused on bringing our data capabilities, cloud capabilities, focused on our business AI capabilities, look at the opportunities in the enterprise platform, whether it is the enterprise apps like SAP, Oracle, JD Edwards, or ServiceNow, Salesforce Practices that we have, huge depth we have on our interactive practices. So all that put together, is a huge opportunity there. The clients will always be common, right? I mean, we have that even in the current model, but the capabilities are always complementary, and also iNxt capability, right? So iNxt has, is one of our differentiated area when it comes to the industrial AI capabilities part of it. So it will be complemented to the iNxt capabilities as well, so absolutely no conflict with that. If at all, it can be more and more complementary on that, right?

Now, let me answer the first one you said, do they have a U.S. business and why we did not consider it? Look, the answer is very obvious. If we try to do this acquisition from a regional context in U.S., you will have more of overlap accounts. We are pretty much well present in most of the verticals that we want to focus on. So I do not think we would have got any great value-

creation opportunity if we had included in this scope. This was a very
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Page 13 of 23 conscious decision that we had to create a balanced portfolio. We need to have a presence in Europe and the markets that we are talking about in Europe are not the markets that you can easily build these capabilities organically and more so in the current situation where the sovereign solutions and the solutions that you need to provide to the regulated industries needs significant capabilities that complements with our global offshore capabilities and most importantly, when we looked at the clientele base, it was like completely white space. Even if it is a BFS space, where we are pretty strong globally, the accounts that we are getting as part of the BFS, both in Australia and in Europe, are completely white space. We do not play in those accounts. So it is definitely complementary for us on that. So that was a huge upside and we do not see a value-creation opportunity by including U.S. and any other scope. This was a very targeted, focused market that fits into our strategy and I wanted to go across that. What is the next question?

Vibhor Singhal: So just a question was on the revenue decline trajectory. Do you think that trimming of tail accounts is kind of complete, and we can expect the complete also, this part also to go to the company average?

Venu Lambu: Yeah, that is a great question, Vibhor, My view is that I would assume a little bit more haircut in the short term just to transform, the scaled accounts, I mean, these are marquee accounts. Our focus should be a lot more on those accounts and they are like, customers with their multibillion dollar tech spend and AI spend. We want to make sure that our strategy of putting all of our energy and focus on those accounts becomes extremely important. If that results in trimming 10 more tail accounts over a period of time, it may not happen at one shot, but if we need to do that, we will do it but that may be just a short-term thing. Our focus and business plan and value creation is built on cross-selling and upselling and growing and this fits in well with our five-year strategy where we said we want to double our revenue in five years. When we are looking at that five-year strategy, it is only the growth that comes even though in the short term, from a
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Page 14 of 23 transformation standpoint, we might look at trimming some tail accounts. If I may just add to that so that you get a better color on how we are going to execute this. We intend to keep this as a separate subsidiary of LTM so that we do not spend time on integration or anything and as I said, since it is completely white space, both from the market standpoint, as well as

from the capability standpoint, there is no need for any sort of an integration as such, apart from your functional integration like your finance, HR, those kind of aspect. The business, there is nothing to integrate. I mean, we are sub scale in most of the markets. So it gives us a great opportunity not to get distracted, keep it standalone, focus on that, help the entity with all the capabilities that we can bring in LTM and cross and up sell in those accounts. So that is how we are going to focus on.

Vibhor Singhal: Got it, got it. Thank you so much for that very detailed answer, Venu. Just one quick question for Vipul. Vipul, you mentioned that we are expecting very minimal impact on the overall consolidated margins and given if we are acquiring at much lower than the book value, and it should not lead to any cash debt as well. Is it correct to assume that we will have, this acquisition should be EPS accretive from day one? And also, what would be the DSO day profile of the acquisition?

Vipul Chandra: So, in terms of the margin impact as I already said that it is going to be minimal or not really going to be there given our pl

ans, which we already have in place and if the margin impact is not there, it is not going to be EPS dilutive also. So to that extent, I think that answer is there itself. As far as the DSO profile is concerned, it is regular DSO profile, which is there for any IT services kind of a company. There is no abnormality out there. It is more or less in line with our own DSO profile as well.

Vibhor Singhal: Got it, got it. Great. Thank you so much for answering my questions and wish you all the best.

Moderator: Thank you. Our next question is from Ravi Menon of Axis Capital. Please go ahead.

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Page 15 of 23 Ravi Menon: Thank you for the opportunity and congrats on the acquisition. Venu, first of all, near term at least, do you think that you need to make some sales and marketing investments because these are geographies that are relatively subscale for you, right? So you will need, I assume, new sales team that will go out there, try to cross-sell this because I do not think the existing Randstad Digital sales team, if they are coming with it, they would still know your capabilities and be able to sell into these accounts, right?

Vipul Chandra: No, Ravi the investment will be very minimal and will be more on the overlay sales. As part of this transaction, we are getting a lot of good talented sales people who have a very deep client relationship. The clients that I spoke about, they are clients with very material revenue. So that means there is already a deep front end relationship that exists. Yes, if you need to cross-sell and upsell my SAP, Oracle, cloud, data, AI, and so on, then we need to have a few investment done for the overlay sales, so that the cross-sell and upsell happens with our service line sales capability, but that I would sort of look at it as very minimal. I would have done it organically as well in those markets if we had that scale, so I would not look at it as anything, which is a huge investment, but something like a BAU investment, but we are going to create a separate team, which will provide the overlay sales support to this entity, more so from our service line capability standpoint.

Ravi Menon: Thanks and related question to that is, how are these clients set up? I mean, so do you have, can you provide all sorts of IT services, or was Randstad Digital mostly set up with MSAs for just mostly staffing, or is it managed services, all of that, and can you provide all the services that you offer, or would that involve changing some of these MSAs?

Venu Lambu: Yes, most of the clients have good options to cross-sell and up sell already built in. There may be a few customers where I need to introduce an offshore rate card, for example, and create an offshore based MSA or SOW but considering the fact that these are deep relationships, and also considering that these are the customers who are already in offshore,

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Page 16 of 23 either on their own or through some other competitor, they are already there, so getting those offshore rate cards clubbed into existing contracts should not be that much of a problem but yes, to summarize it, it is going

to be a mix of clients where it is a wholesome 360-degree contracts. In some cases, we might have to introduce offshore contracts.

Vipul Chandra: I think you asked a specific question about the MSA and whether the MSA is provided for all kinds of services? The answer is yes, because even the existing business is a mix of the normal kind of contracts that we see in any IT services company, which is T&M, fixed price, solutions, all of those things, so the MSAs do provide for that. As Venu said, the only thing which we may have to add in some places is the offshore rate cards.

Ravi Menon: Thank you. So, then with the remaining part, I would assume that Randstad Digital's U.S. and U.K. business, I would assume that is also going to get supp

orted on an ongoing basis by the Randstad GCC, right or is the plan that these parts will get sold to somebody else and, the Randstad GCC will just be standalone for, mostly like internal IT for...?

Venu Lambu: Yes, look, I do not want to comment on their behalf on what their plans are, which is not fair. So yes, I do not have any further comments to add on.

This is a very unique deal in the industry, right, to have a 360-degree relationship and these are the deals, that can be created in the market and that is where the real value creation opportunity happens. These are the kind of deals that was pretty much restricted to the tech space, among the very limited set of, in the AI value chain players, you have seen that, how those 360 relationships were built and we have set the trend, of creating a large deal kind of a construct with a 360 relationship. Now that we have relationship on both sides, we sell to them, they sell to us, apart from this acquisition. If there is any need for any large deal support for them, they know they can reach out to us. So that is how the relationship will work.

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Page 17 of 23 Ravi Menon: But would they become, say, Randstad U.S., would that become a competitor, a more formidable competitor with the GCC scale up that you are enabling?

Venu Lambu: Not really. Look, the way it is going to work is that, firstly, most of the GCC scale up will be focused, firstly, on their internal enterprise IT transformation. That is the first focus area, right and second focus area is that anything that we do together where they cannot support it in offshore and it will be LTM, which will support them in offshore for the clients.

Ravi Menon: All right, great. Thanks so much and best of luck.

Moderator: Thank you. Our next question is from Kumar Rakesh of BNP Paribas. Please go ahead.

Kumar Rakesh: Thank you for taking my question. My first question was about the revenue opportunity from the five-year GCC partnership, which you are forming with the company?

Venu Lambu: Look, I think the initial scope that we will ramp up will be closer to 50 to 60 million TCv, because it is a five-year relationship, but you have to start with some scope to begin with. So we have identified a scope, which will start ramping up. At the same time, the closing happens for the deal one, and the initial scope value is somewhere around 55 to 60 million.

Kumar Rakesh: Got that and How the deal conversation would have gone through? Were you in the process of having a conversation around the GCC partnership in which this deal came along and you were asked to look at this asset or it is the other way around that you were looking to expand your footprint and the GCC partnership came along with that?

Venu Lambu: Yes, look, I think these kinds of deals happen when you have access to the Board. You create a strategic proposition to the clients and once you start discussing it, it sort of takes its own shape through various discussions and various ideations that happens between both the teams and that is exactly

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Page 18 of 23 what happened. So, there was a relationship at the Board level and, we had a proposition to put across to them and that one led to the other and then, in any large deal for that matter, it goes through its own ideation process and collaboration process before we come to a point where we say, okay, now we have a right shape and we can sign on this deal and that is exactly what happened here.

Kumar Rakesh: Got that and finally, on the rationale part, I understand that it helps LTM address the white spaces by geography and vertical. With the kind of environment in which we have many of the peers of yours are focusing aggressively on building capability side and this does not seem to be addressing enough on building out capability. So do you think this is the best use of cash at this time, of e

xpansion in the white spaces by geography and vertical and you may still remain subscale in those vertical and geography especially?

Venu Lambu: Look I think probably I did not articulate the second aspect of the white space that there are, the white space not just in the client acquisition, which is extremely critical, right because these are the clients where we can sell a lot of capabilities that we already have. And the second is the white space on the capabilities that complements. We are not that big on the cybersecurity space, so it a huge thing. Cybersecurity in the agentic AI era is a huge aspect that we can focus on and scale on and it gives us a jump start in that and specifically in the areas and in the verticals that we can bring value of it as an example. The second thing is that the capabilities that synergizes with our industrial AI capabilities that I spoke about right and that capability is hugely complementary, especially in the global scale. And that spans across all of our manufacturing customers in the U.S. as well. We can use the same capabilities for our production segment, whether it is manufacturing customers, energy and utilities customers, per se, on that.

And lastly is that the domain and tech convergence capability is very understated. It is very easy to build horizontal practices. You can hire a set

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Page 19 of 23 of techies and build any of the practices on various platforms or on various technologies. But the most hard muscle is getting the contextual capabilities for the industries, even if it is the contextual capabilities for the BFS, the more we get those talent, it only strengthens our tech domain convergence story. The contextual capabilities that we get in the utilities strengthen our E&U story, even in North America and even in the Middle East, for example. The contextual capabilities that come in the automotive sector will complement with our overall manufacturing capabilities. There is a huge capability build out that will come out as part of it, so it is not just buying for the set of clients, but as I mentioned, there are three white spaces that I see it here. One is the white space in clients, white space in capabilities, and white space in the delivery talent across the globe.

Vipul Chandra: Also, just to address the point about the use of cash on this one, Kumar, if you look at the cash on our balance sheet and the consideration that you are going to be paying for this transaction, it is not going to be more than 10% to 15%. So any which way, the other capabilities, etc., which you are talking about, you can always keep building it up as well and we are investing in that side as well.

Venu Lambu: It is not at the cost of A, B, C. We will do both.

Kumar Rakesh: Got it. Thanks a lot for that clarification. Vipul, just one question final on the margin side, so you said there should not be material impact on margin once this acquisition is integrated. Does that imply that this part of the business has better margin than the overall business margin because Randstad overall margins are quite low, but you are indicating that there should not be material margin impact after the integration and the amortization charges all put together?

Vipul Chandra: Yes, so I think I answered this already and Venu mentioned about the 360 relationship and the overall transaction. We have to look at it together.

That is one part. The second part is I also mentioned about their onsite gross margin being actually better than our onsite gross margin as of today.

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Page 20 of 23 So I think once we start implementing the plans that we have and the offshore muscle gets added and complemented, the revenue as well as margin will both grow together and we also have other plans, which we are already working on in terms of our New Horizon initiative as well to deal

with the margin

at an aggregate overall level as well. So overall, keeping all of these things in mind is why I said that no material impact per se.

Kumar Rakesh: Got it. Thanks a lot for answering my questions.

Moderator: Thank you. We take our next question from Nitin Padmanabhan of Investec. Please go ahead.

Nitin Padmanabhan: . Good afternoon and congrats on the deal. I have a couple of quick ones.

So one is, Venu, you mentioned that there is a lot of domain centric contextual capability that is difficult to build, which is highly appreciated.

The only question I had around that was that what is the format of this engagement? Is it more of a staffing engagement where it is difficult to migrate that knowledge or you think there needs to be a re-architecting of the way that engagement happens for us to really migrate that knowledge that was the first one? The second is 15 plus large accounts that we have, how big is it as a percentage of the overall revenue at the moment and how big is the tail? Do we need to really cut the tail and that will be a drag for a year or so and then from year two or year three is when we really see a scale up and finally, in the context of the way this is, do you believe that initially it will start with the pitch that we currently have onsite resources with you, let us put in an offshore mix and that becomes the first part of call and how long do you think before the set of wins from a revenue synergy perspective starts kicking in? Those were the three questions.

Thank you.

Venu Lambu: On the last point, our current focus is to ensure that we focus on closing.

And after closing, I will be able to share a lot more details in terms of, as part of our quarterly commentaries, in terms of the deals that we are working on and the large deals that we have and so on, so things, right? But

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Page 21 of 23 as I said, it is all aligned to our five-year vision of doubling our revenue and we already have a plan in parallel built up for the cross-sell and up selling part of it as well. So yes, so I will give those commentaries as and when we reach to that stage. The other aspect is about the concentration of account. This is where the real differentiation lies. In Europe, the top 25 customers contribute 65% of the revenue. In Australia, top 10 customers contribute to 80% of the revenue. If it was a hundreds of tail accounts, it does not fit into our strategy because that is not how LTM works. Even in LTM, to an extent that we have been challenged a lot saying that you are concentrating a lot on few accounts and you have a concentration risk, but that is a model we have always adopted that we go deeper in the relationships and this was the thing which attracted to us that we have 65% of the revenue coming in from top 25 in Europe and 80% of the revenue is coming from the top 10 in Australia. And that is where our focus is going to be a lot more from day one, so that we not only make sure that we have a smooth transition of these customers, most importantly, use this opportunity to tell them about the things that we can help from an LTM standpoint and grow these customers.

Look, from a commercial arrangement, it has a good mix of T&M commercial arrangement, but the average tenure of consultants in an account is greater than five years in these accounts. In fact, the highly experienced consultants when we looked at the tenure of them in the accounts is almost seven to eight years in one account, which is a very good, even from an offshore standard perspective to have that and we need to make sure that we retain that stickiness of talent, of the customers, so that the domain context remains in the ecosystem and most importantly, we strengthen it with our domain capability that exists within LTM at a global level. So that is how I would look at it. But yes, the commercial arrangements are a mix of T&M, managed services and so o

n. But yes, it is

a significant commercial arrangement of T&M, but what gives us an assurance is that the tenure of the consultants in an account, that is an analysis we did and that tenure is a very long tenure in account.

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Obviously they are valuable and very core to the client and usually they would not want to let go of those people. How fungible is the knowledge transfer for us to be able to use those same people to drive things because these will be controlled by the client. I am just trying to ask you about the assumption on being able to use those same people to drive a new deal creation when they are completely controlled by the client, so that is the only assumption that I worry about and wanted your thoughts there?

Venu Lambu: Yes, look, I think that happens especially in accounts where we have the long tenure consultants and in those engagements, even in our current business, where clients have a say on the resources, movement, and so on. But we have a mechanism in terms of how the other employees cross and up learn from each other. So there are various initiatives where we shadow people across these consultants where the domain knowledge gets transferred. And second thing is that I think we will also have some work to do in terms of making sure that a lot of this knowledge in our global setup gets institutionalized. So that is where the focus will happen and the fact that now that the same clients will have an access to close to 87,000 of talent of global scale from LTM, as we start selling different services, our ability to shadow those resources will also enhance. If I was focused only on one stream and one capability, then shadowing the resources becomes that much challenging, especially in the scenario that you explained. When we are trying to cross and up sell, I think if I can have the same account where there are 100 people working, if I can increase it to 250 people in that account, our ability to cross pollinate knowledge will be that much easier. So again, it all comes down to the same point that I started off saying that, can we cross and up sell faster? Can we expand the wallet share faster? Because you have a focused accounts that we can target. It is not like spanning across hundreds of accounts and thereby we get the advantage of both tech domain convergence, get the advantage of capabilities, that are truly white space for us.

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Page 23 of 23 Nitin Padmanabhan: Got it. That is helpful, Venu. Thank you so much and all the very best.

Moderator: Thank you. That was the last question for today. Ladies and gentlemen, on behalf of LTM Limited, that concludes today's call. Thank you for joining us and you may now click on the leave icon to exit the meeting. Thank you for your participation. Goodbye.

Safe Harbour

Certain statements in this release concerning the future prospects are forward-looking statements. These statements, by their nature, involve risks and uncertainties that could cause the actual results to differ materially from such forward-looking statements. The Company assumes no obligation to revise or update any forward-looking statements that may be made from time to time by or on behalf of the Company.

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